

April 2021

The European Bathroom & Kitchen Product Markets

- 2021 Edition -

France

BRG
BUILDING SOLUTIONS

© BRG BUILDING SOLUTIONS

CP House, 97-107 Uxbridge Road, Ealing, London, W5 5TL, United Kingdom

Tel: +44 (0) 208 832 7860 Fax: +44 (0) 208 566 4931

Email: europe@brgbuildingsolutions.com

Website: www.brgbuildingsolutions.com

All rights reserved. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form, or by any means, electronic, mechanical, photocopying, recording or otherwise without the prior permission of the copyright owner.

Table of Contents

The French Bathroom and Kitchen Market

- I.1 Introduction : Bathroom & Kitchen

Background : France - Bathroom & Kitchen

II.0	FR - Background	14
II.1	Background : Overview	15
II.2	Key Figures	19
II.3	Macroeconomic Trends and Forecasts	19
II.4	New Dwelling Construction	20
II.5	Dwelling Stock by Type and Tenure	21

Distribution : France - Bathroom & Kitchen

III.0	FR - Distribution	22
III.1	Distribution : Bathroom & Kitchen	23
III.2	Summary of Leading Distributors	28

Baths and Shower Trays - France

1.0	FR - Baths and Shower Trays	29
1.1	Market Overview : Baths and Shower Trays	30
1.2	Historical Trends and Forecasts	37
1.3.1	Prices and Market Values : Baths and Shower Trays	38
1.3.2	Prices and Market Values : Synthetic Baths	39
1.3.3	Prices and Market Values : Synthetic Shower Trays	40
1.3.4	Price Segmentation : Cast Iron Baths	41
1.3.5	Price Segmentation : Steel Baths	42
1.3.6	Price Segmentation : Synthetic Baths	43
1.3.7	Price Segmentation : Hydromassage Baths	44
1.3.8	Price Segmentation : Ceramic Shower Trays	45
1.3.9	Price Segmentation : Steel/ Cast Iron Shower Trays	46
1.3.10	Price Segmentation : Synthetic Shower Trays	47
1.4.1	End Use : Base Year	48
1.4.2	End Use : Historical and Forecasts	49
1.4.3	Sales by Type : Baths	50
1.4.4	Sales by Shape : Shower Trays	51
1.5.1	Market Shares : Cast Iron Baths	52
1.5.2	Market Shares : Steel Baths	52

1.5.3	Market Shares : Synthetic Baths	53
1.5.4	Market Shares : Hydromassage Baths	53
1.5.5	Market Shares : Ceramic Shower Trays	54
1.5.6	Market Shares : Steel / Cast Iron Shower Trays	54
1.5.7	Market Shares : Synthetic Shower Trays	55
1.6.1/2	Imports & Exports : Cast Iron Baths	56
1.6.3/4	Imports & Exports : Steel Baths	57
1.6.5/6	Imports & Exports : Synthetic Baths / Shower Trays	58
1.7.1/2	Route to Market : Baths	59
1.7.3/4	Consolidated View : Baths	60
1.7.5/6	Route to Market : Shower Trays	61
1.7.7/8	Consolidated View : Shower Trays	62
1.8	Market Revision : Baths and Shower Trays	63
Sanitary Ware - France		
2.0	FR - Sanitary Ware	64
2.1	Market Sector Overview : Sanitary Ware	65
2.2.1	Historical Trends and Forecasts : Sanitary Ware	72
2.2.2	Historical Trend and Forecasts: Installation Mod.	73
2.3.1	Prices and Market Values : Sanitary Ware	74
2.3.2	Prices and Market Values by Type : CSW	75
2.3.3	Prices and Market Values by Type of Rim : WCs	76
2.3.4	Prices and Market Values by Type : Conc. Cisterns	77
2.3.5	Prices and Market Values : Non-Ceramic Washbasins	78
2.3.6	Price Segmentation : WCs	79
2.3.7	Price Segmentation : Ceramic Washbasins	80
2.3.8	Price Segmentation : Concealed Plastic Cisterns	81
2.3.9	Price Segmentation : Exposed Plastic Cisterns	82
2.3.10	Price Segmentation : Non Ceramic Washbasins	83
2.4.1	End Use : Base Year	84
2.4.2	End Use : Historical and Forecasts	85
2.5.1	Market Shares : All Ceramic Sanitary Ware	86
2.5.2	Market Shares : WCs	86
2.5.3	Market Shares : Ceramic Washbasins	87
2.5.4	Market Shares : Other Ceramic Sanitary Ware	87
2.5.5	Market Shares : Concealed Plastic Cisterns	88
2.5.6	Market Shares : Exposed Plastic Cisterns	88

2.6.1/2	Imports & Exports : CSW All	89
2.6.3/4	Imports & Exports: Plastic Cisterns	90
2.7.1/2	Route to Market : Ceramic Sanitary Ware	91
2.7.3/4	Consolidated View : Ceramic Sanitary Ware	92
2.7.5/6	Route to Market : Plastic Cisterns	93
2.7.7/8	Consolidated View : Plastic Cisterns	94
2.8	Market Revision : Sanitary Ware	95

Taps and Mixers - France

3.0	FR - Taps and Mixers	96
3.1	Market Sector Overview : Taps and Mixers	97
3.2	Historical Trends and Forecasts : Taps and Mixers	104
3.3.1	Prices and Market Values : Taps and Mixers	105
3.3.2	Prices and Market Values by Type : Taps & Mixers	106
3.3.3	Price Segmentation : Bath Taps and Mixers	107
3.3.4	Price Segmentation : Bidet Taps and Mixers	108
3.3.5	Price Segmentation : Kitchen Taps and Mixers	109
3.3.6	Price Segmentation : Shower Taps and Mixers	110
3.3.7	Price Segmentation : Washbasin Taps and Mixers	111
3.4.1	End Use : Base Year	112
3.4.2	End Use : Historical and Forecasts	113
3.4.3	Sales by Type and Application : Taps and Mixers	114
3.4.4	Sales by Type of Finish : Taps and Mixers	115
3.4.5	Sales by Type of Installation : Taps and Mixers	116
3.4.6	Sales by Type of Mounting : Taps and Mixers	117
3.5	Market Shares : Taps and Mixers	118
3.6.1/2	Imports & Exports : Taps and Mixers	119
3.7.1/2	Route to Market : Kitchen Taps and Mixers	120
3.7.3/4	Consolidated View : Kitchen Taps and Mixers	121
3.7.5/6	Route to Market : Sanitary Taps and Mixers	122
3.7.7/8	Consolidated View : Sanitary Taps and Mixers	123
3.8	Market Revision : Taps and Mixers	124
3.9.1	Historical Trends and Forecasts : Flushing Valves	125
3.9.2	Prices and Market Values : Flushing Valves	126
3.9.3	Market Shares : Urinal Flushing Valves	127
3.9.4	Market Shares : WC Flushing Valves	127
3.10	Market Revision : Flushing Valves	128

Shower Wall - France

4.0	FR - Shower Wall	129
4.1	Market Sector Overview : Shower Wall	130
4.2	Historical Trends and Forecasts : Shower Wall	135
4.3.1	Prices and Market Values : Shower Wall	136
4.3.2	Price Segmentation : Bath Screens	137
4.3.3	Price Segmentation : Conventional Shower Cubicles	138
4.3.4	Price Segmentation : Hydrotherapy Shower Cubicles	139
4.3.5	Price Segmentation : Shower Enclosures	140
4.4.1	End Use : Base Year	141
4.4.2	End Use : Historical and Forecasts	142
4.4.3	Sales by Type : Bath Screens	143
4.4.4	Sales by Type : Shower Enclosures	143
4.4.5	Sales by Type of Door : Shower Enclosures	144
4.5.1	Market Shares : Bath Screens	145
4.5.2	Market Shares : Conventional Shower Cubicles	145
4.5.3	Market Shares : Hydrotherapy Shower Cubicles	146
4.5.4	Market Shares : Shower Enclosures	146
4.6.1/2	Route to Market : Shower Wall	147
4.6.3/4	Consolidated View : Shower Wall	148
4.7	Market Revision : Shower Wall	149

Bathroom Furniture - France

5.0	FR - Bathroom Furniture	150
5.1	Market Overview : Bathroom Furniture	151
5.2	Historical Trends & Forecasts : Bathroom Furniture	155
5.3.1	Prices and Market Values : Bathroom Furniture	156
5.3.2	Price Segmentation : Base Units	157
5.3.3	Price Segmentation : Mirrors and Mirror Cabinets	158
5.3.4	Price Segmentation : Separate Cabinets	159
5.4.1	End Use : Base Year	160
5.4.2	End Use : Historical and Forecasts	161
5.4.3	Sales by Type of Washbasin Material : Base Units	162
5.4.4	Sales by Type of Material : Base Units	162
5.4.5	Sales by Type of Washbasin : Base Units	163
5.4.6	Sales by Type of Colour : Base Units	163
5.4.7	Sales by Width : Base Units	164

5.4.8	Sales by Type : Mirror and Mirror Cabinets	164
5.4.9	Sales by Type of Material : Mirror Cabinets	165
5.4.10	Sales by Type of Material : Separate Cabinets	165
5.4.11	Sales by Type of Installation : Separate Cabinets	166
5.4.12	Sales by Type of Colour : Separate Cabinets	166
5.4.13	Sales by Height : Separate Cabinets	167
5.5.1	Market Shares : Base Units	168
5.5.2	Market Shares : Mirror and Mirror Cabinets	168
5.5.3	Market Shares : Separate Cabinets	169
5.6.1/2	Route to Market : Bathroom Furniture	170
5.6.3/4	Consolidated Flow : Bathroom Furniture	171
5.7	Market Revision : Bathroom Furniture	172
Bathroom Accessories - France		
6.0	FR - Bathroom Accessories	173
6.1	Market Overview : Bathroom Accessories	174
6.2	Historical Trends and Forecasts : Bathroom Acces.	178
6.3	Prices and Market Values : Bathroom Accessories	179
6.4.1	End Use : Base Year	180
6.4.2	End Use : Historical and Forecasts	181
6.4.3	Sales by Type of Material : Bathroom Accessories	182
6.4.4	Sales by Price Segment : Bathroom Accessories	182
6.5	Market Shares : Bathroom Accessories	183
6.6.1/2	Route to Market : Bathroom Accessories	184
6.6.3/4	Consolidated View : Bathroom Accessories	185
6.7	Market Revision : Bathroom Accessories	186
Shower Accessories - France		
7.0	FR - Shower Accessories	187
7.1	Market Sector Overview : Shower Accessories	188
7.2.1	Historical Trends & Forecasts : Shower Accessories	193
7.2.2	Historical Trends & Forecasts : Shower Sets	194
7.3.1	Prices and Market Values : Shower Accessories	195
7.3.2	Prices and Market Values by Type : Shower Heads	196
7.3.3	Price Segmentation : Flexible Hoses	197
7.3.4	Price Segmentation : Shower Heads	198
7.3.5	Price Segmentation : Shower Panels	199
7.3.6	Price Segmentation : Shower Pipes	200

7.3.7	Price Segmentation : Shower Supports	201
7.4.1	End Use : Base Year	202
7.4.2	End Use : Historical and Forecasts	203
7.4.3	Sales By Type of Material : Flexible Hoses	204
7.4.4	Sales by Type of Finish : Shower Heads	204
7.4.5	Sales By Type of Function : Shower Heads	205
7.4.6	Sales by Type of Installation : Shower Heads	205
7.4.7	Sales By Type of Shape : Shower Heads	206
7.4.8	Sales by Type of Application : Shower Pipes	206
7.4.9	Sales by Type of Mixer : Shower Pipes	207
7.4.10	Sales by Type of Finish: Shower Panels	207
7.4.11	Sales By Type : Shower Supports	208
7.5.1	Market Shares : Flexible Hoses	209
7.5.2	Market Shares : Shower Heads	209
7.5.3	Market Shares : Shower Panels	210
7.5.4	Market Shares : Shower Pipes	210
7.6.1/2	Route to Market : Shower Accessories	211
7.6.3/4	Consolidated View : Shower Accessories	212
7.7	Market Revision : Shower Accessories	213

Kitchen Sinks - France

8.0	FR - Kitchen Sinks	214
8.1	Market Sector Overview : Kitchen Sinks	215
8.2	Historical Trends and Forecasts : Kitchen Sinks	219
8.3.1	Prices and Market Values : Kitchen Sinks	220
8.3.2	Price Segmentation : Cast Iron Kitchen Sinks	221
8.3.3	Price Segmentation : Ceramic Kitchen Sinks	222
8.3.4	Price Segmentation : Enamelled Steel Kitchen Sinks	223
8.3.5	Price Segmentation : Stainless Steel Kitchen Sinks	224
8.3.6	Price Segmentation : Synthetic Kitchen Sinks	225
8.4.1	End Use : Base Year	226
8.4.2	End Use : Historical and Forecasts	227
8.4.3	Sales by Type of Installation : Kitchen Sinks	228
8.4.4	Sales by Type of Configuration : Kitchen Sinks	229
8.5.1	Market Shares : Ceramic Kitchen Sinks	230
8.5.2	Market Shares : Stainless Steel Kitchen Sinks	230
8.5.3	Market Shares : Synthetic Sinks	231

8.6.1/2	Route to Market : Kitchen Sinks	232
8.6.3/4	Consolidated View : Kitchen Sinks	233
8.7	Market Revision : Kitchen Sinks	234

Kitchen Tap and Mixers - France

9.0	FR - Kitchen Taps & Mixers	235
9.1	Market Sector Overview : Kitchen TM	236
9.2	Historical Trends and Forecasts : Kitchen TM	240
9.3.1	Prices and Market Values : Kitchen Taps & Mixers	241
9.3.2	Price Segmentation : Kitchen Taps & Mixers	242
9.4.1	End Use : Base Year	243
9.4.2	End Use : Historical and Forecasts	244
9.5	Market Shares : Kitchen Taps & Mixers	245
9.6.1/2	Route to Market : Kitchen Taps & Mixers	246
9.6.3/4	Consolidated View : Kitchen Taps & Mixers	247
9.7	Market Revision : Kitchen Taps & Mixers	248

Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 66 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (1)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

For further information, please contact us:

BRG Building Solutions
CP House
97-107 Uxbridge Road
Ealing, London, W5 5TL
United Kingdom

Website: www.brgbuildingsolutions.com
Email: europe@brgbuildingsolutions.com

FRANCE

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

France, officially the French Republic, is the largest country in Western Europe, with a metropolitan area of 551,500 square kilometres (342,686 square miles). It shares borders with Belgium, Luxembourg, Germany, Switzerland, Italy, Monaco, Spain and Andorra. In the country, metropolitan France is sometimes referred to as the 'Hexagon' because of its six-sided shape.

Topographically and climatically, France is a temperate country, but wide regional contrasts exist. It is also favourably placed geographically, occupying a pivotal location within the European Community. Since 1 January 2016, metropolitan France has been administratively divided into 13 regions, including Corsica (previously 22 regions), and subdivided into 96 departments, along with five overseas regions (DROM): Guadeloupe, Martinique, Guyane (French Guiana), Réunion and Mayotte, which have the same status as metropolitan regions. The French Republic also includes five overseas local administrative governments (COMs): French Polynesia, Saint-Barthélemy, Saint-Martin, Saint-Pierre and Miquelon, and Wallis and Futuna. The French Republic is further made up of one special local administrative government, New Caledonia (the administrative status of which differs slightly from other COM areas), and one overseas territory called the French Southern and Antarctic Lands.

France is the second-most populated country in the EU, after Germany. The evolution of the average age of the population, and to a lesser extent lifestyle changes, has had an impact on the total number of households living within the *Hexagon*. Indeed, the growth of the French population is naturally leading to an increase in the number of households. In addition, traditional ways of living, which have changed rapidly over the past few years, are progressively abandoned in favour of cohabitation (*unions libres*).

French is the official and most predominantly spoken language of France, and is also one of the 24 official working languages of the European Union. French is the only official language of the country, according to the second article of the Constitution of 1958. Some regional languages, including German dialects (Alsatian), Celtic languages (Breton) and Gallo-Romance languages (Langues d'Oïl and Occitan), are also spoken to varying degrees as secondary languages, but most of those who speak minority languages also speak French. A recent revision of the Constitution of 1958 officialised the recognition of regional languages, and Parliament implemented this revision in July 2008. Finally, an important number of immigrant languages are widely spoken in France, with Maghrebi Arabic being currently the most common second language in the country, followed by Berber, Italian and Portuguese.

Macroeconomic Overview

The French economy was heavily affected by the COVID-19 crisis in 2020. According to INSEE (National Institute of Statistics and Economic Studies), the GDP in volume was down by 1.4% in Q4 2020, after a rebound of 18.5% in Q3 2020. The fourth quarter was impacted by the second lockdown and curfew measures. Overall in 2020, GDP plunged by 8.2%, after a 1.5% increase in 2019.

In Q4 2020, household consumption dropped by 5.4% (after a rebound of 18.1% in Q3). International trade increased in Q4, both for imports and exports. It kept on the positive trend seen in Q3.

In line with the overall economy, the total production of goods and services declined strongly in 2020 in comparison with 2019. All segments were affected, including manufactured goods, construction and services. Only food consumption increased, as it remained the only open sector of activity during the year.

In Q4 2020, the unemployment rate continued on the ongoing decreasing that started in 2016. However, the statistics office warns to be careful with this figure, as the effects of the COVID-19 crisis are not all yet taken into account. All employment specialists say the rate will have soared in 2020. Massive lay-off plans are being made in the country, with all types of company sizes being affected.

Since the beginning of the financial crisis in 2008, France has reduced its deficit more slowly than the rest of the Eurozone area, which has resulted in diverging debt developments. According to the European Commission, the Council reviewed its decision of April 2009 concerning the excessive deficit in France. The procedure was closed in June 2018, guaranteeing the reduction of the French deficit to below the European Union's 3% of GDP reference value (France's general government deficit was estimated at 2.6% of GDP in 2017 and 3.4% in 2016). Only one member of the European Union (Spain) remains subject to the procedure for now, even though 24 member states were subject to an excessive deficit procedure after the Euro crisis in 2010-11. The ratio of the French gross government debt to GDP reached 98.4% in 2018 and 98.9% in 2019 (latest figure available in March 2021).

The COVID-19 pandemic makes it especially challenging to forecast the economic impact in France and, furthermore, worldwide. The largest public health crisis in living memory generated a major economic crisis, with a collapse in consumption confidence and stock exchanges due to the rising uncertainty for the future. France entered a complete lockdown in mid-March 2020, before exiting it in May and returning to lockdown at the end of October until mid-December. The second lockdown was not as strict as the first one, as schools remained open and people were encouraged to keep working. Only cafes, restaurants and cultural activities remained closed, and still were at the time of publication. In April 2021, France was under its third lockdown, with limited moves across regions and a 7pm curfew. The government is, however, encouraging businesses to run as usual, even though non-essential shops are still closed and people are asked to work from home as

much as possible.

According to EUROCONSTRUCT, the €100 billion recovery plan announced by the government should stimulate the economy in the short term. The major risk lies in the potential massive business failures over the next few months as the debt and unemployment rates rise sharply.

Residential Construction

New Housing

All data related to construction starts published from the French government come from an econometric model. All building start data are now estimated, using the number of building permits and some specific econometric parameters. An annual survey will also be carried out once a year to adjust the results. For BRG, there is a possibility that in the future the number of building permits and, therefore, the number of building completions may not reflect the exact reality of the construction market in France – but such data are the only information available.

Even though loan rates have stabilised, the loan environment remains favourable to the real estate market. According to the *Notaires de France* (French Notaries), the average interest rate on new home loans remains at a low level and prices have increased moderately. The government restructured the social housing scheme (*HLM - habitation à loyer modéré*) with the ELAN law. Both the social housing plan and energy renovation plans have suffered from a reduction in budget, and this should push down the residential real estate market. The social housing plan encourages sales of properties at the expense of new construction. Landlords should tend to postpone investment in France, due to the uncertainty of the plan, in the future.

The number of flats and houses completed recorded a decrease in 2020. Total completions are set to decline strongly in 2021, due to the COVID-19 pandemic. The construction industry has slowed down significantly during the pandemic. Representing 6% of GDP in France, the construction sector has been heavily impacted. In Q2 2020, the industry lost 32% of its activity and 5% in Q3. The construction sites started to reopen post-lockdown, in May.

Housing RMI

A positive trend has been observed in the RMI sector in recent years, with a slowdown of the growth rate from 2016 to 2018. In 2019, RMI activity in the residential sector recorded a slight increase (according to EUROCONSTRUCT's latest data, published in June 2020). Plus, consumer confidence and an increase of the purchasing power, combined with a sharp increase of real estate transactions, confirmed the good performance of the RMI segment in 2019.

The effects of the COVID-19 pandemic on the RMI segment in 2020 are still unclear. DIY stores and installers report having recorded an excellent year, as

people were home and invested in refurbishment works. However, consumer confidence is set to drop, as well as purchasing power, in the near future. This, combined with a few months of drastic slowdown due to the lockdown, could have a negative impact on the renovation sector in France.

Non-Residential Construction

New non-residential building activity dropped in 2015 and 2016, to rebound in 2017 and remain positive until 2019. According to the data published by EUROCONSTRUCT in November 2019, non-residential construction activity is estimated to have continued its growth in 2019, but recorded a weaker growth in comparison to 2018.

Renovation activity rebounded slightly in 2019 in comparison to 2018. However, the expected increase in the price of energy and the ELAN law voted on in 2018 should encourage the commitment towards the improvement of energy consumption. In fact, the law requires a reduction by 40% of the energy consumption of buildings by 2030, in comparison to the level reached in 1990.

In the November 2020 edition of the EUROCONSTRUCT report, expectations for non-housing construction are rather pessimistic. Many projects were halted, delayed or stopped in 2020 due to COVID-19, and it should take some time to get back to normal levels of activity. In 2020, in order to revive the economy, the government set up a two-year plan of €100 billion, of which only €4 billion is dedicated to non-residential buildings and focused on public building energy improvements.

II.2 Key Figures

FR - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

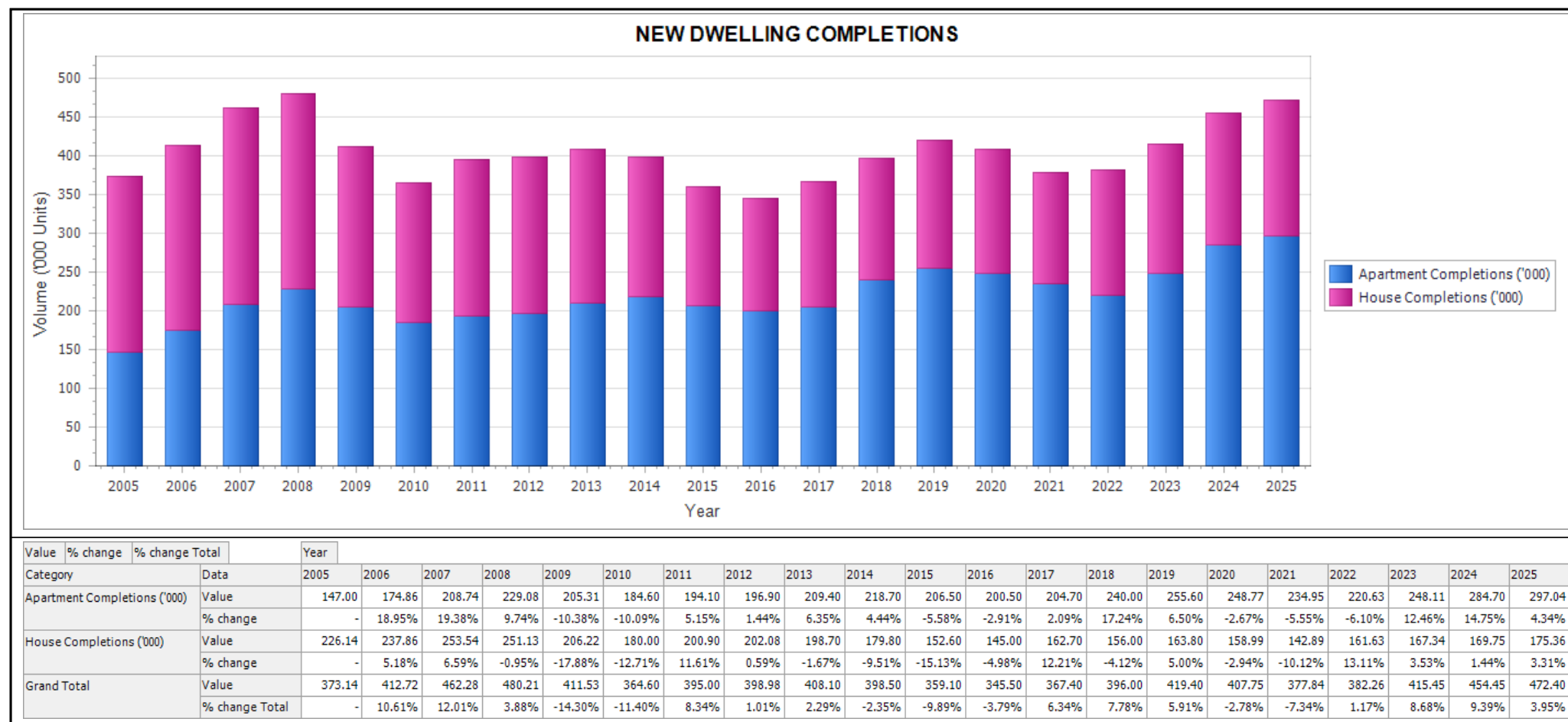
FR - MACROECONOMIC KEY INDICATORS

Value	Year																				
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Consumer Price Index(% change)	1.73	1.68	2.79	1.16	0.99	1.99	2.65	1.51	0.84	0.10	0.29	0.81	1.23	1.87	1.59	- 0.14	1.28	1.44	1.27	1.60	1.51
GDP (% change)	1.66	2.45	2.43	0.26	- 2.87	1.95	2.19	0.31	0.58	0.96	1.11	1.10	2.29	1.87	1.49	- 8.23	5.81	4.22	1.71	1.48	1.36
Government Balance (% of GDP)	- 3.36	- 2.44	- 2.64	- 3.26	- 7.18	- 6.89	- 5.16	- 4.98	- 4.08	- 3.91	- 3.63	- 3.61	- 2.93	- 2.27	- 3.00	- 9.90	- 7.16	- 4.44	- 3.82	- 3.57	- 3.46
Household Saving Rate (% of Disposable Income)	8.50	9.05	9.43	9.25	10.59	10.45	9.94	10.00	8.52	8.86	8.40	8.18	8.47	8.69	8.62	8.55	0.00	0.00	0.00	0.00	0.00
Private Consumption (% change)	2.41	2.14	2.64	0.52	0.30	1.88	0.62	- 0.42	0.51	0.82	1.48	1.78	1.48	0.90	1.51	- 7.22	0.00	0.00	0.00	0.00	0.00
Unemployment Rate(%)	8.89	8.83	7.98	7.46	9.08	9.25	9.20	9.77	10.30	10.28	10.37	10.04	9.43	9.03	8.47	8.18	9.14	9.16	8.90	8.70	8.54

Source : IMF and OECD. N.B. Household Saving Rate and Private Consumption not Available for all Forecast Years

II.4 New Dwelling Construction

FR - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

II.5 Dwelling Stock by Type and Tenure
FR - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2020
Dwelling Stock by Type	Apartments (%)	43.34
	Apartments ('000)	16 035.00
	Houses : Rural (%)	24.54
	Houses : Rural ('000)	9 080.00
	Houses : Urban (%)	32.12
	Houses : Urban ('000)	11 882.00
Dwelling Stock by Tenure	Primary Owned (%)	47.13
	Primary Owned ('000)	17 435.00
	Primary Rented : Private (%)	18.90
	Primary Rented : Private ('000)	6 991.00
	Primary Rented : Public (%)	15.63
	Primary Rented : Public ('000)	5 782.00
	Secondary (%)	9.83
	Secondary ('000)	3 635.00
	Vacant (%)	8.53
	Vacant ('000)	3 154.00

Source: BRG based on Country Statistics.

FRANCE

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

Bathroom, heating and plumbing product distribution is very much integrated in France, as in most European countries. Major wholesalers, so-called *grossistes sanitaire-chauffage*, and large DIY channels strongly dominate the French distribution market for bathroom products. The wholesale channel tends to be favoured by bathroom manufacturers to distribute their products, and by French plumbers and installers to purchase them. On the other hand, the DIY channel also holds a key position on the French market, since French consumers are believed to be price-oriented and, therefore, looking for low-priced products. Leading bathroom brands have since built key distribution partnerships with leading DIY retailers (such as IDEAL STANDARD and KOHLER with LEROY MERLIN) in order to take advantage of consumers' preference for this channel. Most bathroom product manufacturers are believed to distribute their stocks through the wholesale and DIY channels, rather than employ multi-channel strategies. However, many of them, especially in 2020, started to employ a multi-channel strategy by adding online sales to traditional channels. Nevertheless, to implement such a strategy, manufacturers adopt a coherent price policy to satisfy their different partners. The bathroom wholesale and DIY industry has witnessed in the last few years a trend towards increasing concentration, whether through acquisitions or in the form of strategic groupings. As an example of many, POMPAC DEVELOPPEMENT, known as ESPACE AUBADE and belonging to GC-GRUPPE, acquired in 2020 the heating and bathroom activities of NICODEME. This acquisition did not include steel activities though. NICODEME AUBADE, the name of the newly incorporated company, should help POMPAC DEVELOPPEMENT to strengthen its presence in some French regions such as Hauts-de-France and the departments of Aisne, Somme, Pas-de-Calais, Oise and Nord.

Distribution in the French bathroom market has been influenced by new trends in the last few years. The decreasing retail prices of home products, partly because these or their components are predominantly manufactured in Asia, have enticed consumers to improve the comfort of their homes. Moreover, positive momentum in construction activity has favoured DIY sales. However, demand has become more complex as consumers have turned into 'hyper consumers'. The variety of consumer needs and motivations has led to a growing inefficiency of mass marketing techniques.

The dominance of wholesalers and DIY retailers on the French bathroom market has led the distribution of bathroom products to primarily follow a 'three-or-more step' distribution chain that comprises both sales from manufacturers/importers to specialist wholesalers, and sales from manufacturers/importers to wholesalers, which then supply DIY stores. The distribution from manufacturers/importers directly to DIY stores is generally believed to be marginal on the French distribution market for bathroom products.

Due to the overall importance of the wholesale and DIY channels, direct sales of bathroom products (from manufacturers to installers) remain at a low level. The proportion of direct supply has in fact decreased over the last few decades, and mainly comprises small, specialist manufacturers that concentrate on working directly with customers to produce bespoke solutions or artisan products to order. Certain manufacturers also supply products directly to hypermarkets, although this practice remains marginal.

In addition, during the previous decade the development of e-commerce in the French bathroom market was following a slow, positive trend, even though it provided greater access to products and solutions via various diverse channels. However, in 2020, French e-commerce increased above expectations, accelerated by COVID-19 and the closure of stores. Yet BRG assumes that the growth of e-commerce should follow a normal pattern after COVID-19, because in France the internet is increasingly used as a research tool for consumers rather than for purchasing directly – even if there is a real development of online sales.

Wholesale Level

The wholesale trade is considered to be the key segment for the French bathroom product distribution sector, and is dominated by several key players. Firstly, the wholesale trade comprises heating and plumbing generalists. This category is made up of a number of different types of organisations, including large specialist integrated national or multiregional chains such as CEDEO, COMAFRANC, and RICHARDSON; buying groups (*groupement d'achats*), which are voluntary groupings of independent companies (GAPSA, RESIA, and SOCODA); and smaller independent wholesalers, either local or regional. These merchants distribute all types of bathroom products. At the end of 2020, BROSSETTE closed its branch in France and its points of sales became under the CEDEO brand. The reason behind this is explained by the fact that DISTRIBUTION SANITAIRE CHAUFFGE (DSC) favoured CEDEO as a single sales force to respond to its concerns for simplification. DSC, a subsidiary of SAINT-GOBAIN DISTRIBUTION BATIMENT, believed that CEDEO and BROSSETTE were doing the same thing and, by capitalising on one strong brand, efforts should not be dispersed.

The second main wholesaler chains present on the French distribution market are the mixed and heavyside builders' merchants such as BIGMAT, POINT P, GROUPE SOCODA, MC DISTRIBUTION, NEBOPAN, TOUT FAIRE MATERIAUX, and HERIGE (previously VM MATERIAUX).

Furthermore, in their attempts to follow the development of other distribution channels and to respond to the French consumers' needs, bathroom wholesalers found an urge to accelerate the businesses of their customers. CEDEO, for example, created a service platform and announced its commitment to CSR (corporate social responsibility), in which the origin of products will be questioned. This strategy and promise were reinforced by COVID-19, whereby wholesalers found themselves responsible for building the better world.

As previously mentioned, the bathroom wholesale industry in France witnessed a trend towards increasing concentration, whether through acquisitions or in the form of strategic groupings. This dynamic concentration contributed to strengthen the buying groups. Made up of independent distributors, these buying groups have demonstrated more flexibility and reactivity than traditional players. In November 2020, for instance, negotiations started between SAINT-GOBAIN and MUTARES to sell LAPEYRE LA MAISON. The latter started to lose its identity in 2002, after its merge with GME. According to ENTREPRENDRE.FR, MUTARES, the German company known for buying companies with financial difficulties, is present now in five European countries and has already acquired and supported more than 18 companies – with a turnover in 2020 of 1.8 billion euros.

Finally, the distribution of bathroom products within the French wholesale channel tends to follow traditional routes, with the leading wholesalers selling through stores and showrooms. For example, baths are mainly distributed through wholesalers as the main market leaders, such as KALDEWI, JACOB DELAFON, BETTE, and DURAVIT, sell exclusively through this line of distribution.

Nevertheless, lately, and especially in 2020, a greater number of wholesalers have established web shops, or offered their products through recognised online retailers.

Retail Level

DIY Retailers

Unlike some other distribution channels, the DIY sector has taken advantage of COVID-19. This channel recorded an increase in its turnover during 2020, despite two lockdown periods. For example, LEROY MERLIN and CASTORAMA, the leading players in the DIY segment, recorded an exceptional increase in their turnover in 2020, thanks to online sales.

French consumers flocked to DIY stores whenever they could, taking advantage of delivery and click-and-collect options they had. In fact, their desire to arrange their living spaces and improve outdoor spaces carried this sector during the pandemic.

CASTORAMA and BRICO DEPOT, the two French brands of the group KINGFISHER, found their way back to growth in 2020. The positive performance of KINGFISHER is due to its commercial reorganisation. Its strategy consists of efficiency at the supply chain level, combined with the introduction of ranges and brands that are attached to the French market. In addition, the development of services such as NeedHelp and DIFM (Do-It-For-Me) also contributed to this growth.

With the growing competition, KINGFISHER is considering new formats, more precisely 'expert formats' of 380 m². The first testing store of this resizing strategy is in the heart of Lille and opens seven days a week. Likewise, MR BRICOLAGE,

the specialist in independent French local DIY retail (also present in nine countries, with a total of 855 stores), worked to become one of the main leaders in proximity stores by developing new store formats, new concepts and a digital identity.

WELDOM, on the other hand, in its attempt to lead the local DIY market by 2025, introduced three new committees to its business structure: one that drives its strategy and follows the implementation, one that coordinates between a brand and its franchisees to ensure a quick flow at the projects' level, and finally a committee that coordinates the three-year plan of the company.

Specialist/Other Retailers

In 2020, the overall performance of specialists suffered from a limited decline, linked to market problems in supply and distribution.

While most bathroom products, such as baths and shower trays, sanitary ware, and taps and mixers, tend to be sold to installers via merchants, wholesalers and occasionally DIY retailers, discretionary products such as bathroom accessories and furniture are typically purchased directly by consumers, who source products from specialist retailers in addition to DIY and online stores.

Specialist retailers include bathroom and kitchen specialists, as well as equipment specialists such as BUT, CONFORAMA, and LECLERC MEUBLES. IKEA is also considered to be a specialist retailer for the bathroom market, due to its dominating presence in the bathroom furniture, bathroom and shower accessories markets. It opened its 34th store in France in 2019 and remains the leader in the furniture market, followed by CONFORAMA and BUT. It offers a wide range of bathroom products such as shower and bathroom accessories and bathroom furniture, sourced from various producers worldwide. As a strongly-growing convenience store offering a whole range of products for the home, it has gained a significant share in the retail market, to the detriment of traditional furniture retailers. Pure specialist retailers and equipment specialists have lost ground against other types of distribution channels.

Internet Retailers

COVID-19 has affected the retail industry across the world, and has had a massive impact on France. However, e-commerce, or internet sales, is one of the sectors to have witnessed a dynamic consumer interaction. As nationwide lockdown rules were issued and non-essential shops were closed, e-commerce became the new method as a way of adaptation of businesses to respond to consumer priorities. France is an essential market for e-commerce, though at a lower level compared to other European countries in terms of average expenditure and percentage of e-commerce consumers.

In fact, e-commerce, increased in 2020. This growth reflects the boundaries between the physical world and the virtual world. CDiscount.COM showed, for instance, a great performance in the year, ranking second in the top e-commerce

sites and brands in the bathroom sector (mainly the furniture sector). Seeking to occupy all the territories of the house, CDISCOUNT.COM was in the second position on GOOGLE (for 35 keywords out of 108), while LEROYMERLIN.FR was in first place (44 keywords out of 108). On the other hand, AMAZON.FR and RUEDUCOMMERCE.FR maintained their positions better than AUCHAN.FR and VENTE-UNIQUE.COM.

Based on industry feedback, the share of the internet market in DIY product sales increased in 2020, and accounts for a considerable percentage of the total DIY market. Sales volume, however, differs from one category of products to another. Products like baths, shower trays and ceramic sanitary ware see a much lower proportion of sales through the internet channel than other products, due to their costly transportation and the complexity of their installation. However, bathroom furniture, bathroom accessories, shower accessories and even taps and mixers are cheaper in terms of transport and are easier to install (either by consumers themselves or by a hired installer). Indeed, taps and mixers are increasingly offered online, and they accounted for at least twice as much share as any other category of product in 2020.

The French market has also witnessed the entrance of a new player in this market. At the beginning of 2020, REUTER, the German pure player in business to consumer, entered the French market (in Hauts-de-Seine), demonstrating the attractiveness of the market. REUTER, a specialist in bathroom products, opened its French branch and aims to provide the best quality, price and service ratio to the French consumer.

Finally, BRG does not believe that the internet should represent a major danger to the distribution channels of bathroom products in France, as it is predominantly used as a tool to compare the prices and offers of the various players. However, the share of e-commerce is expected to grow exponentially in the future, especially for small and easy-to-install products.

III.2 Summary of Leading Distributors
FR - SUMMARY OF LEADING DISTRIBUTORS

Holding Company	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)												
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other	
								Total	Heat	Bath	Plumbing	Vent/Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify
ALGOREL	ALGOREL	Buying Group	Buying Group	2020	2 000.0	760	National	73%	38%	26%	-	9%	-	-	-	-	-	-	27%	Electrical, Others
ADDOK	GROUPE SOCODA	Buying Group	Buying Group	2019	14.4	925	National	6%	3%	1%	1%	1%	-	4%	2%		2%	-	90%	Electrical and Decoration
ADEO	LEROY MERLIN	DIY Retailer	DIY Assortment	2019	5 972.5	142	International	38%	13%	15%	3%	5%	2%	50%	33%	6%	6%	5%	12%	Electrical, outdoor, tools and supplies
KINGFISCHER	CASTORAMA	DIY Retailer	DIY Assortment	2020	5 000.0	103	International	30%	5%	8%	3%	10%	4%	60%	55%	-	5%	-	10%	Outdoor, tools and supplies
KINGFISCHER	BRICO DEPOT	DIY Retailer	DIY Assortment	2020	2 650.0	114	International	20%	8%	5%	1%	4%	2%	75%	31%	39%	6%	-	5%	Outdoor
ITM ENTREPRISES	BRICOMARCHE / BRICOCASH	DIY Retailer	DIY Assortment	2019	182.0	501	International	10%	4%	3%	-	3%	-	-	-	-	-	-	90%	Hardware, electrical, outdoor and decoration
GROUPE MR BRICOLAGE	MR BRICOLAGE / LES BRICONAUTES	DIY Retailer	DIY Assortment	2020	378.6	282	International	15%	2%	10%	-	3%	-	-	-	-	-	-	85%	Hardware, electrical, outdoor and decoration.
BRICORAMA	BRICORAMA SA	DIY Retailer	DIY Assortment	2019	407.1	167	International	14%	5%	3%	-	4%	2%	12%	-	7%	2%	3%	74%	Decoration 26%, Outdoor 14%, Electrical 14% & Hardware 20%
SAINT-GOBAIN	ST GOBAIN DISTRIBUTION	Mixed merchant	Mixed merchant	2020	39 202.2	1 700	International	15%	10%	2%	-	3%		63%	40%	9%	7%	7%	22%	7% transports, 7% civil engineering and infrastructures, 8% other industries
GROUPE MARTIN BELAYSOUD	TEREVA	Mixed merchant	Mixed merchant	2019	355.6	147	Multiregional	90%	30%	30%	5%	25%		-	-	-	-	-	10%	Electrical, tools and supplies
DESCOURS & CABAUD	DESCOURS & CABAUD	Mixed wholesaler	Mixed merchant	2019	3 900.0	430	International	8%	3%	2%	-	2%	1%	82%	60%	-	12%	10%	10%	Industrial, tools and supplies, outdoor
RICHARDSON	RICHARDSON	Specialist Wholesaler	Heating, Sanitary/ Plumbing, Tiles & Vent/Air	2019	563.7	172	National	100%	39%	27%	-	25%	9%	-	-	-	-	-	-	

Source: BRG based on company information and industry interviews

x = marginal activity

xx = substantial activity

xxx = core activity

FRANCE

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

During the previous two decades, the French baths market witnessed a shift in consumer behaviour and interests. Sales of shower trays increased, to the detriment of baths sales. The economic instability and the decline of consumer spending confidence had a great impact on the demand for baths. This fall was also caused by the contraction of new housing completions, along with the growing trend towards shower trays.

Most of the bath market is made up of synthetic models, a shift which had historically been made at the expense of steel baths. Sales of synthetic baths benefit from more attractive price levels in the economy price segment when compared to steel material. Also, synthetic baths (specifically acrylic models) have historically been the dominant bath market due to their adaptability to various shapes and sizes, as well as their strong durability when compared to other materials. Cast iron baths represent a niche, and their sales volume represents a minor proportion of the overall French market.

In terms of features, manufacturers made some changes to respond to customer needs and tastes. While baths had previously a size of 170x70 cm, new sizes have adapted to the biological features of people – to now reach a size of 180x80 cm.

On the other hand, shower trays started to gain shares in the French market in 2008, for a simple reason: they are more compact and space-saving. Also, they contribute to the reduction of water consumption, which therefore addresses both economic and environmental requirements. They are also considered as a safe option (greater ease of access) for the increasingly ageing French population. A closer look at the market reveals that sales of ceramic or fired-clay shower trays dominated the shower trays market until 2015. They have been losing shares since the late 2000s, however, to more versatile alternatives in the market. In point of fact, sales of synthetic shower trays have taken over the market since 2016. The expansion and the variety of designs, shapes, sizes and colours (the white colour remains the standard though) has helped the synthetic shower tray market to develop further over the last decade.

Likewise, demand for wet rooms – a tanked bathroom with a shower area on the same level as the rest of the floor – often referred to as *douches à l'Italienne* in French, has also increased to some extent in recent years. This product has gradually gained the attention of an increasing number of consumers, although it is not expected to pose a big threat to the shower or bath market. The cast iron shower tray market, like the cast iron bath one, is a niche market with a very low level of demand.

As to the distribution of sales among different segments, the French bath market, despite its maturity, is still fuelled by sales coming from the new housing sector. However, the market has seen a substitution trend from baths to shower trays in

the replacement segment.

The hydrotherapy market has long been supported by the increasing interest of French consumers in comfort and relaxation, which increased strongly before the start of the economic crisis. However, sales of hydromassage baths started to decline from 2008 onwards, with the first significant decline occurring in 2009. This suggests that the hydromassage baths market reached its peak in 2007, before heavily declining. Hydrotherapy products, nowadays, have difficulties in profiting from the trend of creating and organising bathrooms for comfort and relaxation. This decline in sales rather suggests that consumers have turned their interest to other bathroom products instead, such as showers trays installed with shower pipes or shower heads with multiple functions, for instance. Plus, the expansion of spa and wellness spaces has impacted negatively the preference of individual consumers to install similar products in their households.

Recent Market Trends

In 2020, France was amongst the European countries most affected by COVID-19. The collapse in its domestic consumption and the failure of businesses were clearly translated into a strong recession.

The bathroom sector, like many other sectors, was hit by the pandemic. In fact, the drastic contraction in the RMI segment pushed the shower tray and bath markets downwards. This impact is justified by the fact that the bulk of sales in both markets depends on the output of the RMI segment. However, the bath market still relies on the new housing sector, which, similarly, was harshly impacted by COVID-19. The construction sector, for instance, was negatively affected by the lockdown that lasted for almost two months. Indeed, during this period construction sites were closed. And even after the lockdown, companies opened their construction sites for limited working hours only, to ensure the safety of their workers.

The demand for cast iron baths continued to decrease. Being relegated to a niche share in the new housing segment, they are mainly used as a decorative option for free-standing baths. They were the type of bath most impacted by the decline in the new housing segment. Sales of steel baths also decreased, but at a slower pace than cast iron baths. After two years of recovery, demand for steel baths was pushed downwards by the decrease in both the new housing and RMI segments. Sales of synthetic baths have continued to comprise the bulk of bath sales in France. In 2020, the demand for synthetic baths decreased, mostly pressured by the contraction of installations in the non-housing and RMI segments. In a similar manner, hydromassage baths continued to lose market share. In 2020, the drastic decrease in sales is mainly explained by a serious decline of demand in both the RMI and non-housing segments.

As for the performance of shower trays in 2020, the market for synthetic shower trays maintained its growth and continued to account for the bulk of the shower trays market. However, the COVID-19 crisis decelerated the growth of this market, mainly because of the decline in installations in the non-housing segment.

However, sales of synthetic shower trays were driven by a small positive growth in both the RMI and new housing segments. This growth, though limited, has helped the synthetic shower trays market to survive the pandemic period. On the other hand, sales of other shower trays products have scored negative figures. For instance, sales of ceramic shower trays have decreased. This decrease is, at a certain level, explained by the COVID-19 general effects on the market. However, being a good alternative, synthetic shower trays have gained shares over ceramic shower trays in the RMI segment.

BRG believes that ceramic models are increasingly perceived as outdated, and consumers reportedly favour new materials such as synthetic, mineral cast and solid stone. As a matter of fact, shares of ceramic shower trays have decreased dramatically over the last 15 years, from holding 82% of the market in 2005 to only 29% by 2020, whereas shares of synthetic shower trays increased from 17% to 71% during the same time period.

Steel / cast iron shower trays also had a very difficult year in 2020. Losses were recorded in all segments. This is due to the increased competition, primarily from synthetic trays, along with the decline in the new housing and non-housing projects, whereby some more design-focused hotels continue to appreciate this type of niche product. Rectangular shower trays still represent the majority of sales of shower trays, due to their ease of replacement.

Similarly, sales of non-acrylic shower trays, mostly mineral cast and solid stone, decreased in 2020 after one year of growth. However, negative figures were recorded in the year, mainly due to the economic instability pushing the French consumer towards cheaper options.

As to extra flat shower trays, mainly installed in the new housing segment, they have been expanding significantly during the last few years in France. Shower trays measuring 4 to 5 cm are considered to be a fair trade-off for a wet room. However, despite the clear advantage to disabled people and children, extra flat shower trays suffer from a bad reputation due to poor installations that have led to problems with waterproofing.

Finally, the market for hydromassage baths continued to decline in 2020. The market seems to suffer from a poor image in terms of quality, maintenance and loud noise. In addition, French consumers seem to favour other installations such as shower trays and walk-in showers. Conventional shower and bath technology has improved in recent years and become the first choice for French consumers, since it can provide more features and offers great price variants that satisfy the needs of French households.

Prices and Market Values

All the products within the bath and shower trays market segment, apart from steel baths, increased in terms of pricing in 2020, even though the increase was only moderate. In particular, cast iron baths, which represent just a small niche of the

market, have seen a price increase, mainly due to the upward trend of the raw material iron ore. Steel bath has been the only product for which the price actually decreased in 2020. Synthetic baths prices have experienced a modest growth, which can be connected to the increasing average prices of each material used to make them (acrylic, mineral cast and solid surface). Finally, with regards to the baths market, hydromassage baths have seen a price hike, which in any case should not affect the market volumes as this product is already considered a niche market, with more than half of the total volume sold relying on the upper/luxury segment.

Moving on to the shower trays market, all prices have seen an equivalent increase across the different products. Increased logistics costs and barriers, due to COVID-19 restrictions in place for many months during 2020, have pushed prices up for all models. With regards to synthetic models, the most popular product within the shower trays sector, the change in prices can also be explained by an increase in volume in mineral cast shower trays, which account for the majority of this segment.

New Housing

The construction sector has not been spared by COVID-19. During the first lockdown period imposed by the government, most constructions sites were closed. Even after the end of lockdowns, productivity per hour shrank. The contraction and the delays in completions in the new housing segment had their great impact on sales of baths and shower trays.

When compared to housing RMI sales, sales to the new housing segment come in the second level for the shower trays. The expansion of the overall market hints at the increasing importance of environmentally friendly solutions. This expansion has been accelerated in the last two years with the increase in new construction output. Indeed, sales of baths and shower trays in 2020 within the new housing segment decreased, except for synthetic shower trays. The demand for synthetic models continued to take advantage of their affordable prices and their high degree of personalisation.

Housing RMI

In 2020, this segment performed better than other segments. It clearly drove the market during the pandemic. This is due to the fact that a part of the consumer budget, usually spent on holidays or leisure, was reallocated to renovation works.

However, the French consumer was constrained by the overall economic performance. Indeed, France was among the countries most affected by COVID-19, and suffered from a strong recession in 2020.

The analysis of baths sales in the RMI segment showed a negative trend when compared to 2019. The declining trend confirms, from one side, the economic constraints due to COVID-19, and from the other side, the increasing competition

from shower trays.

In parallel with this declining trend, sales of synthetic baths declined substantially, but they are still the most popular baths as a cheap and flexible option for the French consumer.

The replacement demand for hydromassage baths declined significantly in 2020. In fact, the products had been losing substantial shares in the market for more than 10 years. This type of bath does not fit with the French consumer's lifestyle and small houses. Added to this, the price factor is always important in the French consumer's decision.

In addition, a minor increase (almost static) in the shower trays market was noted in the RMI segment in 2020. This trend was mainly the result of a decline in the sales of both ceramic and steel / cast iron shower trays and a minor increase in sales of synthetic shower trays. Sales of synthetic shower trays, in fact, witnessed a decelerated increase when compared to the previous five years.

Non-Housing

The largest non-housing demand for baths and shower trays in France comes from hotels and other temporary accommodation facilities. Sales to the non-housing sector went down in 2020 for all shower tray markets, pushing the overall non-housing segment down.

As is well known, the French government imposed lockdowns and many restrictions in 2020. The hospitality sector was harshly affected. Travel was banned and hotels, schools and gyms were temporarily closed. Both the bath and shower tray markets followed a downward trend.

Supply Structure

The bath and shower tray industry has been facing major challenges during the last few years: firstly, complex regulations and restrictions primarily connected to sustainability; secondly, the disruptive impact of new technologies; thirdly, strong competition; and finally, growing restrictions on international trade. In 2020 with the COVID-19 crisis, these challenges were strengthened, thus putting more pressure on the manufacturers and suppliers.

The cast iron and steel bath markets are still controlled by a few manufacturers. JACOB DELAFON dominates the niche cast iron market, while ROCA (specialising in the economy/lower price segment), along with KALDEWEI (specialising in the middle/upper price segments) and BETTE (specialising in the upper/luxury price segment), lead the steel baths market.

It is worth mentioning that, after its decision to reduce its presence in the national market and shifting its sales to foreign markets, SMAVIT, the Italian manufacturer, recorded a remarkable growth in 2020 in France.

Also, the extensive experience it has in the market and the growth it achieved over the years helped ROCA maintain its place in the French market in 2020. Moreover, during the last two years the company has expanded its agreements with distributors, enabling them to access special offers. Also, it is amongst the main players leading personal hygiene innovation, one of the factors that put its products in the spotlight and attract more households.

Within the synthetic bath market, the French market is more fragmented. AQUARINE/ALLIBERT remains the main player, closely followed by JACOB DELAFON and DURAVIT. In 2020, ALLIA was phased out in favour of GEBERIT. Following other brands such as POZZI GINORI in Italy, KERAMAG in Germany, and SPHINX in the Netherlands, ALLIA could not survive. According to the group, ALLIA failed on what goes on in the 'design meets function', to which the French public is more sensitive.

The ongoing trend towards showering has brought opportunity for new players to enter the French market during the last few years. The Spanish brand ACQUABELLA, for instance, recorded substantial growth in the shower trays market in 2020. Of significance is the leadership position it created in a short period in the French market. In fact, ACQUABELLA is relatively new in the market and in only a few years it has managed to carve out a significant market share, through competitive prices and innovative products.

Regarding the ceramic shower trays market, it was led historically by GEBERIT through its brand ALLIA. In 2020, sales were shifted to GEBERIT, which consequently became the leader in this product segment.

Forecasts

The bath market is expected to decline in 2021, while the shower trays market is expected to record growth. The construction market is not expected to recover in the year, with more restrictions imposed by the government affecting negatively the new housing and non-housing outputs. However, the personal savings of French consumers should continue to boost sales of synthetic shower trays in the RMI segment.

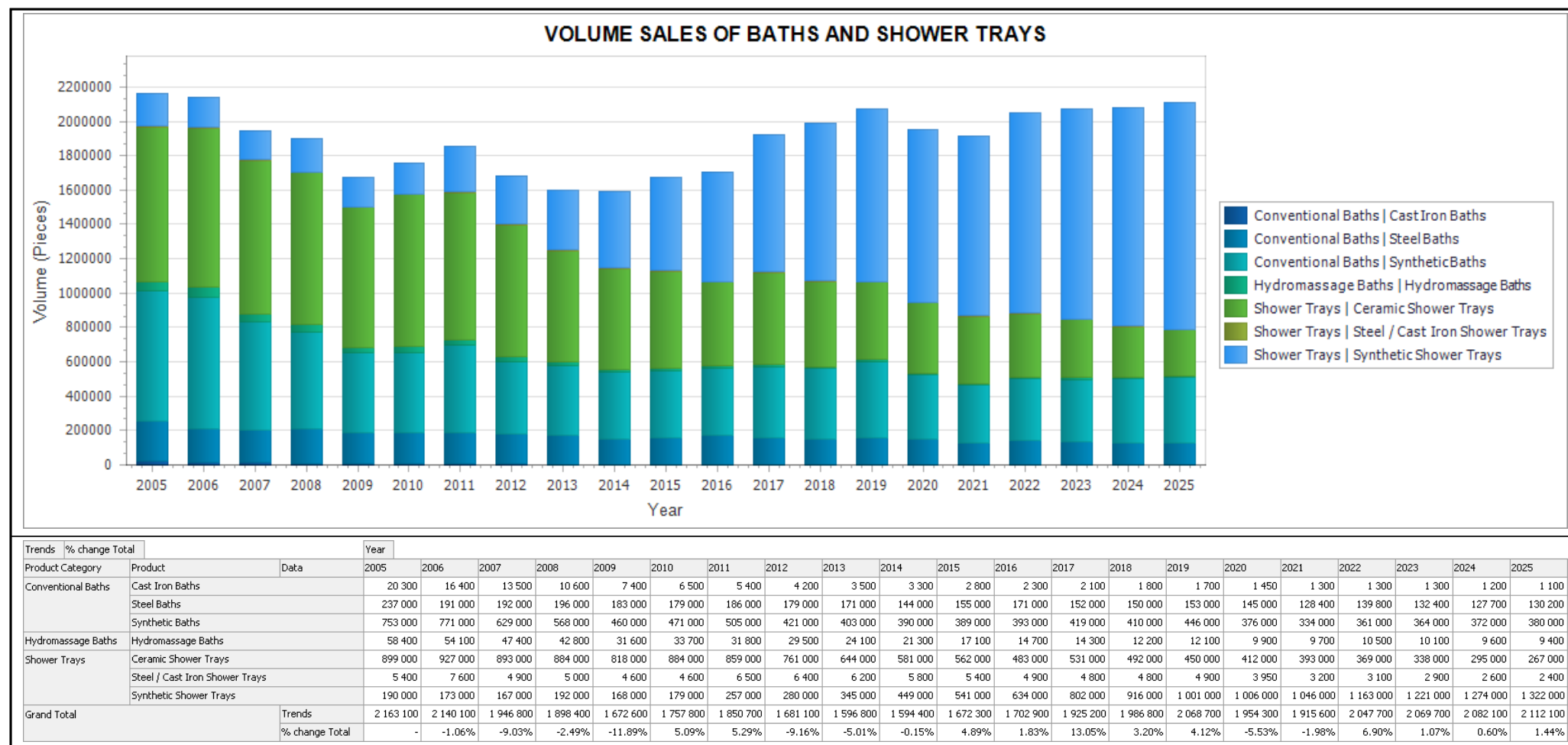
Synthetic baths and shower trays should continue to account for the bulk of the market, while sales of hydromassage baths should continue to experience a negative growth. Hydrotherapy products are currently not very popular in France, often due to higher retail prices and, with the increasing use of shower trays, French households show some resistance to using pure hydrotherapy products – which are perceived as too expensive and not necessary. This trend should remain unchanged during the forecast period.

From 2022 onwards, the overall market should rebound slightly after the pandemic with a return to a normal pace of the construction activity and macroeconomic indicators. In addition, as the bath and shower tray markets are mature and highly

dependent on housing RMI, BRG does not expect any surge in this area. In fact, sales of baths in the RMI segment are expected to decline over the forecast period, reflecting the good performance and preference for showers.

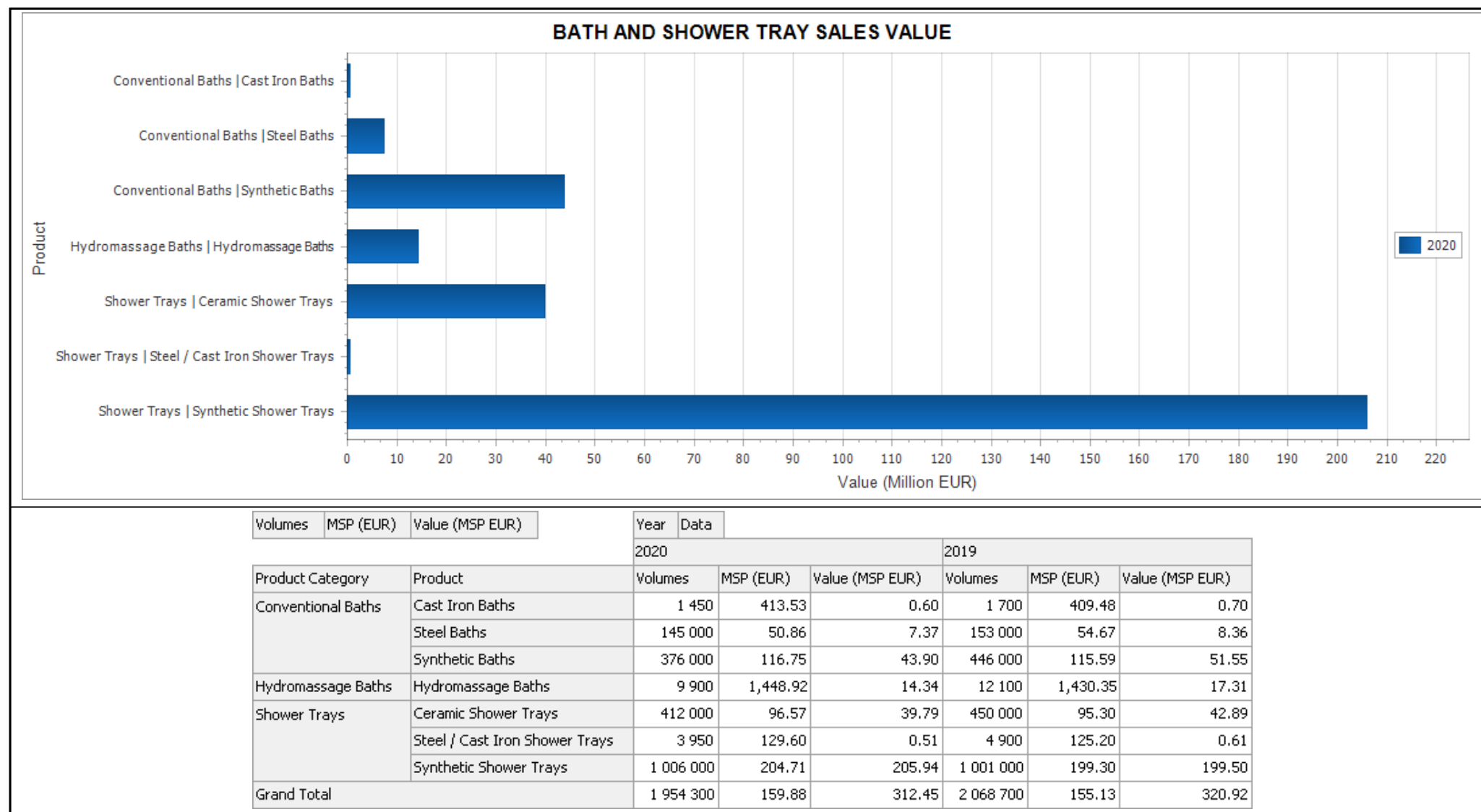
1.2 Historical Trends and Forecasts

FR - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

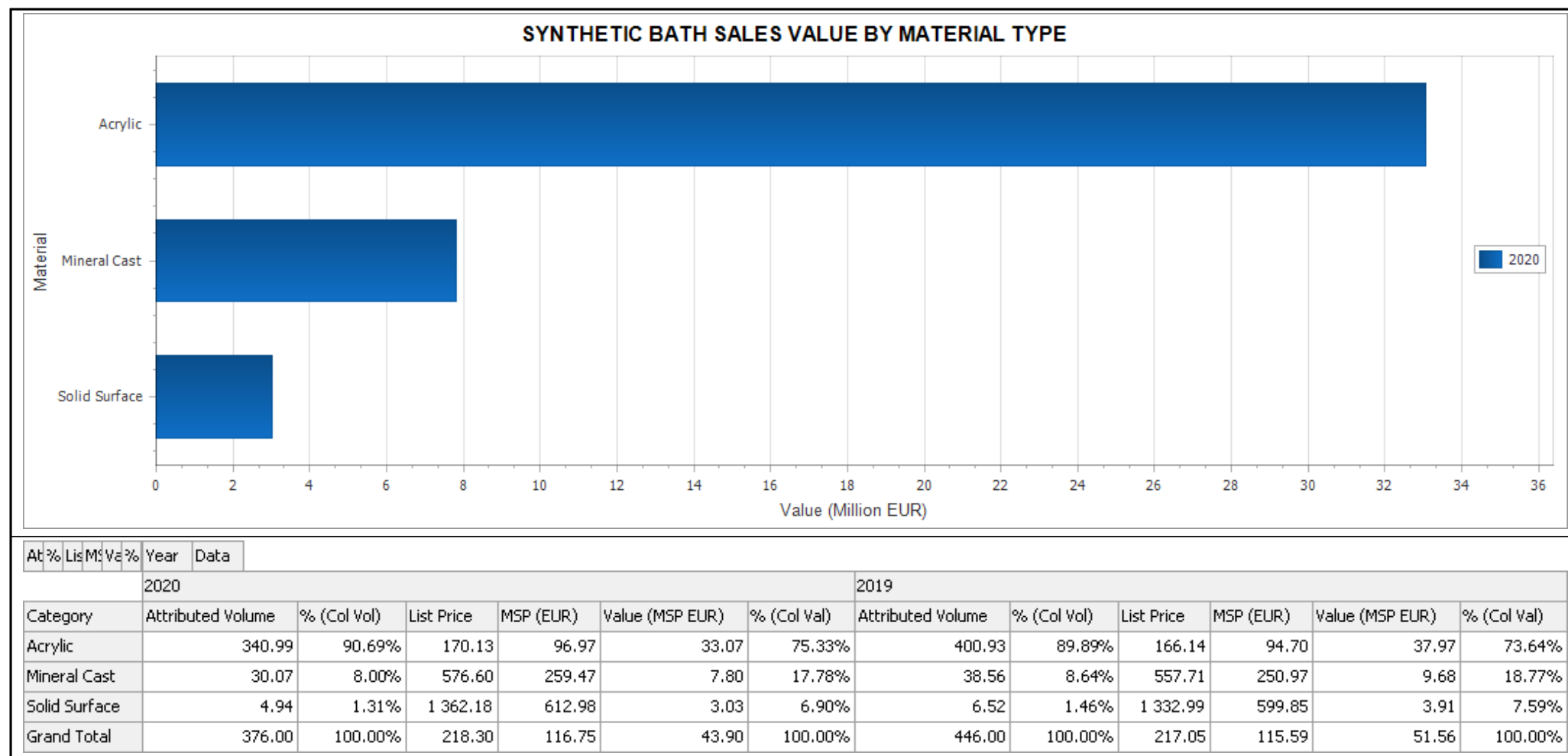
1.3.1 Prices and Market Values : Baths and Shower Trays
FR - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Prices and Market Values : Synthetic Baths

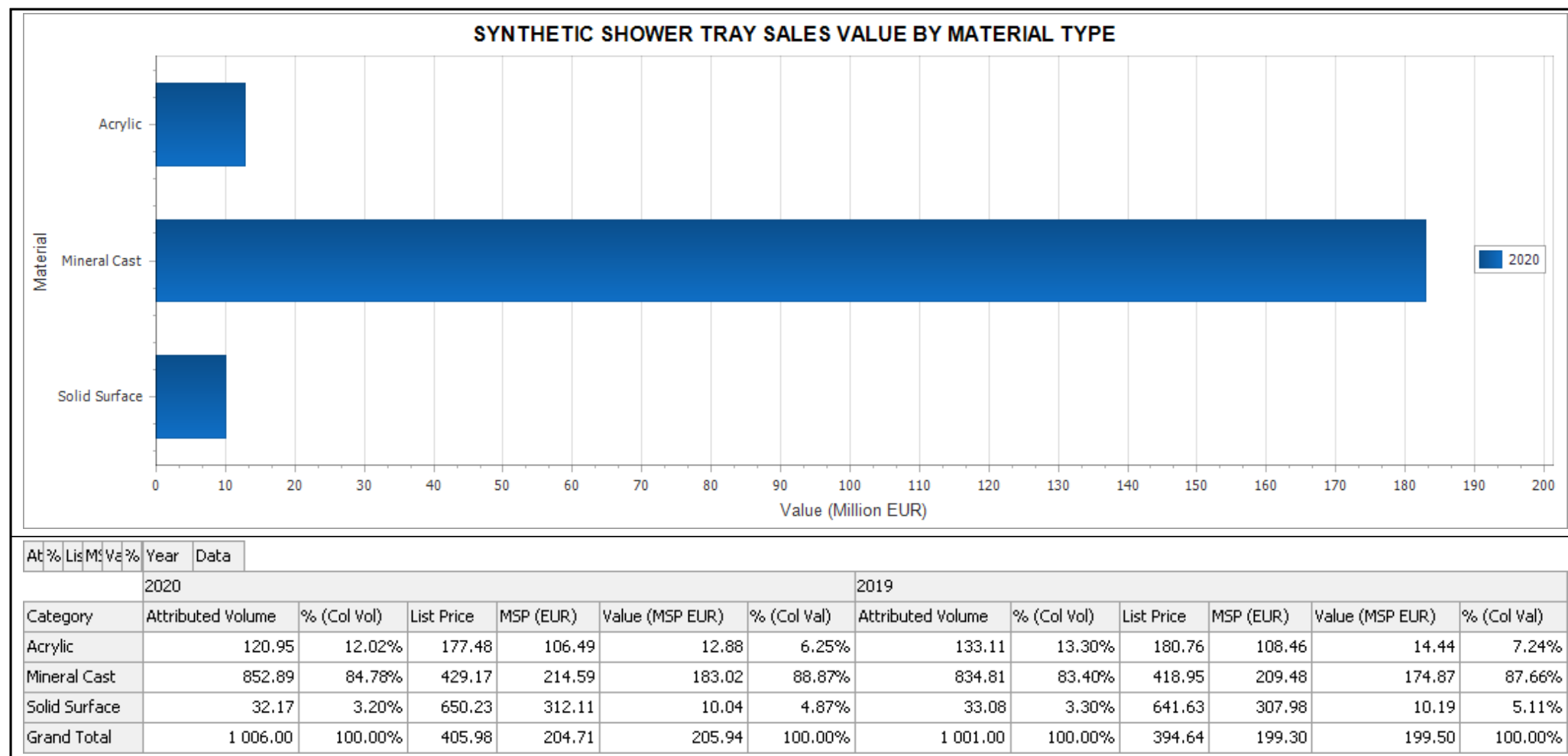
FR - ESTIMATED VALUES OF THE SYNTHETIC BATH MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.3 Prices and Market Values : Synthetic Shower Trays

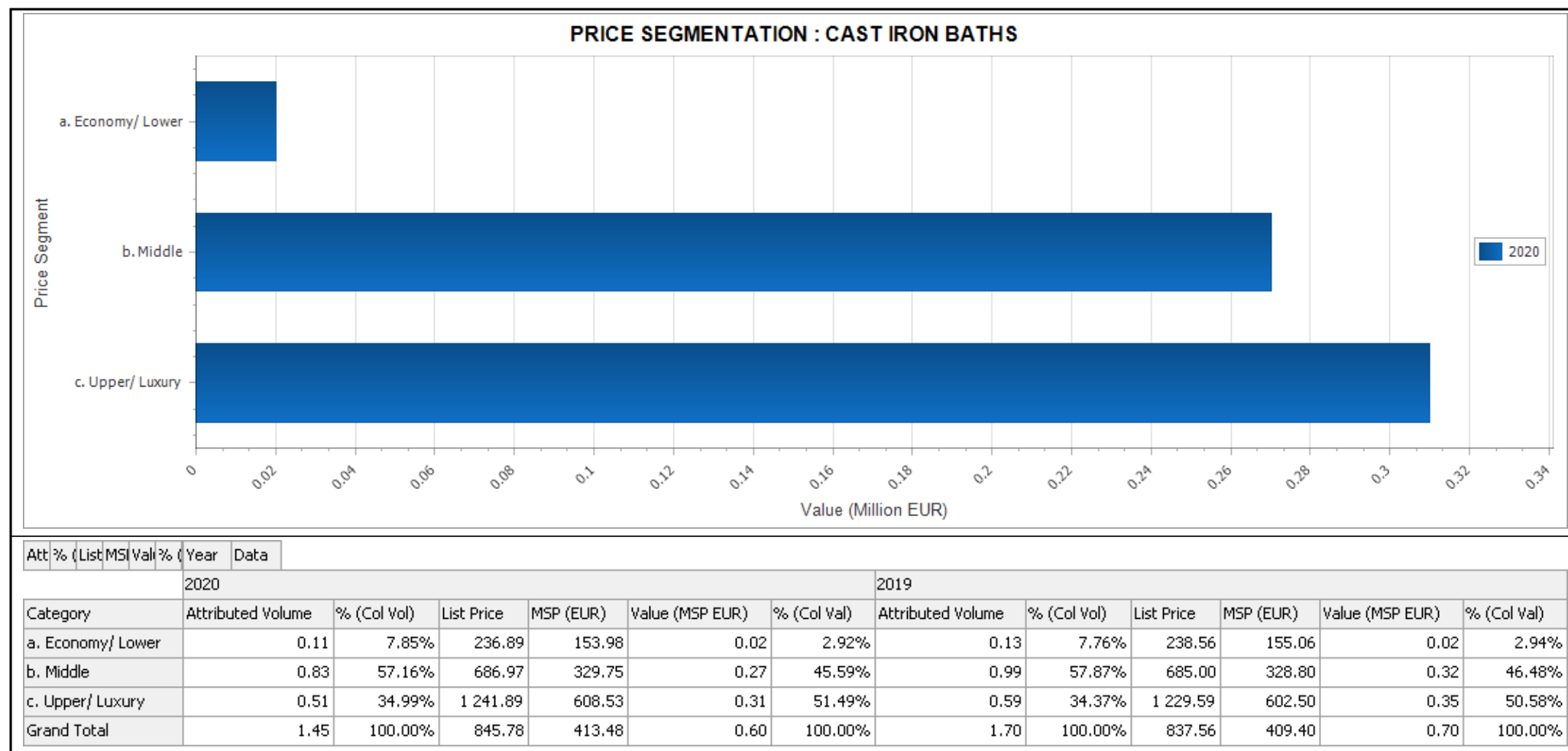
FR - ESTIMATED VALUES OF THE SYNTHETIC SHOWER TRAYS MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.4 Price Segmentation : Cast Iron Baths

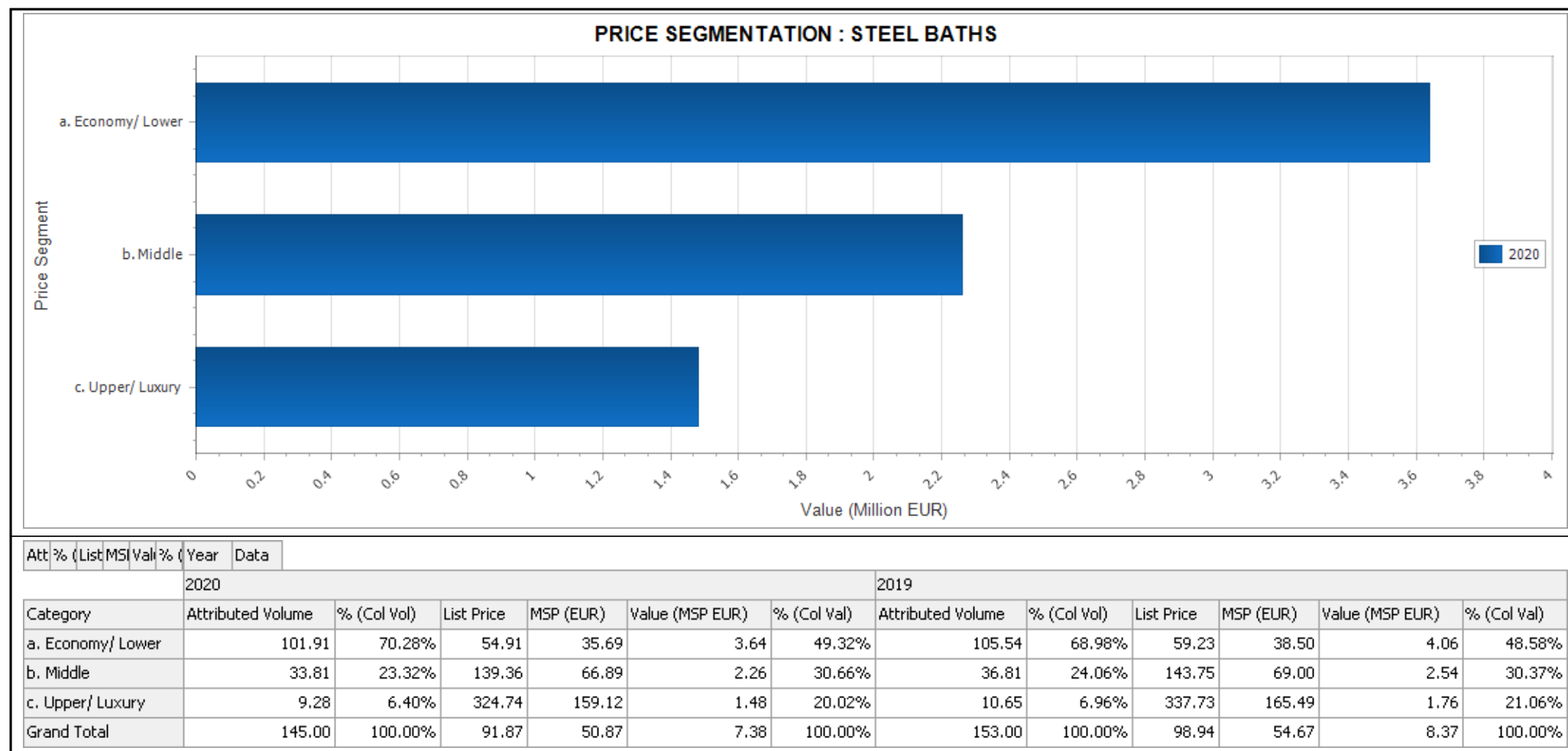
FR - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

1.3.5 Price Segmentation : Steel Baths

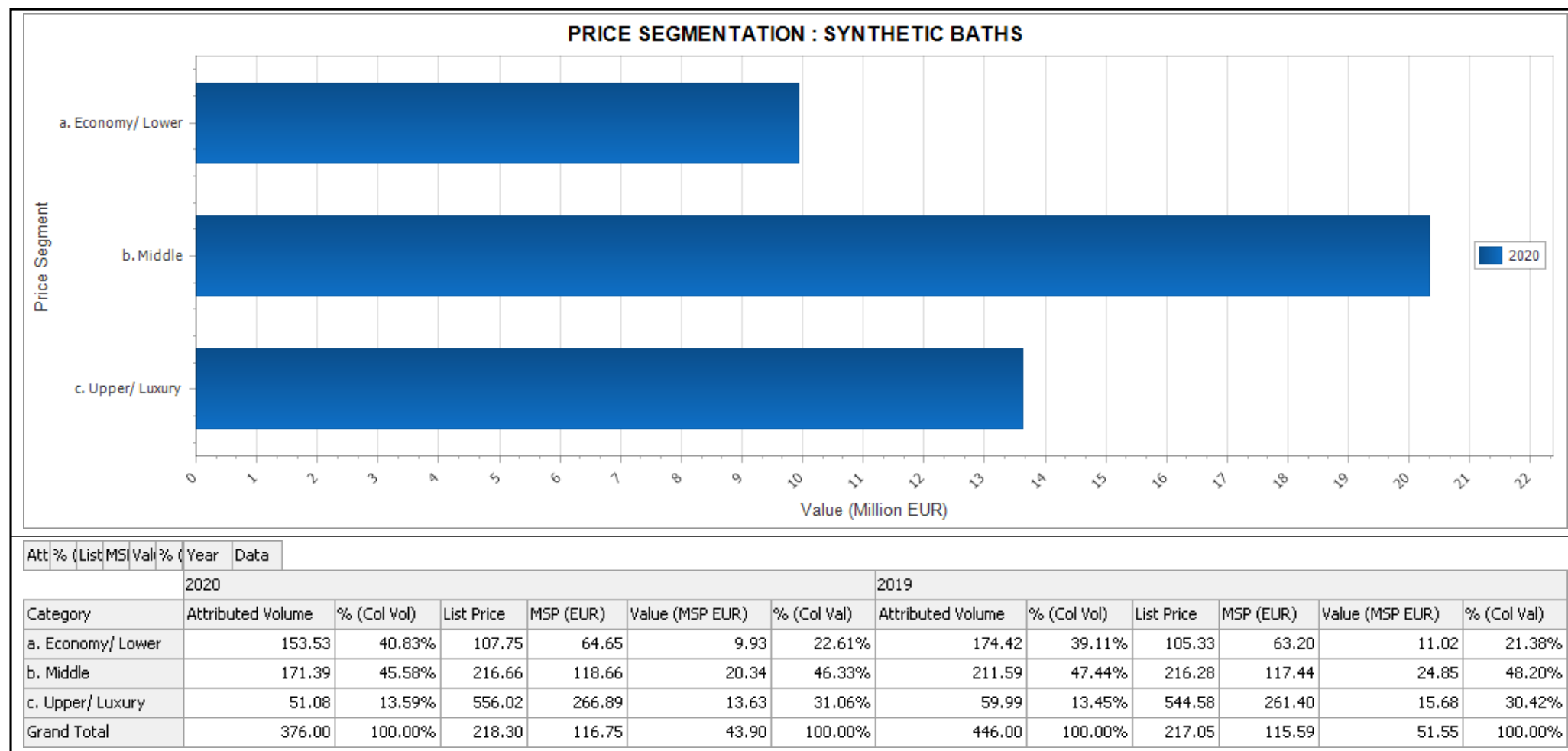
FR - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

1.3.6 Price Segmentation : Synthetic Baths

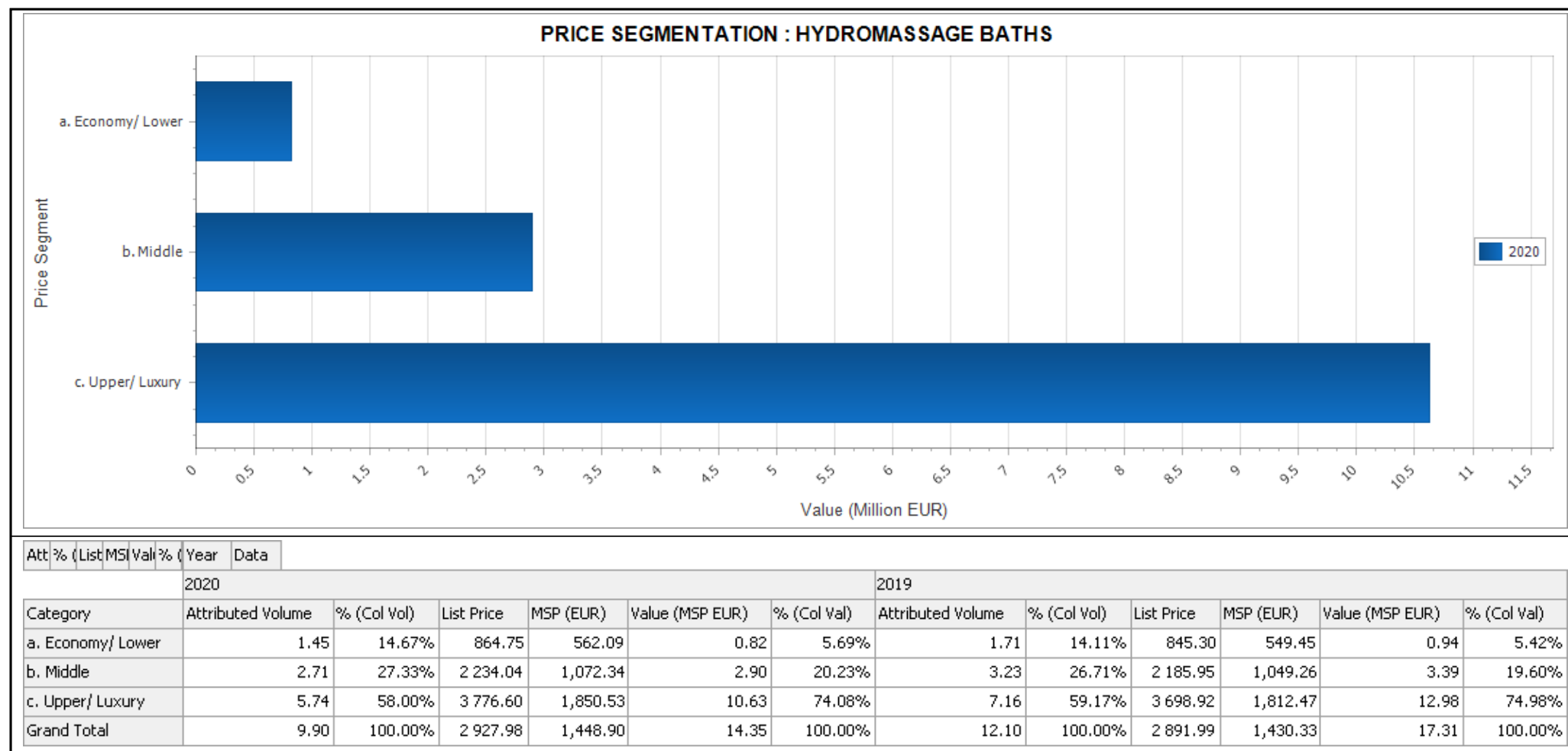
FR - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.3.7 Price Segmentation : Hydromassage Baths

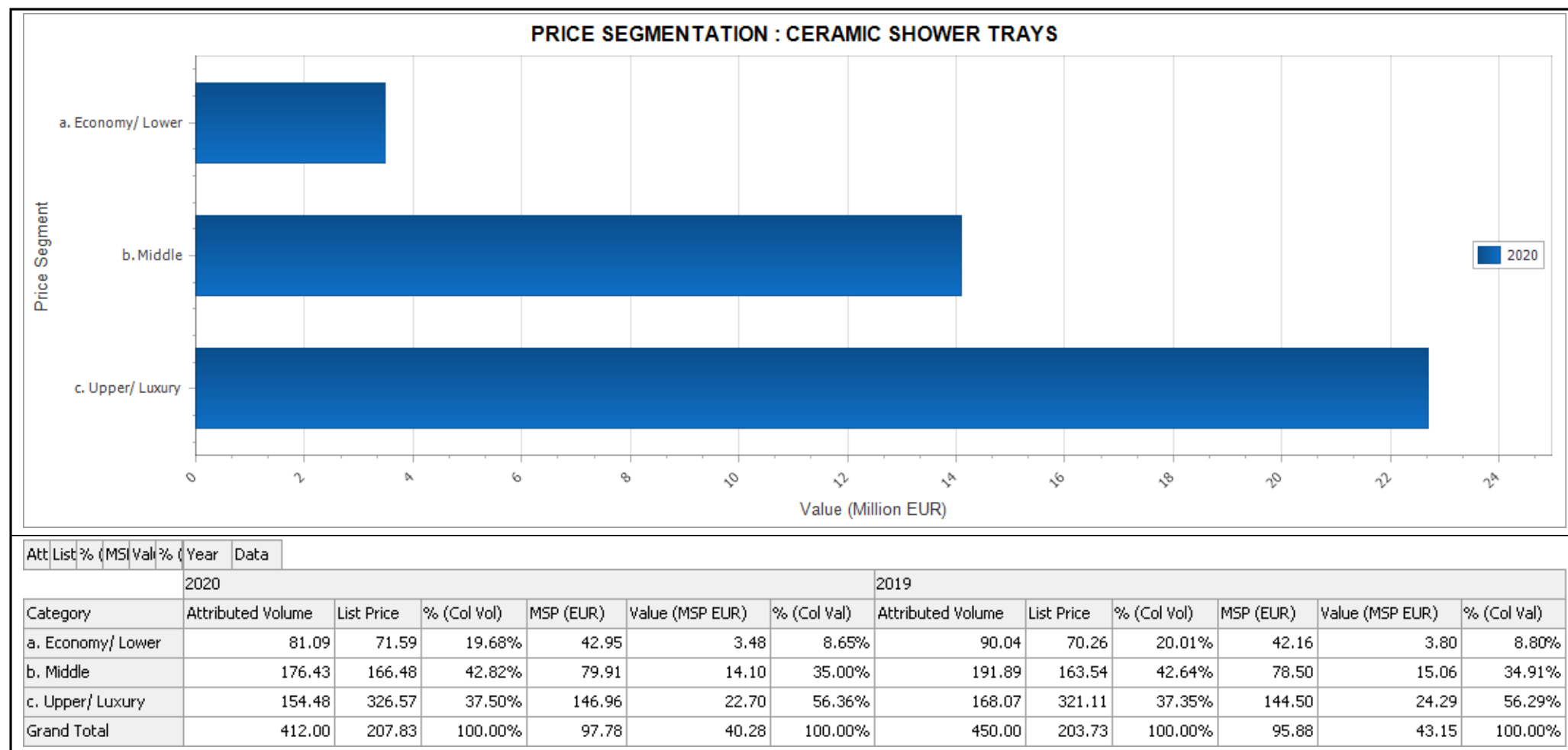
FR - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€700, Middle €700-€1,400, Upper/ Luxury >€1,400

1.3.8 Price Segmentation : Ceramic Shower Trays

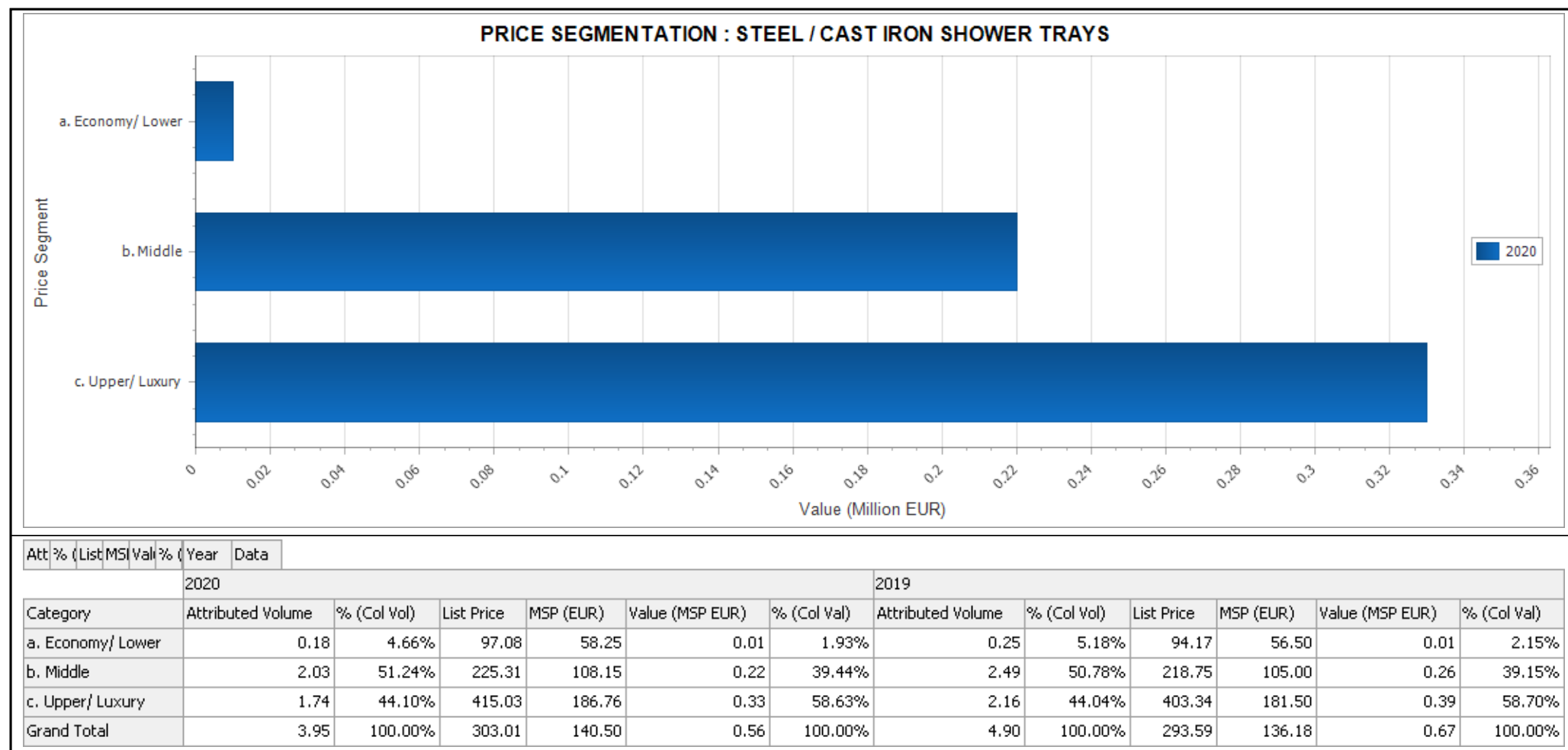
FR - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60 Middle €60-€120, Upper/ Luxury >€120

1.3.9 Price Segmentation : Steel/ Cast Iron Shower Trays

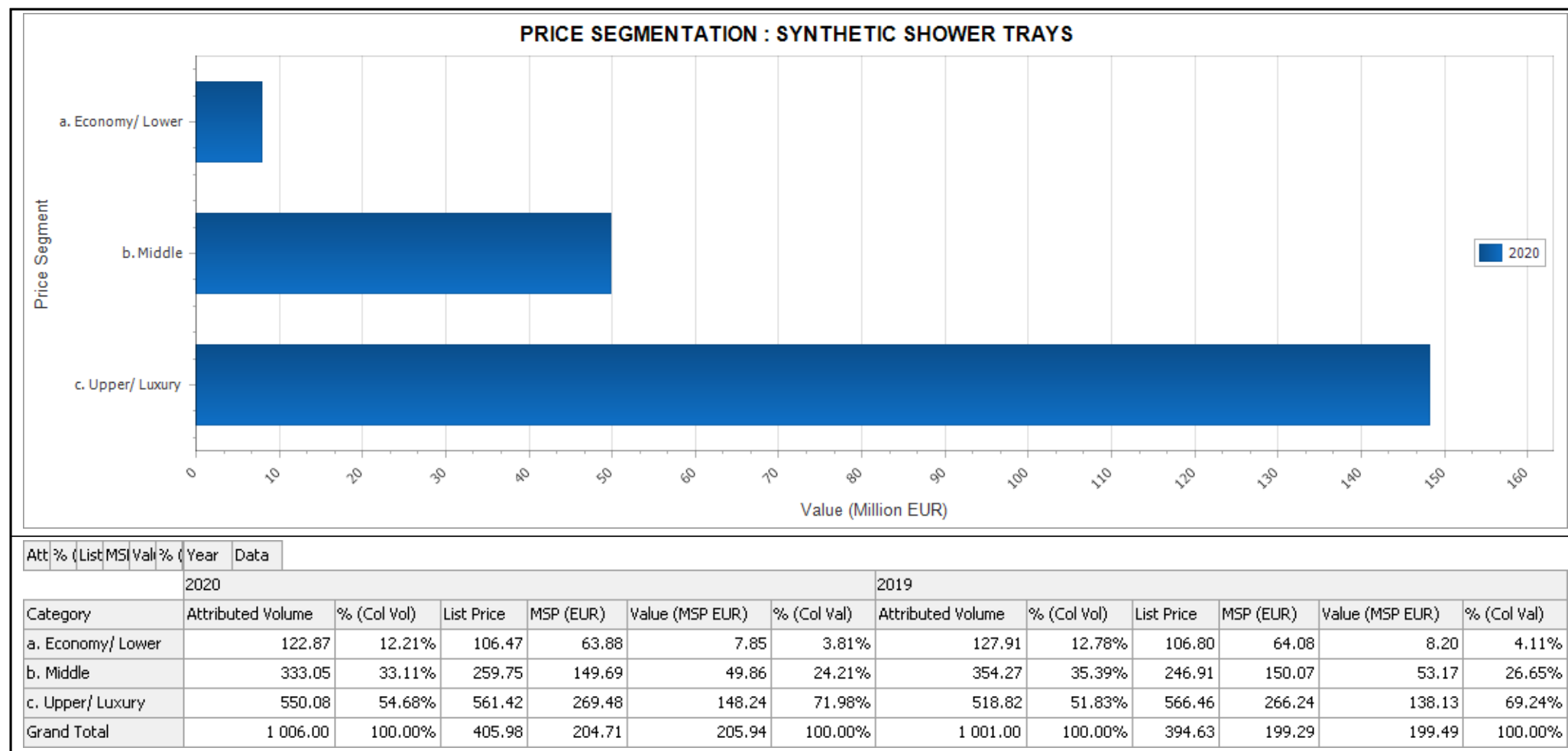
FR - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.3.10 Price Segmentation : Synthetic Shower Trays

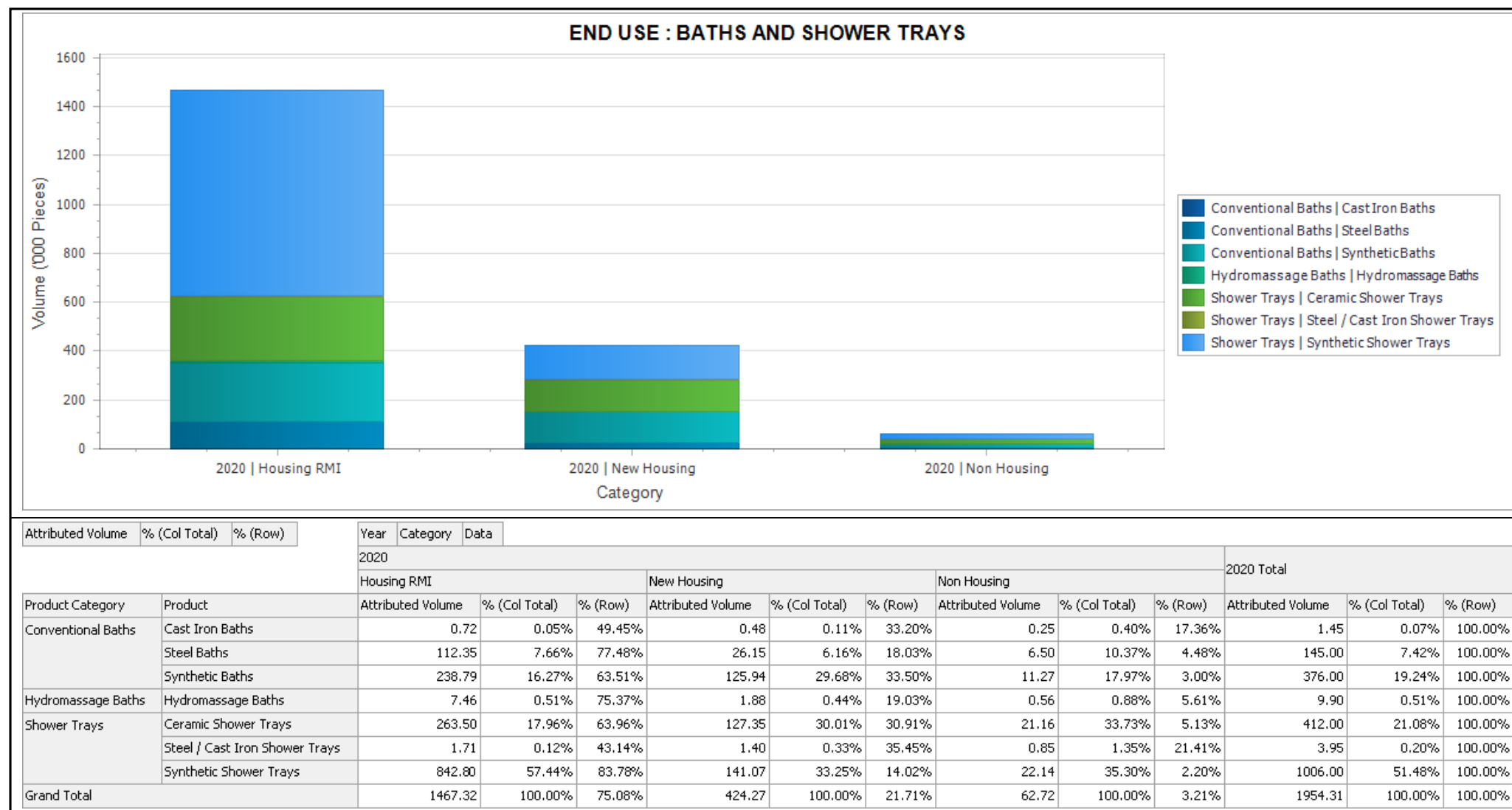
FR - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.4.1 End Use : Base Year

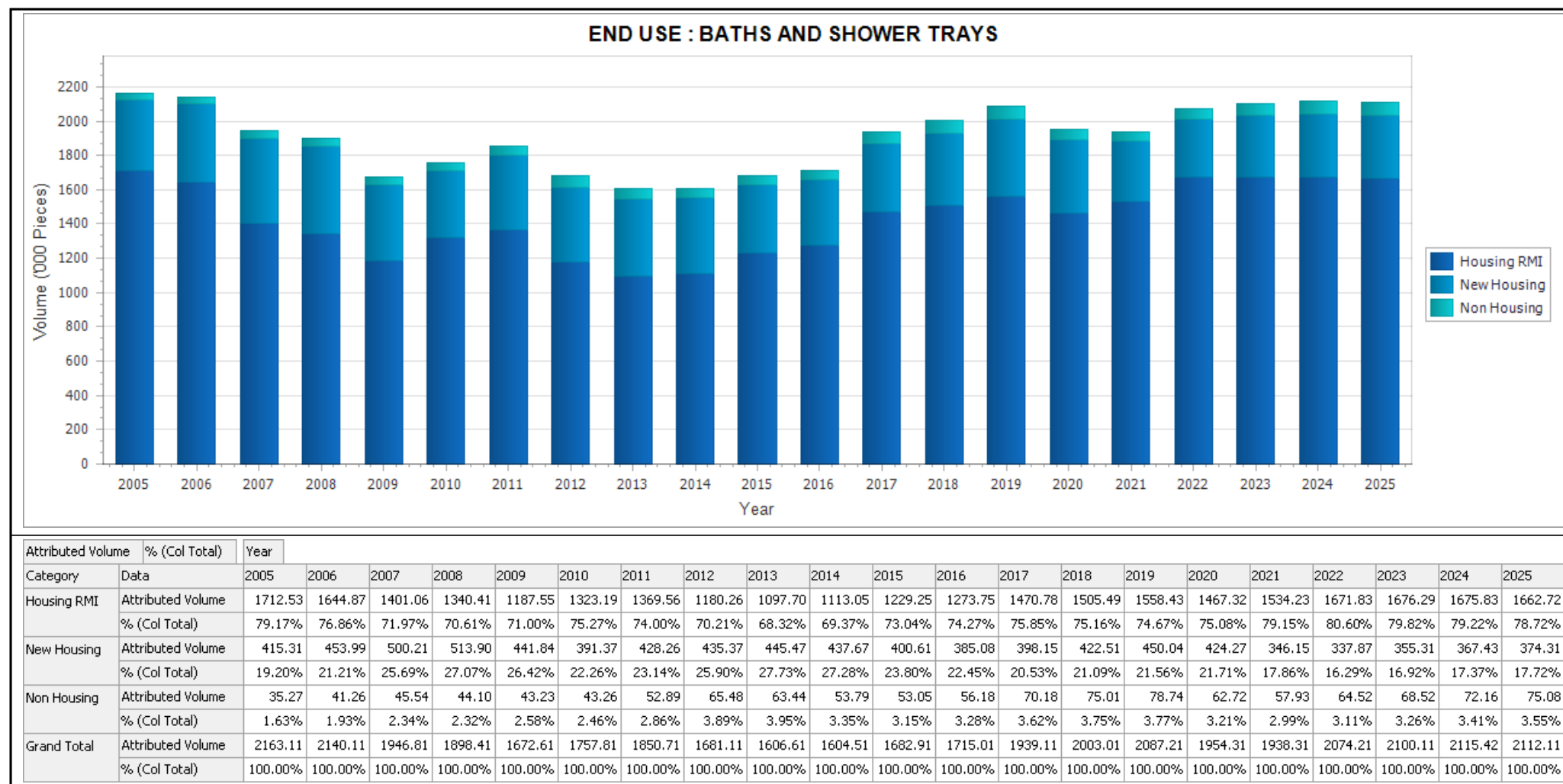
FR - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

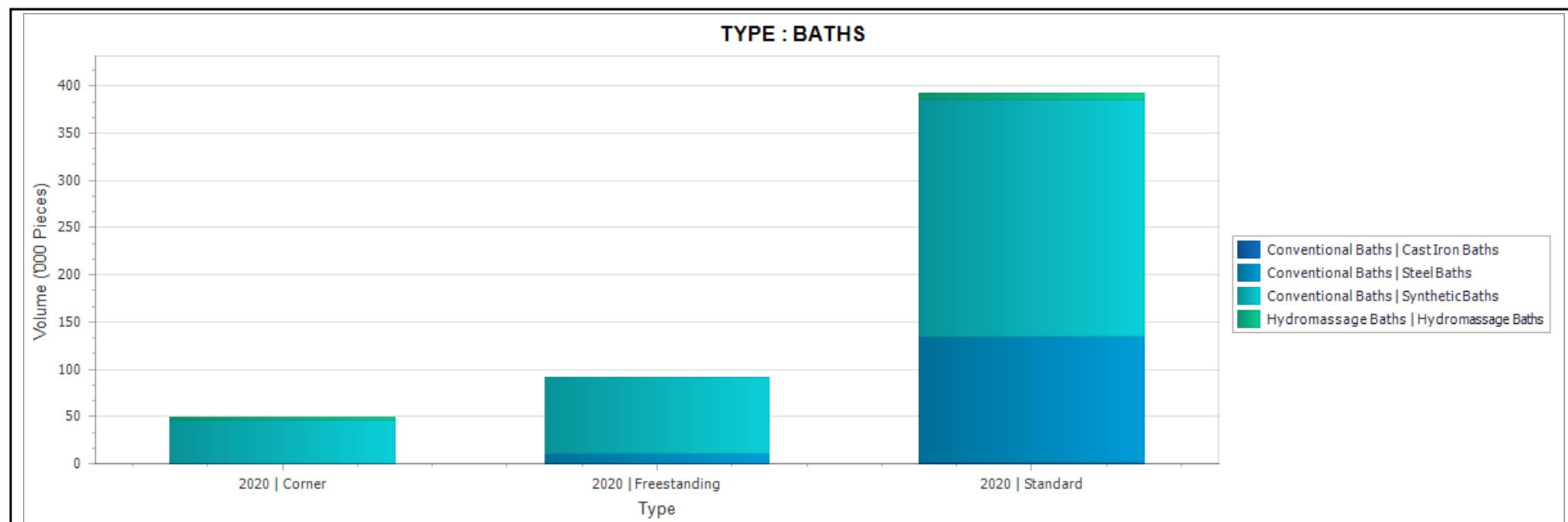
FR - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

FR - BATH SALES BY TYPE ('000 PIECES)

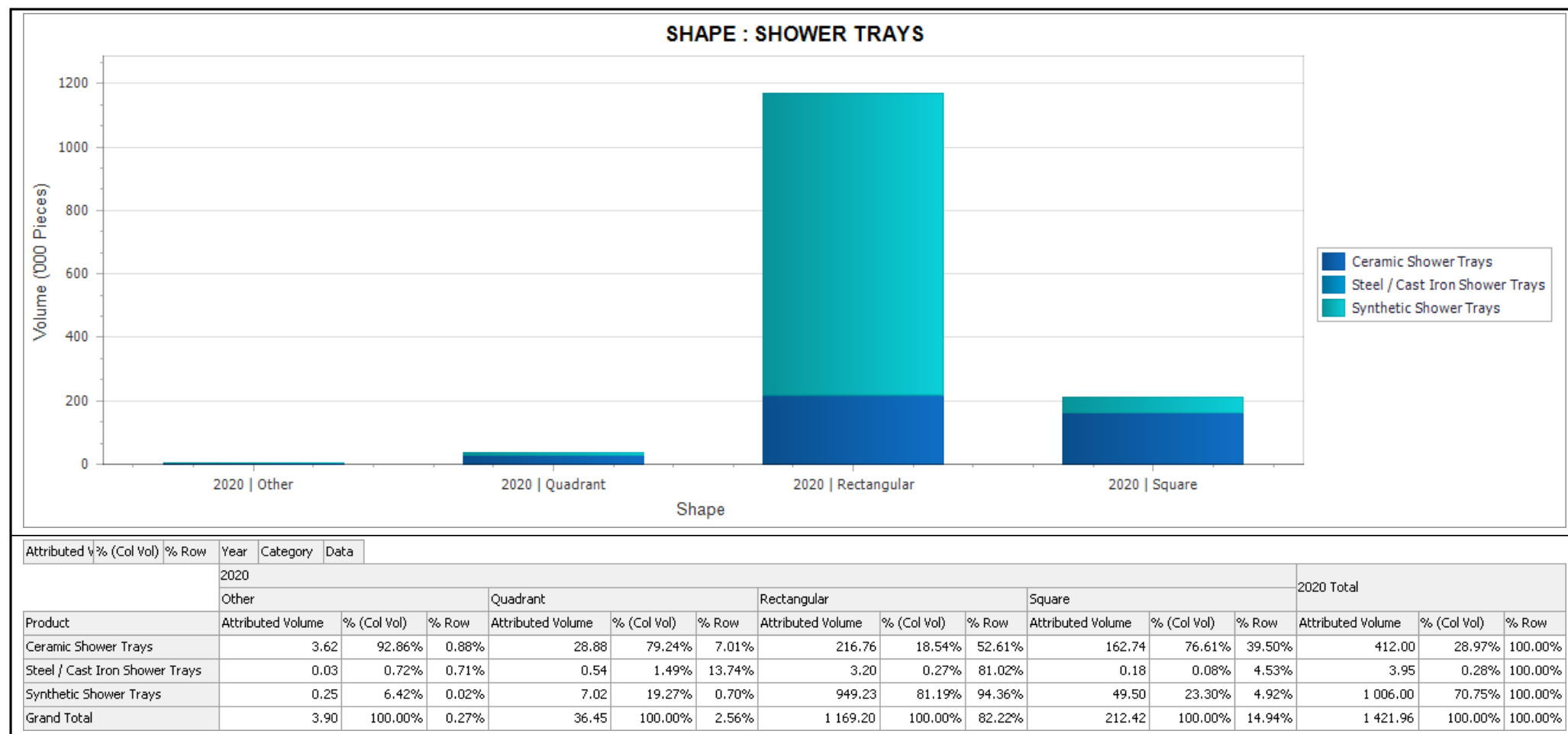


Attributed Volume		% (Col Total)	% Row	Year	Category	Data										
				2020							2020 Total					
		Corner			Freestanding			Standard								
Product Category	Product	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row			
Conventional Baths	Cast Iron Baths	0.00	0.00%	0.00%	0.38	0.41%	25.91%	1.08	0.27%	74.09%	1.45	0.27%	100.00%			
	Steel Baths	0.00	0.00%	0.00%	10.75	11.76%	7.41%	134.26	34.21%	92.59%	145.00	27.24%	100.00%			
	Synthetic Baths	46.04	94.86%	12.24%	80.22	87.83%	21.34%	249.74	63.63%	66.42%	376.00	70.63%	100.00%			
Hydromassage Baths	Hydromassage Baths	2.50	5.14%	25.20%	0.00	0.00%	0.00%	7.41	1.89%	74.80%	9.90	1.86%	100.00%			
Grand Total		48.54	100.00%	9.12%	91.34	100.00%	17.16%	392.47	100.00%	73.72%	532.35	100.00%	100.00%			

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

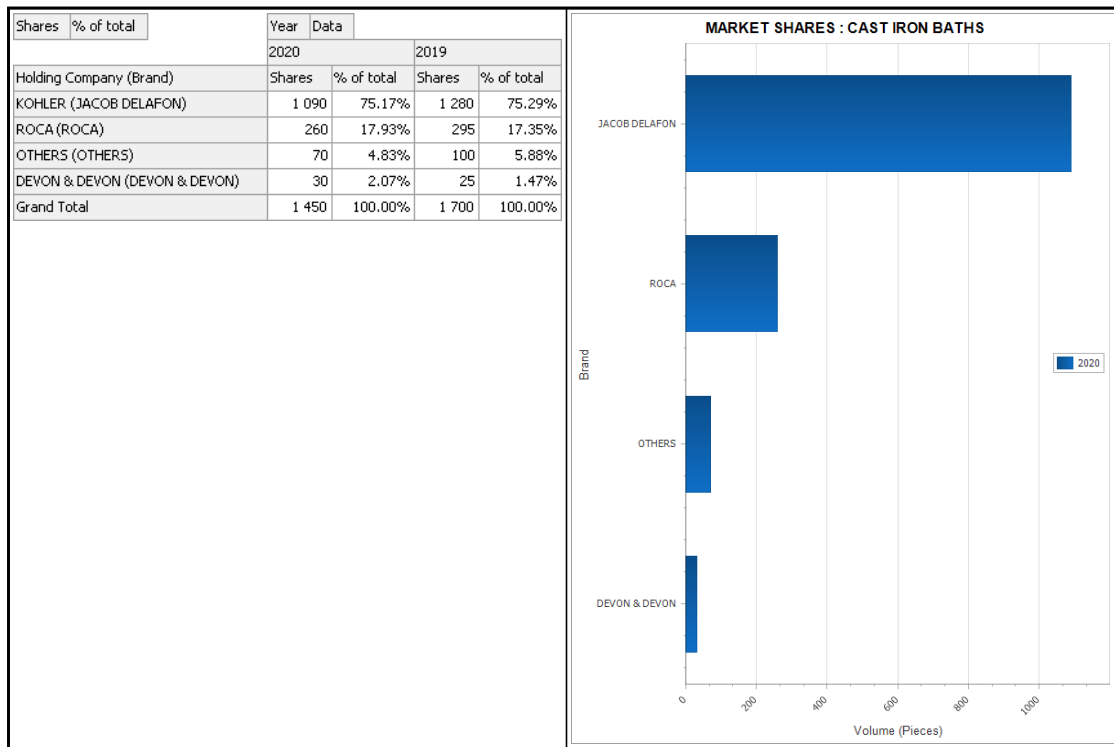
FR - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

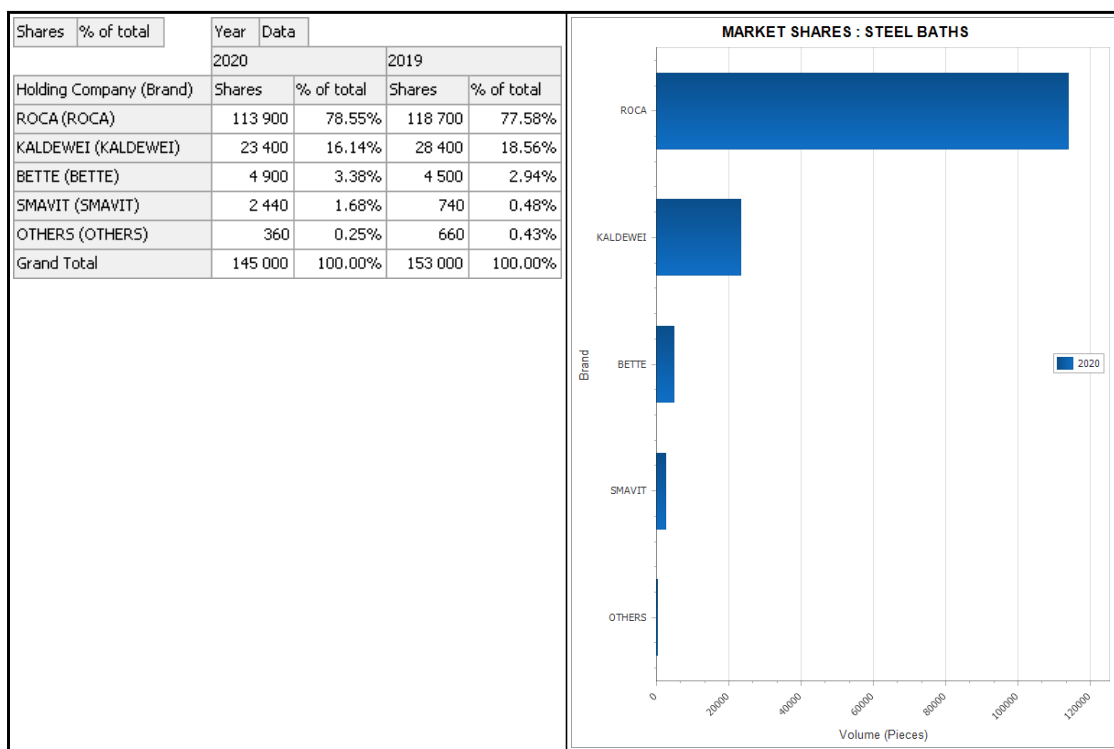
FR - ESTIMATED MARKET SHARES FOR CAST IRON BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

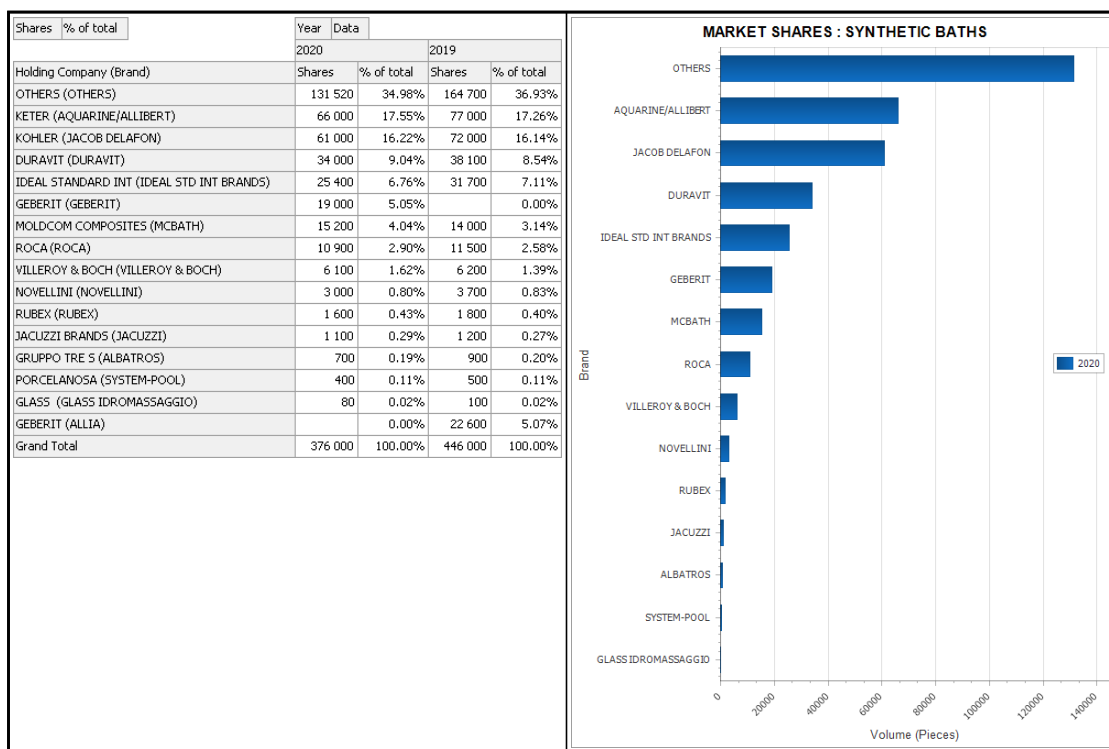
FR - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Baths

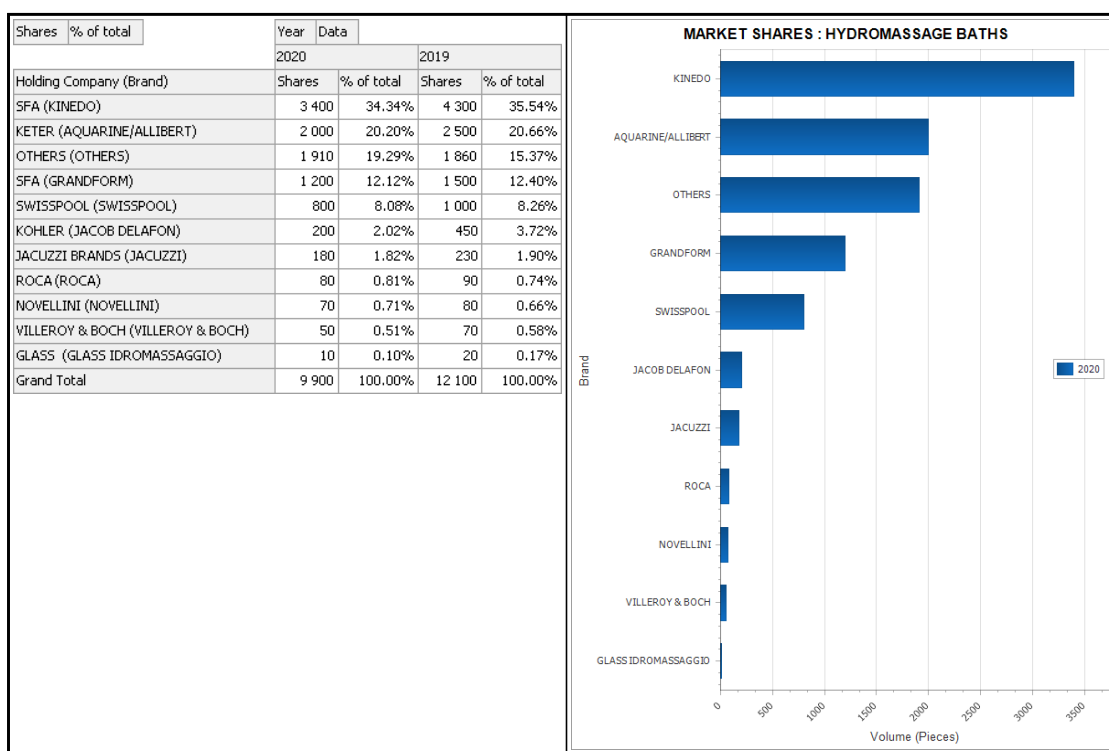
FR - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

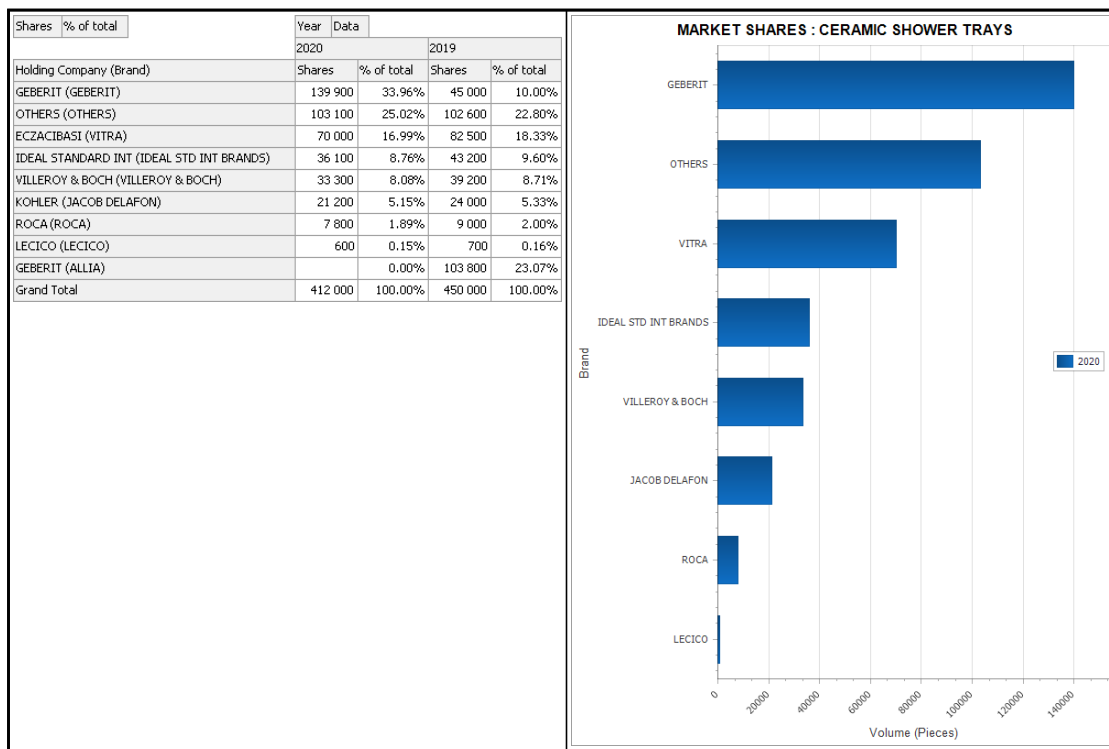
FR - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Ceramic Shower Trays

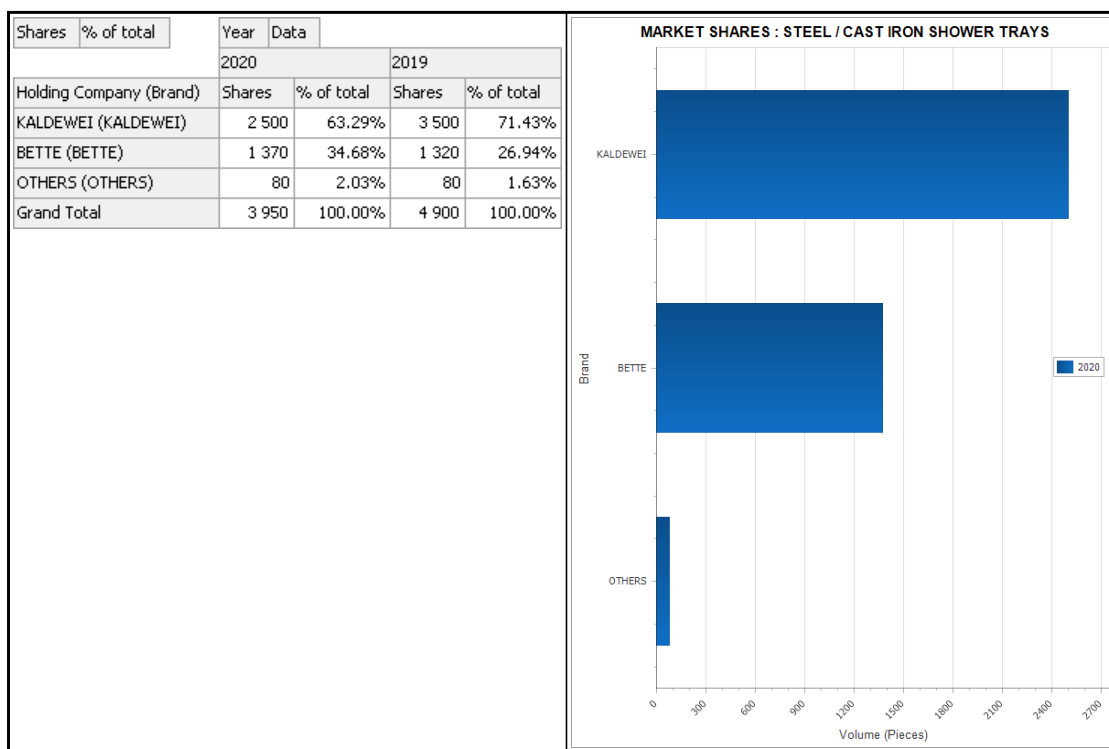
FR - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.6 Market Shares : Steel / Cast Iron Shower Trays

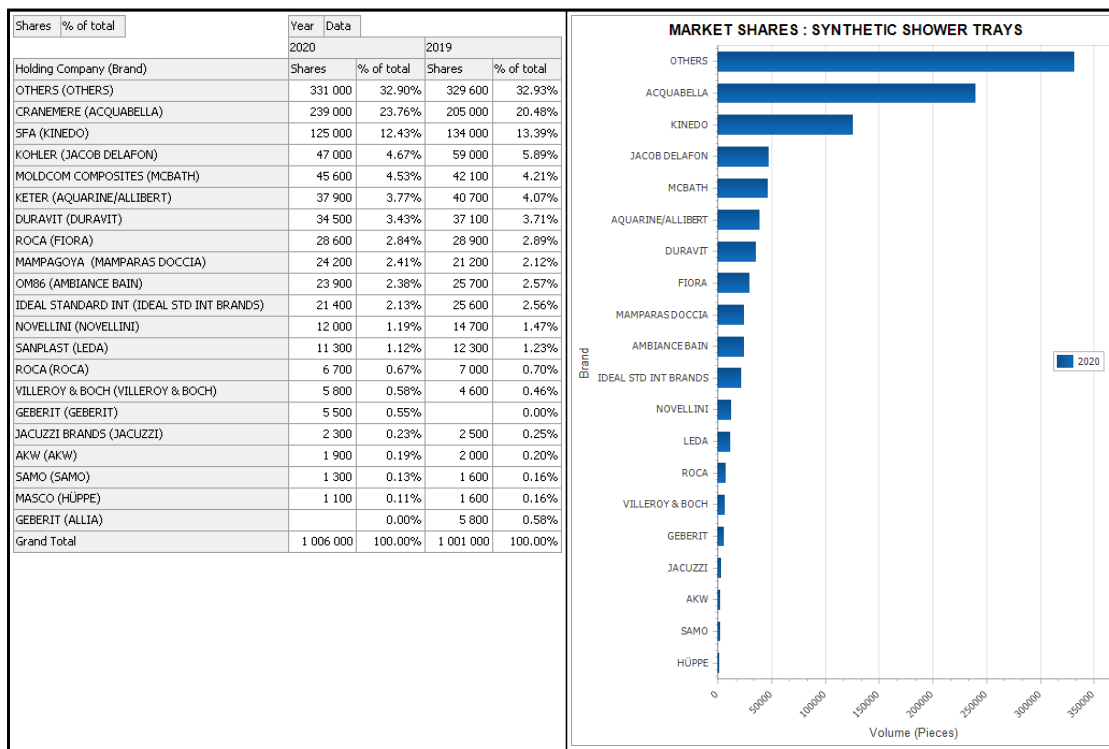
FR - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.7 Market Shares : Synthetic Shower Trays

FR - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 FR - IMPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	231	83.7%	617	77.7%	355	77.7%	975	72.9%
Spain	25	9.1%	73	9.2%	24	5.3%	78	5.8%
Switzerland	9	3.1%	29	3.7%	14	3.2%	31	2.3%
Portugal	5	1.7%	45	5.7%	6	1.4%	59	4.4%
OTHERS	7	2.5%	30	3.8%	57	12.5%	194	14.5%
Total	276	100.0%	794	100.0%	456	100.0%	1 337	100.0%

Source : Trademap

1.6.2 FR - EXPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Ukraine	59	48.9%	145	39.8%	45	27.2%	105	23.3%
Russian Federation	43	35.5%	103	28.3%	96	57.9%	219	48.6%
Morocco	9	7.4%	55	15.1%	15	8.8%	42	9.3%
Switzerland	5	4.3%	32	8.8%	4	2.2%	46	10.2%
Germany	2	2.0%	7	1.9%	1	0.5%	3	0.7%
OTHERS	2	1.9%	22	6.0%	6	3.3%	36	8.0%
Total	121	100.0%	364	100.0%	166	100.0%	451	100.0%

Source : Trademap

1.6.3 FR - IMPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Spain	2 494	67.6%	4 362	56.2%	2 913	68.5%	5 243	59.7%
Germany	655	17.8%	2 141	27.6%	1 014	23.9%	2 608	29.7%
Portugal	405	11.0%	584	7.5%	136	3.2%	197	2.2%
Poland	44	1.2%	158	2.0%	90	2.1%	297	3.4%
OTHERS	92	2.5%	522	6.7%	97	2.3%	443	5.0%
Total	3 690	100.0%	7 767	100.0%	4 250	100.0%	8 788	100.0%

Source : Trademap

1.6.4 FR - EXPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Belgium	10	18.1%	29	4.9%	1	2.0%	10	1.0%
Switzerland	10	18.0%	113	19.1%	8	12.1%	191	19.8%
Germany	8	14.5%	69	11.6%	7	11.3%	54	5.6%
Morocco	4	7.4%	57	9.6%	25	38.1%	464	48.1%
Sweden	4	7.0%	36	6.1%	1	1.7%	11	1.1%
Austria	4	6.5%	36	6.1%	2	3.7%	23	2.4%
Ireland	1	2.6%	14	2.4%	1	1.0%	6	0.6%
Portugal	1	2.5%	14	2.4%	1	1.6%	10	1.0%
Poland	1	2.4%	11	1.9%	2	2.5%	9	0.9%
Spain	1	2.4%	13	2.2%	2	3.1%	15	1.6%
Russian Federation	1	2.1%	10	1.7%	2	2.6%	13	1.3%
OTHERS	9	16.4%	191	32.2%	13	20.3%	158	16.4%
Total	55	100.0%	593	100.0%	65	100.0%	964	100.0%

Source : Trademap

1.6.5 FR - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Spain	13 737	30.8%	55 056	30.9%	11 851	26.3%	51 445	27.8%
China	11 306	25.4%	30 119	16.9%	7 530	16.7%	22 704	12.3%
Poland	6 115	13.7%	29 865	16.8%	6 238	13.8%	29 104	15.7%
Egypt	3 101	7.0%	9 322	5.2%	3 947	8.7%	11 630	6.3%
Italy	2 328	5.2%	11 635	6.5%	2 854	6.3%	12 937	7.0%
United Kingdom	1 939	4.4%	7 126	4.0%	3 850	8.5%	12 775	6.9%
Germany	1 589	3.6%	12 877	7.2%	2 177	4.8%	14 483	7.8%
France	857	1.9%	2 645	1.5%	1 560	3.5%	4 503	2.4%
Belgium	660	1.5%	3 958	2.2%	852	1.9%	3 885	2.1%
Slovakia	492	1.1%	2 761	1.5%	940	2.1%	3 448	1.9%
Portugal	484	1.1%	2 110	1.2%	558	1.2%	2 171	1.2%
OTHERS	1 956	4.4%	10 740	6.0%	2 758	6.1%	15 796	8.5%
Total	44 562	100.0%	178 214	100.0%	45 116	100.0%	184 881	100.0%

Source : Trademap

1.6.6 FR - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 141	31.8%	8 660	36.6%	847	26.7%	7 542	33.0%
Belgium	737	20.5%	4 071	17.2%	752	23.7%	4 109	18.0%
United Kingdom	450	12.6%	2 196	9.3%	418	13.2%	2 103	9.2%
Spain	239	6.7%	1 402	5.9%	207	6.5%	1 527	6.7%
Poland	178	5.0%	760	3.2%	165	5.2%	779	3.4%
Italy	134	3.7%	1 127	4.8%	160	5.0%	1 233	5.4%
Côte d'Ivoire	95	2.7%	279	1.2%	20	0.6%	37	0.2%
Russian Federation	78	2.2%	396	1.7%	71	2.2%	330	1.4%
Switzerland	48	1.3%	958	4.0%	97	3.0%	1 243	5.4%
Romania	39	1.1%	154	0.7%	49	1.5%	188	0.8%
Portugal	39	1.1%	193	0.8%	31	1.0%	157	0.7%
OTHERS	405	11.3%	3 459	14.6%	352	11.1%	3 597	15.7%
Total	3 584	100.0%	23 655	100.0%	3 168	100.0%	22 845	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
FR - ESTIMATED DISTRIBUTION FOR BATHS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

83.6%
Wholesalers / Merchants
83.6%

Retail Level

Manufacturer	Wholesaler
1.2%	2.0%
Internet Retailers	
3.2%	

Manufacturer	Wholesaler
12.4%	17.0%
DIY Retailers	
29.4%	

Manufacturer	Wholesaler
0.6%	4.0%
Specialist Retailers	
4.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.6%	51.5%	0.5%	10.3%	1.1%
Installers				
65.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	8.5%	2.7%	19.1%	3.4%	62.6%
Residential					
96.5%					

New Build			Residential RMI		
29.0%			67.5%		
Project	Non-Project		Project	Non-Project	
16.0%	13.1%		5.3%	62.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.4%	0.6%	0.0%	0.0%	0.0%	2.4%
Non-Residential					
3.5%					

New Build			Non-Residential RMI		
3.0%			0.5%		
Project	Non-Project		Project	Non-Project	
2.2%	0.7%		0.4%	0.1%	

1.7.2

Route to Market: Baths
FR - ESTIMATED DISTRIBUTION FOR BATHS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

83.3%
Wholesalers / Merchants
83.3%

Retail Level

Manufacturer	Wholesaler
2.1%	3.2%
Internet Retailers	
5.3%	

Manufacturer	Wholesaler
11.5%	16.8%
DIY Retailers	
28.3%	

Manufacturer	Wholesaler
0.6%	3.5%
Specialist Retailers	
4.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	50.8%	0.8%	9.9%	1.0%
Installers				
64.3%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	8.1%	4.5%	18.4%	3.1%	61.1%
Residential					
95.4%					

New Build			Residential RMI		
33.1%			62.3%		
Project	Non-Project		Project	Non-Project	
18.2%	14.9%		4.9%	57.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.6%	0.8%	0.0%	0.0%	0.0%	3.2%
Non-Residential					
4.6%					

New Build			Non-Residential RMI		
3.3%			1.3%		
Project	Non-Project		Project	Non-Project	
2.5%	0.8%		1.0%	0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

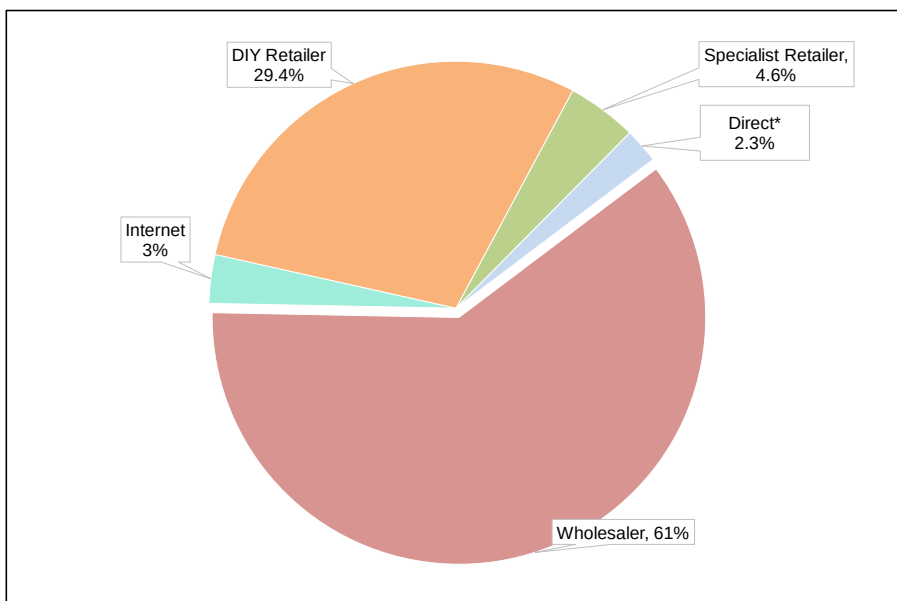
1.7.3 Route to Market - Consolidated View : Baths
FR - ESTIMATED DISTRIBUTION FOR BATHS : 2020

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
60.6%	3.2%	29.4%	4.6%	2.3%	21.2%	2.6%	75.3%	0.9%
100%					23.8%		76.2%	

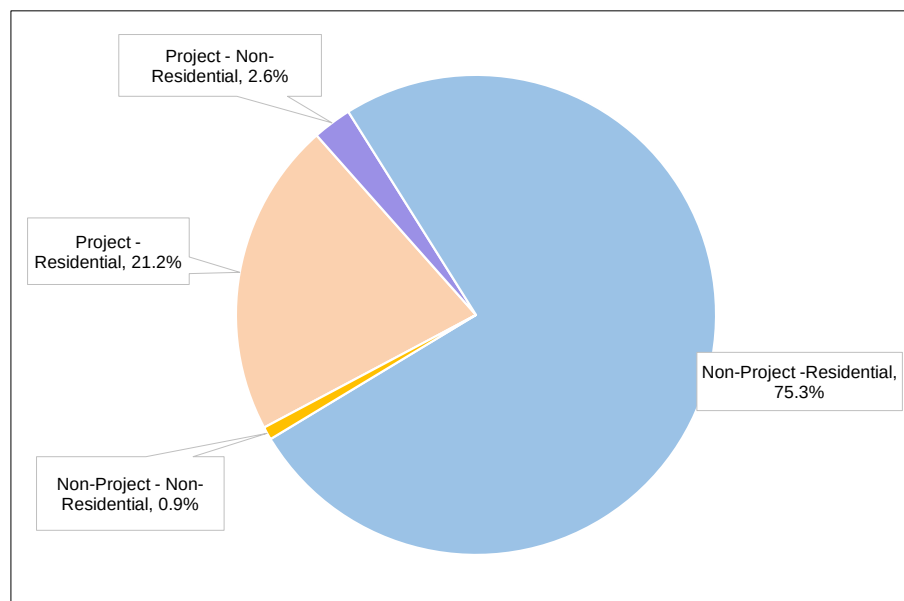
1.7.4 Route to Market - Consolidated View : Baths
FR - ESTIMATED DISTRIBUTION FOR BATHS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
59.8%	5.3%	28.3%	4.1%	2.6%	23.1%	3.4%	72.3%	1.1%
100%					26.5%		73.5%	

FR - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5 Route to Market: Shower Trays
FR - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	76.7%
	Wholesalers / Merchants
	76.7%

Retail Level	Manufacturer 1.0%	Wholesaler 1.5%	Manufacturer 17.1%	Wholesaler 23.4%	Manufacturer 2.1%	Wholesaler 3.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.5%		40.5%		5.9%	

Manufacturer 1.2%	Wholesaler 40.8%	Internet 0.4%	DIY 14.2%	Specialist 1.0%
Installers				
57.5%				

End Use Level	Manufacturer 0.7%	Wholesaler 6.2%	Internet 2.1%	DIY 26.3%	Specialist 4.4%	Installer 57.3%
	Residential					
	96.9%					
	New Build			Residential RMI		
	19.0%			77.9%		
	Project	Non-Project		Project	Non-Project	
	10.4%	8.5%		6.1%	71.8%	
	Non-Residential					
	3.1%					
	New Build			Non-Residential RMI		
	1.7%			1.4%		
	Project	Non-Project		Project	Non-Project	
	1.5%	0.3%		0.3%	1.1%	

1.7.6 Route to Market: Shower Trays
FR - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	76.4%
	Wholesalers / Merchants
	76.4%

Retail Level	Manufacturer 2.0%	Wholesaler 2.7%	Manufacturer 15.9%	Wholesaler 23.1%	Manufacturer 1.9%	Wholesaler 3.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.7%		39.0%		5.3%	

Manufacturer 1.0%	Wholesaler 40.1%	Internet 0.7%	DIY 13.6%	Specialist 1.3%
Installers				
56.8%				

End Use Level	Manufacturer 1.4%	Wholesaler 6.0%	Internet 4.0%	DIY 25.3%	Specialist 4.0%	Installer 56.0%
	Residential					
	96.7%					
	New Build			Residential RMI		
	12.7%			84.0%		
	Project	Non-Project		Project	Non-Project	
	7.0%	5.7%		6.6%	77.4%	
	Non-Residential					
	3.3%					
	New Build			Non-Residential RMI		
	1.5%			1.8%		
	Project	Non-Project		Project	Non-Project	
	1.3%	0.2%		0.4%	1.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

FR - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2020

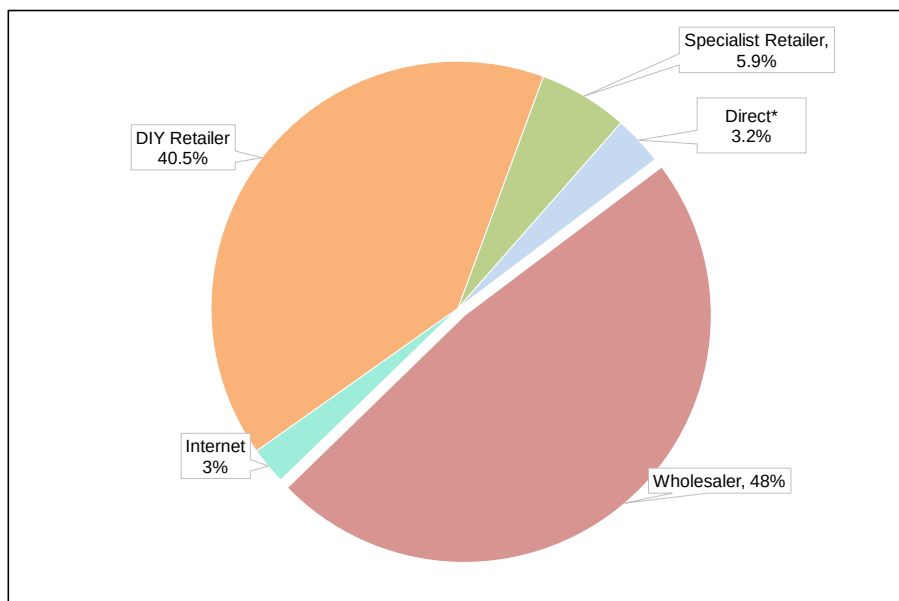
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
48.0%	2.5%	40.5%	5.9%	3.2%	16.5%	1.8%	80.4%	1.4%
100%					18.3%		81.7%	

1.7.8 Route to Market - Consolidated View : Shower Trays

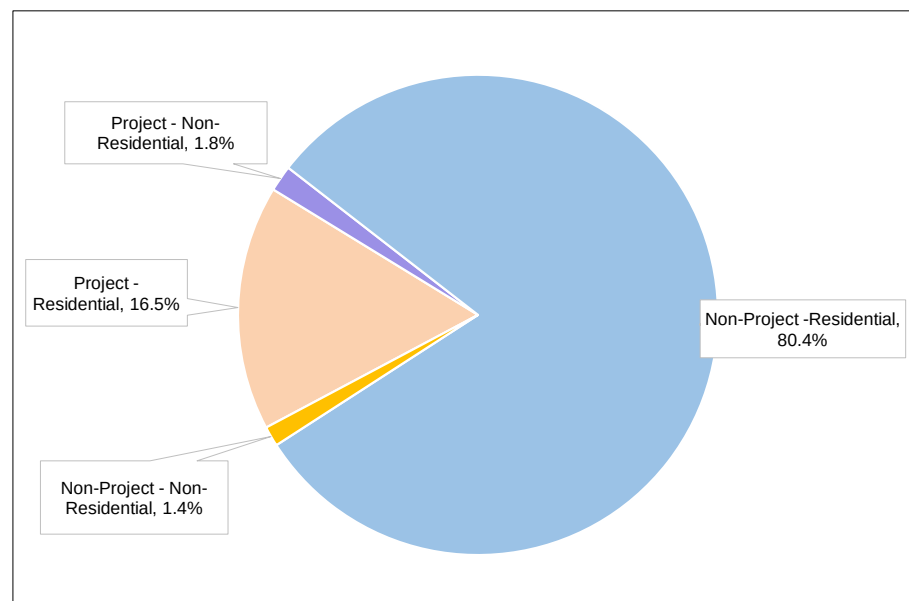
FR - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
47.2%	4.7%	39.0%	5.3%	3.8%	13.6%	1.7%	83.2%	1.6%
100%					15.2%		84.8%	

FR - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2020



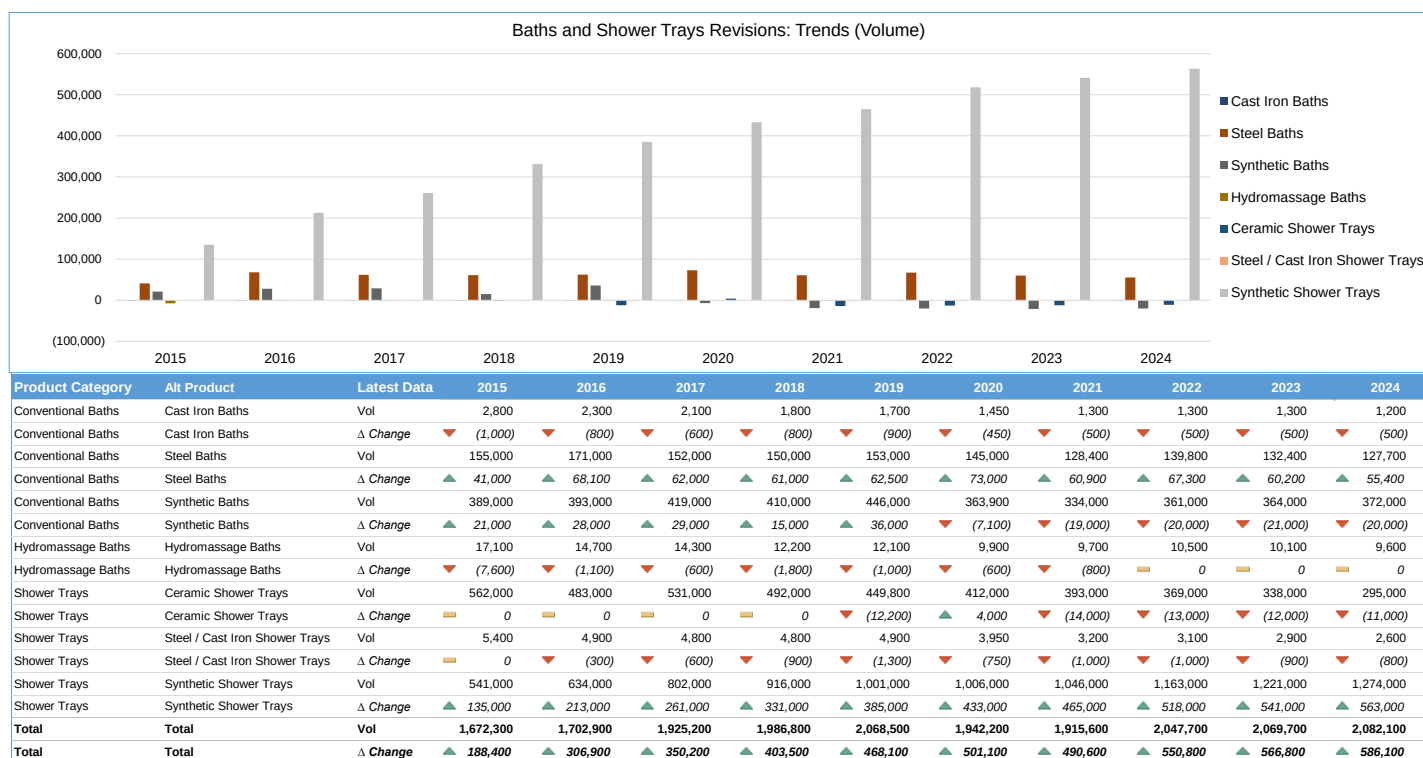
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the French Baths and Shower Trays Market (April 2021)

FR - REVISIONS IN THE FRENCH BATHS AND SHOWER TRAYS MARKET

Data Comparison: October 2020



Downward revisions have been made to the entire trend line for cast iron baths, largely due to an overestimation of imports, especially from Spain, Portugal and Italy. Demand for cast iron baths has been falling consistently over the last two years and has not seen any growth since the late 1990s. Cast iron baths have become more of a 'niche' market, characterised by declining volumes, although in value the market has not followed the same trend since prices have been increasing, which doubled compared to 2010 and tripled compared to 2001.

Significant upward revisions have been made to the market size for steel baths, largely due to an underestimation of imports particularly coming from Spain and to a lesser extent Germany, Portugal and Italy. Although small in volume, when compared to synthetic baths, steel baths continue to hold a considerable share on the market due to their low prices compared to acrylic and cast iron. Baths imported from Spain are particularly low priced, mostly aimed at the economy price segment.

Upward revisions were also made to the market size for synthetic baths (minor for recent years but more significant for historical years). This was largely due to imports from several countries not being accounted for, which includes amongst others, Egypt, China, Poland, Spain and Italy. Imports from Egypt include DURAVIT and IDEAL STANDARD, China is mostly accounted for by private label brands, mostly DIY such as LEROY MERLIN, Poland includes imports from GEBERIT, but also private label of DIY stores, and Spain includes several newly identified players, including AQUABELLA, MCBATH but also ROCA. All-in-all, domestic production of synthetic baths has weakened over the last decade, whereas imports have risen almost constantly, due to the growing demand for lower priced products, combined with the fact that several domestic players are closing domestic production sites and sourcing their products from foreign plants.

Hydromassage baths were revised down for almost the entire trend line (apart from 2005 to 2007 for which these were revised up), since hydromassage baths seems to have a fallen out of fashion and there seems to be very little demand for these types of baths compared to more conventional baths as well as the general trend in favour of showering, either using a shower tray or wet room. The decline in sales of hydromassage baths should have been faster than previously indicated in our report(s).

Strong downward revisions were made to the MSPs for all types of baths, excluding hydromassage baths, for all years.

Cast iron baths remain relatively expensive compared to the other two types of conventional baths, but according to industry feedback the overall MSP was overstated. Unlike some other countries, such as Italy and France, which still have a very high share of standard baths, e.g., the typical rectangular shape, which largely affects the overall MSP. Both JACOB DELAFON and ROCA still predominantly sell standard baths, whereas imports from Italy, Portugal and the UK often include a high(er) share of freestanding baths, which are significantly more expensive, often exceeding €2,000 at retail level. Even in DIY stores, such as LEROY MERLIN, cast iron baths can retail for as little as €700.

Steel baths were revised down since most sales go into the economy segment, characterised by very low prices, especially the ones sourced from Spain, instead of the middle and Upper/ Luxury price segments. Even baths imported from Germany are not that expensive, with average prices around €80 to €120, although imports from Spain clearly dominate annual supply.

The French market for synthetic baths continues to be characterised by a very high share of acrylic models, as opposed to mineral cast baths. These acrylic baths in France are very low-priced products. Prices stated in our reports were previously overestimated and considered to be too high, which have now been revised downwards. The strong position, and importance, of DIY stores also affects average prices, with models available as low as €65 at retail level. The importance of imports from low labour countries, such as China and Egypt, also keep prices low.

The MSP for hydromassage baths were revised up as these were according to industry sources too low. Hydromassage baths in France are high priced products, with sales mostly aimed at the middle and upper/ luxury price segment. Companies such as KINEDO and GRANDFORM hardly sell any economy priced products. Even in DIY stores, at retail level, prices for hydromassage baths only start at €700 and go up to as much as €6,500.

Significant revisions have been made to the market sizes for all types of shower trays, but especially ceramic and synthetic shower trays.

Ceramic shower trays were revised up for the 2005 to 2013 period, due to an underestimation in domestic supply, but were revised downwards from 2014 as they have been facing heavy competition from synthetic shower trays, mostly mineral casts. Therefore, and as a result, the share of ceramic shower trays has decreased dramatically over the last 15 years, from holding 82% of the market in 2005 to 29% by 2020, whereas synthetic shower trays increased from 17% to 71% during the same time period.

Strong upward revisions have been made to the market size for synthetic shower trays (minor for the historical years between 2005 and 2010 but more significant between 2011 to 2019). France has seen an influx of imports over the last 15 years, which clearly accelerated from 2014 onwards, characterised by a strong increase of imports from Spain and to a lesser extent China and Poland. Several Spanish manufacturers have recently entered the French shower tray market, including, amongst others, AQUABELLA, MCBATH and MAMPARAS DOCCIA, who have all performed extremely well. Spanish imports were relatively marginal in the early- to mid-2000s, mostly accounted for by ROCA, but have grown exponentially since 2013. Domestic manufacturers, such as KINEDO and ALLIBERT, no longer lead the market, with Spanish players now dominating the market.

Some minor revisions were made to the market size for steel showers trays due to revised manufacturer sales data. Steel shower trays continue to hold a very low share of the market due to the strong position of both ceramic and synthetic shower trays.

The MSP for ceramic shower trays was revised slightly up for all years due to revisions made in sales per price segment, combined with a revision to the average price per price segment.

Average prices at MSP for synthetic shower trays were also revised up. France, unlike Germany and the Netherlands, has a very high share of non-acrylic shower trays, mostly mineral cast, which are significantly more expensive than acrylic shower trays, often more than double the price of an acrylic shower trays. It was previously understood that acrylic had a much higher share, but due to the strong influence of Spanish manufacturers, who sell predominantly mineral cast or solid surface shower trays, the share of non-acrylic was revised up, especially for mineral cast, which significantly affected the overall MSP.

The MSP was revised down for steel shower trays due to a downward revision in the average price per price segment. Steel shower trays, as with steel baths, are relatively affordable in France, favoured in projects sales.

FRANCE

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The sanitary ware market, one of the largest and most mature bathroom markets, is characterised by the consumers' desire to improve the quality and aesthetic of their sanitary ware equipment. Over the past few decades, the household penetration of sanitary ware products has increased considerably, reflecting the increasing interest of French households in the design of their bathrooms as well as solid momentum in the consumer's purchasing power. As for any mature market, sanitary ware has an important dependence on the renovation market and, therefore, the general macroeconomic trend of the country represents a significant driver for this market. Construction is also a key driver, especially in ceramic sanitary ware (CSW) and concealed plastic cisterns (both essential categories in new housing).

The French market for sanitary ware is largely dominated by sales of CSW, of which the majority are of water closets (WCs), both floor-standing and wall-hung, and washbasins (washbasins/countertops and hand washbasins). There are few product substitutions within the market for ceramics that have developed over the past few years in France. As far as WC sales are concerned, the French market has gradually switched towards wall-hung WCs (mainly for design and space-saving purposes) and has recently adopted rimless WC types for ease of cleaning and hygiene purposes. With regards to washbasins / bathroom sinks, countertops, and to a lesser extent hand washbasins, these products have progressively replaced pedestals and half pedestals. Sales of bidets have notably decreased to a niche level, since French households have long since switched to shower systems instead and have stopped installing bidets in new buildings. For their part, sales of other CSW have seen regular decreases in the volume of pedestals and half pedestals, which have been declining in popularity over the years, especially in new housing (as mentioned above).

Together with the decreasing use of flashing valves for WCs, the sanitary market has seen a regular and important increase in the number of concealed plastic cisterns sold in France, to the detriment of exposed plastic cisterns; these are often perceived as being outdated in new dwellings and non-housing buildings. The strong development of concealed cisterns has been helped by the fact that concealed systems meet aesthetic requirements, while offering better acoustics (notably the reduction of the noise when filling up with water) and hygienic criteria (such as ease of cleaning). Concealed products have been developing further in the French market over these last few years, following the trend for minimalist decoration and the importance of space saving.

Recent Market Trends

In 2020 the sanitary ware market was negatively affected by the COVID-19 crisis. The drastic decline in sales volume may be explained by the considerable decline in total output in the construction sector with a decrease in sales to the non-housing

sector, contributing to the overall negative market performance. However, as a mature market the French sanitary ware market is driven by the RMI segment. The latter has not been spared by COVID-19. Sales have dropped, except for concealed and exposed plastic cisterns as well as non-ceramic washbasins.

Concealed plastic cisterns, for instance, maintained their presence in the market in 2020 and sales of non-ceramic washbasins recorded an expected growth, with the demand for acrylic and mineral cast washbasins following a positive trend. The variety of colour available and the lightweight aspect appeal to French consumers, especially since they increasingly install their own products in their households. Resin is increasingly popular too, especially in the RMI segment. However, being cheaper and easier to maintain, ceramic has numerous advantages over synthetic materials. Thus, ceramic models are believed to remain the preferred option in France.

As previously stated, the WC market has gradually adopted wall-hung WC models (mainly for design and space-saving purposes) and recently adopted rimless WC types, and this trend has accelerated in recent years. However, the WC market is still largely dominated by sales of standard, floor-standing and open rim models. Since their introduction to the French market in 2011, the rimless technology has been a great success as hygiene and cleanliness have become an important concern for French households. Wall-hung WCs account for the great majority of rimless model sales, unlike floor-standing toilets. Most of the main WC manufacturers, either local or foreign ones, now offer rimless toilets, either floor-standing or wall-hung models, and have launched marketing campaigns to promote their technology. In line with the uptake by French consumers of wall-hung WCs and rimless toilets, the concealed plastic cisterns market continued to increase in 2020 – to the detriment of exposed plastic cisterns. Boxed-rim toilets remained marginal in the market in comparison to models with other rim types.

Sales of other CSW products decreased in 2020. The downward market trend is the result of a negative performance at each category level. For instance, sales of close-coupled cisterns, pedestals and half pedestals, and kitchen sinks dropped after one year of positive performance. Plus, sales of ceramic shower trays continued to decrease in 2020, facing a growing competition from synthetic models.

Prices and Market Values

All sanitary ware products experienced a slight price increase from 2019 to 2020. However, even though ceramic washbasins / bathroom sinks saw a decrease in terms of volumes, they were the products to record the biggest price upsurges in terms of percentage. The great majority of the market of ceramic washbasins / bathroom sinks continues to be included within the first three segments of price levels: economy, lower and middle. The upper and luxury segments are not expected to gain major shares, and therefore it is correct to say that the price increases recorded can be definitely associated with a change of prices within the lower categories – rather than the products becoming more exclusive and therefore expensive.

The average MSP of WCs marginally increased in 2020, due to the continued fast uptake in recent years of wall-hung models, which have a higher MSP than other traditional ones. This trend is most likely to continue, coupled with a boom in sales of rimless models, which can show how the market is developing and becoming more and more technology driven, therefore with a high likelihood of causing average prices to go up.

With regards to concealed plastic cisterns/tanks, the price increase in 2020 has been very modest. Dry installation modules, which are the most expensive within this segment, continue to drive the market, whilst most of the plastic cisterns sold are included within the middle segment of the price segmentation. In fact, GEBERIT, which is the market leader for this specific product, tends to define the overall price segmentation split, as most of its products in 2020 continued to be sold within that middle segment.

Within the other CSW product category, the average MSP in 2020 increased, driven by kitchen sinks, shower trays and close-coupled cisterns. The total value in euros decreased in 2020 for this specific category of products, due to the volumes plummeting. Another factor to take into consideration is the rise of imports from countries such as Turkey and China, which ideally might drive the price down in the future.

New Housing

As mentioned before, the new housing segment suffered a lot in 2020. The lockdowns put in place by the government led to a closure of sites for a certain period, delays at all business levels, and difficulties at the supply chain level. Consequently, new housing output dropped substantially, which in turn drove down sales of sanitary ware products in this segment. Indeed, sales of all products within the sanitary ware market experienced a decrease in the new housing segment in 2020. Likewise, sales of concealed and exposed plastic cisterns recorded negative figures after three years of positive growth.

Concealed plastic cisterns have been growing in the new housing segment as they can easily be implemented during a home's design phase, while exposed cisterns have been gaining shares in this segment thanks to their cheap prices. In 2020, sales of wall-hung WCs and rimless models decreased, but gained shares (as in 2019) from traditional floor-standing and open-rim models. However, the market is still dominated by these classic models – especially in large housing projects, due to their low upfront costs.

Regarding the washbasin / bathroom sink market, the trend towards washbasins with base units continued in 2020 in the new housing segment, to the detriment of washbasins with pedestals. New housing also remained one of the main destinations for sales of ceramic shower trays, while bidets almost disappeared from this segment.

Housing RMI

As with any mature market, the replacement and refurbishment segment is the main destination for CSW products, comprising both replacements of old products and additions of second bathrooms. As previously mentioned, the French sanitary ware market was supported by renovation activities in 2020, although volumes sold into this segment dropped in total. In fact, the segment was negatively affected by the economic instability in France, and the minor activities that boosted it came mainly from French consumers' savings.

As for any mature market, the WC market, and therefore the rimless segment, is reliant on the renovation sector. The market for concealed cistern WCs, for example, followed an opposing trend to the other market products. Indeed, in 2020 sales of concealed plastic cisterns increased at a faster pace, as French consumers seemed to have been attracted by the new offering in this market. This is confirmed by the increasing market of wall-hung toilets in France. According to industry feedback, sales of rimless models are growing in the RMI sector as these products meet consumers' needs in terms of aesthetics and hygiene, when they are willing to replace their traditional rim toilets. In fact, most rimless models are installed on wall-hung WCs.

Within the other CSW product category, the ceramic shower tray market is facing the competition of other materials such as synthetic in the RMI segment, but in 2020 these models still accounted for the bulk of sales of shower trays. Bidets are mostly found in the renovation sector, but sales continue to decline as French consumers tend to remove bidets to gain space, rather than replace them. Sales of ceramic WC exposed cisterns decreased in this segment, following the overall negative trend of WCs in RMI. Exposed plastic cisterns, however, followed an opposite pattern in 2020.

Ceramic washbasins are still facing competition from other materials such as mineral cast and steel washbasins, in this end-use segment. This was clearly seen in the accelerated growth of sales of non-ceramic washbasins in 2020, in contrast to a considerable decline of sales of ceramic washbasins.

Non-Housing

Sales to the non-housing segment in 2020 shrank for all sanitary ware products. The overall non-housing segment went down, as a result of negative macroeconomic indicators and substantial declines in non-residential outputs. The non-housing market is primarily made up of hotels, which represent the bulk of sales for sanitary ware products, but there is also a large market in offices and commercial buildings in France for WCs and washbasins. In 2020, private players and local authorities in France were weakened by the lockdowns. The effects were seen in the fall of investment capacities of companies and the overall economy.

Technically, the trend towards the uptake of wall-hung WCs and concealed cisterns is still observed in this end-use market. Also, rimless toilets are gaining more shares in the non-housing segment, especially in certain sectors such as hospitality and healthcare, as these products meet the need in terms of aesthetics and hygiene.

Non-housing also represents a significant market for specialist CSW, such as urinals. CSW followed the general trend of the market and declined in 2020, pushed down with the decrease of sales of ceramic cisterns. In fact, this drop was in line with the decline of sales of close-coupled WC in this segment.

Supply Structure

The CSW market in France is led by multinational manufacturers such as VITRA, ROCA, IDEAL STANDARD, and GEBERIT. The share of Chinese imports remains high, while Turkey is the number one – ECZACIBASI, with its VITRA brand, is growing rapidly. Chinese imports also include sales made by the French importer GODART DISTRIBUTION, which distributes Chinese products to DIY stores.

In 2018, RAK CERAMICS entered the French CSW market, offering mainly washbasins and WCs. RAK CERAMICS is one of the biggest ceramic manufacturers worldwide, specialising in tiles and sanitary products. In 2020, RAK found that the traditional tools to conquer the market work poorly for its progress in the French market. According to specialists, a partnership with motivated and flexible distributors could give hope to RAK in France.

As for the exposed plastic cisterns market, the supply structure comprises mainly French subsidiaries of German, Dutch and Swiss manufacturers, as well as a few domestic ones. The former companies, often OEM suppliers, manufacture plastic cisterns and installation modules. The main manufacturers are GEBERIT (CH), GROHE (DE), SCHWAB (DE), and WISA (NL). These companies are essentially manufacturers of flushing mechanisms and include, for instance, SIAMP, REGIPLAST, CLARA, and WIRQUIN. WIRQUIN is partly supplied by GEBERIT.

The manufacturers of concealed cisterns generally specialise in exposed plastic cisterns. However, GROHE and COMAP are specialists in concealed models. Domestic manufacturers play a minor role, since the market is dominated by three foreign manufacturers: GEBERIT, SIAMP, and GROHE, as well as one domestic manufacturer, REGIPLAST.

Moreover, a substantial growth was recorded by GEBERIT in 2020 and its overall sales increased (excluding currency effects). In contrast to 2019, the Swiss manufacturer was one of the profitable manufacturers in the bathroom market, if not the most profitable in the year. The reduction of expenditures due to the pandemic, especially those connected to travel and marketing, had a positive impact on the performance of GEBERIT in some countries. Moreover, lower commodity prices and flexibility in logistics and production helped GEBERIT to make additional investments in digital.

However, COVID-19 affected the performance of GEBERIT differently in different countries. Germany, Switzerland and Austria were the most dynamic markets for the company, while Italy, the United Kingdom and France were more affected by site closures.

In France, ALLIA ceramics were destocked, leading to the optimisation of new GEBERIT stocks. Therefore, this strategy had a positive reflection on 2020 sales, with stronger growth expected in 2021. Also, GEBERIT products continued to meet the taste of the French consumer through a high degree of personalisation and effective pricing strategy.

In equivalence to ALLIA and GEBERIT's case, the supply structure of the sanitary ware market witnessed talks about acquisitions among different market players. BRG also knew about the possibility of a shift of segment activities of one of the main manufacturers in the French market. Moreover, VILLEROY & BOCH announced the possibility of a takeover of IDEAL STANDARD. The reason behind considering such an acquisition could be the complementarity in terms of markets and products. Also, KRAMER started to consider buying a ceramics factory from JACOB DELAFON. By doing so, this valve specialist intends to diversify its business by adding sanitary ceramics to its activities in France and overseas. In addition to that, according to the local press, KOHLER announced the closure of two of its four sanitary ceramics factories, in Jura and in Marne, which are dedicated to sanitary ceramics and valves.

Each market player has followed its own competitive strategy to hit the market. Strategies have varied from innovating, working on differentiation, lowering prices, or even copying the leader. For example, SIAMP is the second-largest manufacturer of concealed plastic cisterns in France because of its private label production, while GROHE made a few technical specificities – allowing it to gain the third position. One of the main constraints facing GROHE, however, is the slow progress its multichannel distribution has made when compared to other market players.

Forecasts

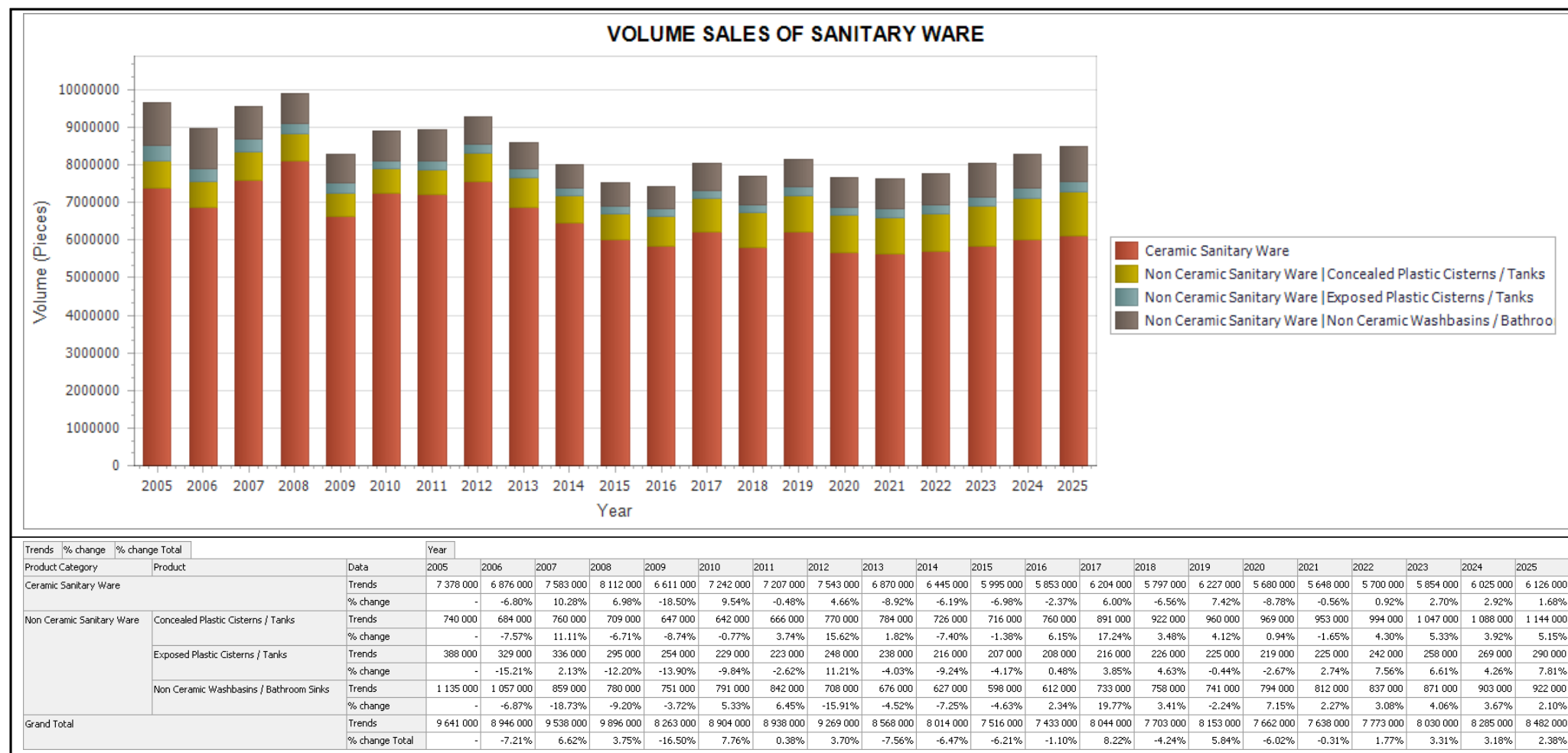
BRG expects a rise in the demand for total sanitary ware products for the forecast period. From 2022 onwards, new build construction will serve as a boost to the sales, along with the recovery of the overall economy – which should energise purchasing power and revive the market.

The specification market should remain lucrative, with new housing likely to play an important part in the overall market fluctuation over the forecast period. Additionally, the growing demand for wall-hung WCs and washbasins / bathroom sinks is set to support total sales of CSW positively, while sales of concealed and exposed plastic cisterns should continue to rise during this period. The trend seen on the WC market regarding the uptake of wall-hung and rimless models is set to accelerate further during the forecast years.

The further increase in internet distribution is likely to enable consumers to obtain higher-quality products at lower prices, which will most likely put pressure on traditional distribution channels.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

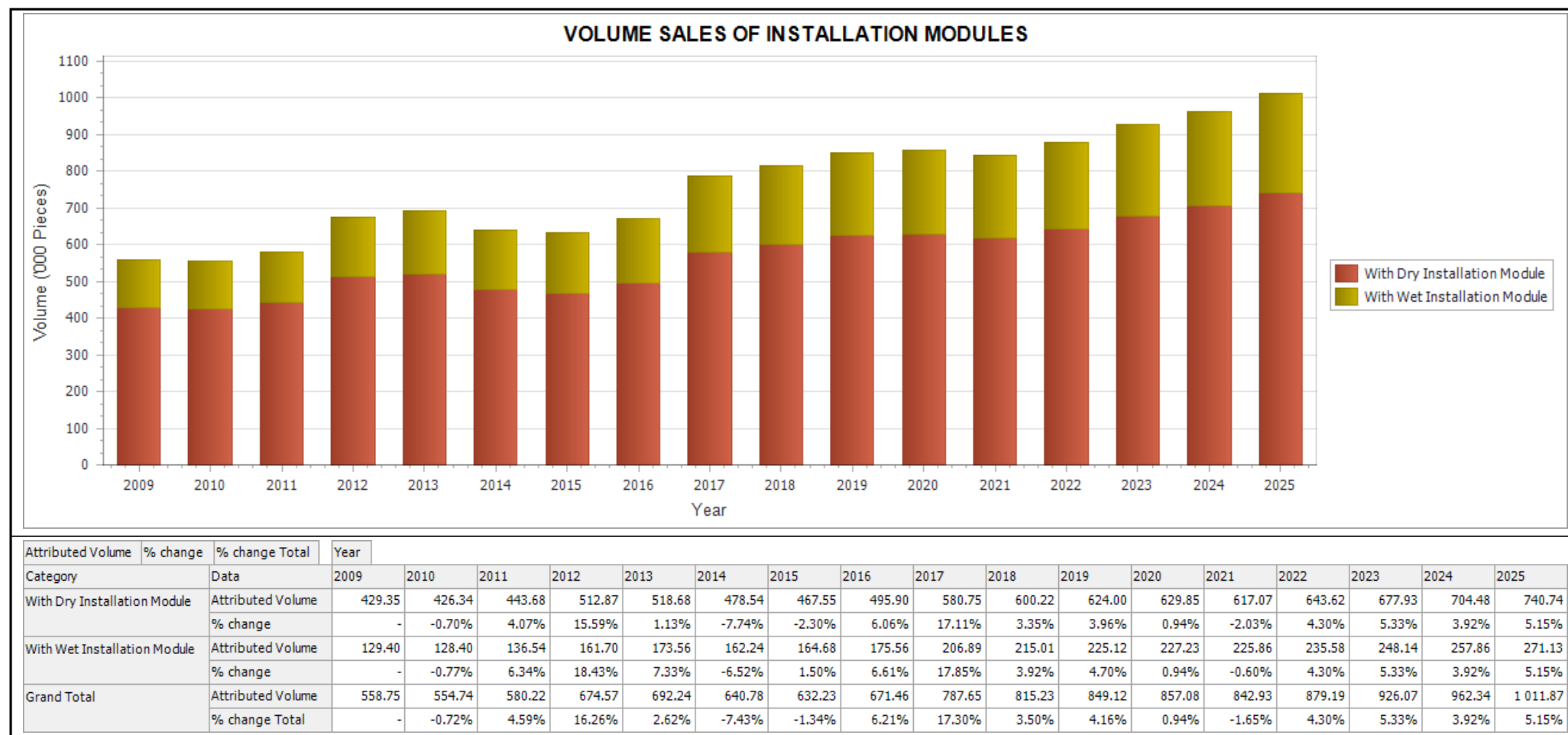
FR - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

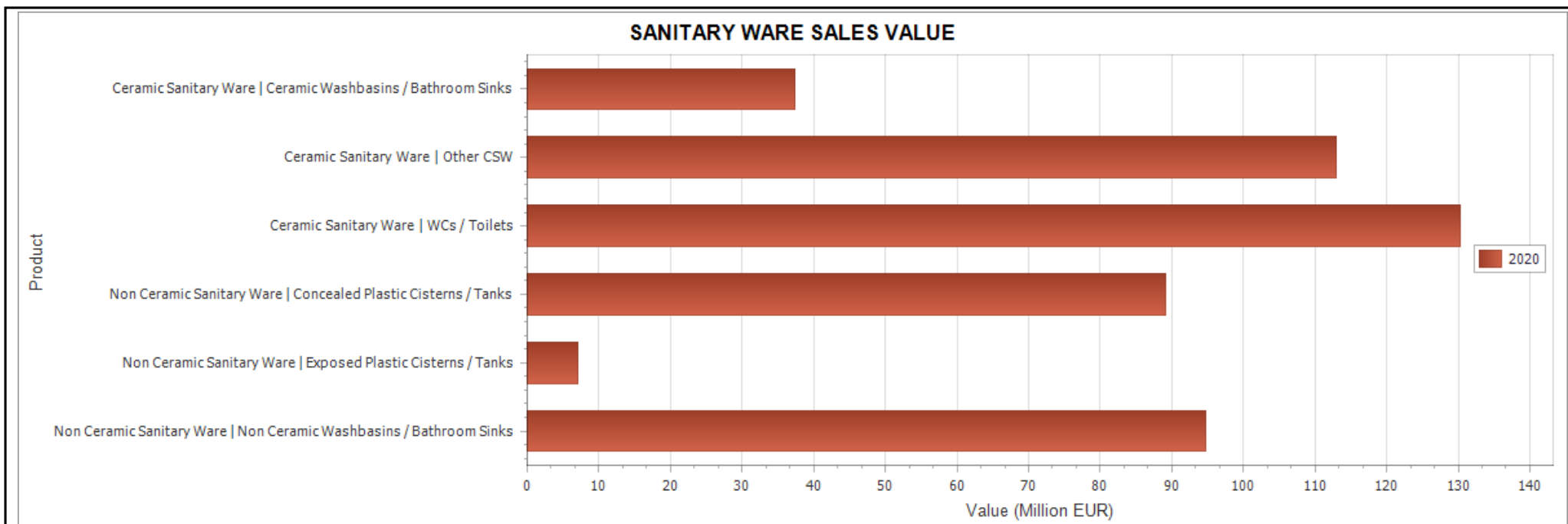
FR - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

FR - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
			2020			2019		
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Ceramic Sanitary Ware	Ceramic Washbasins / Bathroom Sinks	946 000	39.40	37.27	1 062 000	37.98	40.33	
	Other CSW	2 217 000	50.94	112.93	2 395 000	49.80	119.27	
	WCs / Toilets	2 517 000	51.74	130.23	2 770 000	51.13	141.63	
Non Ceramic Sanitary Ware	Concealed Plastic Cisterns / Tanks	969 000	92.00	89.15	960 000	91.73	88.06	
	Exposed Plastic Cisterns / Tanks	219 000	32.38	7.09	225 000	31.77	7.15	
	Non Ceramic Washbasins / Bathroom Sinks	794 000	119.37	94.78	741 000	118.08	87.50	
Grand Total		7 662 000	61.53	471.45	8 153 000	59.36	483.94	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

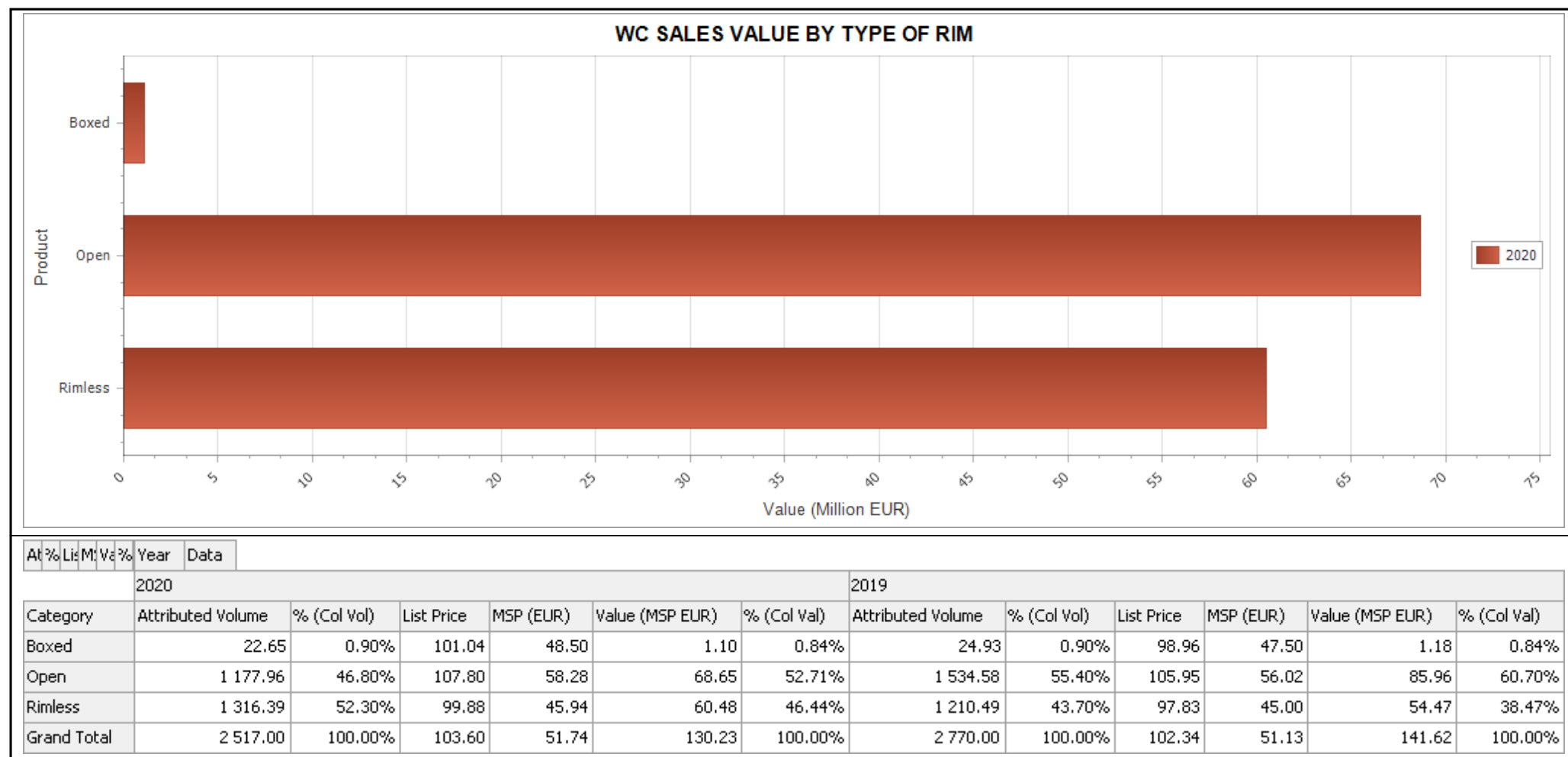
FR - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed \	% (Col Val)	List Price	MSP (EUR)	Value (MSP	% (Col Vol)	Year	Data						
2020							2019						
Product	Category	Attributed Volume	% (Col Val)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	Attributed Volume	% (Col Val)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Vol)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	198.66	31.59%	123.48	59.27	11.77	21.00%	212.40	30.48%	120.58	57.88	12.29	20.00%
	Hand Washbasins	142.85	4.65%	22.05	12.13	1.73	15.10%	159.30	4.75%	21.86	12.02	1.92	15.00%
	Inset Washbasins	104.06	12.96%	96.70	46.42	4.83	11.00%	111.51	12.61%	94.99	45.60	5.08	10.50%
	Pedestal Washbasins	141.48	9.83%	47.10	25.91	3.66	14.96%	155.76	9.88%	46.50	25.58	3.98	14.67%
	Semi-Recessed Washbasins	68.11	11.55%	131.67	63.20	4.30	7.20%	74.34	11.42%	129.08	61.96	4.61	7.00%
	Undermount Washbasins	118.25	17.64%	115.84	55.60	6.58	12.50%	127.44	17.28%	113.91	54.68	6.97	12.00%
	Wall Hung Washbasins	172.60	11.78%	52.98	25.43	4.39	18.24%	221.26	13.60%	51.64	24.79	5.48	20.83%
Other CSW	Bidets	28.60	0.79%	52.19	31.31	0.90	1.29%	30.42	0.78%	51.67	31.00	0.94	1.27%
	Close-Coupled Cisterns	1 281.84	34.41%	60.90	30.45	39.03	57.82%	1 360.15	32.77%	58.00	29.00	39.44	56.79%
	Kitchen Sinks	121.00	15.23%	299.83	142.75	17.27	5.46%	136.00	15.88%	295.33	140.49	19.11	5.68%
	Others	98.66	1.35%	25.78	15.47	1.53	4.45%	106.58	1.35%	25.40	15.24	1.62	4.45%
	Pedestals & Half Pedestals	190.66	3.53%	42.05	21.03	4.01	8.60%	210.76	3.53%	40.28	20.14	4.24	8.80%
	Shower Trays	412.00	35.51%	207.83	97.78	40.29	18.58%	462.00	36.80%	203.73	95.88	44.29	19.29%
	Urinals	84.25	9.18%	247.28	123.64	10.42	3.80%	89.10	8.89%	240.08	120.04	10.69	3.72%
WCs / Toilets	Close-Coupled WC Bowls	981.63	39.09%	101.68	51.86	50.90	39.00%	1 108.00	40.49%	101.48	51.75	57.34	40.00%
	Floor Standing WC Bowls	834.45	27.07%	82.84	42.25	35.25	33.15%	895.44	26.14%	81.06	41.34	37.02	32.33%
	Wall Hung WC Bowls	700.92	33.84%	131.01	62.88	44.08	27.85%	766.56	33.37%	128.44	61.65	47.26	27.67%
Grand Total		5 680.01	100.00%	100.32	49.46	280.94	100.00%	6 227.01	100.00%	98.49	48.55	302.31	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

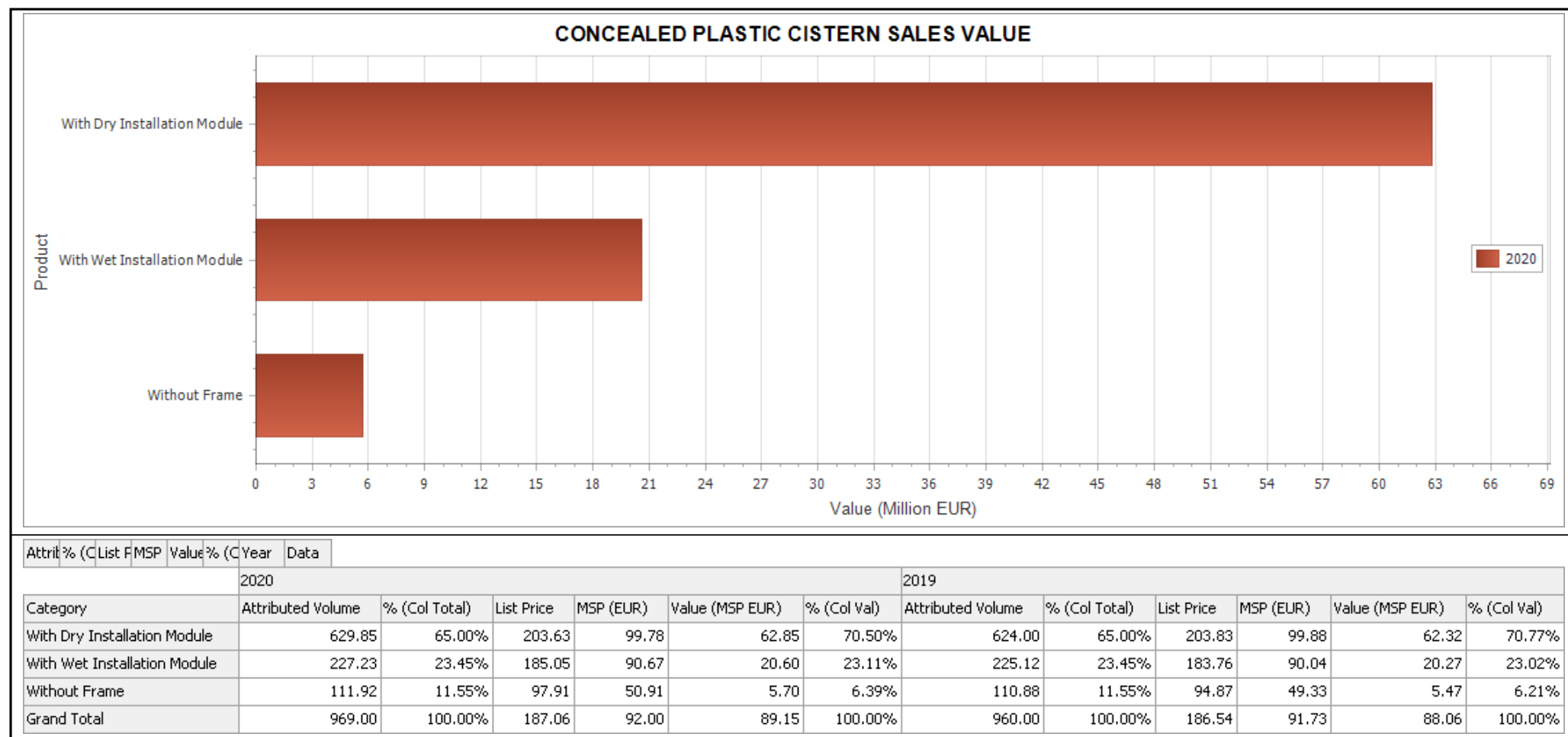
FR - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

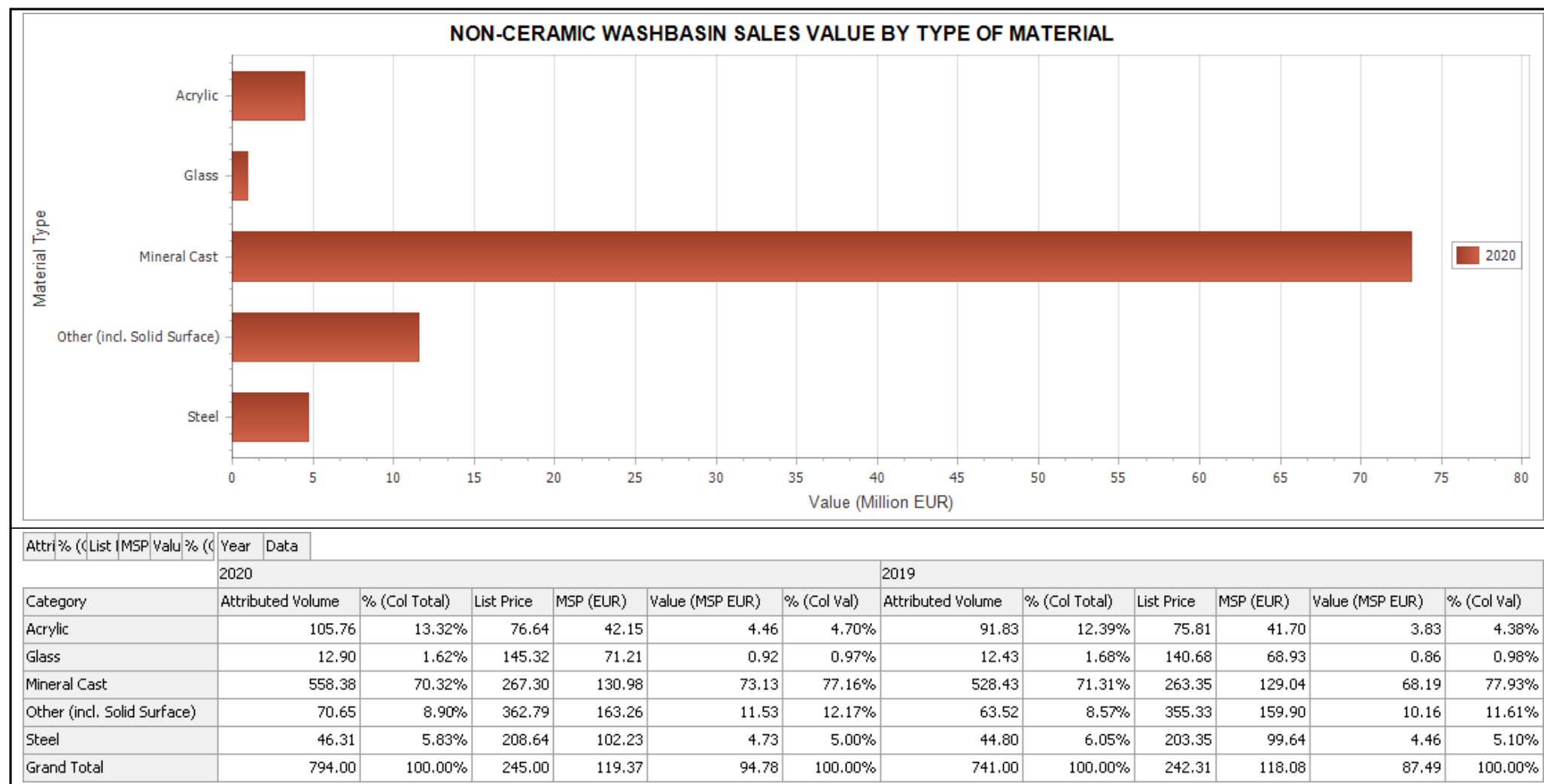
FR - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

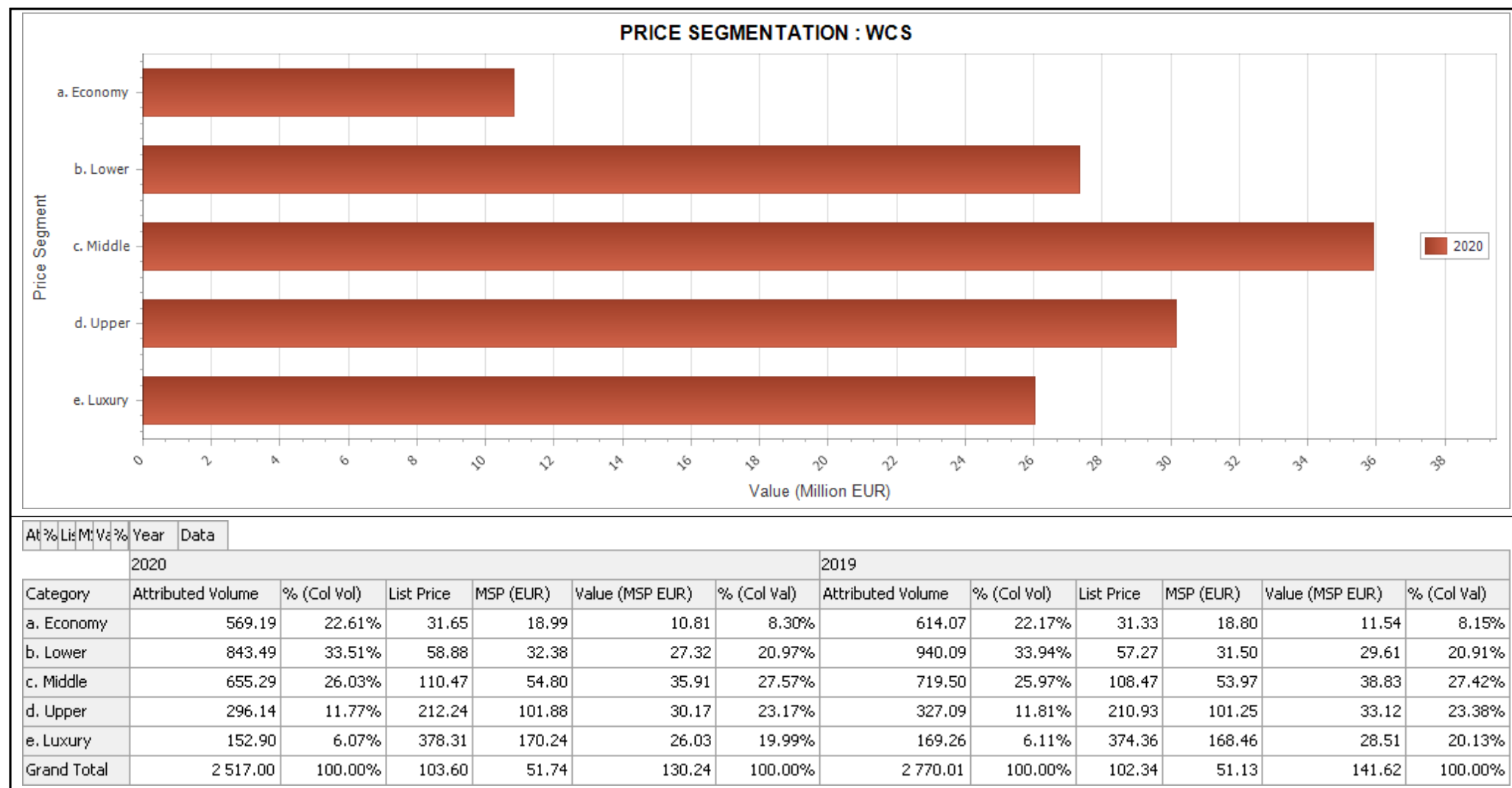
FR - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

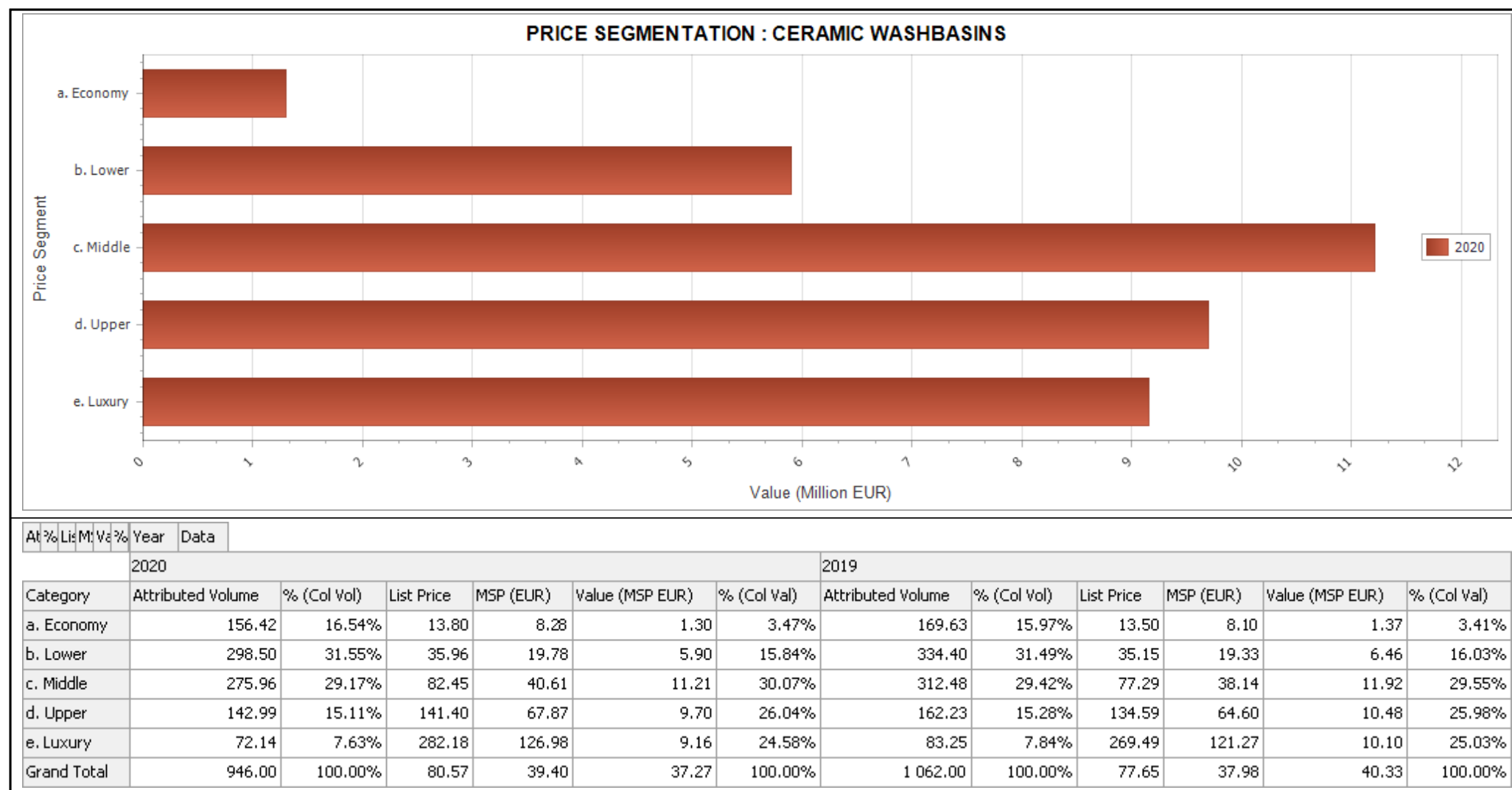
FR - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€80, Upper >€80-€120, Luxury >€120

2.3.7 Price Segmentation : Ceramic Washbasins

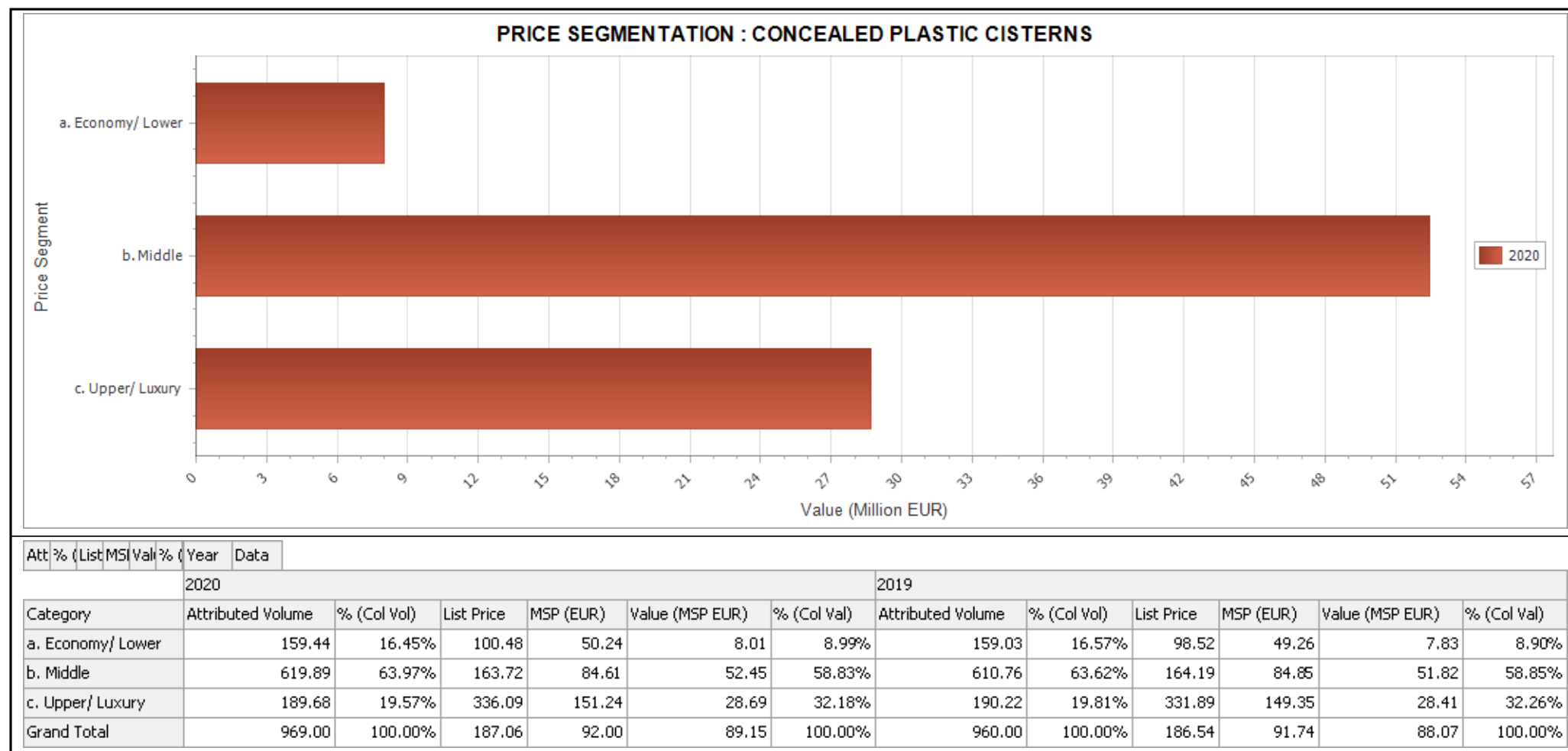
FR - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€30, Middle €30-€50, Upper >€50-€80, Luxury >€80

2.3.8 Price Segmentation : Concealed Plastic Cisterns

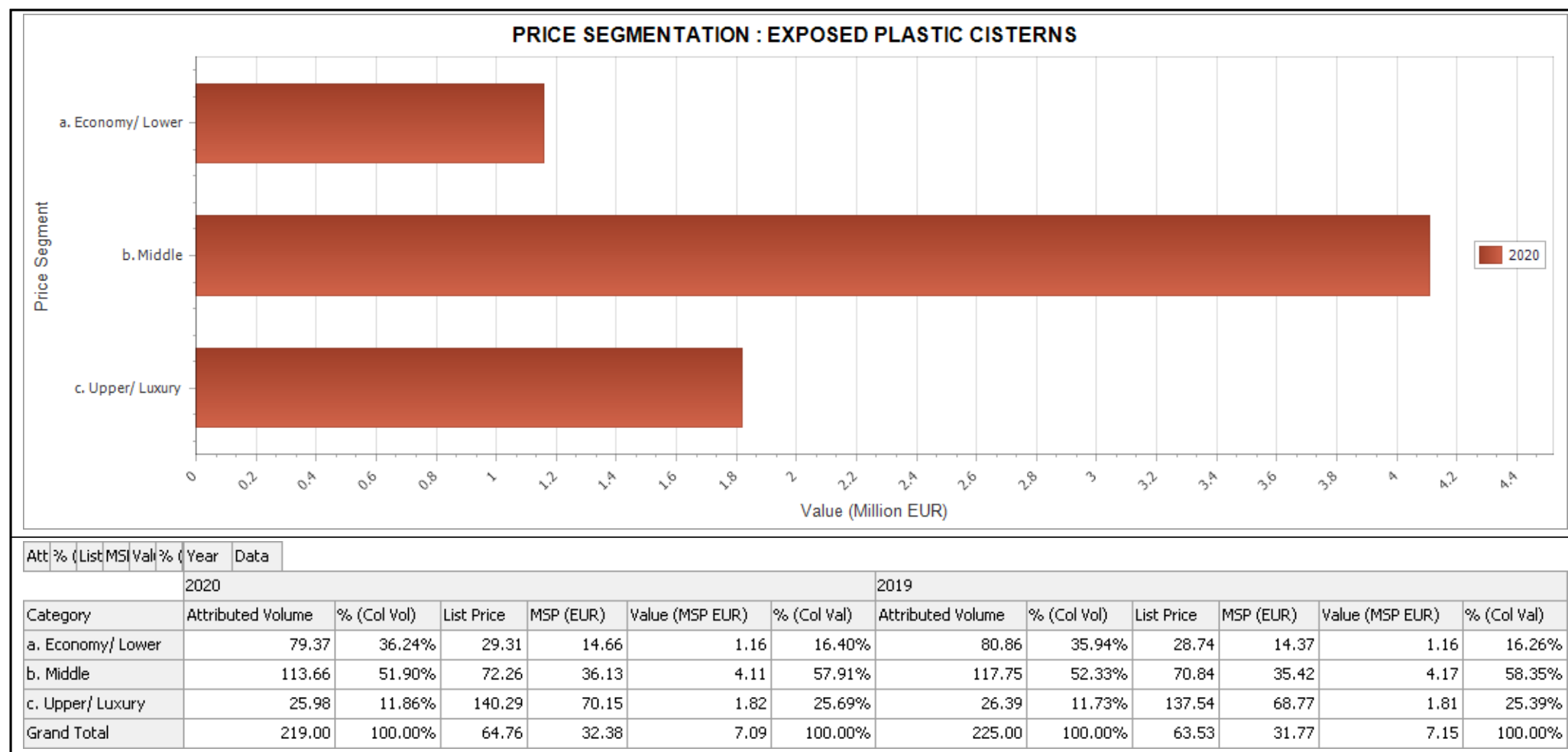
FR - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

2.3.9 Price Segmentation : Exposed Plastic Cisterns

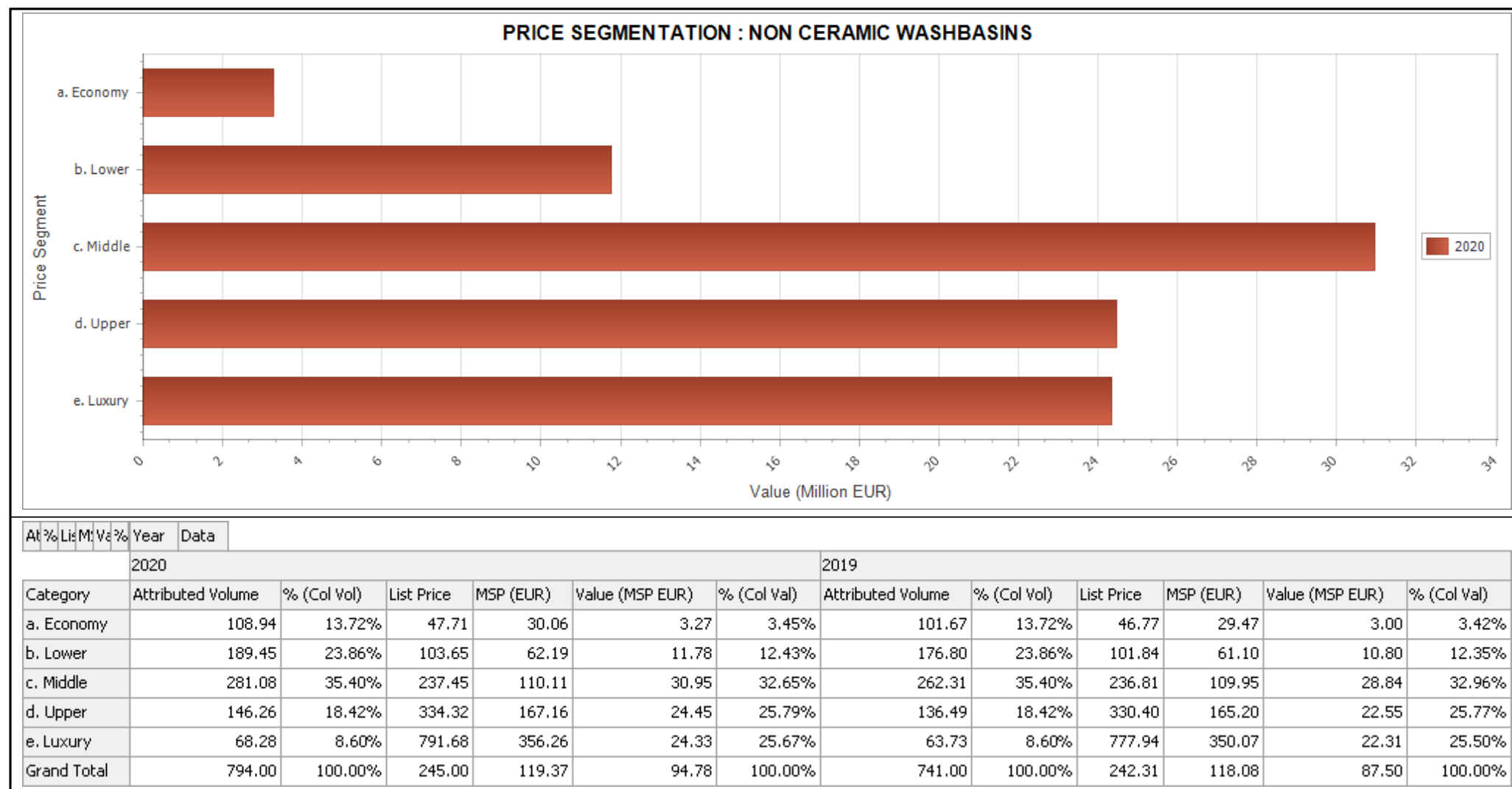
FR - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€40, Upper/ Luxury >€40

2.3.10 Price Segmentation : Non Ceramic Washbasins

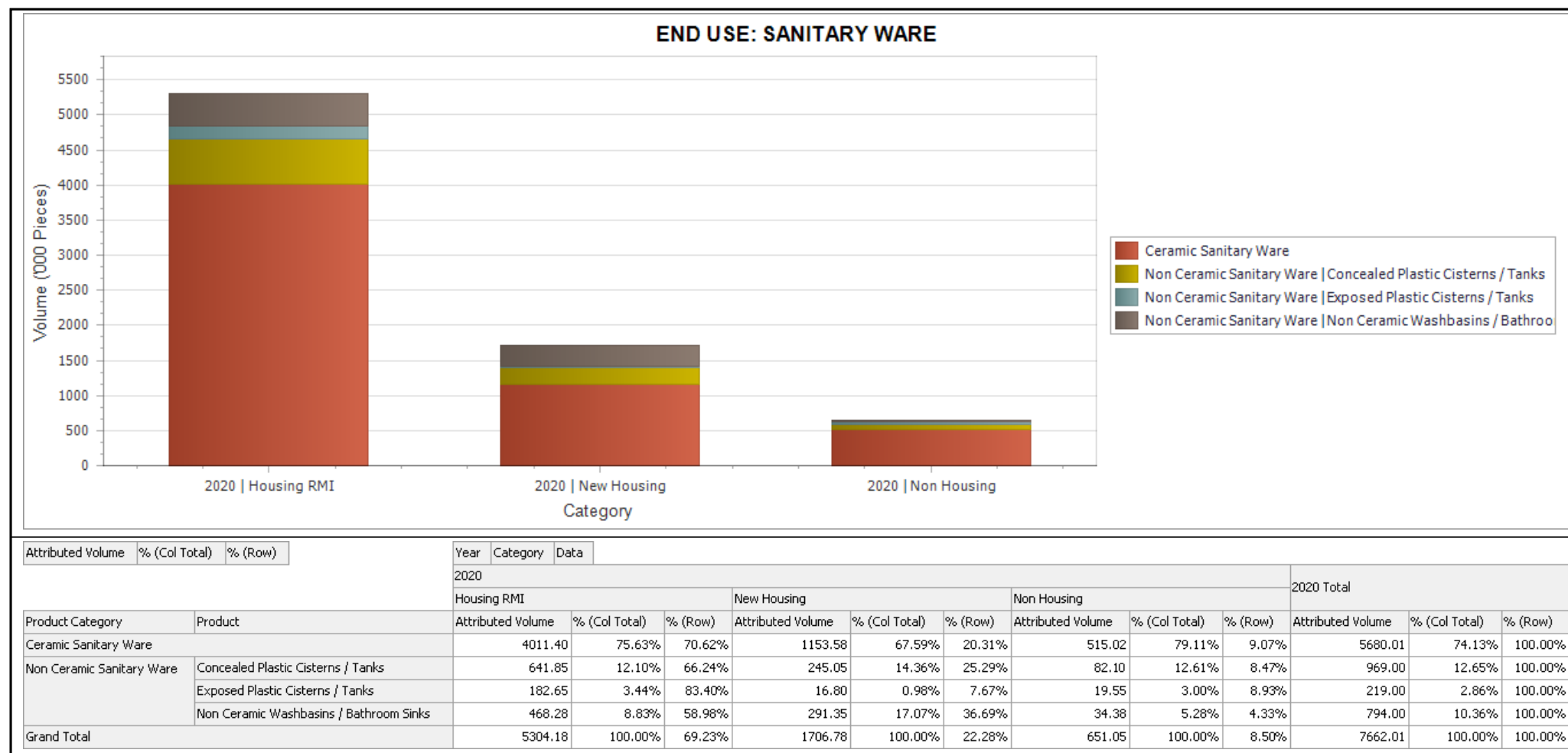
FR - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€80, Middle €80-€140, Upper >€140-€200, Luxury >€200

2.4.1 End Use : Base Year

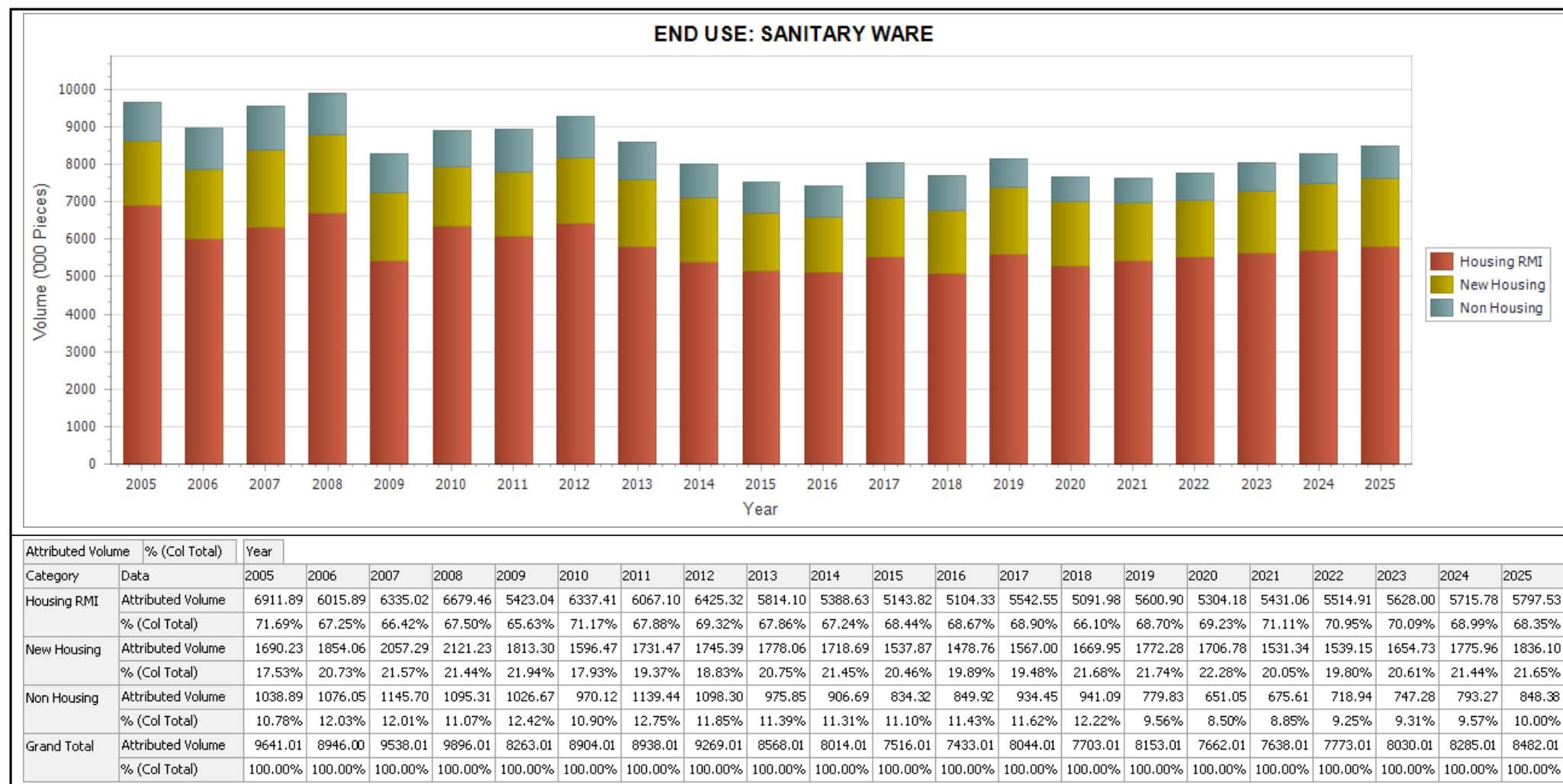
FR - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

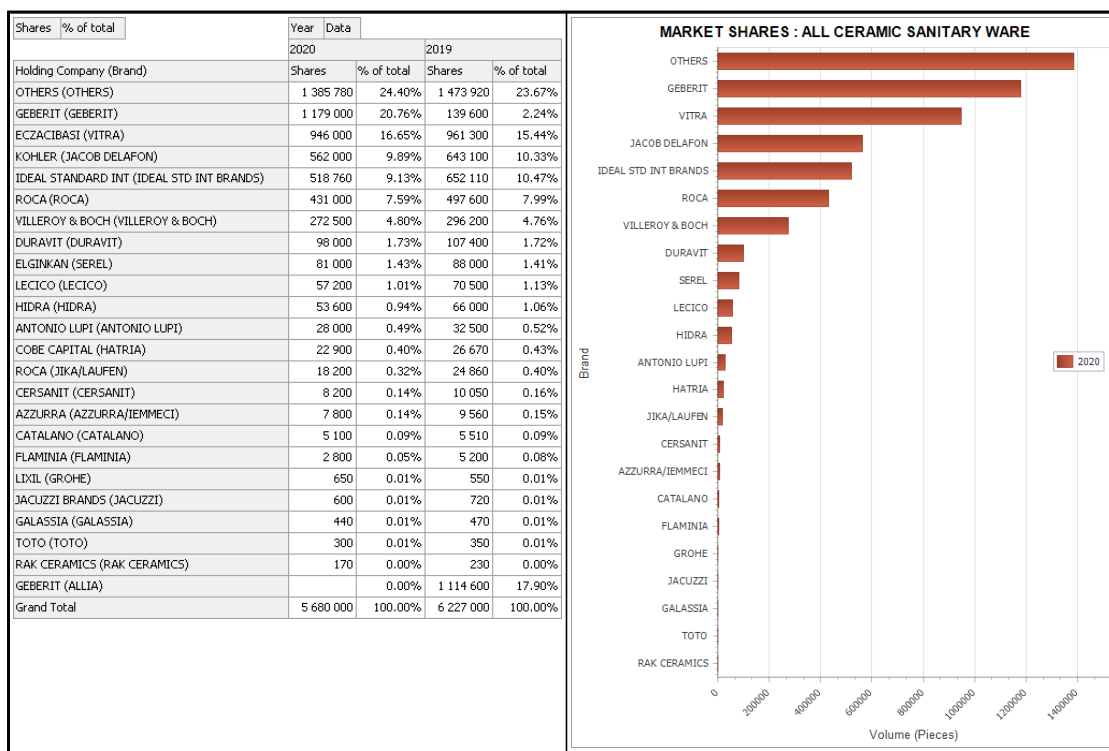
FR - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

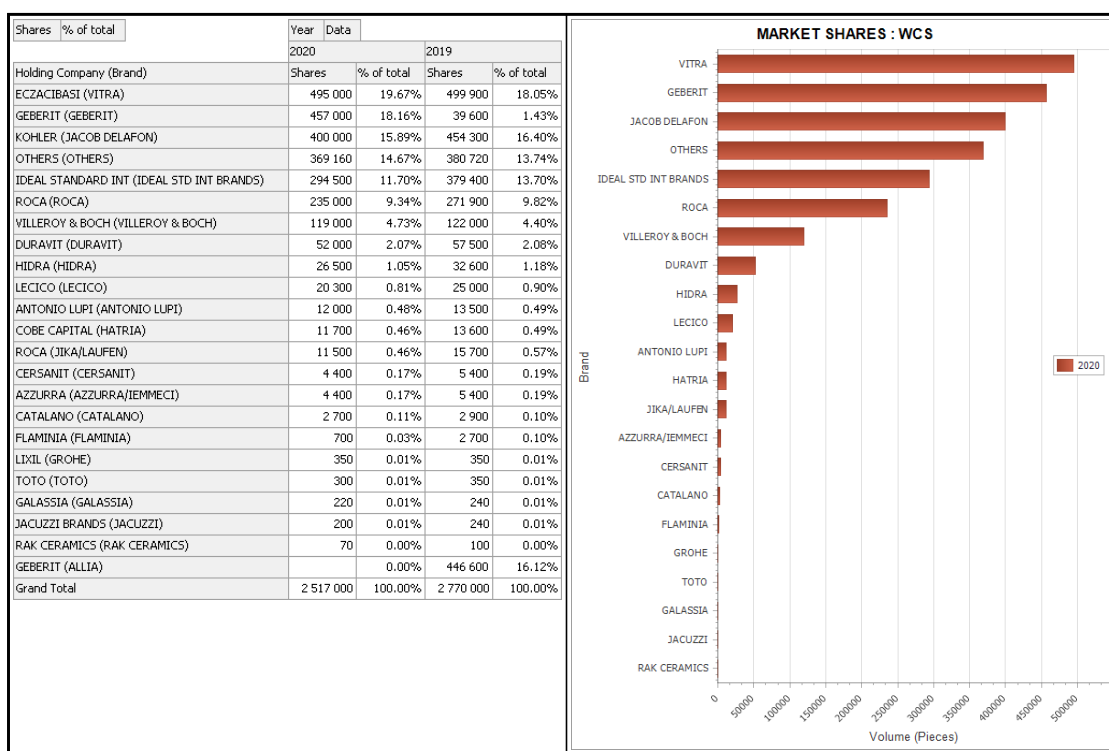
FR - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

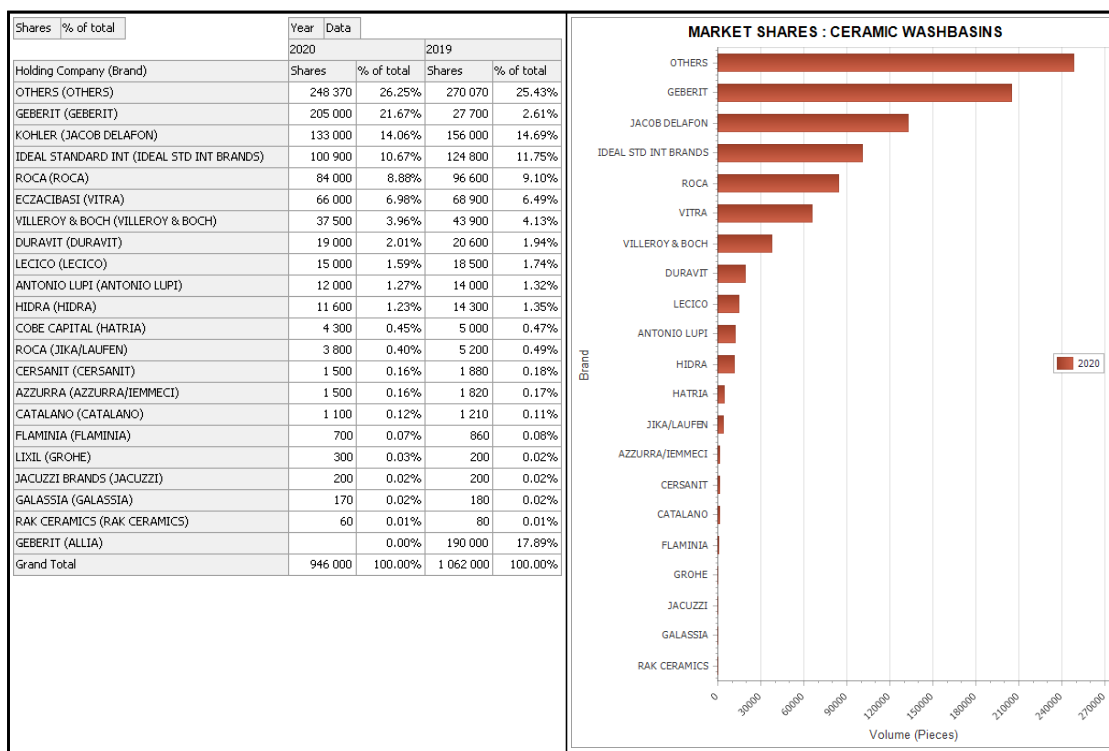
FR - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

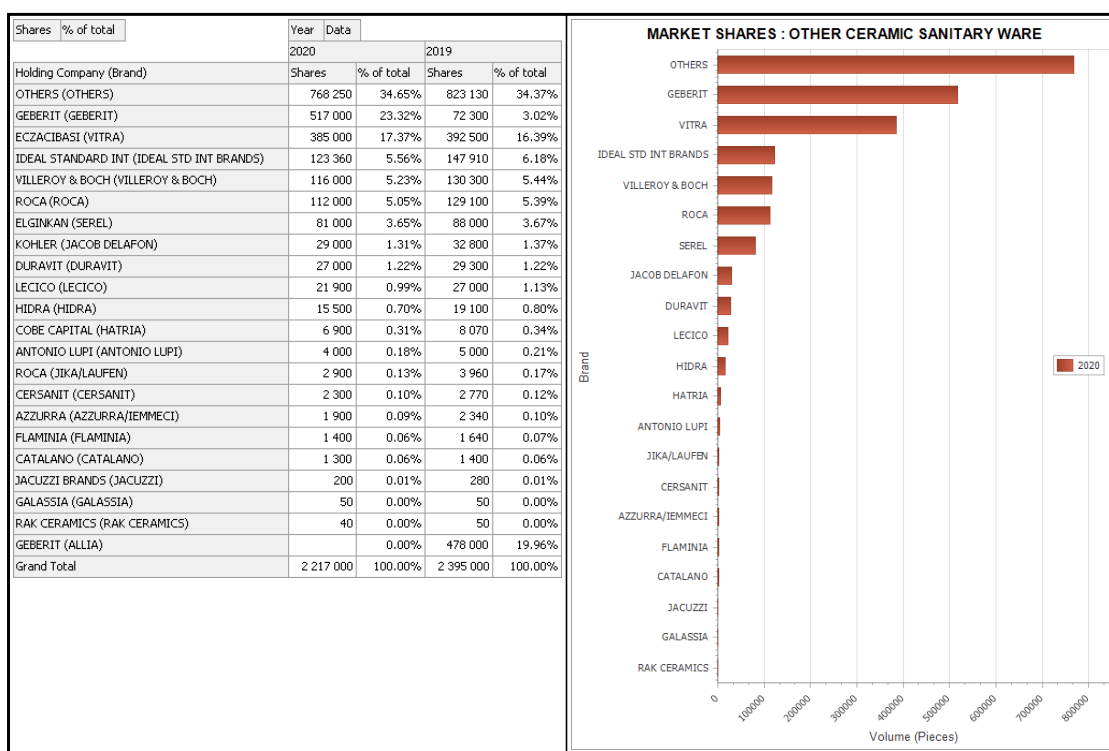
FR - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

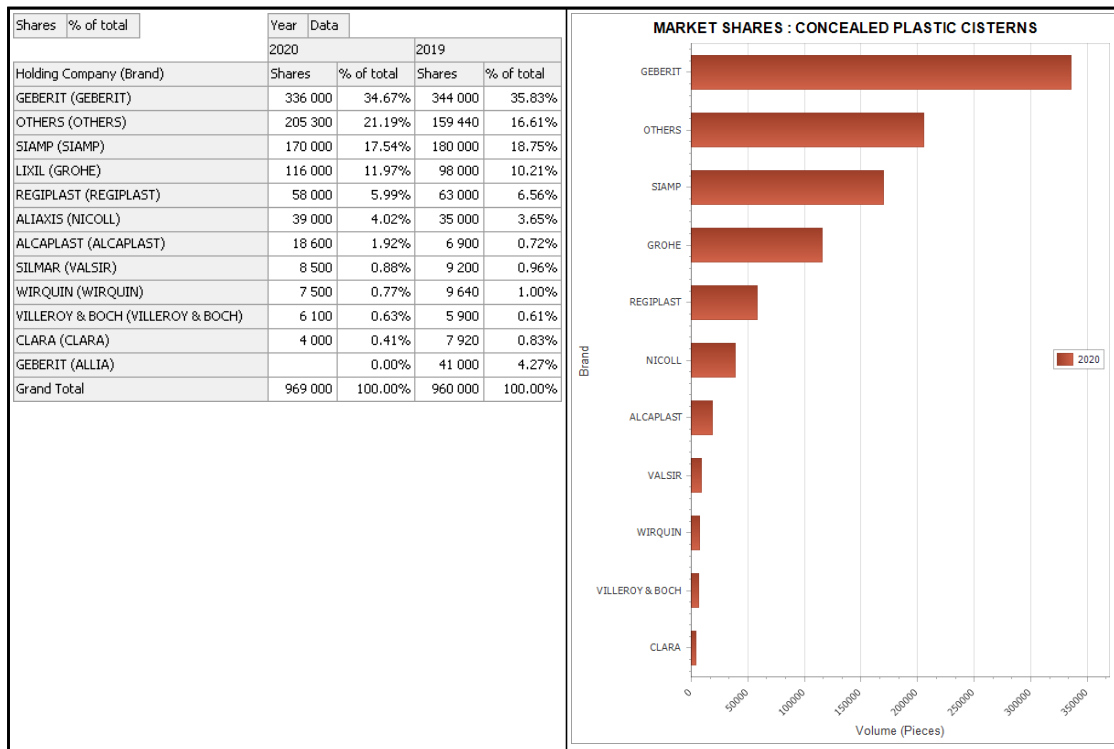
FR - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

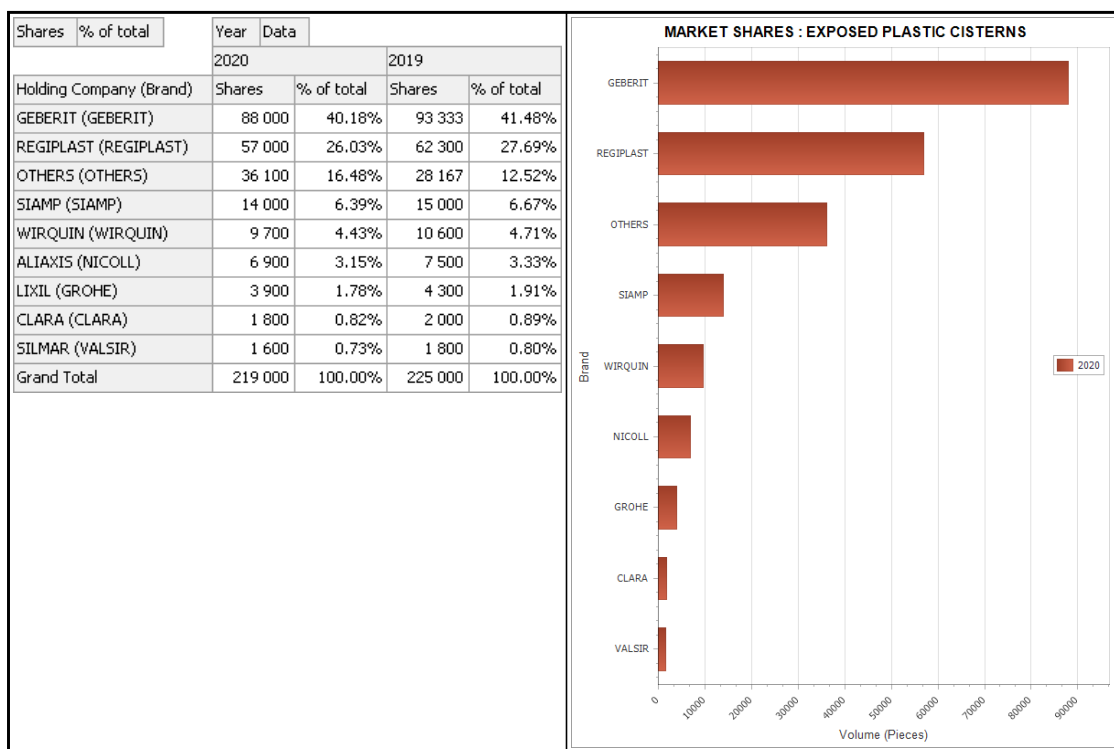
FR - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

FR - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 FR - IMPORTS OF ALL CERAMIC SANITARY WARE 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Turkey	25 975	20.4%	42 739	16.0%	26 051	19.3%	43 339	15.5%
China	24 642	19.3%	41 514	15.5%	25 013	18.6%	42 104	15.0%
Morocco	13 213	10.4%	23 112	8.6%	12 724	9.4%	21 022	7.5%
Germany	11 854	9.3%	39 225	14.7%	11 991	8.9%	41 303	14.7%
Poland	11 440	9.0%	19 146	7.2%	13 523	10.0%	22 764	8.1%
Portugal	10 022	7.9%	21 368	8.0%	11 334	8.4%	21 923	7.8%
Bulgaria	7 500	5.9%	12 793	4.8%	9 428	7.0%	16 766	6.0%
Italy	5 204	4.1%	18 110	6.8%	6 346	4.7%	20 187	7.2%
Spain	4 624	3.6%	13 707	5.1%	4 783	3.5%	13 666	4.9%
Egypt	2 788	2.2%	3 504	1.3%	1 186	0.9%	1 633	0.6%
Romania	2 117	1.7%	5 929	2.2%	1 722	1.3%	4 660	1.7%
OTHERS	8 177	6.4%	26 529	9.9%	10 646	7.9%	30 963	11.0%
Total	127 556	100.0%	267 676	100.0%	134 749	100.0%	280 330	100.0%

Source : Trademap

2.6.2 FR - EXPORTS OF ALL CERAMIC SANITARY WARE 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	5 517	48.0%	36 189	57.7%	6 587	48.0%	39 591	56.9%
Russian Federation	848	7.4%	2 611	4.2%	1 075	7.8%	3 061	4.4%
United Kingdom	716	6.2%	3 643	5.8%	1 046	7.6%	5 010	7.2%
Belgium	667	5.8%	2 647	4.2%	1 041	7.6%	3 919	5.6%
Spain	566	4.9%	2 332	3.7%	553	4.0%	2 583	3.7%
Italy	498	4.3%	2 691	4.3%	395	2.9%	2 040	2.9%
United States of America	367	3.2%	1 335	2.1%	434	3.2%	1 561	2.2%
New Caledonia	197	1.7%	834	1.3%	240	1.8%	881	1.3%
Netherlands	193	1.7%	1 321	2.1%	76	0.6%	696	1.0%
Morocco	162	1.4%	705	1.1%	316	2.3%	1 274	1.8%
Iraq	145	1.3%	41	0.1%	0	0.0%	0	0.0%
OTHERS	1 616	14.1%	8 337	13.3%	1 965	14.3%	8 993	12.9%
Total	11 493	100.0%	62 686	100.0%	13 728	100.0%	69 609	100.0%

Source : Trademap

2.6.3 FR - IMPORTS OF PLASTIC CISTERNS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	7 710	51.3%	42 993	50.8%	7 988	54.4%	47 219	55.0%
Turkey	1 555	10.3%	4 543	5.4%	1 295	8.8%	3 803	4.4%
China	1 382	9.2%	7 445	8.8%	898	6.1%	4 246	4.9%
Italy	967	6.4%	6 238	7.4%	1 046	7.1%	6 466	7.5%
Spain	741	4.9%	5 312	6.3%	477	3.2%	3 180	3.7%
Portugal	476	3.2%	2 774	3.3%	406	2.8%	2 538	3.0%
United Kingdom	431	2.9%	4 591	5.4%	444	3.0%	4 641	5.4%
Romania	295	2.0%	1 138	1.3%	416	2.8%	1 418	1.7%
Poland	273	1.8%	1 032	1.2%	428	2.9%	1 492	1.7%
Czech Republic	260	1.7%	1 473	1.7%	93	0.6%	663	0.8%
Netherlands	216	1.4%	1 320	1.6%	367	2.5%	4 230	4.9%
OTHERS	733	4.9%	5 756	6.8%	817	5.6%	5 970	7.0%
Total	15 040	100.0%	84 615	100.0%	14 674	100.0%	85 866	100.0%

Source : Trademap

2.6.4 FR - EXPORTS OF PLASTIC CISTERNS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
United Kingdom	715	23.7%	6 330	23.1%	734	22.6%	8 386	25.7%
Turkey	332	11.0%	2 695	9.9%	270	8.3%	2 294	7.0%
Belgium	306	10.1%	2 953	10.8%	329	10.1%	3 431	10.5%
Luxembourg	147	4.9%	1 072	3.9%	24	0.7%	283	0.9%
Poland	145	4.8%	1 126	4.1%	161	5.0%	1 634	5.0%
Spain	139	4.6%	1 193	4.4%	96	2.9%	1 229	3.8%
Netherlands	109	3.6%	1 491	5.5%	107	3.3%	1 336	4.1%
French Polynesia	91	3.0%	419	1.5%	61	1.9%	322	1.0%
Morocco	86	2.8%	945	3.5%	182	5.6%	1 794	5.5%
Czech Republic	79	2.6%	489	1.8%	29	0.9%	188	0.6%
Egypt	77	2.5%	534	2.0%	22	0.7%	146	0.4%
OTHERS	797	26.3%	8 099	29.6%	1 237	38.0%	11 542	35.4%
Total	3 025	100.0%	27 346	100.0%	3 252	100.0%	32 585	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
FR - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2020

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																																																																															
Manufacturers / Importers																																																																																																										
100.0%																																																																																																										
Wholesale Level	<table><tr><td colspan="5">83.7%</td></tr><tr><td colspan="5">Wholesalers / Merchants</td></tr><tr><td colspan="5">83.7%</td></tr></table>					83.7%					Wholesalers / Merchants					83.7%																																																																																										
83.7%																																																																																																										
Wholesalers / Merchants																																																																																																										
83.7%																																																																																																										
Retail Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>0.9%</td><td>3.8%</td></tr><tr><td colspan="2">Internet Retailers</td></tr><tr><td colspan="2">4.6%</td></tr></table>		Manufacturer	Wholesaler	0.9%	3.8%	Internet Retailers		4.6%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>10.1%</td><td>24.0%</td></tr><tr><td colspan="2">DIY Retailers</td></tr><tr><td colspan="2">34.1%</td></tr></table>		Manufacturer	Wholesaler	10.1%	24.0%	DIY Retailers		34.1%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>2.6%</td><td>6.0%</td></tr><tr><td colspan="2">Specialist Retailers</td></tr><tr><td colspan="2">8.6%</td></tr></table>		Manufacturer	Wholesaler	2.6%	6.0%	Specialist Retailers		8.6%																																																																													
Manufacturer	Wholesaler																																																																																																									
0.9%	3.8%																																																																																																									
Internet Retailers																																																																																																										
4.6%																																																																																																										
Manufacturer	Wholesaler																																																																																																									
10.1%	24.0%																																																																																																									
DIY Retailers																																																																																																										
34.1%																																																																																																										
Manufacturer	Wholesaler																																																																																																									
2.6%	6.0%																																																																																																									
Specialist Retailers																																																																																																										
8.6%																																																																																																										
<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td></tr><tr><td>1.6%</td><td>42.4%</td><td>0.7%</td><td>11.9%</td><td>2.1%</td></tr><tr><td colspan="5">Installers</td></tr><tr><td colspan="5">58.8%</td></tr></table>						Manufacturer	Wholesaler	Internet	DIY	Specialist	1.6%	42.4%	0.7%	11.9%	2.1%	Installers					58.8%																																																																																					
Manufacturer	Wholesaler	Internet	DIY	Specialist																																																																																																						
1.6%	42.4%	0.7%	11.9%	2.1%																																																																																																						
Installers																																																																																																										
58.8%																																																																																																										
End Use Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>0.8%</td><td>6.8%</td><td>3.9%</td><td>21.7%</td><td>6.4%</td><td>51.3%</td></tr><tr><td colspan="6">Residential</td></tr><tr><td colspan="6">90.9%</td></tr><tr><td colspan="3">New Build</td><td colspan="3">Residential RMI</td></tr><tr><td colspan="3">20.3%</td><td colspan="3">70.6%</td></tr><tr><td>Project</td><td>Non-Project</td><td>Project</td><td>Non-Project</td><td>Project</td><td>Non-Project</td></tr><tr><td>11.2%</td><td>9.1%</td><td>5.5%</td><td>65.1%</td><td></td><td></td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	0.8%	6.8%	3.9%	21.7%	6.4%	51.3%	Residential						90.9%						New Build			Residential RMI			20.3%			70.6%			Project	Non-Project	Project	Non-Project	Project	Non-Project	11.2%	9.1%	5.5%	65.1%			<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>0.3%</td><td>0.7%</td><td>0.0%</td><td>0.5%</td><td>0.0%</td><td>7.6%</td></tr><tr><td colspan="6">Non-Residential</td></tr><tr><td colspan="6">9.1%</td></tr><tr><td colspan="3">New Build</td><td colspan="3">Non-Residential RMI</td></tr><tr><td colspan="3">3.3%</td><td colspan="3">5.8%</td></tr><tr><td>Project</td><td>Non-Project</td><td>Project</td><td>Non-Project</td><td>Project</td><td>Non-Project</td></tr><tr><td>1.8%</td><td>1.5%</td><td>2.3%</td><td>3.5%</td><td></td><td></td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	0.3%	0.7%	0.0%	0.5%	0.0%	7.6%	Non-Residential						9.1%						New Build			Non-Residential RMI			3.3%			5.8%			Project	Non-Project	Project	Non-Project	Project	Non-Project	1.8%	1.5%	2.3%	3.5%		
Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																																																																					
0.8%	6.8%	3.9%	21.7%	6.4%	51.3%																																																																																																					
Residential																																																																																																										
90.9%																																																																																																										
New Build			Residential RMI																																																																																																							
20.3%			70.6%																																																																																																							
Project	Non-Project	Project	Non-Project	Project	Non-Project																																																																																																					
11.2%	9.1%	5.5%	65.1%																																																																																																							
Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																																																																					
0.3%	0.7%	0.0%	0.5%	0.0%	7.6%																																																																																																					
Non-Residential																																																																																																										
9.1%																																																																																																										
New Build			Non-Residential RMI																																																																																																							
3.3%			5.8%																																																																																																							
Project	Non-Project	Project	Non-Project	Project	Non-Project																																																																																																					
1.8%	1.5%	2.3%	3.5%																																																																																																							

2.7.2 Route to Market: Ceramic Sanitary Ware
FR - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2025

Manufacturer / Importer	Manufacturers / Importers				
	100.0%				
Wholesale Level	82.2%				
	Wholesalers / Merchants				
	82.2%				
Retail Level	Manufacturer		Wholesaler		
	1.4%		4.3%		
	Internet Retailers				
	5.8%				
	Manufacturer		Wholesaler		
	10.0%		23.9%		
	DIY Retailers				
	33.9%				
	Manufacturer		Wholesaler		
	2.4%		5.3%		
Specialist Retailers					
7.8%					

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

FR - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2020

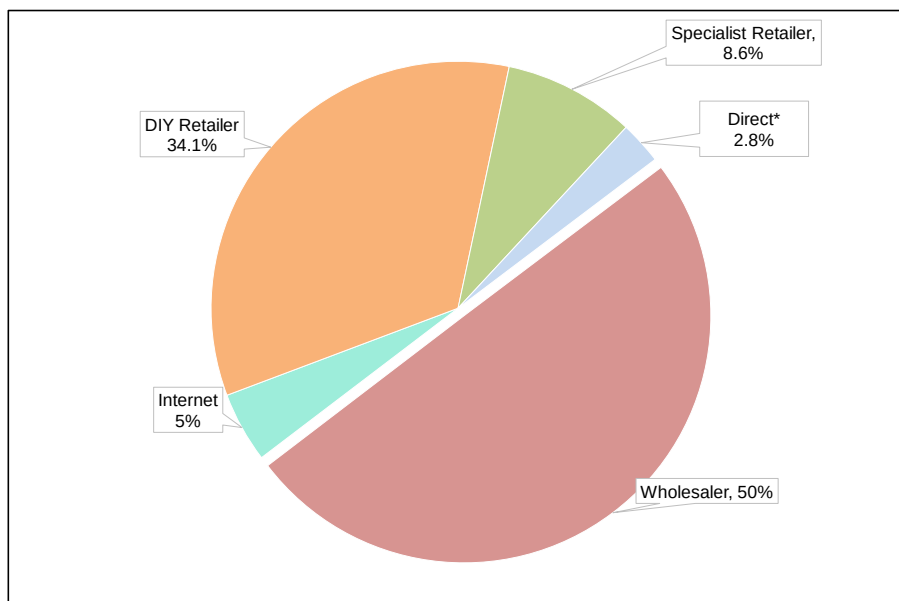
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
49.9%	4.6%	34.1%	8.6%	2.8%	16.7%	4.1%	74.2%	4.9%
100%					20.8%		79.2%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

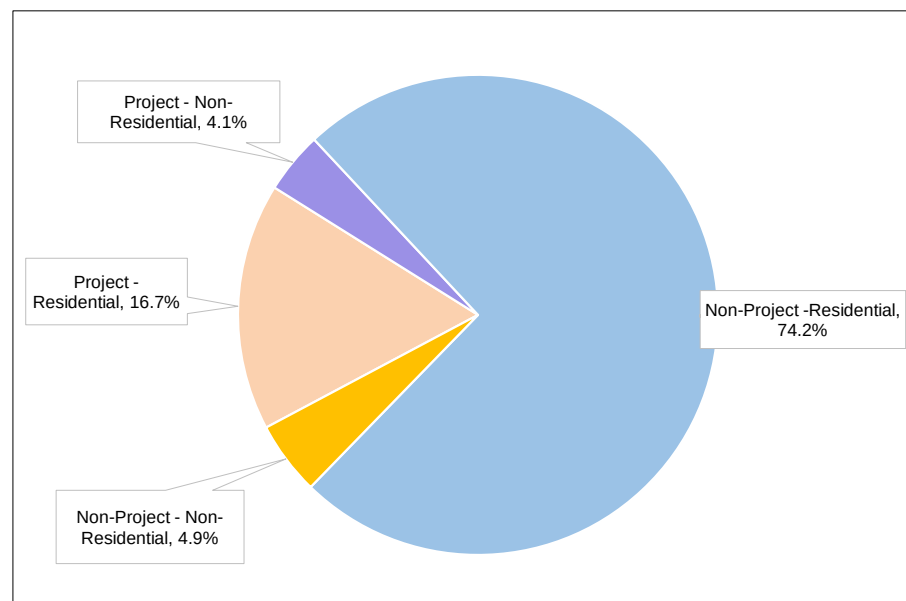
FR - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
48.7%	5.8%	33.9%	7.8%	3.9%	15.9%	4.1%	73.4%	6.5%
100%					20.0%		80.0%	

FR - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
FR - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

83.1%	
Wholesalers / Merchants	
83.1%	

Retail Level

Manufacturer	Wholesaler
0.5%	2.3%
Internet Retailers	
2.8%	

Manufacturer	Wholesaler
3.3%	1.5%
DIY Retailers	
4.7%	

Manufacturer	Wholesaler
8.0%	2.2%
Specialist Retailers	
10.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.2%	65.5%	0.4%	0.7%	2.6%
Installers				
70.4%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
2.2%	10.6%	2.4%	4.0%	7.7%	64.6%
Residential					
91.4%					
New Build			Residential RMI		
22.0%			69.4%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
12.1%	9.9%	5.4%	64.0%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.8%	1.0%	0.0%	0.0%	0.0%	5.8%
Non-Residential					
8.6%					
New Build			Non-Residential RMI		
3.9%			4.7%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
2.1%	1.7%	2.1%	2.6%		

2.7.6 Route to Market: Plastic Cisterns
FR - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2025

Manufacturer / Importer	Manufacturers / Importers				
	100.0%				
Wholesale Level	82.6%				
	Wholesalers / Merchants				
	82.6%				
Retail Level	Manufacturer		Wholesaler		
	0.8%		2.6%		
	Internet Retailers				
	3.5%				
	Manufacturer		Wholesaler		
	3.2%		1.5%		
	DIY Retailers				
	4.7%				
	Manufacturer		Wholesaler		
	7.6%		1.9%		
Specialist Retailers					
9.5%					

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

FR - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2020

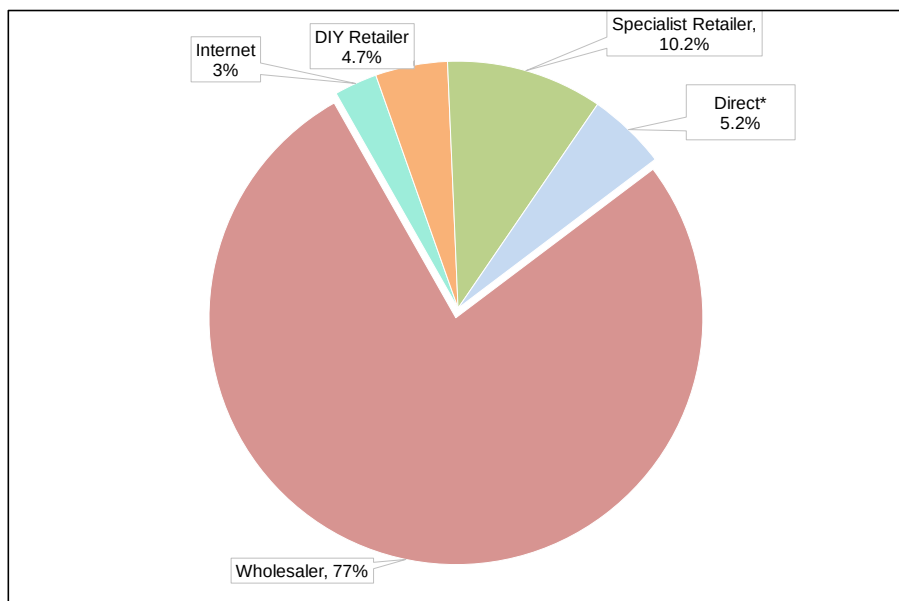
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
77.1%	2.8%	4.7%	10.2%	5.2%	17.5%	4.3%	73.9%	4.3%
100%					21.8%		78.2%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

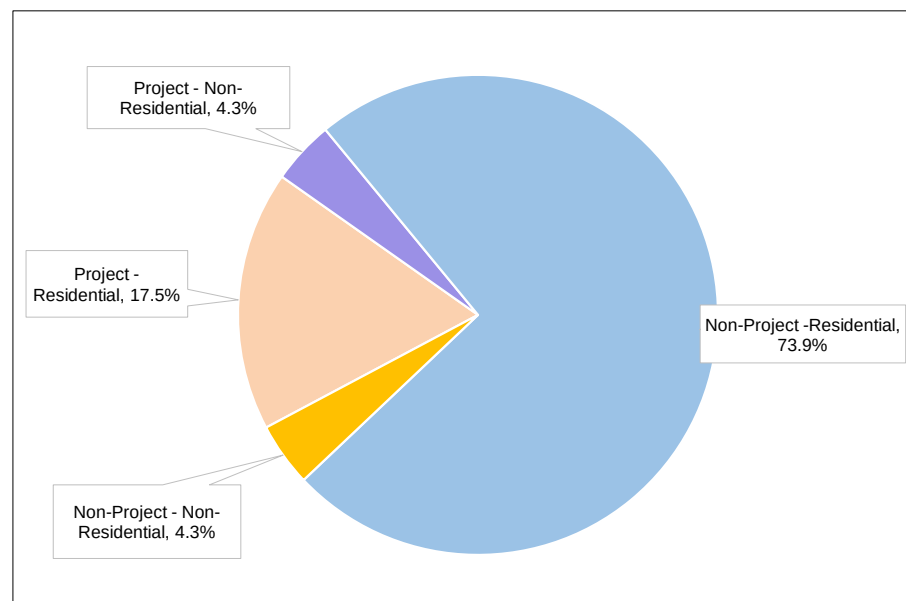
FR - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
76.5%	3.5%	4.7%	9.5%	5.7%	18.1%	4.7%	71.7%	5.5%
100%					22.8%		77.2%	

FR - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2020



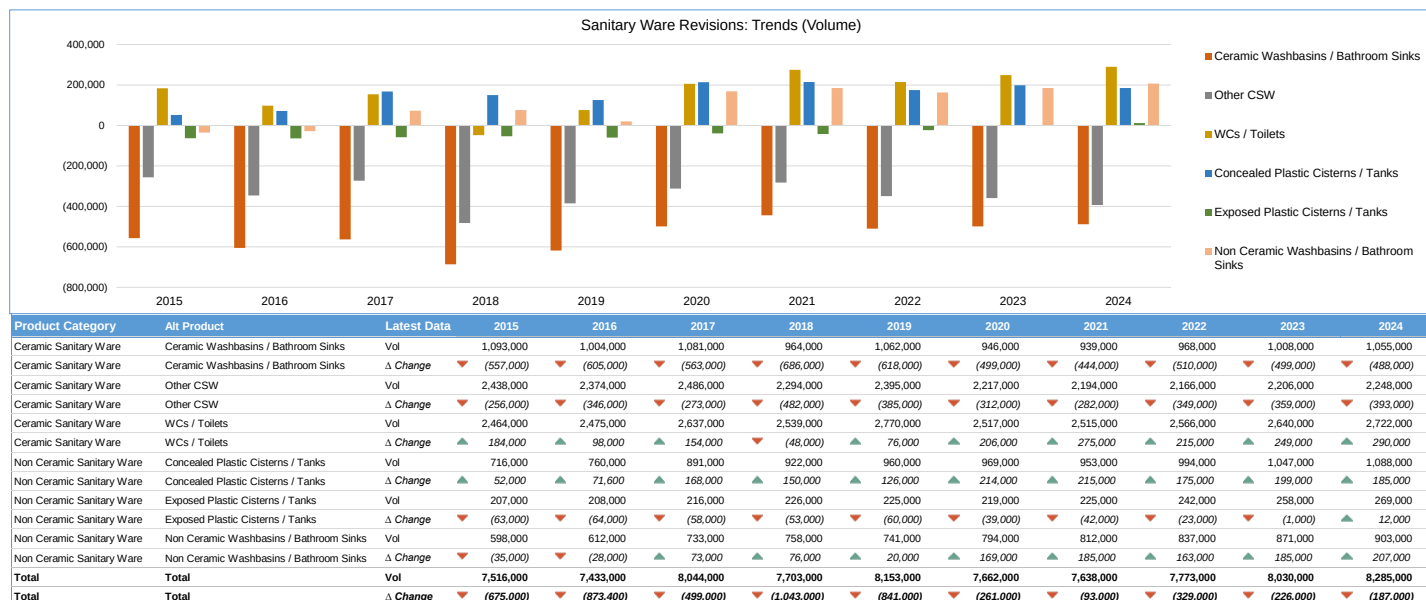
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the French Sanitary Ware Market (April 2021)

FR - REVISIONS IN THE FRENCH SANITARY WARE MARKET

Data Comparison: October 2020



Significant downward revisions have been made to the market size for ceramic sanitary ware. This downward revision is mostly the result of an overestimation of Chinese imports, which have been reduced strongly. Although Chinese imports have grown considerably over the last 15 years, its share never exceeded 20% of total domestic supply, with Chinese imports accounting for 19.3% of total imports in 2020 (compared to 18.6% of imports in 2019). Most CSW aimed at the French market remains to be produced in Europe or North Africa. Imports of CSW on the French market has almost grown consistently over the last 15 years, which is not only due to growing demand but also because many domestic manufacturers, such as KOHLER, GEBERIT and IDEAL STANDARD, have closed their production sites in France, with many of these moved to Poland, Bulgaria or Morocco.

The market sizes for both types of cisterns were revised for the entire period, with concealed cisterns revised up and exposed plastic cisterns revised down. Concealed cisterns were revised up due to an underestimation in imports from Germany, Italy and Portugal, whereas exposed cisterns were revised down due to the fact that sales of exposed cisterns should have fallen faster than previously indicated, especially since in France close coupled cisterns continue to hold a significant share, combined with the fact that wall hung WC, using concealed cisterns are still gaining share.

Upward revisions were made to the historical market size for non-ceramic washbasins, mostly mineral cast, for the 2005 to 2020 period, apart from 2014 to 2016 for which these were revised down. The French bathroom furniture is characterised by a very high share of base units fitted with a non-ceramic washbasin, also explaining why ceramic washbasins hold such a low share on the overall CSW market, and the share was previously underestimated, resulting in an upward revision. Most dedicated bathroom furniture manufacturers predominantly sell mineral cast washbasins, whereas most ceramic manufacturers that also offer bathroom furniture, such as VILLEROY & BOCH, GEBERIT (the former ALLIA) and DURAVIT, still mostly sell ceramic countertop basins with their furniture range.

Minor upward revisions were made to the MSP for both ceramic washbasins and WCs. This is mostly because of revisions made to sales per price segment, with an increase in sales to the lower to middle price segment and a downward revision in sales to the economy price segment. The French market can be considered a low to middle price segment, with the majority of sales achieved in the lower and middle price ranges. Prices remain fairly low, especially compared to Germany and the Netherlands, due to the importance of the French DIY sector.

The MSP for Other CSW was revised up due to upward revisions in the MSP for ceramic shower trays and urinals, affecting the overall MSP since MSPs for these two products were considered to be too low.

FRANCE

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The overall taps and mixers market has benefitted from the democratisation of one-head and thermostatic mixers in recent years, away from pillar taps and two-head mixers. Historically, the trend shows ongoing underlying growth, positively driven by the consumers' desire to improve their taps' and mixers' efficiency and quality. However, the taps and mixers market remains highly sensitive to any changes occurring in new build, and relies partly on the dynamism of the renovation market.

The two-head mixers segment (*mélangeurs*) long dominated the French market before one-head mixer sales (*mitigeurs*) developed considerably, encouraged by DIY stores through low retail prices, and outstripped the volume of two-head mixers sold in the late 1990s. Growth in sales of one-head mixers came especially from their strategic positioning in DIY. Therefore, the development of one-head mixers originally came from a move away from the upper and middle price segments towards the lower and economy price segments.

Meanwhile, the thermostatic mixers segment has enjoyed growing popularity in France over the past few years, especially due to aesthetic and water-saving concerns. Furthermore, sales of this type of mixer have benefitted from some displacement from two-head mixers.

Pillar taps are mainly used in France for cold water applications (they are hardly ever fitted in pairs, unlike in the UK) and have not proved popular, because they are mostly used for water points installed in some other parts of the house (such as garages, toilets, utility rooms and bedrooms).

In addition, sales of electronic taps and mixers in public spaces are increasingly associated with good hygiene and water saving, but they have found little success in residential bathrooms so far and, therefore, have remained a niche market in France. Self-closing taps have also been historically designed for the non-housing market and installed mainly in public spaces such as commercial buildings, hospitals and schools. The particularity of self-closing taps is that they turn themselves off after a set period of time. This is especially useful in commercial situations where water saving is of the utmost importance. It also reduces the risk of people leaving the tap on and flooding the area. Originally the large majority of models were manual, but there has been a shift towards automatic or contactless models in France.

Recently, specialist manufacturers of taps and mixers, to differentiate their offers, have gradually focused their development on innovative products – not only in terms of design and colours but also with the aim of reducing the consumption of water and energy. In fact, some manufacturers have developed new tap and mixer models in order to obtain the French certification for taps and mixers (NF *robinetterie*). Initially, there was the certification C2 for one head mixers' cartridges that helped to reduce the water flow of mechanical mixers by 50%. Then, as part of

the RT 2012 (thermal legislation), the certification C3 was introduced for cartridges that, on top of being water-saving, added energy savings of up to 5% (2 kWh/m²/year) for one-head and thermostatic models. Finally, on 1 January 2014, the classification CH3 was introduced for cartridges of thermostatic and one-head models that help to reduce the flow of water from 9-12 litres/min to 5-6 litres/min.

Finally, flushing valves, either urinals or WCs, are substitute products for ceramic or plastic cisterns. As they are directly connected to water pipes, flushing valves require a high pressure in the pipe work that cannot be achieved in all residential dwellings. Therefore, these system types are often used in commercial and public buildings, including airports, schools and hotels, and are considered to be hygienic and water-saving solutions.

Recent Market Trends

The French taps and mixers market suffered from a decline in sales in 2020. The market was negatively impacted by the sharp decrease of total completions in both apartments and individual housing. As a matter of fact, French household consumption dropped in 2020 in parallel to the drop of the population's confidence regarding the economy of their country. Therefore, sales of taps and mixers decreased in 2020 along with a decline in sales in all end-use segments, mainly in the renovation segment, which accounts for the majority of sales. The rate of sales decline in the non-housing segment was the highest when compared to both the new housing and the RMI segments.

At the same time, the pandemic has altered the life pace of French people. With more time spent in their homes, people have chosen to undertake home improvements. The DIY sector benefitted from the overall situation and was the best solution for the French people, who decided to take on home works on their own.

Regarding the application of taps and mixers, washbasins accounted for the largest share in overall installations, reflecting the highest number of washbasins installed in dwellings. Taps and mixers are mainly installed in the RMI segment due to the shorter lifespans of the product when compared to other bathroom products. Indeed, the purchase of a new mixer is often coupled with the product of application. All the applications account for a majority of one-head mixers, except for the shower segment – which has an increasing importance for thermostatic products.

Sales of kitchen taps and mixers decreased in 2020, being negatively affected by all end-use sectors, especially new housing due to the drastic decline of the number of new completions. The overall decrease of baths was driven by both the new housing and non-housing segments. As mentioned previously, non-housing activity is going toward showering at the expense of baths. Concerning the taps and mixers installed with bidets, the overall market decreased in 2020 along with the sharp decrease of the new housing market.

The product mix in the French taps and mixers market continued to be strongly dominated by sales of one-head mixers in 2020, and they remained the most popular models across all end-use sectors. On the other hand, sales of two-head mixers continued to follow an opposite pattern and went down during the course of the year. The thermostatic mixers segment was negatively impacted by the sales decline in the new housing segment, and it recorded a drop of sales. BRG believes that, during the last few years, thermostatic models have been gradually becoming the standard in new housing and are replacing one-head and two-head mixers in the renovation segment for shower applications, sold alone or as part of a shower system. When the market recovers from the COVID-19 side effects, this trend should be supported by the wider availability of thermostatic models at affordable prices – via internet and DIY stores – and grow further in the French market.

Sales of electronic taps and mixers, which have found little success in the residential bathroom market, also decreased in 2020 due to low demand from the non-residential sector. However, sales of electronic taps and mixers are believed to be increasing in the residential market, despite the fact that these models are still disadvantaged by an expensive retail price when compared to one-head and two-head taps and mixers, for instance. Electronic and self-closing taps and mixers are mainly sold in collective equipment markets, such as restaurants and hotels, and are positioned in the highest price segment. Demand for self-closing model taps and mixers followed the overall trend of the non-housing segment and declined in 2020. Nevertheless, the self-closing mixers' presence in the French market was limited by the fact that these models have not yet penetrated the kitchen taps and mixers market, wherein the limitation of water flow is perceived as secondary and products have higher price levels when compared to one-head taps and mixers, for instance.

In recent years, the concealed taps and mixers segment has gradually increased in France, taking share from exposed models and being driven by new construction markets. BRG believes that the dependency of the concealed models on the performance of the new construction market was confirmed throughout 2020, but it is worth mentioning that this market is still in its infancy and mostly oriented towards the shower market. In fact, the share of concealed models is still at a low level in France, but this market is expected to surge in the next few years – since concealed models are commonly available in the DIY and e-commerce channels.

Chrome was the most popular colour installed in 2020. However, demand for this colour has been declining in recent years, as it is assimilated as a cheap product. Other colours such as black, copper and white are increasingly on trend in France. White is expected to take share from other colours in the near future. Generally speaking there is strong consumer demand for colourful taps, as they create an aesthetically pleasing look in the bathroom.

Concerning the mounting type, most of the sales were recorded in deck-mounted in 2020, with an evolution toward wall-mounted for most of the application. In fact, wall-mounted followed the concealed trend in the bathroom, which has taken off in

recent years. French households are increasingly looking for space-saving solutions, in line with the declining m² of surface area in their dwellings.

Finally, the overall flushing valve market is believed to have decreased in 2020, as a result of decreasing demand from the non-residential sector. In the collective residential market, press flush valves remain an economic solution. Thus, these system types are often used in commercial and public buildings, including airports, schools and hotels.

Prices and Market Values

The total market value for taps and mixers sharply decreased in 2020, with the main reasons for this decline being the shrinkage of the sales volumes in each of the different product types. In contrast with this, prices have recorded a slight increase, with bath and shower taps and mixers delivering the highest percentage increase.

French households are increasingly attracted by innovative and designer products with higher quality. However, the major chunk of French consumers continue to favour the economy/lower price models at the expense of middle price models, especially in the case of one-head taps and mixers. Perceived as design-orientated, two-head mixers are gradually changing to become high-end products. In 2020, as in previous years, most sales of taps and mixers in France were located in the economy and lower price ranges, driven by the increase in the ranges for washbasins, baths and kitchen taps and mixers. Finally, the market for premium taps and mixers decreased slightly in the year, with established manufacturers more commonly using e-commerce to sell their products.

As a matter of fact, the internet retail market in France grew in 2020, and it offers a wide range of products from the economy price segment to the luxury one. The increase in internet distribution has enabled consumers to obtain higher-quality products at lower prices, and such a trend is likely to put pressure on traditional distribution channels such as independent merchants and small-sized manufacturers.

New Housing

Sales of taps and mixers to new dwellings dropped significantly in 2020, following the downward trend of the new construction market in France after a positive performance in 2019. With more than four taps and mixers per new dwelling, the level of new housing activity is always under strict scrutiny, as the number of taps and mixers sold for housing RMI purposes is believed to have already reached the level of saturation. Therefore, any contraction or increase of the new construction market should automatically have an impact on the total sales of taps and mixers, and this was proved in 2020.

The new housing segment is mainly led by washbasins, followed by kitchen applications. Both applications accounted for the majority of one-head mixer sales

in 2020. Indeed, one-head mixers have continued to dominate the new housing market, as BRG believes that two-head mixers (popular as luxury products with a sophisticated design) are gradually losing share to one-head and thermostatic mixers in this segment. In fact, thermostatic models are becoming the norm for shower applications in new housing.

Housing RMI

Replacement sales continued to represent the bulk of sales of taps and mixers in 2020. French households show a tendency to buy taps and mixers by themselves, especially in DIY stores, since their installation, with the exception of concealed installations (more popular in new build), is rather easy. The RMI market experienced a decline in sales during the course of the year. The market's general performance is the result of two opposing factors. On the one hand, during lockdowns many French people have decided to undertake renovation and home improvement projects. French consumers have managed to save more money than in normal days, and have decided to invest more in their houses. On the other hand, the recession has lowered consumer confidence and dragged sales in the RMI segment down – thus pushing sales of kitchen taps and mixers down.

Taps and mixers' demand in the RMI sector comprises a distinct contrast, with consumers at one end opting for cheap like-for-like replacements (such as two-head taps and mixers, for instance), and those at the other purchasing designer and luxury taps and mixers.

Non-Housing

The products sold in the non-housing segment are more diversified in comparison to the products sold in other end-use segments. For instance, the range of products installed in hotels differs from the one used in offices, schools, and hospitals.

Demand for taps and mixers coming from the non-housing market went down in 2020. Technically, those installed on baths or bidets declined, following the overall negative trend of the market. Furthermore, most taps and mixers sold in the non-housing sector were one-head mixers. One-head mixers are believed to be the preferred solution in hospitals, hotels, offices and restaurants in France. The installation of these products in hospitals and restaurants allows for compliance with hygiene standards, whilst also providing luxury features for offices and hotels.

Non-housing is also an end-use sector wherein newer product types, such as electronic and self-closing, are increasingly being installed as a result of an increasing drive towards minimising water waste and reducing costs at the same time.

Supply Structure

In France, the taps and mixers market is quite fragmented and remains in the hands of GROHE, IDEAL STANDARD, HANSGROHE, the WTS GROUP, and

KOHLER. GROHE and HANSGROHE largely dominate the market for one-head and thermostatic taps and mixers.

An international market, the French taps and mixers market has in recent years seen some former French manufacturing plants being relocated to countries such as Portugal, Spain, Italy, Turkey and Egypt. KOHLER (JACOB DELAFON), the last company to manufacture taps and mixers in France, also sources taps and mixers from KOHLER's manufacturing plants in Morocco and China. For its part, OTTONE MELODA has specialised in taps and mixers for the construction (national agreement with KAUFMAN & BROAD) and luxury markets. Finally, GROUPE OTTOFOND, with its two brands OZE and O'DESIGN, is believed to only source from its Asian factory.

A few domestic players are present too. These heterogenic companies mainly specialise in the premium market, including the 'retro design' market. The main domestic manufacturers are TETARD HAUDIQUEZ GRISONI (THG), MAITRES ROBINETIERS DE FRANCE (which acquired MARGOT in 2004), HORUS, the KRAMER GROUP (previously mentioned), and CHAVONNET (part of DELSA), which specialises in the institutional sector (hospitals).

The flushing valve market is dominated by local specialists, led by DELABIE and PRESTO. Other manufacturers in this market are SHELL, GROHE, FRANKE, SANITAC, and KOHLER. Some manufacturers are particularly interested in this complementary niche market. GROHE plays the niche market game by offering electronic flushing valves in the tertiary sector. KOHLER is developing a complete range of products by offering electronic flushing valves as well, and is also likely to sell design products dedicated to the hotel industry and the residential sector. GEBERIT is already offering different ranges of electronic flushing valves. DELABIE only sells to professionals, local governments, tertiary activities and industries.

The official import and export data for sanitary taps and mixers must always be read with some caution, as there is a certain amount of product misallocation. Most imports come from: China; Germany (DORNBRACHT, KLUDI, and VILLEROY & BOCH), which mainly targets the middle and upper price segments, selling directly to installers whilst trying to position in DIY; and Italy (OTTONE MELODA, NOBILI, ZUCCHETTI, PAINI, CRISTINA, HUBER, NEWFORM, MAMOLI, TEOREMA, and EURORAMA, which specialise in thermostatic mixers). Among Spanish imports there are ROCA, RAMON SOLER, and TEBISA.

Forecasts

The taps and mixers market is a mature one, in which rapid growth usually is difficult to achieve. While in 2021 the effects of the COVID-19 outbreak are likely to continue to influence the total market, it is expected that in 2022 a boost in sales will be triggered by postponed new housing and renovation activities. The market is believed to have the potential to recover quickly to its original size, from 2022 onwards.

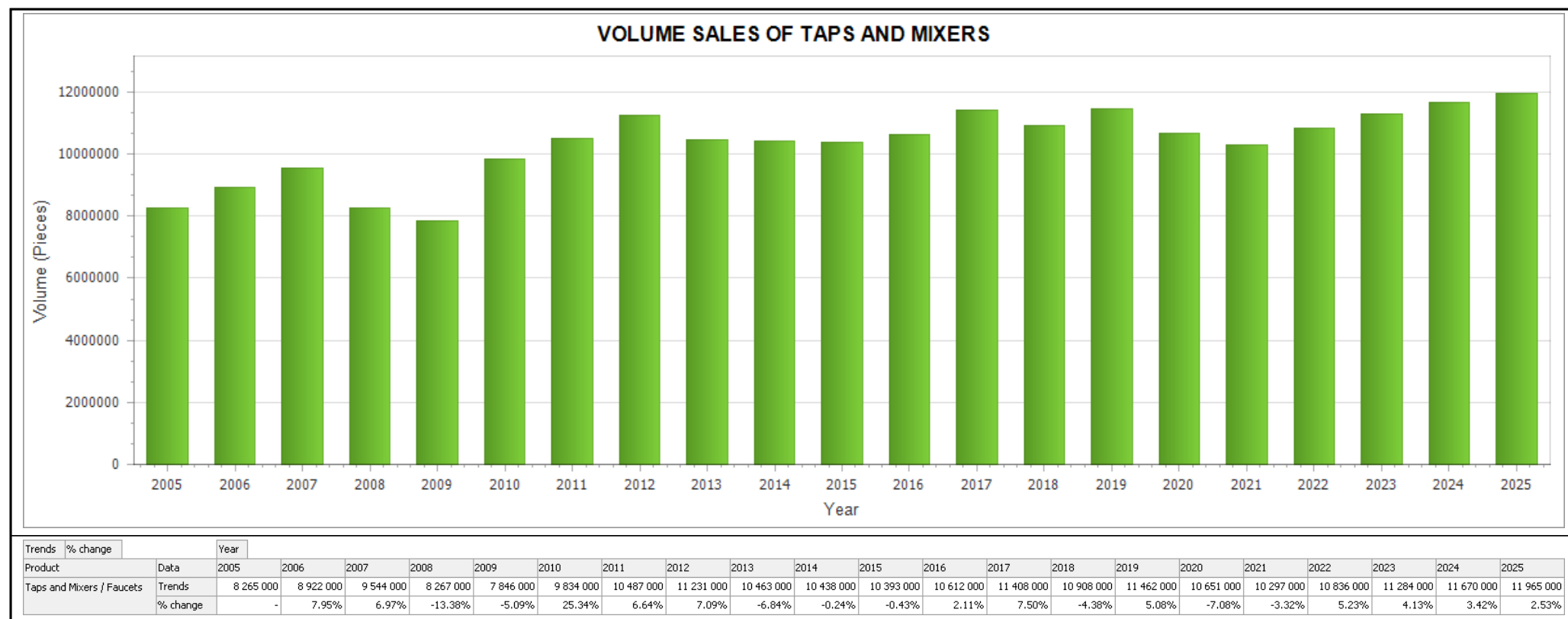
In terms of product mix, trends in the taps and mixers market over the forecast period are likely to be largely consistent with those witnessed before the pandemic – with one-head mixers comprising the bulk of sales of taps and mixers, while thermostatic models should continue to be favoured for shower and bath applications. Sales of electronic taps and mixers should remain at a low level due to their high upfront costs. The trend towards the uptake of concealed mixers is expected to continue over the forecast period, mainly because these products are now widely offered on the internet and DIY channels.

BRG believes that the share of internet sales will continue to increase exponentially, enabling consumers to obtain higher-quality products at lower prices, and such a trend is likely to put pressure not only on traditional distribution channels (such as independent merchants and DIY stores) but also small-sized manufacturers, as previously mentioned. Besides the question of water savings and the increased communication around WELL, a water efficiency label, the main concern is the issue of water quality and the requirement to avoid lead and nickel contamination. This trend is developing in anticipation of new European directives that focus on a dramatic reduction of lead concentration levels in water – either for water distribution or taps and mixers. The increase in the use of the internet as a distribution channel is likely to enable consumers to obtain higher-quality products at lower prices, which will put pressure on traditional distribution channels.

The taps and mixers market is more sensitive to technological developments than those of other bathroom products, due to the recent influx of modern products that are slowly shifting consumer attitudes towards the product mix. As is normal with many bathroom markets, taps and mixers also rely heavily on construction output and households' willingness to spend.

3.2 Historical Trends and Forecasts : Taps and Mixers

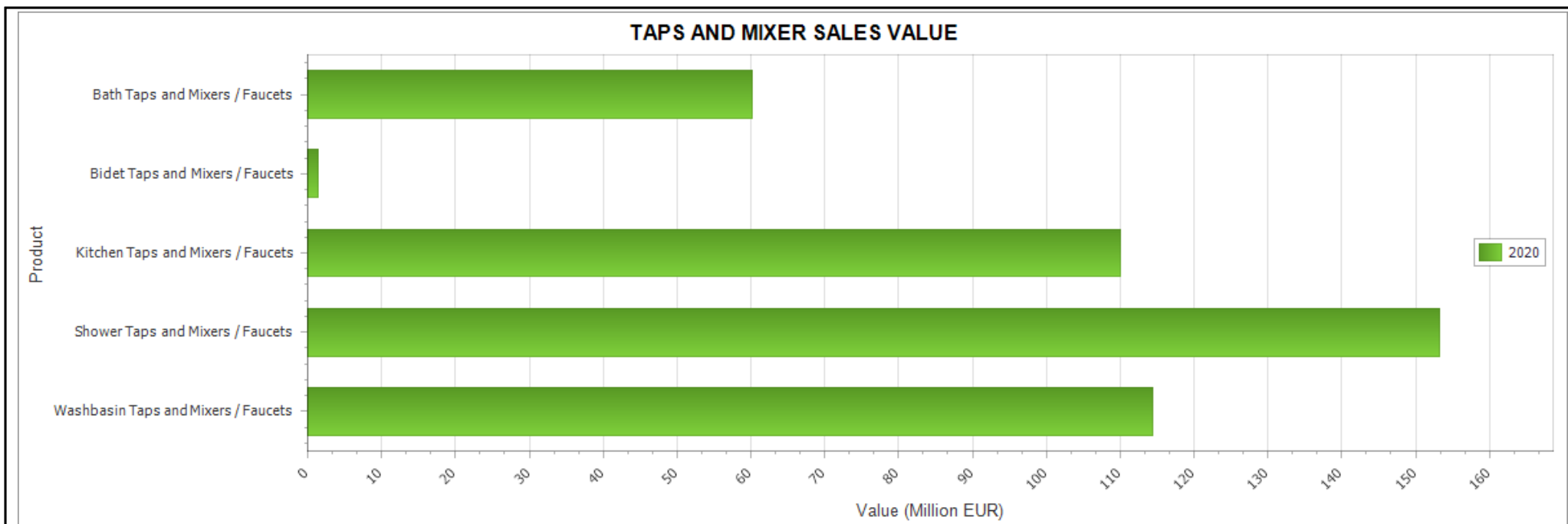
FR - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

FR - ESTIMATED VALUES OF THE TAP AND MIXER MARKET

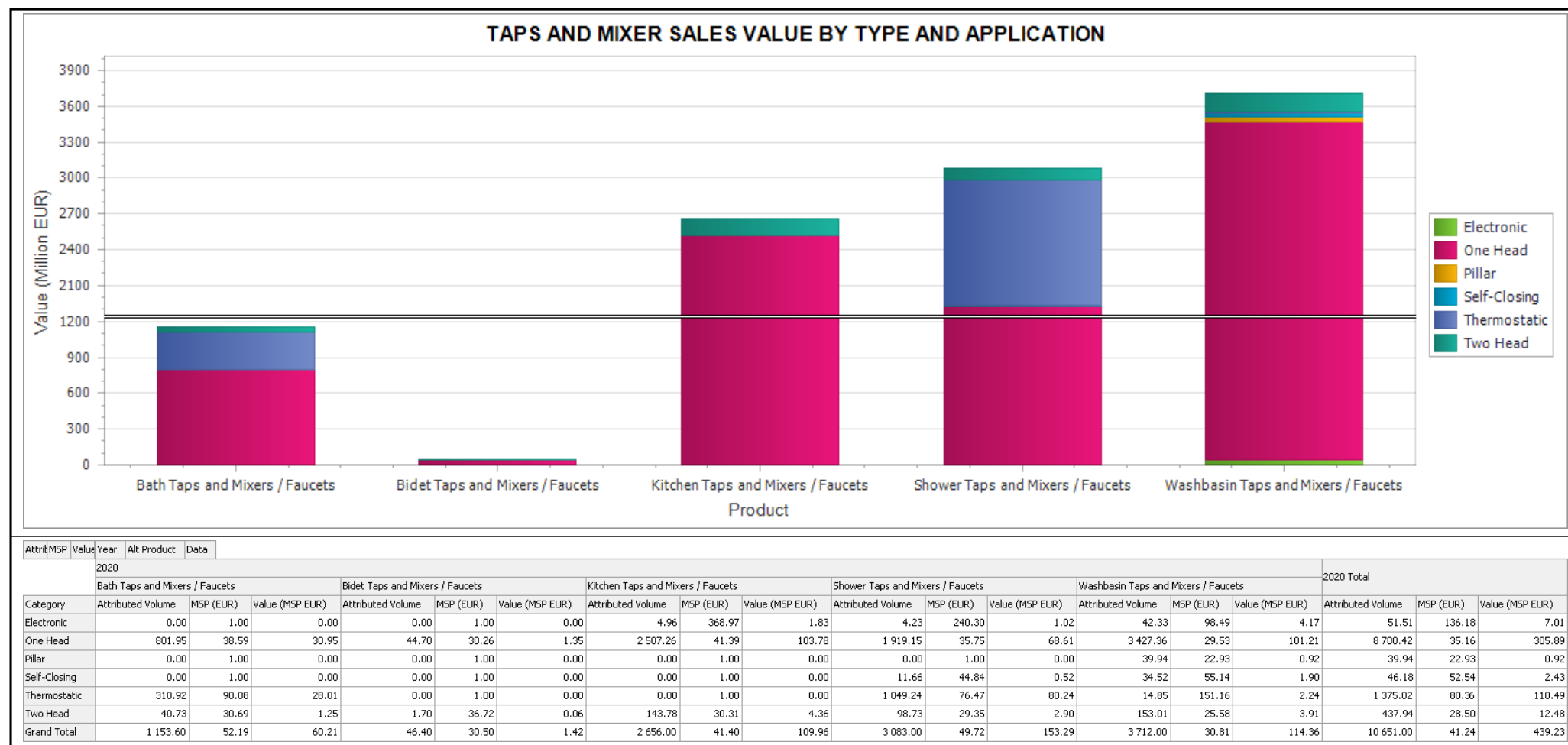


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data			
			2020		2019		
Alt Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Bath Taps and Mixers / Faucets	1 153 600	52.19	60.21	1 238 900	50.36	62.39	
Bidet Taps and Mixers / Faucets	46 400	30.50	1.42	52 100	29.61	1.54	
Kitchen Taps and Mixers / Faucets	2 656 000	41.40	109.96	2 845 000	40.51	115.25	
Shower Taps and Mixers / Faucets	3 083 000	49.72	153.29	3 385 000	47.93	162.24	
Washbasin Taps and Mixers / Faucets	3 712 000	30.81	114.37	3 941 000	30.15	118.82	
Grand Total	10 651 000	41.24	439.23	11 462 000	40.15	460.25	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

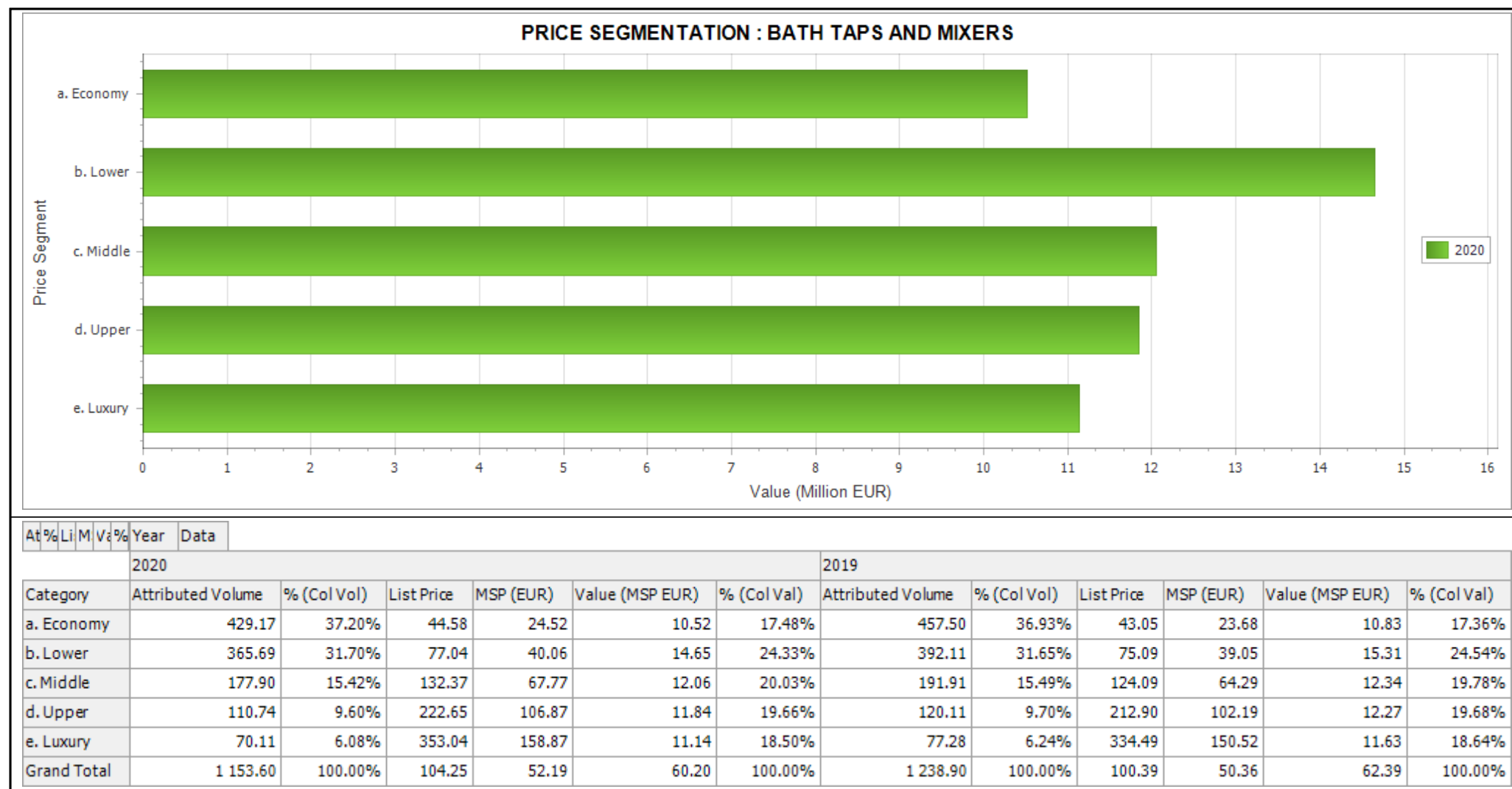
FR - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE AND APPLICATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

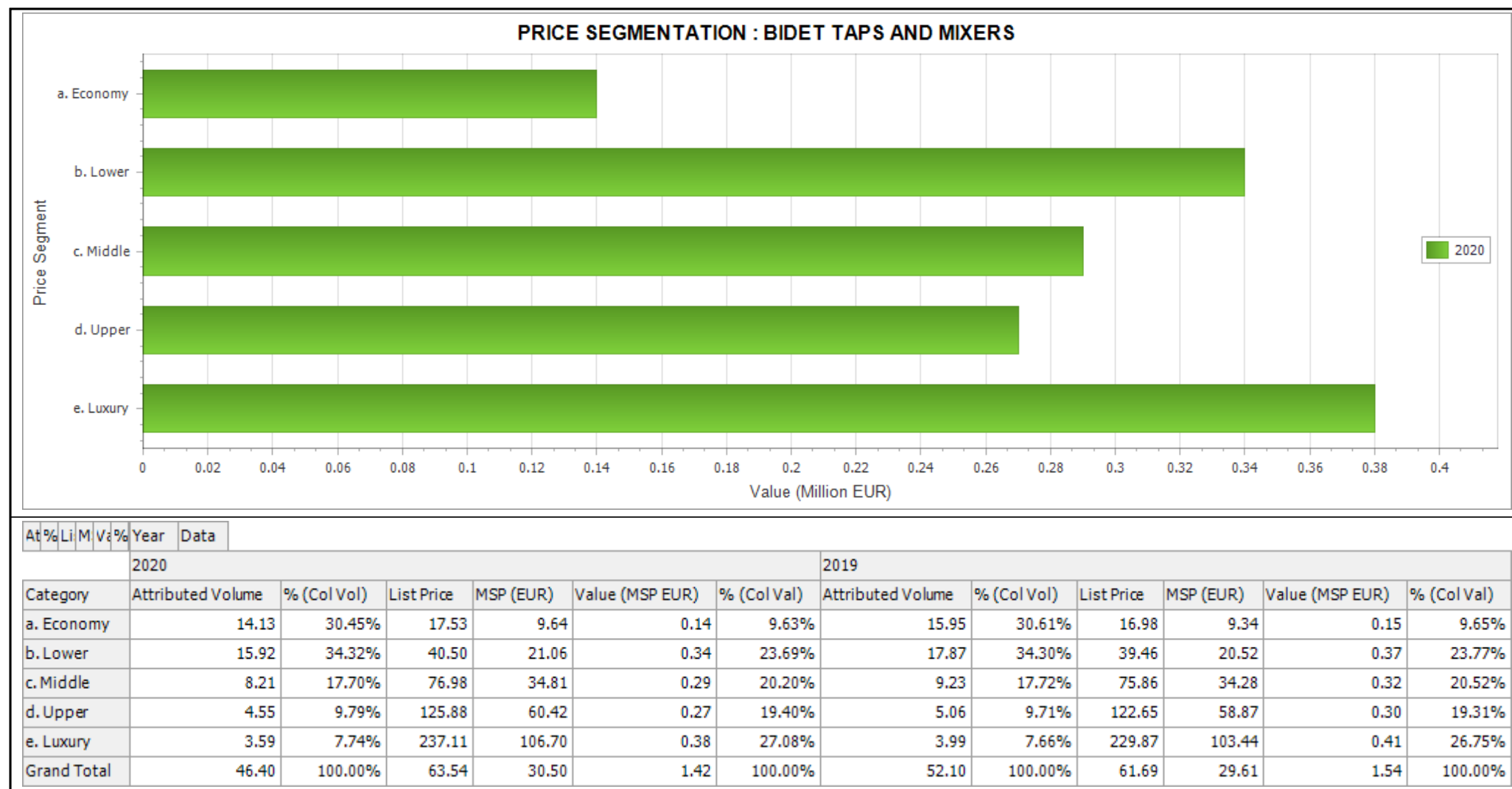
FR - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80-€120 and Luxury >€120

3.3.4 Price Segmentation : Bidet Taps and Mixers

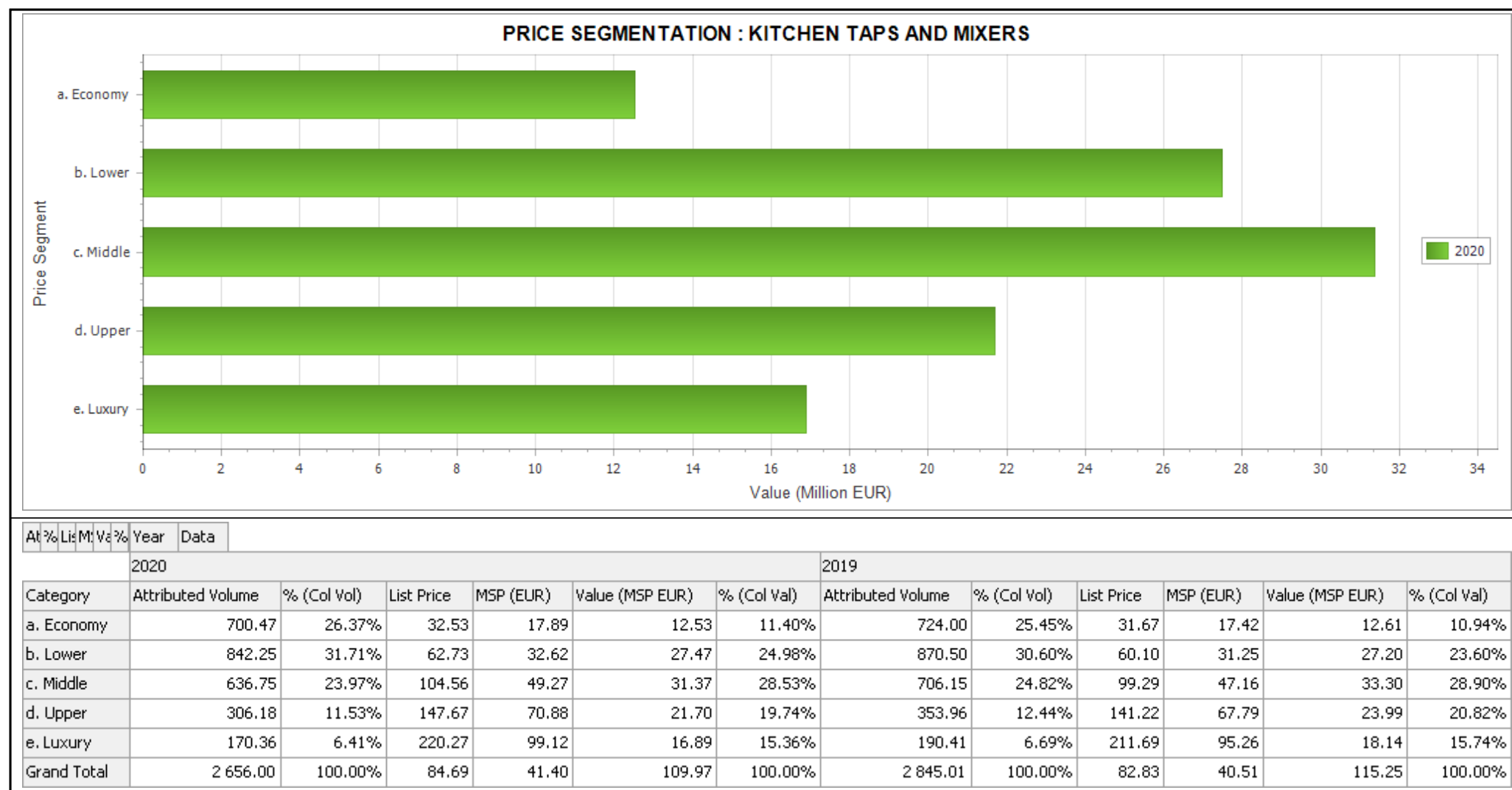
FR - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€50, Upper €50-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Taps and Mixers

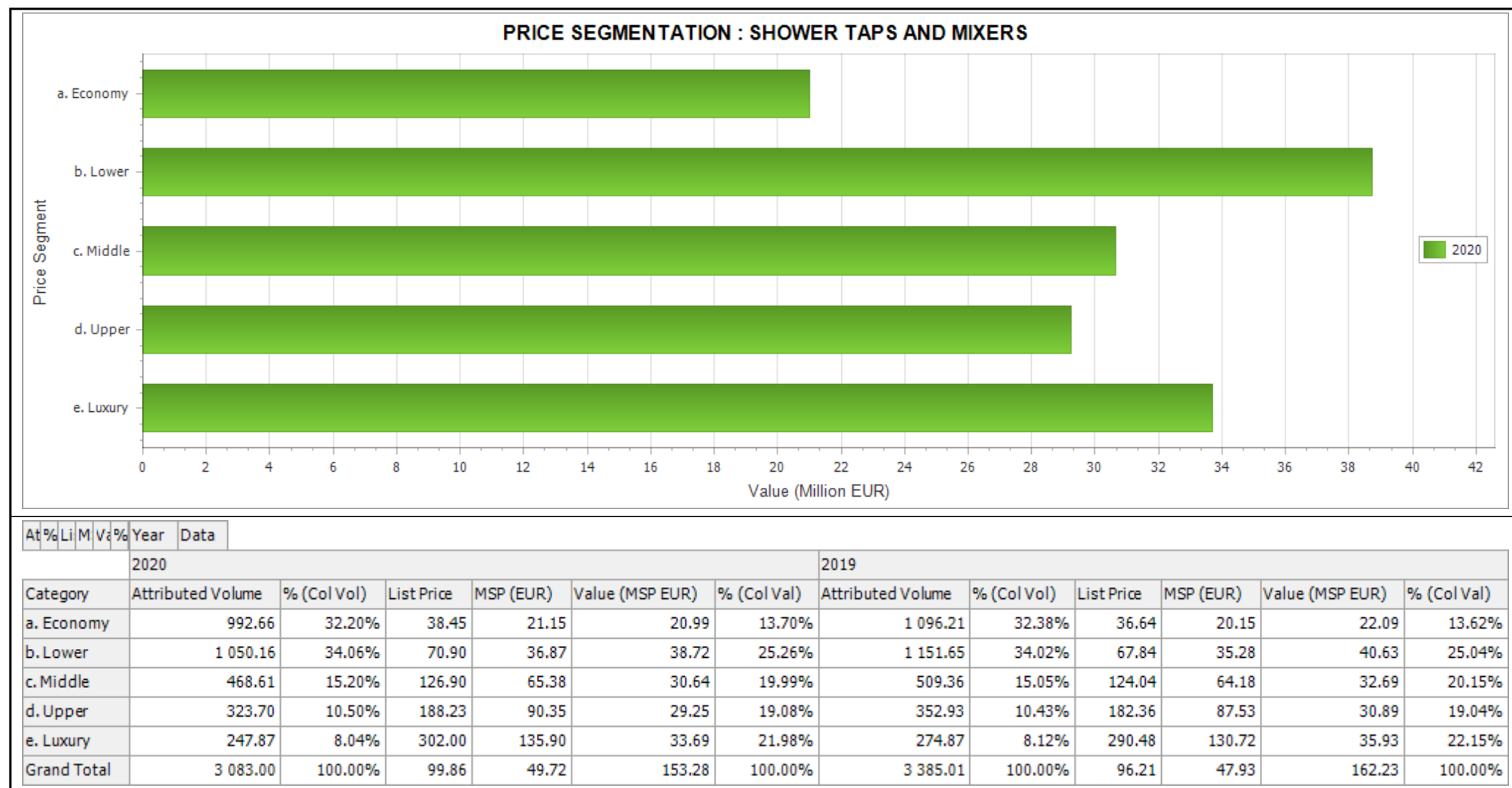
FR - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Taps and Mixers

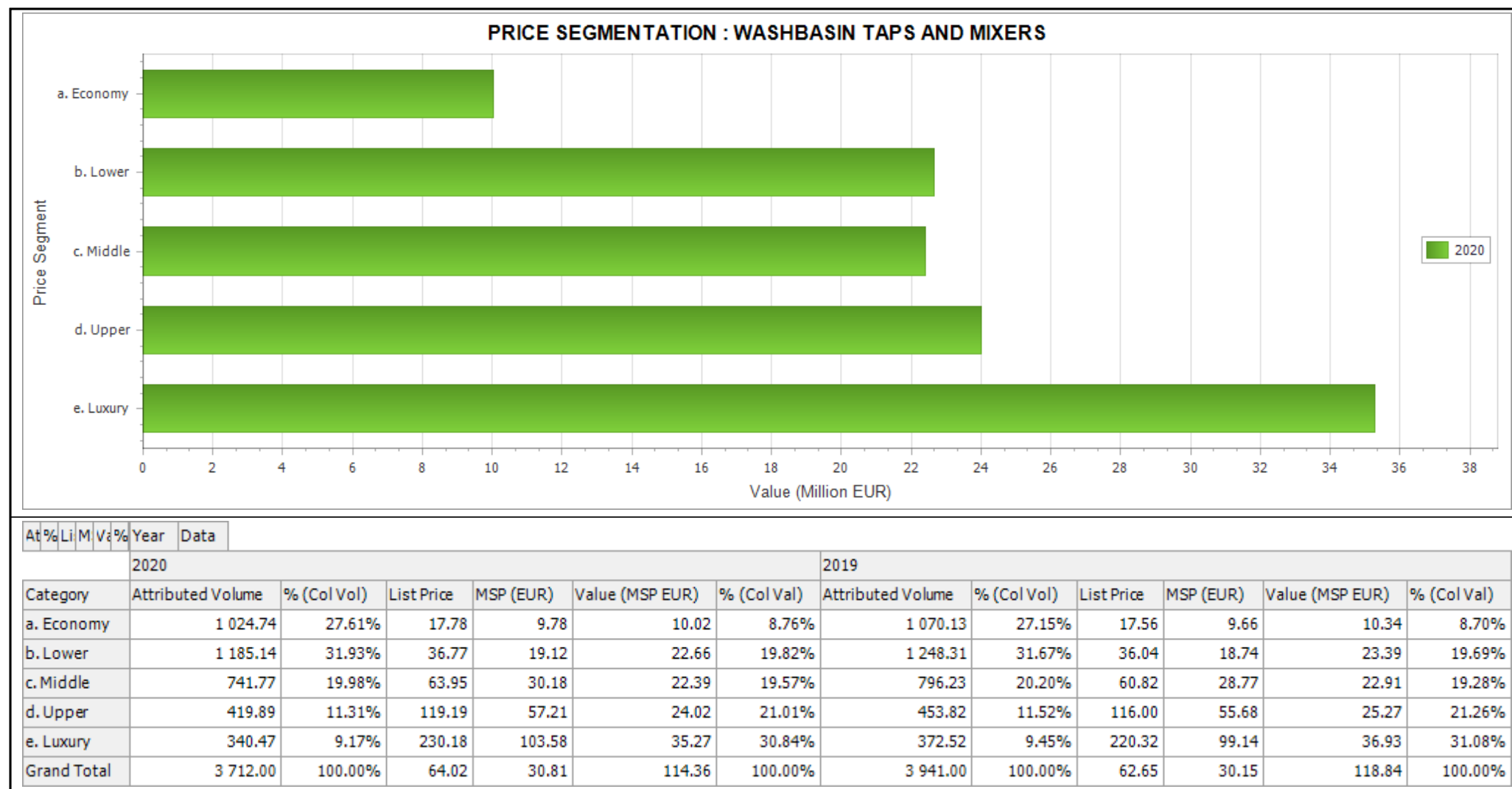
FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80-€120 and Luxury >€120

3.3.7 Price Segmentation : Washbasin Taps and Mixers

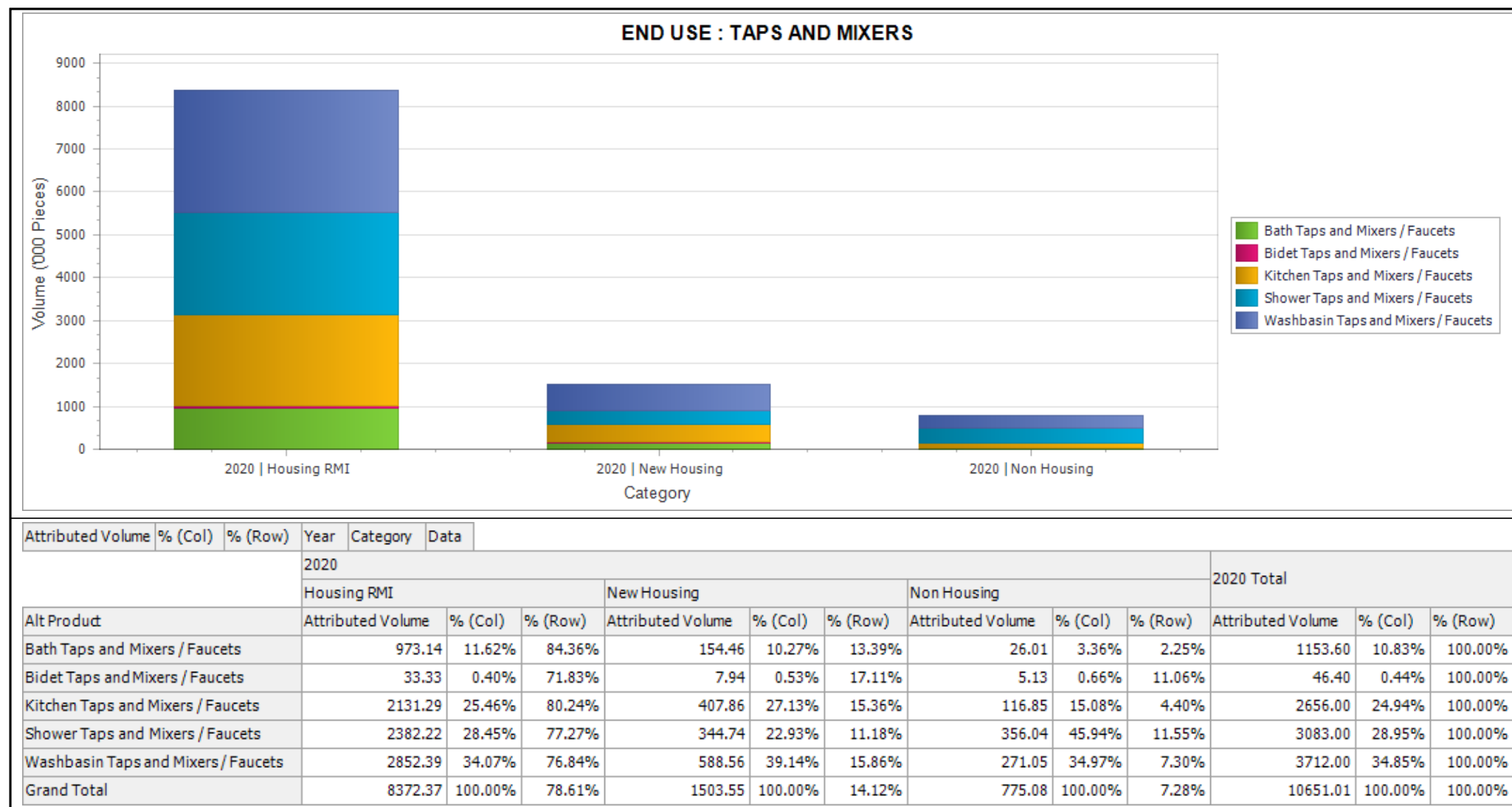
FR - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€50, Upper €50-€80 and Luxury >€80

3.4.1 End Use : Base Year

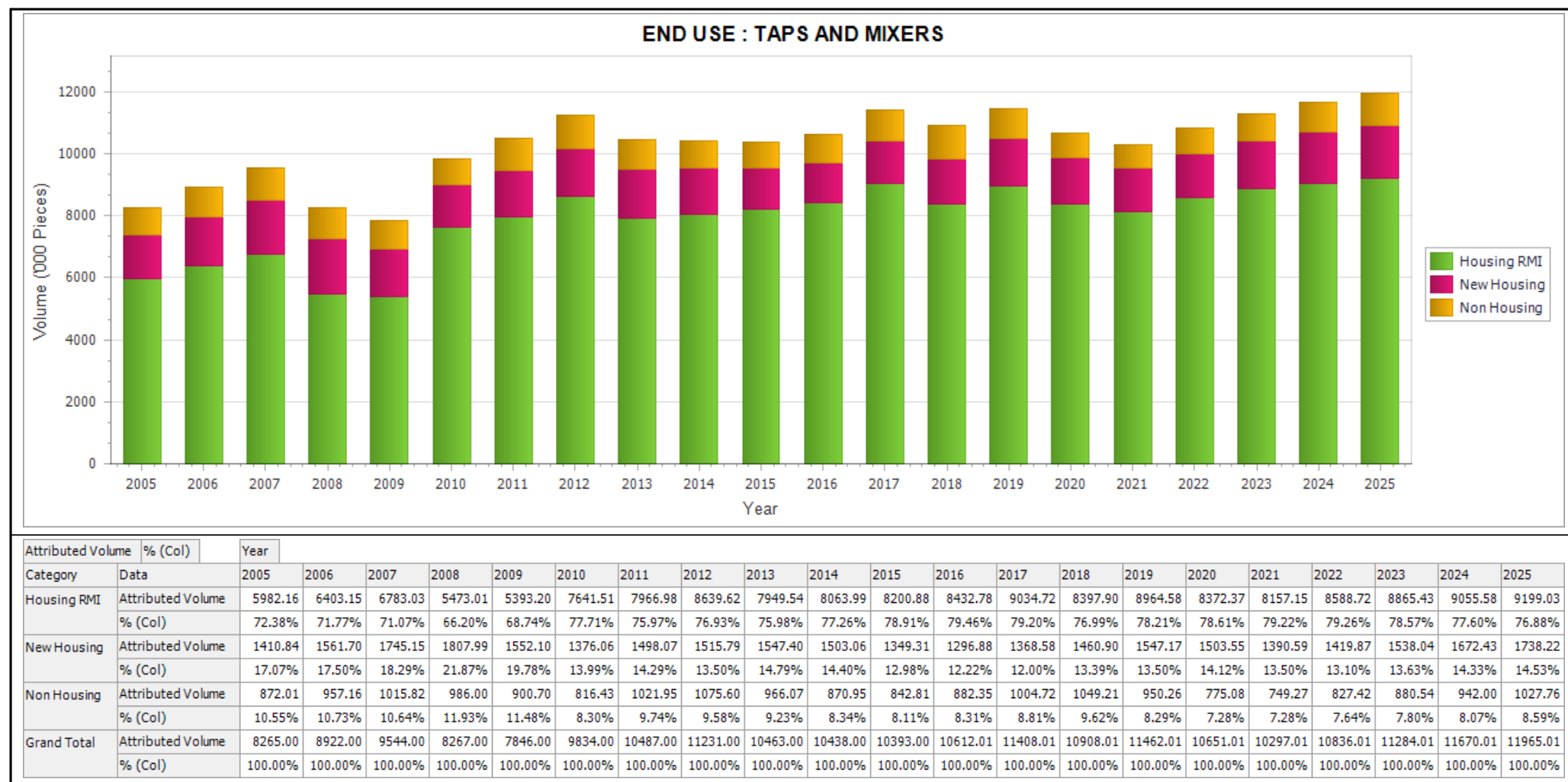
FR - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

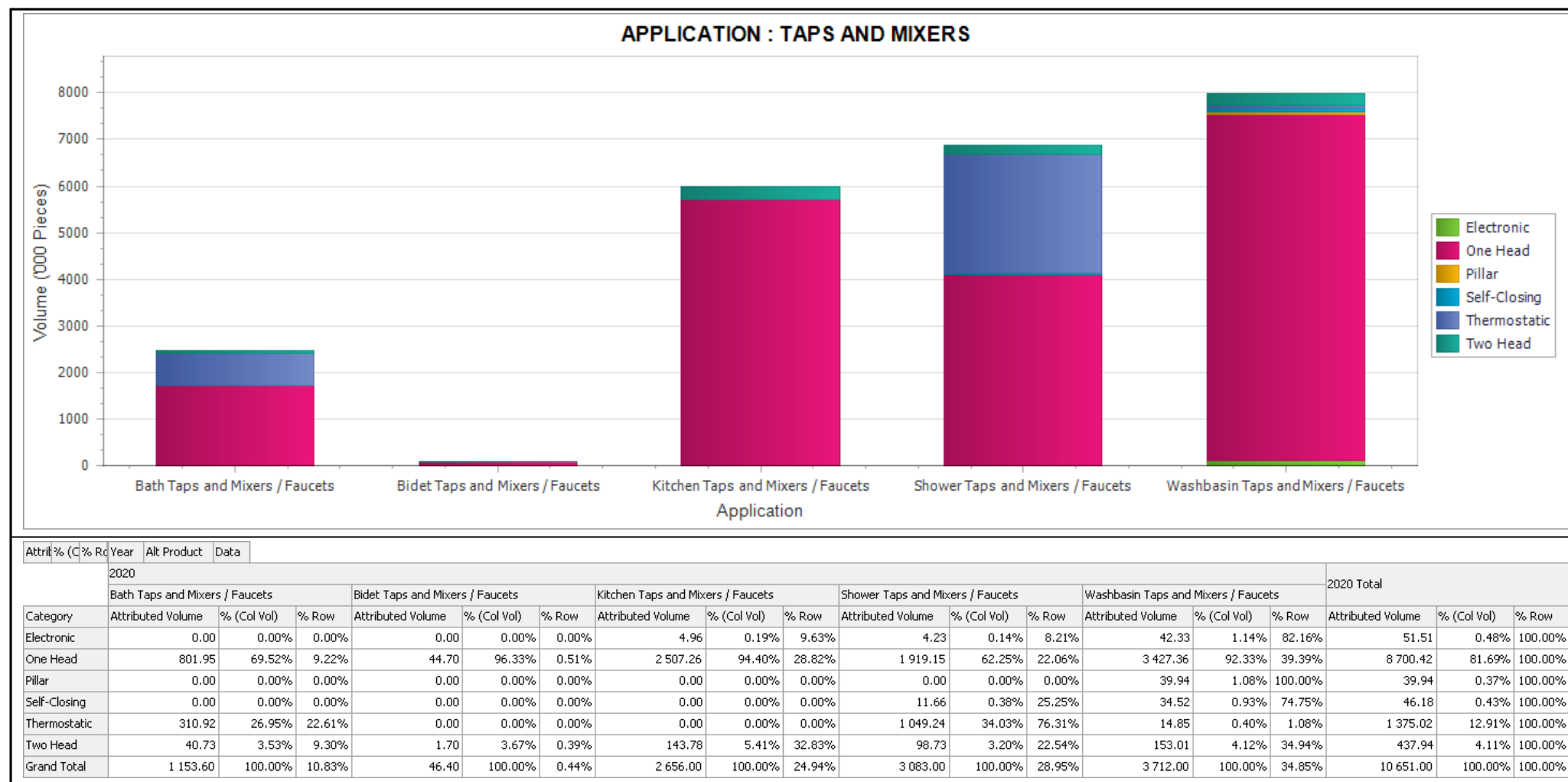
FR - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

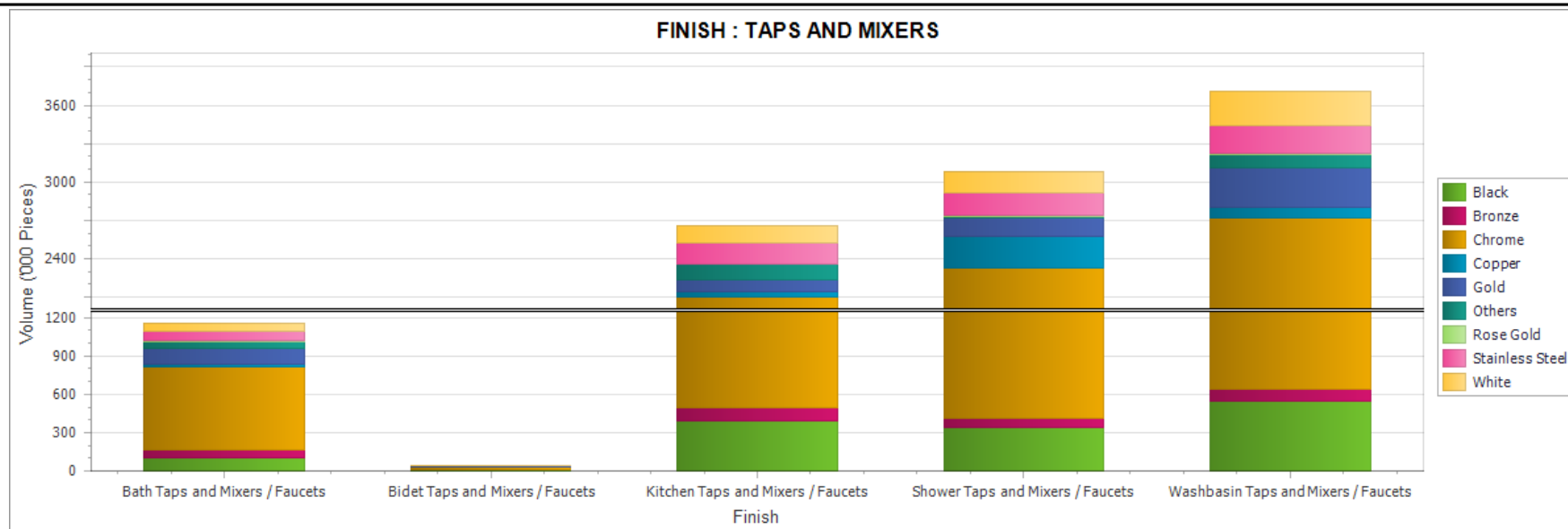
3.4.3 Sales by Type and Application : Taps and Mixers

FR - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

FR - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)

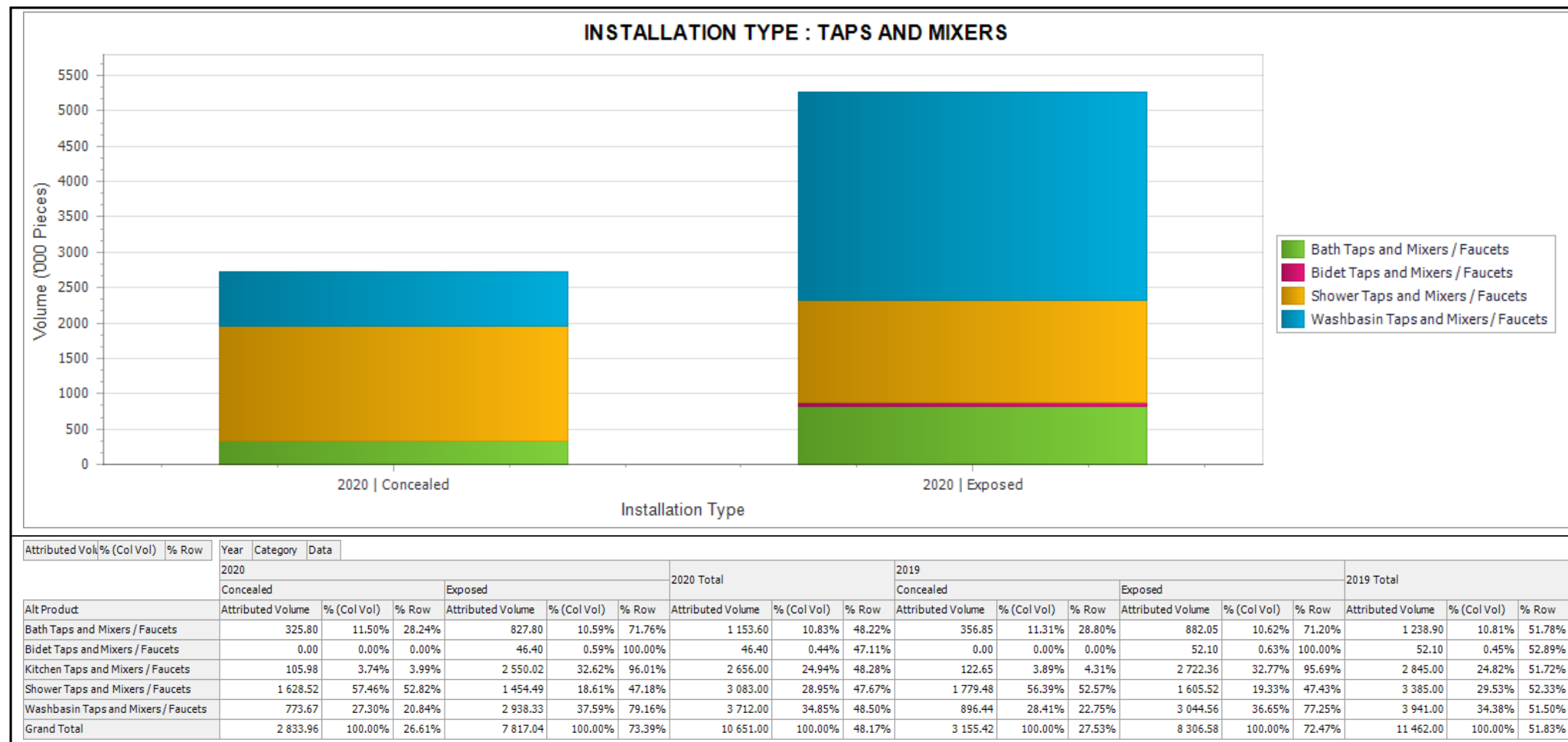


Attribute	% (Col Vol)	Year	Alt Product	Data										
					2020						2020 Total			
			Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets				Washbasin Taps and Mixers / Faucets	
Category	Attributed Volume	% (Col Vol)			Attributed Volume	% (Col Vol)			Attributed Volume	% (Col Vol)			Attributed Volume	% (Col Vol)
Black	103.54	8.98%			7.64	16.47%			388.15	14.61%			1 388.57	13.04%
Bronze	59.43	5.15%			5.24	11.30%			106.76	4.02%			341.41	3.21%
Chrome	649.84	56.33%			15.58	33.57%			1 608.53	60.56%			6 264.80	58.82%
Copper	27.74	2.40%			2.57	5.54%			40.79	1.54%			406.41	3.82%
Gold	116.12	10.07%			7.04	15.18%			92.06	3.47%			662.09	6.22%
Others	58.23	5.05%			1.41	3.03%			121.76	4.58%			286.45	2.69%
Rose Gold	2.56	0.22%			0.00	0.00%			4.37	0.16%			41.20	0.39%
Stainless Steel	77.46	6.71%			3.79	8.18%			157.84	5.94%			629.88	5.91%
White	58.69	5.09%			3.13	6.74%			135.76	5.11%			630.23	5.92%
Grand Total	1 153.60	100.00%			46.40	100.00%			2 656.01	100.00%			10 651.03	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

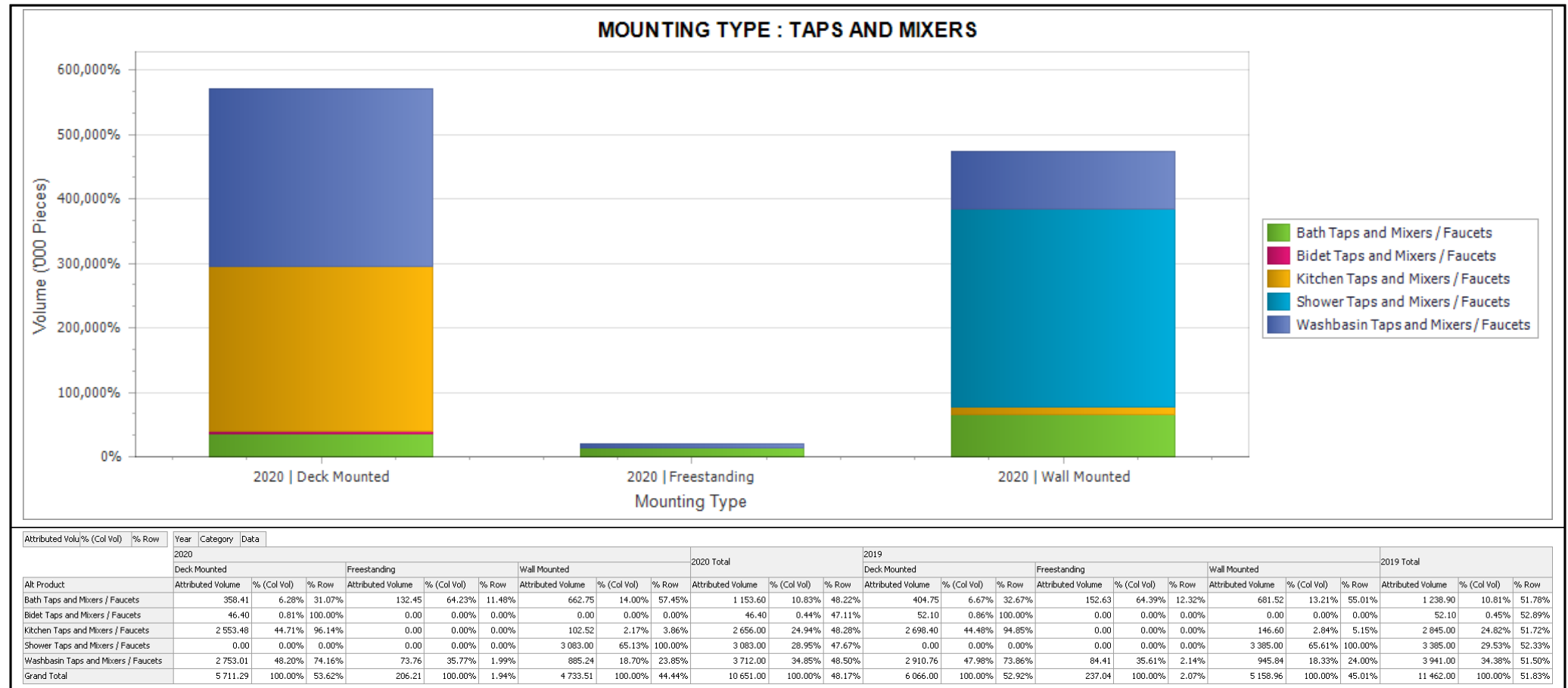
FR - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

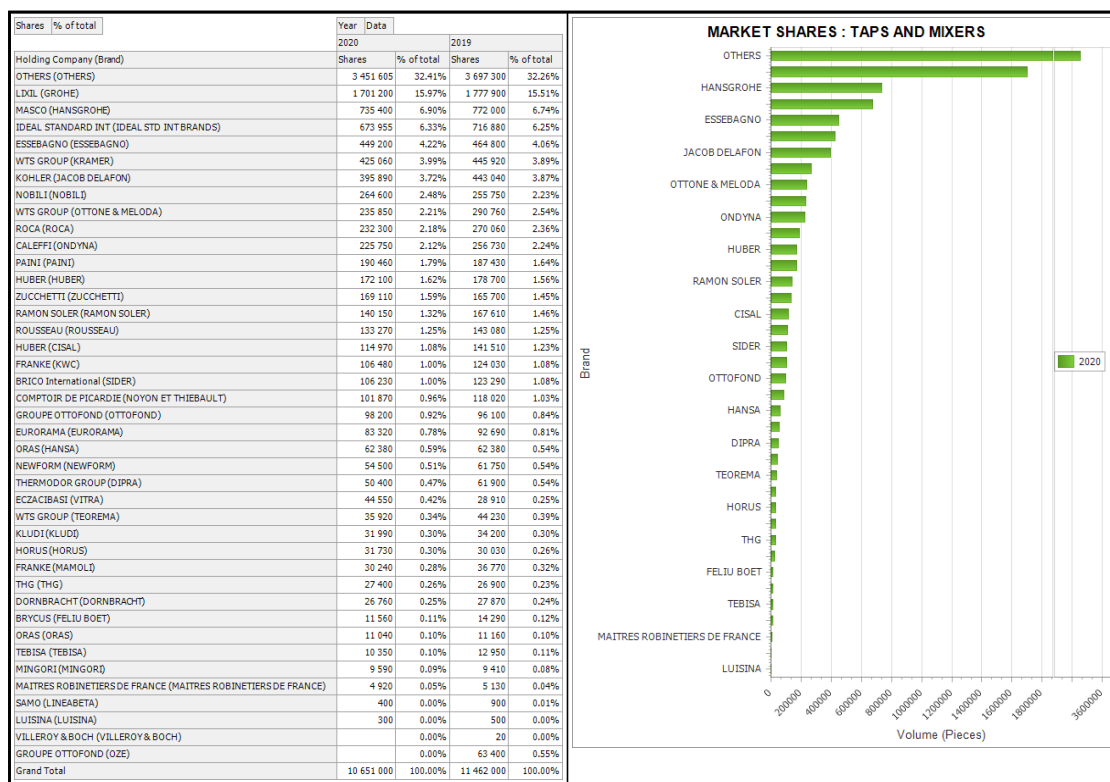
FR - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

FR - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 FR - IMPORTS OF TAPS & MIXERS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	13 722	42.3%	146 906	27.3%	15 269	44.4%	144 240	26.5%
Germany	9 149	28.2%	189 320	35.2%	9 455	27.5%	196 472	36.1%
Italy	4 102	12.6%	98 961	18.4%	4 095	11.9%	101 287	18.6%
Spain	991	3.1%	17 575	3.3%	1 238	3.6%	19 132	3.5%
Bulgaria	828	2.6%	11 843	2.2%	889	2.6%	13 148	2.4%
Belgium	685	2.1%	5 029	0.9%	280	0.8%	6 260	1.2%
Portugal	621	1.9%	12 201	2.3%	669	1.9%	12 432	2.3%
France	407	1.3%	10 941	2.0%	353	1.0%	8 191	1.5%
Czech Republic	397	1.2%	6 898	1.3%	394	1.1%	5 757	1.1%
OTHERS	1 549	4.8%	37 950	7.1%	1 727	5.0%	37 302	6.9%
Total	32 451	100.0%	537 624	100.0%	34 371	100.0%	544 221	100.0%

Source : Trademap

3.6.2 FR - EXPORTS OF TAPS & MIXERS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Belgium	404	12.5%	8 711	8.8%	594	14.3%	8 630	8.1%
Germany	399	12.4%	16 304	16.4%	479	11.5%	17 131	16.1%
Morocco	258	8.0%	3 451	3.5%	130	3.1%	2 501	2.4%
Russian Federation	172	5.3%	3 433	3.5%	708	17.0%	7 618	7.2%
Spain	149	4.6%	4 350	4.4%	189	4.5%	5 622	5.3%
Netherlands	132	4.1%	3 587	3.6%	139	3.3%	2 777	2.6%
New Caledonia	132	4.1%	1 476	1.5%	119	2.8%	1 455	1.4%
United States of America	122	3.8%	10 248	10.3%	184	4.4%	13 021	12.2%
Italy	113	3.5%	2 742	2.8%	98	2.3%	3 322	3.1%
United Kingdom	103	3.2%	4 623	4.7%	146	3.5%	5 722	5.4%
Côte d'Ivoire	87	2.7%	1 142	1.1%	86	2.1%	1 487	1.4%
OTHERS	1 158	35.9%	39 279	39.5%	1 294	31.1%	37 105	34.9%
Total	3 228	100.0%	99 346	100.0%	4 165	100.0%	106 391	100.0%

Source : Trademap

3.7.1

Route to Market: Kitchen Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

58.5%
Wholesalers / Merchants
58.5%

Retail Level

Manufacturer	Wholesaler
2.5%	8.5%
Internet Retailers	
11.0%	

Manufacturer	Wholesaler
31.0%	13.0%
DIY Retailers	
44.0%	

Manufacturer	Wholesaler
4.4%	11.5%
Specialist Retailers	
15.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.1%	19.6%	1.7%	9.2%	3.4%
Installers				
36.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.0%	5.6%	9.4%	34.4%	12.5%	32.8%
Residential					
95.6%					

New Build			Residential RMI		
15.4%			80.2%		
Project	Non-Project		Project	Non-Project	
8.4%	6.9%		6.3%	74.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	0.3%	0.0%	0.4%	0.0%	3.3%
Non-Residential					
4.4%					

New Build			Non-Residential RMI		
2.3%			2.1%		
Project	Non-Project		Project	Non-Project	
1.4%	0.9%		0.8%	1.3%	

3.7.2

Route to Market: Kitchen Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

59.2%
Wholesalers / Merchants
59.2%

Retail Level

Manufacturer	Wholesaler
3.1%	11.3%
Internet Retailers	
14.3%	

Manufacturer	Wholesaler
30.8%	12.7%
DIY Retailers	
43.5%	

Manufacturer	Wholesaler
4.2%	10.2%
Specialist Retailers	
14.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.1%	19.3%	2.1%	9.1%	1.9%
Installers				
33.6%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.1%	5.5%	12.2%	33.9%	12.4%	30.0%
Residential					
95.1%					

New Build			Residential RMI		
15.0%			80.1%		
Project	Non-Project		Project	Non-Project	
8.3%	6.8%		6.3%	73.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.6%	0.3%	0.0%	0.4%	0.0%	3.6%
Non-Residential					
4.9%					

New Build			Non-Residential RMI		
2.5%			2.4%		
Project	Non-Project		Project	Non-Project	
1.4%	1.1%		0.9%	1.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

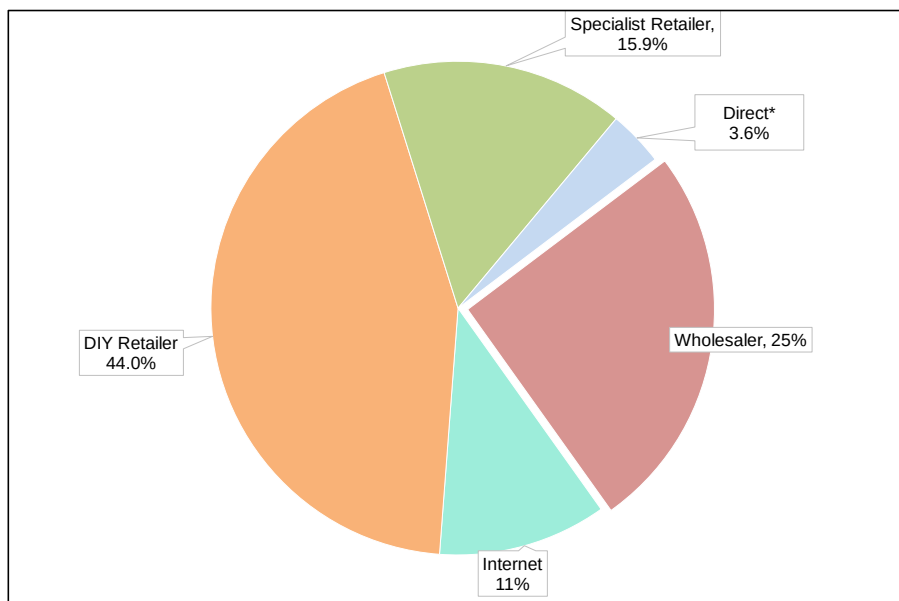
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.4%	11.0%	44.0%	15.9%	3.6%	14.7%	2.2%	80.9%	2.2%
100%					16.9%		83.1%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

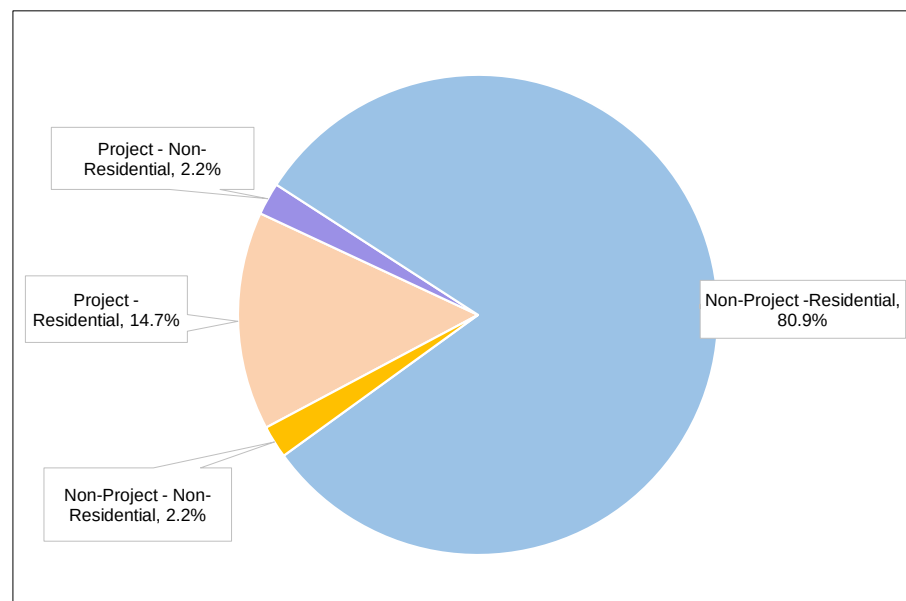
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.1%	14.3%	43.5%	14.3%	2.8%	14.5%	2.3%	80.6%	2.6%
100%					16.8%		83.2%	

FR - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

60.7%
Wholesalers / Merchants
60.7%

Retail Level

Manufacturer	Wholesaler
1.9%	6.5%
Internet Retailers	
8.5%	

Manufacturer	Wholesaler
27.1%	11.4%
DIY Retailers	
38.5%	

Manufacturer	Wholesaler
4.9%	3.0%
Specialist Retailers	
7.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.1%	30.6%	1.3%	8.1%	2.0%
Installers				
46.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.8%	8.4%	7.2%	29.8%	5.9%	39.7%
Residential					
91.8%					

New Build			Residential RMI		
13.7%			78.1%		
Project	Non-Project		Project	Non-Project	
7.5%	6.2%		6.1%	72.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	0.8%	0.0%	0.7%	0.0%	6.3%
Non-Residential					
8.2%					

New Build			Non-Residential RMI		
2.2%			6.1%		
Project	Non-Project		Project	Non-Project	
1.2%	1.0%		0.4%	5.7%	

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

60.1%
Wholesalers / Merchants
60.1%

Retail Level

Manufacturer	Wholesaler
3.2%	7.5%
Internet Retailers	
10.7%	

Manufacturer	Wholesaler
26.8%	11.3%
DIY Retailers	
38.1%	

Manufacturer	Wholesaler
4.6%	2.7%
Specialist Retailers	
7.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.9%	29.8%	1.6%	8.0%	1.8%
Installers				
45.1%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.8%	8.0%	9.1%	29.3%	5.5%	37.4%
Residential					
90.1%					

New Build			Residential RMI		
14.4%			75.7%		
Project	Non-Project		Project	Non-Project	
7.9%	6.5%		5.9%	69.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.6%	0.9%	0.0%	0.8%	0.0%	7.7%
Non-Residential					
9.9%					

New Build			Non-Residential RMI		
2.6%			7.3%		
Project	Non-Project		Project	Non-Project	
1.4%	1.2%		1.1%	6.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

FR - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2020

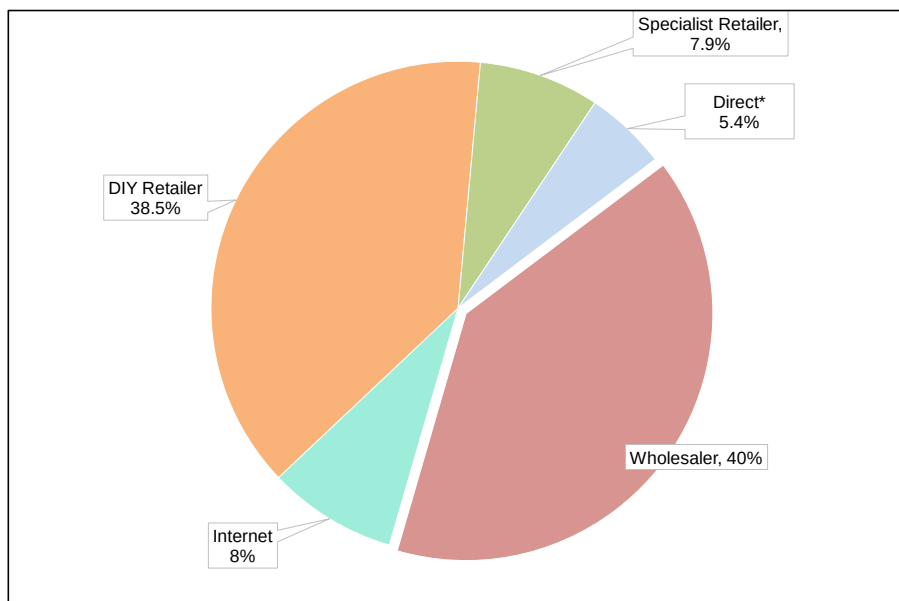
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
39.8%	8.5%	38.5%	7.9%	5.4%	13.6%	1.6%	78.1%	6.6%
100%					15.2%		84.8%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

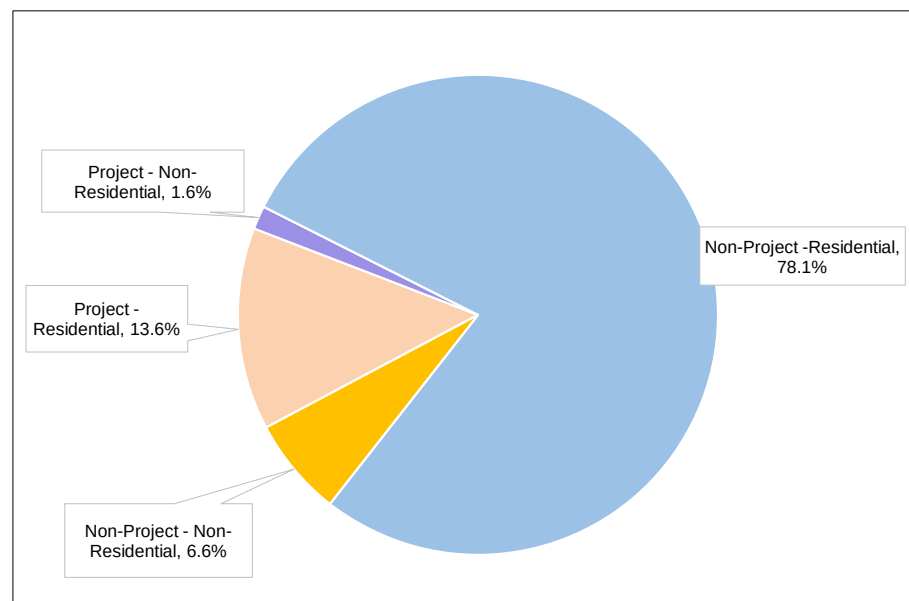
FR - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
38.6%	10.7%	38.1%	7.3%	5.3%	13.8%	2.5%	76.3%	7.4%
100%					16.4%		83.6%	

FR - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



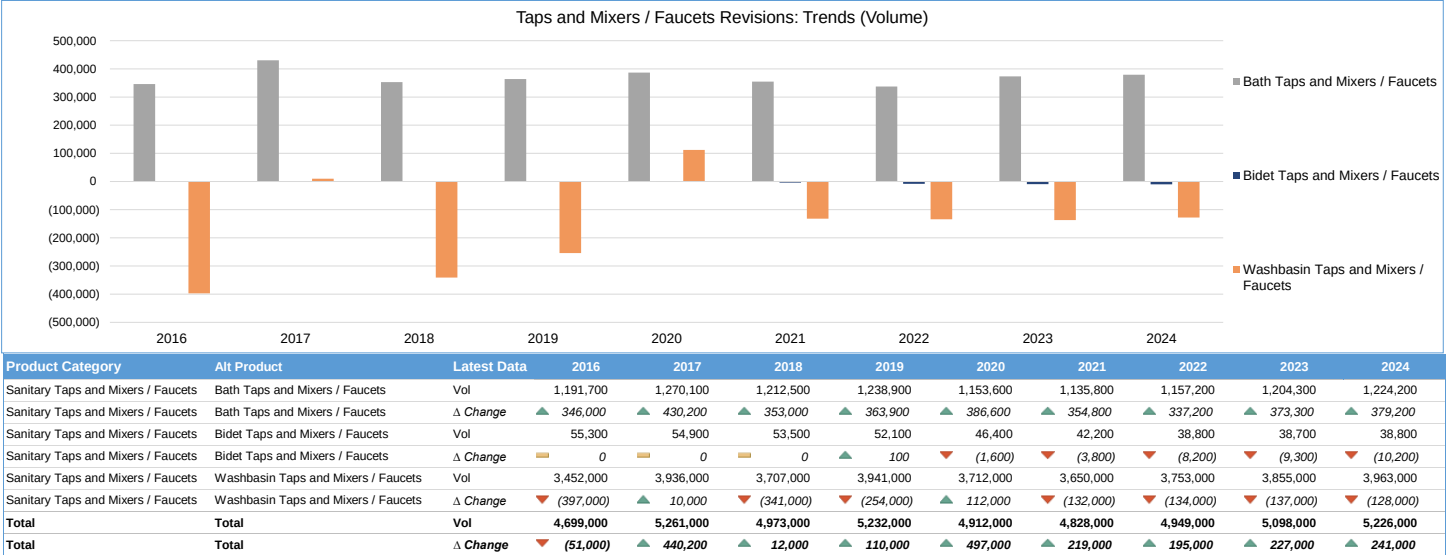
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the French Taps and Mixers / Faucets Market (April 2021)

FR - REVISIONS IN THE FRENCH TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: October 2020



Revisions were made upwards to the market sizes for taps and mixers for the 2005 to 2019 period, which is largely the result of growing imports, especially from China and Germany, but also due to the revision made to the market sizes for shower trays, especially synthetic, as well as kitchen sinks. The market for shower trays in France has seen an influx of imports over the last 15 years, which clearly accelerated from 2014 onwards, characterised by a strong increase of imports from Spain and to a lesser extent, China and Poland. Whereas the market size for kitchen sinks was revised up due to an underestimation of imports from a number of countries, especially Greece, Germany, Italy, Poland and to a lesser extent China.

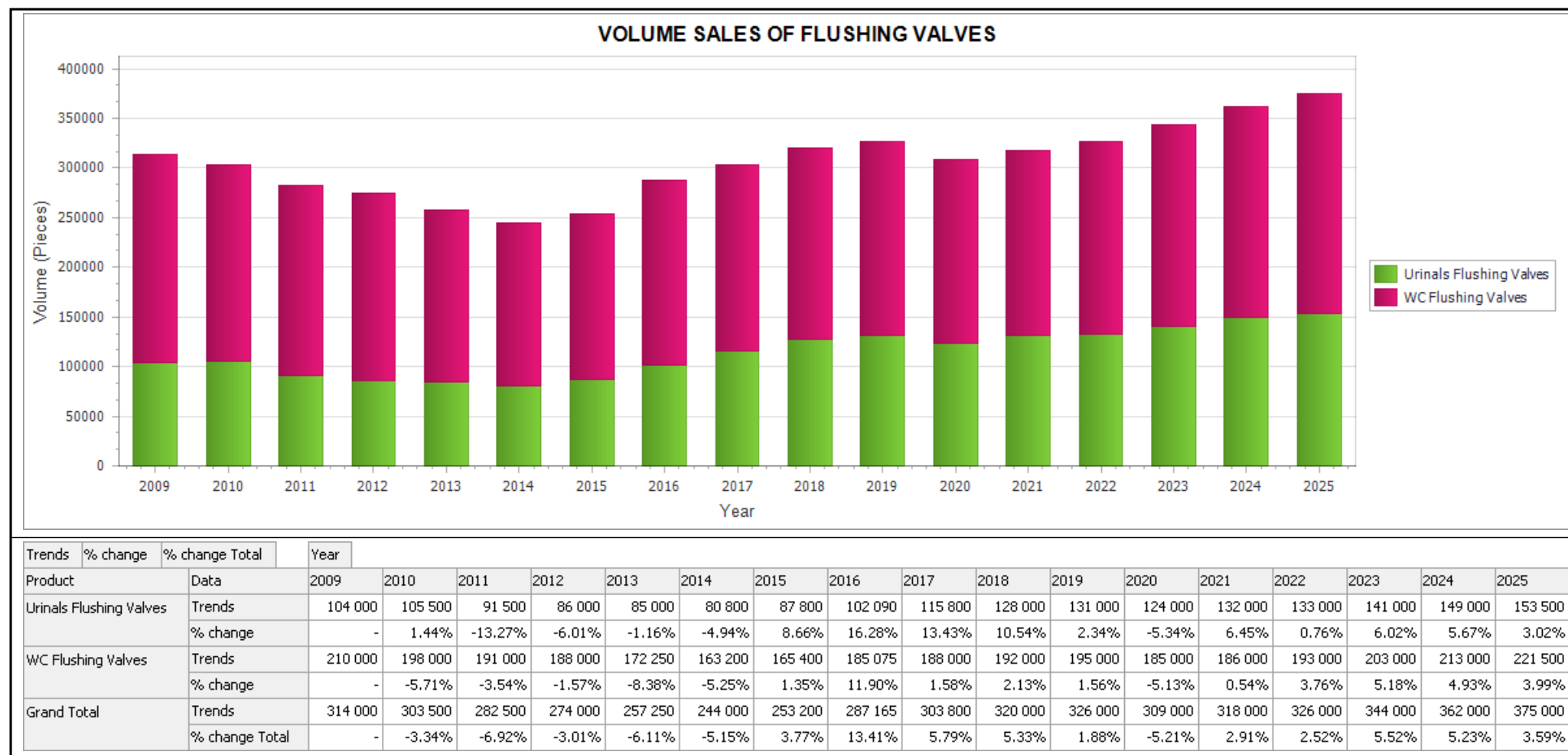
Imports of bathroom and kitchen mixers has increased considerably over the last 20 years, especially imports from China. For example, in 2001 imports from China only accounted for around 5% of total imports but by 2020 these accounted for 43% of total imports, which can include private label sales of DIY stores, such as LEROY MERLIN's SENSEA and CASTORAMA's GOODHOME private label ranges, but also assemblers such as ESSEBAGNO and EDOUARD ROUSSEAU and other typical DIY players. The share of German imports has remained stable over the years, which weakened between 2005 and 2013 but gained share again from 2014 onwards, accounting for 33% of imports by 2020 (compared to 32% in 2001 but only 24% in 2010). Italian imports, on the other hand, have fared very well, with its share down from 50% in 2001 to as little as 13% by 2020.

France can be considered to be a rather low-priced market for taps and mixers, despite the influence of German imports, which is due to the importance of the DIY sector, characterised by relatively low-priced products, thus explaining why Chinese imports are so strong on the market. According to industry feedback, prices were considered to be too high and were consequently revised down.

The share of products sold in the economy and lower price segments were increased, whereas sales to the other three price segments were decreased, and some minor changes were made to the MSP per price segment.

3.9.1 Historical Trends and Forecasts : Flushing Valves

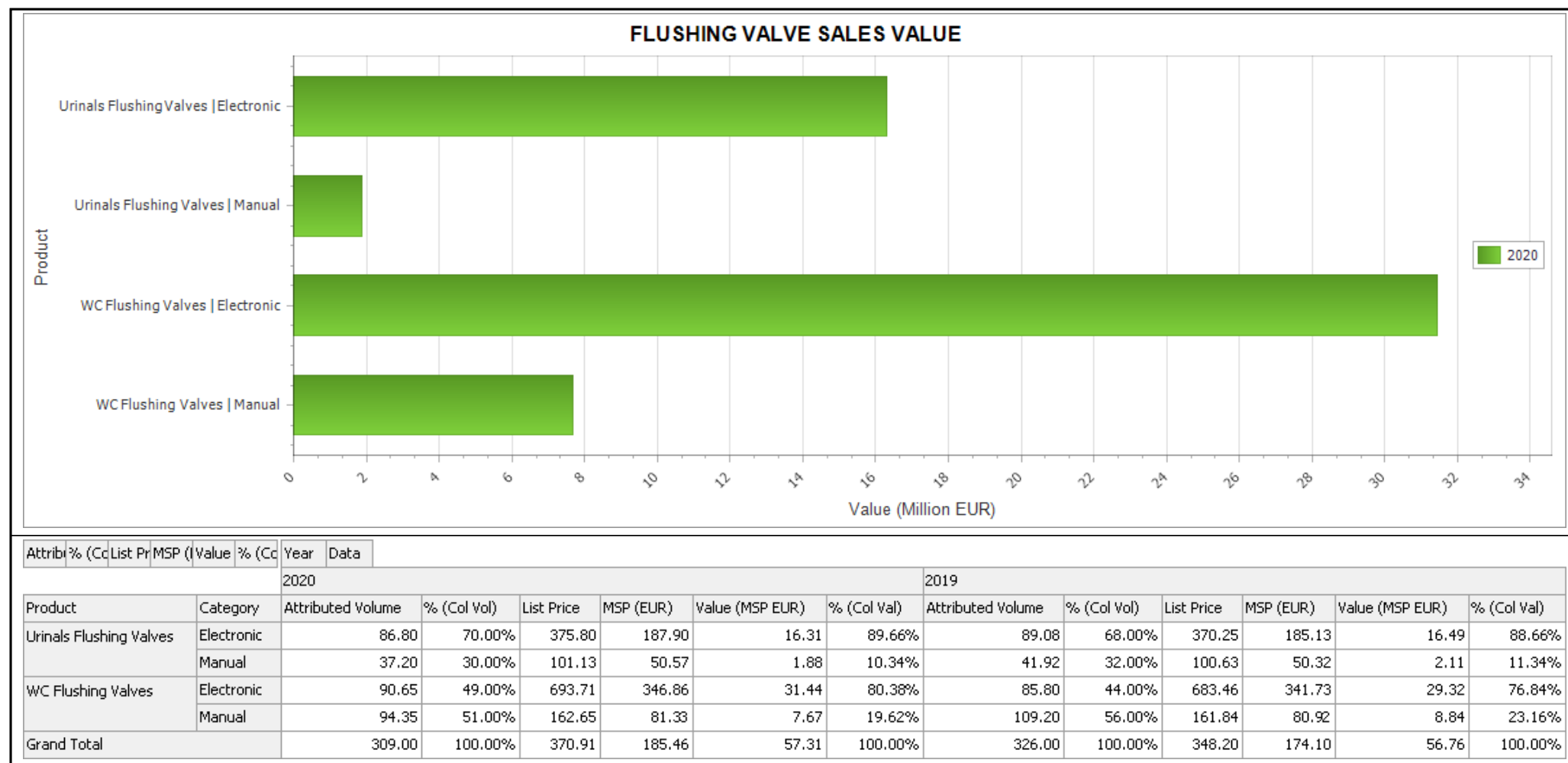
FR - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

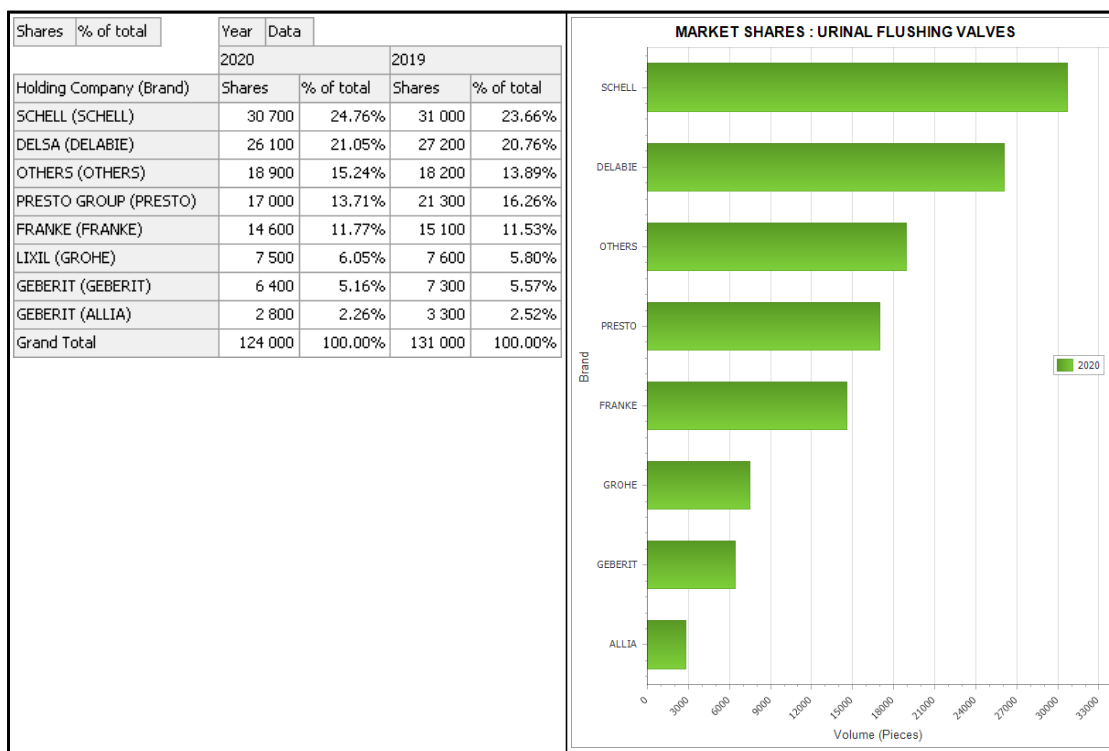
FR - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

3.9.3 Market Shares : Urinal Flushing Valves

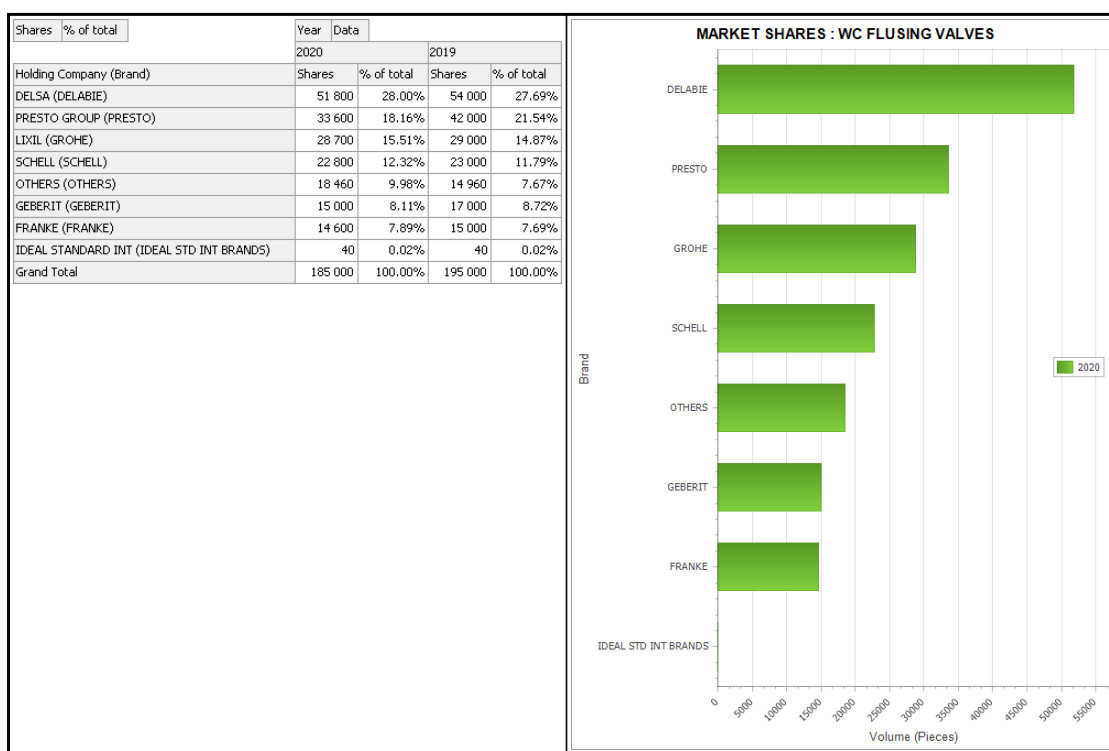
FR - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

3.9.4 Market Shares : WC Flushing Valves

FR - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

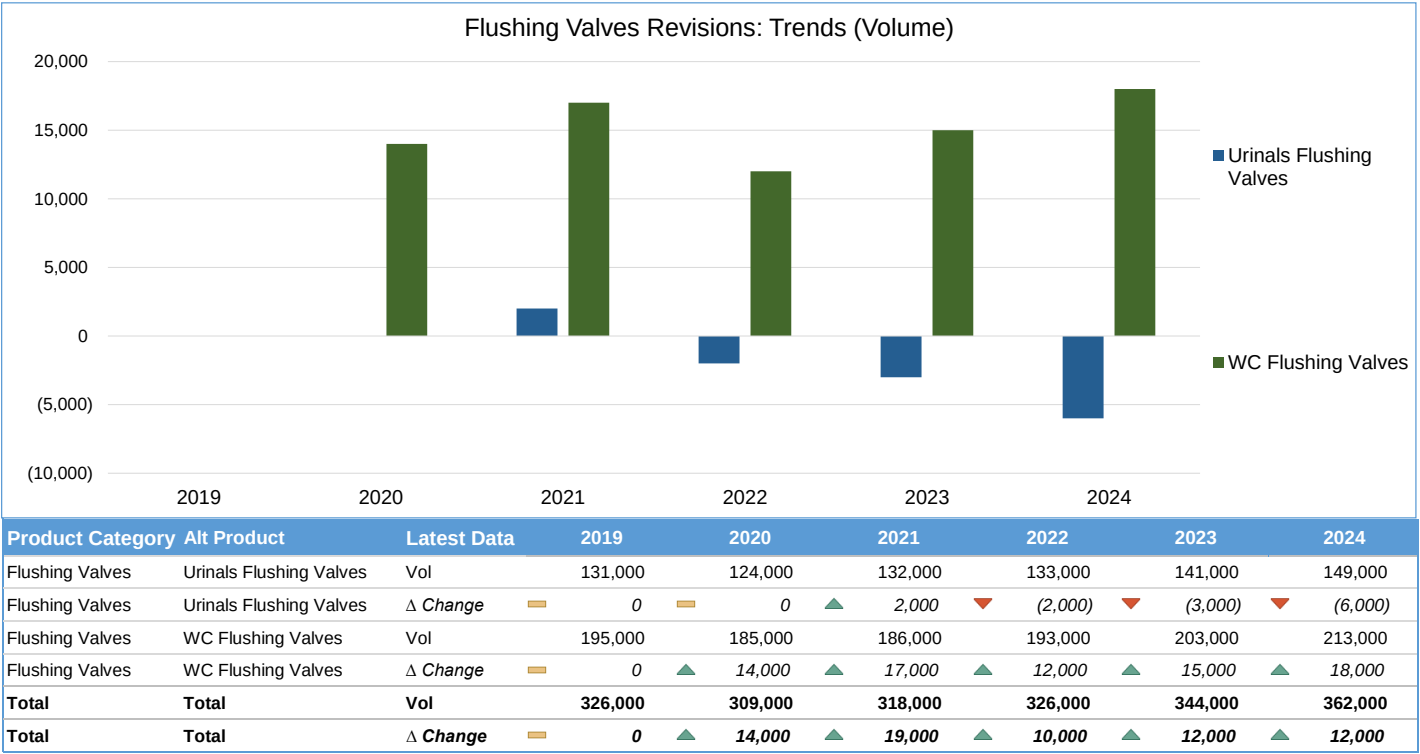


Source: BRG based on industry interviews.

3.10 Revisions in the French Flushing Valves Market (April 2021)

FR - REVISIONS IN THE FRENCH FLUSHING VALVES MARKET

Data Comparison: October 2020



No changes have been made to historical volumes for this market.

FRANCE

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower wall market in France has historically not shown a significant dependency on the new build market, but rather on housing RMI demand. Generally speaking, the overall shower wall market has followed a similar trend to the shower tray market, due to French households favouring showering over bathing; a trend which has intensified since the early 2000s and is still ongoing.

Over the last decade, the share of conventional shower cubicles has decreased steadily, while BRG has noted a slow but progressive shift from bath screens towards shower enclosures, the development of which is linked to that of shower trays. Nevertheless, conventional shower cubicles remain relatively popular in France, like in neighbouring Belgium, and have long been designed for studio flats and small social dwellings, making them perfect contract market products. Sales of these cubicles, however, have suffered from fierce competition from entry/lower price ranges of hydrotherapy products and shower enclosures with shower trays, due to their lesser space requirements.

The hydrotherapy market has long been supported by the increasing interest of French consumers in comfort and relaxation, which increased strongly before the start of the economic crisis. However, sales of hydrotherapy shower cubicles started to decline from 2008 onwards, with the first significant decline occurring in 2009. This suggests that the hydrotherapy cubicles market reached its peak in 2007, before heavily declining from 2009 onwards due to low demand and acceptance among French consumers. In fact, sales have been dropping strongly over the last couple of years and, within the bathroom products market, hydrotherapy products, and therefore hydrotherapy shower cubicles, have recorded the fastest and biggest decreases. Hydrotherapy products nowadays have difficulties in profiting from the trend of creating and organising bathrooms for comfort and relaxation. This decline in sales of hydrotherapy shower cubicle products in France rather suggests that demand for such products has become limited, and that consumers turn their interest to other bathroom products instead – such as shower trays installed with shower pipes or shower heads with multiple functions, for instance.

Besides comfort issues, the development of shower enclosure sales has been directly linked to attractive prices and aesthetic issues, as shower enclosures are also design elements in bathrooms. A new category of shower enclosure, used for wet rooms, emerged a few years ago and is expected to penetrate the market further – especially in new build, since wet rooms are gradually attracting an increasing number of consumers. This product has been mainly characterised by a more expensive price than that of other shower enclosure types. These shower enclosures, for the wet shower rooms, seem to meet the needs of the elderly French population. Even though their development has been so far fairly limited in France when compared to some other European countries such as the Netherlands, BRG believes that it is a fundamental issue for the future

development of the shower trays market in new dwellings, but could benefit the demand for shower enclosures. Manufacturers of shower enclosures offer vast product ranges and also some flexibility. Door types often need to match specific requirements, such as the type of system (either fixed or recess), the position of fittings (either in the centre or to one side), the number of panels (one or more), and the shape (e.g. curved or rectangular).

The development of sales of bath screens has been directly linked to the exposure of these products in DIY, where impulse purchases are believed to have played a major role. The market for bath screens has developed better in recent years than the baths market. Often seen as complementary products and in direct competition with simple curtains, sales of bath screens have been boosted by high construction activity in recent years. The bath screen segment is characterised by upselling and an increasing quality of products within the DIY sector, as well as an obvious ease of installation.

Sales of bath screens coming from housing RMI activities have followed an unstable trend over the last five years. However, there is still an estimated residual park of baths equipped with curtains or no showering option at all (baths only).

Recent Market Trends

After a positive trend since 2016, the overall French shower walls market declined in 2020. This decline does not diminish the fact that French households favour showering over bathing. Indeed, showers continued to take share from baths, and a substantial number of dwellings in France are today only equipped with a shower.

In 2020, all shower wall products experienced a negative growth. The contraction of new housing activities, along with the decline of renovation works and the drop of the overall non-housing output, led to a downward trend in the shower wall market.

Shower enclosures still account for the bulk of shower wall sales, followed by bath screens. It is of high importance to mention, however, that the drop in sales in 2020 did not deviate from French consumers' preferences. French households want to keep the option of both bathing and showering. Sales of conventional shower enclosures have suffered in recent years, as the market increasingly favours shower enclosures with door or side wall units, mostly for their space-saving benefits. In fact, sales of conventional shower cubicles continued to decrease in the year.

The market for hydrotherapy shower cubicles continued to decline in 2020. The market seems to suffer from a poor image in terms of quality, maintenance and noise. In addition, French consumers seem to favour other installations such as shower trays and walk-in showers. However, conventional shower and bath technology is still the first choice for French consumers, since it can provide more features and offers great price variants that satisfy the needs of French

households.

In small bathrooms, sales of bath screens tend to be towards fixed models. When the size of the bathroom is larger, pivoting and sliding systems are preferred. Looking closer at the door type segmentation of bath screens, it is clearly visible that the single door is the preferred choice of the consumers, with a share of around 70%.

On the other hand, with regards to the shower enclosure door mix, shares were estimated to have remained steady from 2019 to 2020, with door installations taking the bulk of the market (above all within this segment, pivoting and sliding are the most important).

Prices and Market Values

The total market value for shower wall products decreased in 2020 when compared to 2019, due to the slump in volume sales. However, average prices went up in the year across all product categories (apart from bath screens, which remained stagnant). This increase in prices can be definitely attributed to the extraordinary scenario which took place in 2020, whereby the supply chain registered disruptions and delays and most of the retail stores had to remain shut for a few weeks at least.

Sales of bath screens and conventional shower cubicles were driven by the economy/lower price segment in 2020. On the other hand, both the economy/lower and the middle price segments are dominant within the shower enclosures market.

The average price for hydrotherapy shower cubicles sharply increased, and this change can be associated with increased prices in the different price segments, as well as an increase in terms of percentage in the volume sales within the middle and upper/luxury segments, to the detriment of the economy/lower segment. This phenomenon, coupled with a decrease in the sales volumes for this product, is certainly related to a typical situation of economic recession, whereby a product like this one, which is not an essential one, gets easily replaced by other cheaper products.

New Housing

Sales of shower wall products in new housing have always been a relatively small percentage of total shower wall sales. However, the penetration rate of shower wall products in new housing is growing as a result of French households favouring showering over bathing.

Sales of shower wall products to new housing are logically dominated by sales of shower enclosures, since, as previously mentioned, they account for the bulk of sales of shower walls. BRG believes that an important share of baths installed in this segment are equipped with a bath screen rather than a curtain – or no barrier at all.

The installation of hydrotherapy shower cubicles is often far easier when included at the very first conception of new dwellings. In contrast to the pre-recession years, hydrotherapy products are no longer in favour in the new housing segment, with the sector now preferring shower trays and walk-in showers. Therefore, sales of hydrotherapy cubicles and conventional shower cubicles continue to follow a downward trend.

Housing RMI

Replacement demand accounts for the vast majority of sales in the shower wall market in France. This is the key end-use sector across all shower wall products, with most of the volume being made up of sales of shower enclosures. In 2020, the proportion of sales to housing RMI declined when compared to 2019. Sales of conventional shower cubicles to this segment also decreased, although there is a large park of products that need to be replaced. Moreover, sales of hydrotherapy models went down, showing the disinterest of French people for the solution.

Non-Housing

Sales to the non-housing sector were negatively impacted by COVID-19. Shower enclosures remain the most popular in the hotel-dominated non-housing shower wall sector, due partly to their general popularity and also to their ease of use, especially for busy people.

Supply Structure

The French shower wall market is characterised by a high degree of fragmentation, with the presence of both domestic and international players. As opposed to other sanitary products, a high number of companies supply shower wall products directly to installers or via DIY channels.

NOVELLINI largely dominates the shower enclosure market, with the other main manufacturers being SFA, SANSWISS, ROTH, and SCHULTE.

Sales of conventional shower cubicles are in the hands of just a few manufacturers, including SANPLAST (under its LEDA brand), SFA, and NOVELLINI. The supply for the French market for bath screens is dominated by foreign suppliers, such as JACUZZI BRANDS and NOVELLINI.

BRG believes that DIY and wholesaler brands hold a key position in the shower wall market in France. The internet is also taking shares in the distribution channel, due to an increasing interest of the French population in installing and customising their houses.

Forecasts

With the impact of the COVID-19 crisis in 2020, the number of accumulated new housing projects increased. It is difficult to predict how the slowdown of the economy will impact new housing in the short term. It is expected that the effects of the decline in new housing in 2020 should be carried over into 2021. However, from 2022 a rebound in new housing completions is expected, which will boost demand for shower walls. However, although the market is expected to recover, overall levels are expected to remain lower than the pre-crisis output.

The ongoing shift away from bathing towards showering is set to enhance all sales of shower enclosures and bath screens during the rest of 2021. Sales of hydrotherapy shower cubicles should continue to experience negative growth rates. Hydrotherapy products are currently not very popular in France, often due to higher retail prices and, with the increasing use of shower trays, French households show some resistance to using pure hydrotherapy products – which are perceived as too expensive and not necessary. Thus, sales of hydrotherapy shower cubicles should decrease over the forecast period. The main reason behind this market trend comes from the fact that conventional shower cubicles are losing popularity steadily in France, since they seem to suffer from a poor image and reputation.

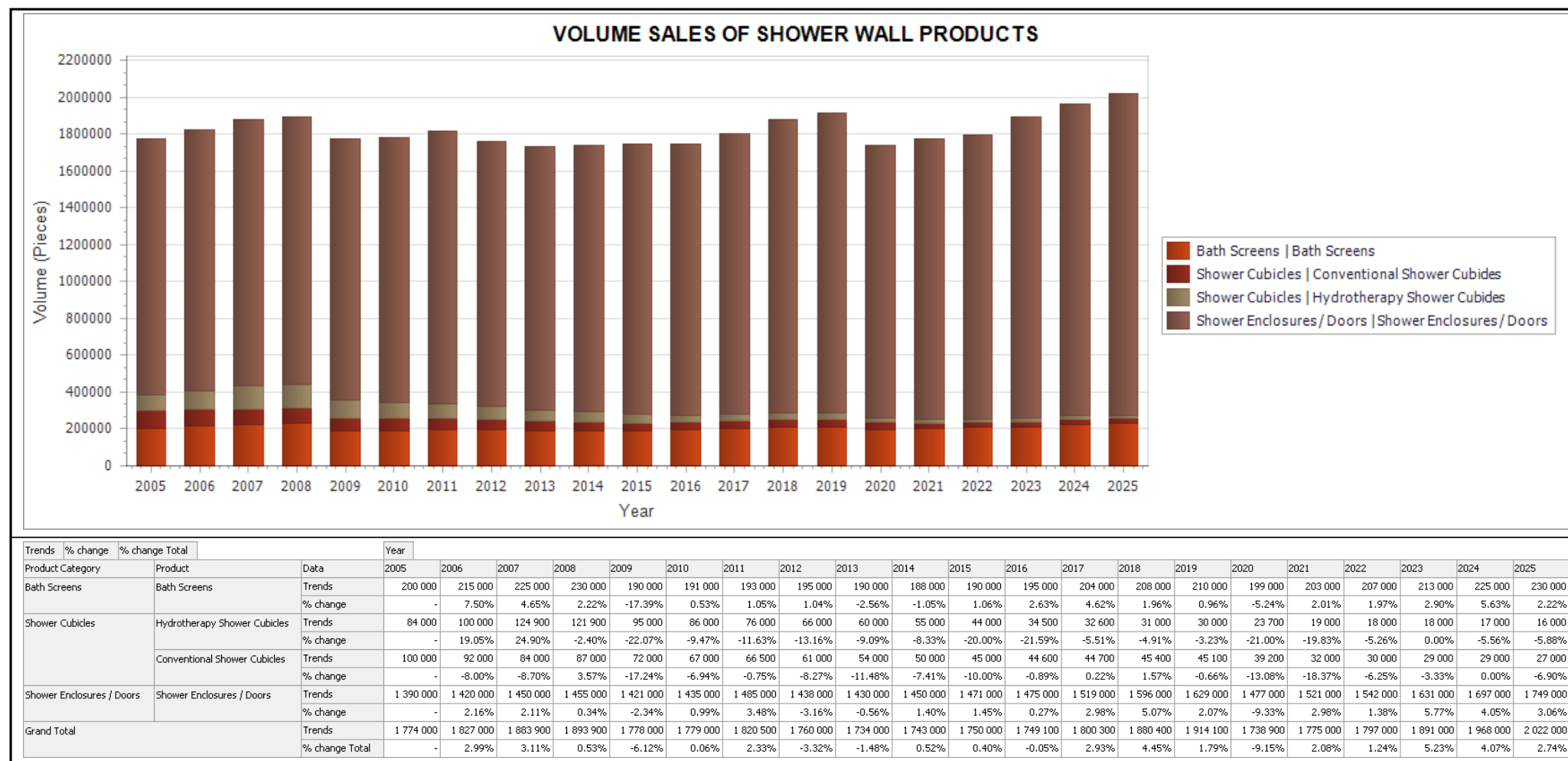
From 2022 onwards, the overall market may rebound, with all end-use segments recording positive performances.

The increase in internet distribution is likely to enable consumers to obtain higher-quality products at lower prices, which will put pressure on traditional distribution channels such as wholesale, independent merchants and DIY.

The development of wet rooms in the new collective dwellings should impact marginally the shower wall market. Indeed, the majority of French households are looking for relatively cheap and space-saving solutions in their bathrooms, thus opting for shower enclosures.

4.2 Historical Trends and Forecasts : Shower Wall

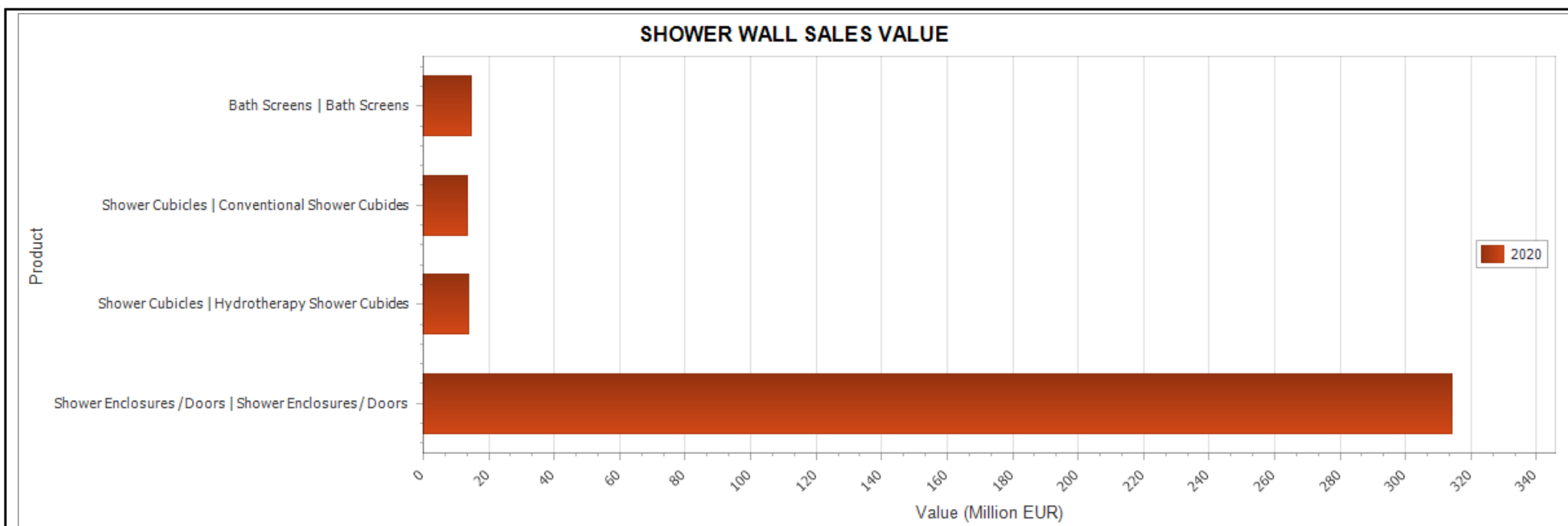
FR - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

FR - ESTIMATED VALUES OF THE SHOWER WALL MARKET

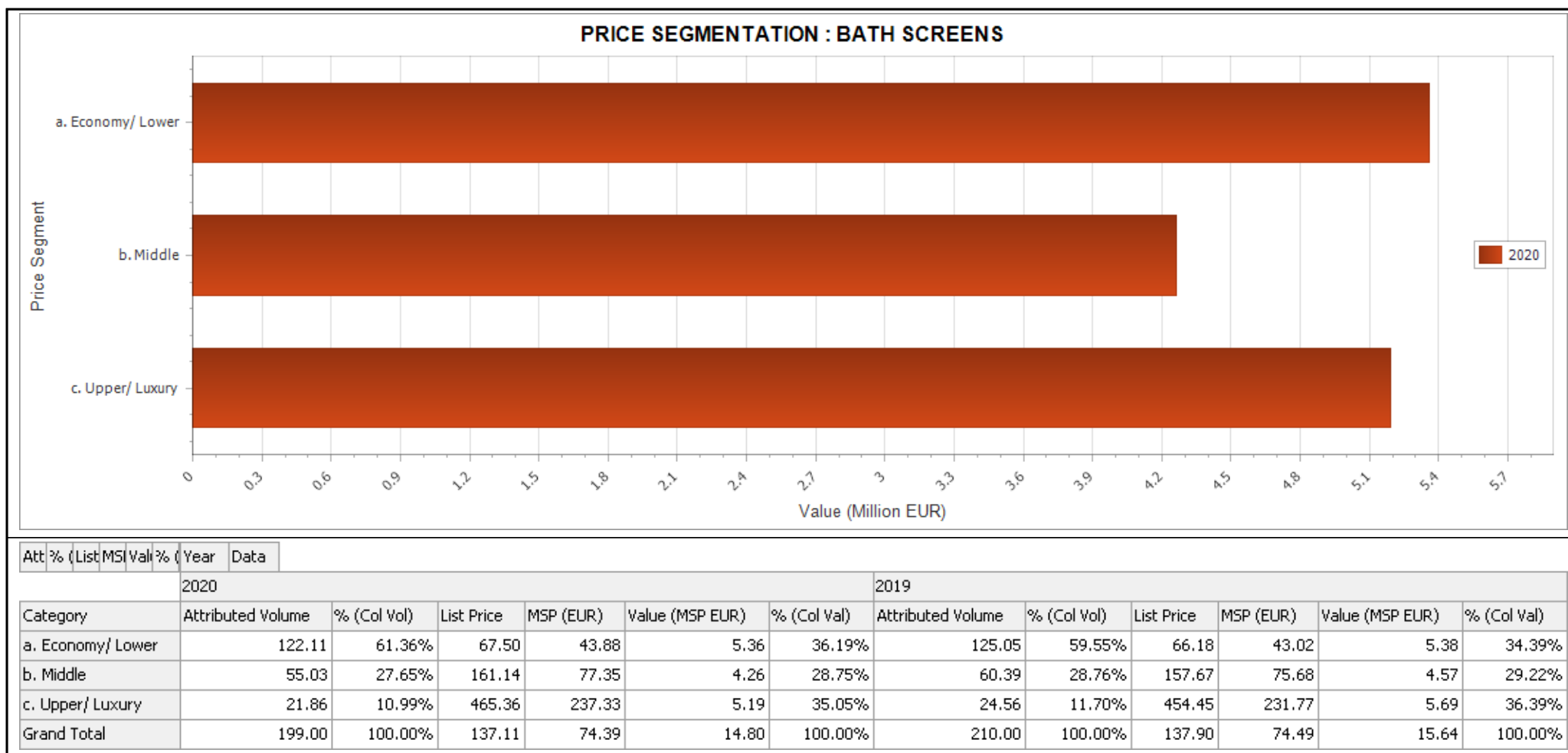


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
		2020			2019			
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Bath Screens	Bath Screens	199 000	74.35	14.80	210 000	74.49	15.64	
Shower Cubicles	Conventional Shower Cubicles	39 200	346.46	13.58	45 100	335.77	15.14	
	Hydrotherapy Shower Cubicles	23 700	586.76	13.91	30 000	560.77	16.82	
Shower Enclosures / Doors	Shower Enclosures / Doors	1 477 000	212.80	314.31	1 629 000	206.20	335.90	
Grand Total		1 738 900	205.07	356.59	1 914 100	200.36	383.51	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

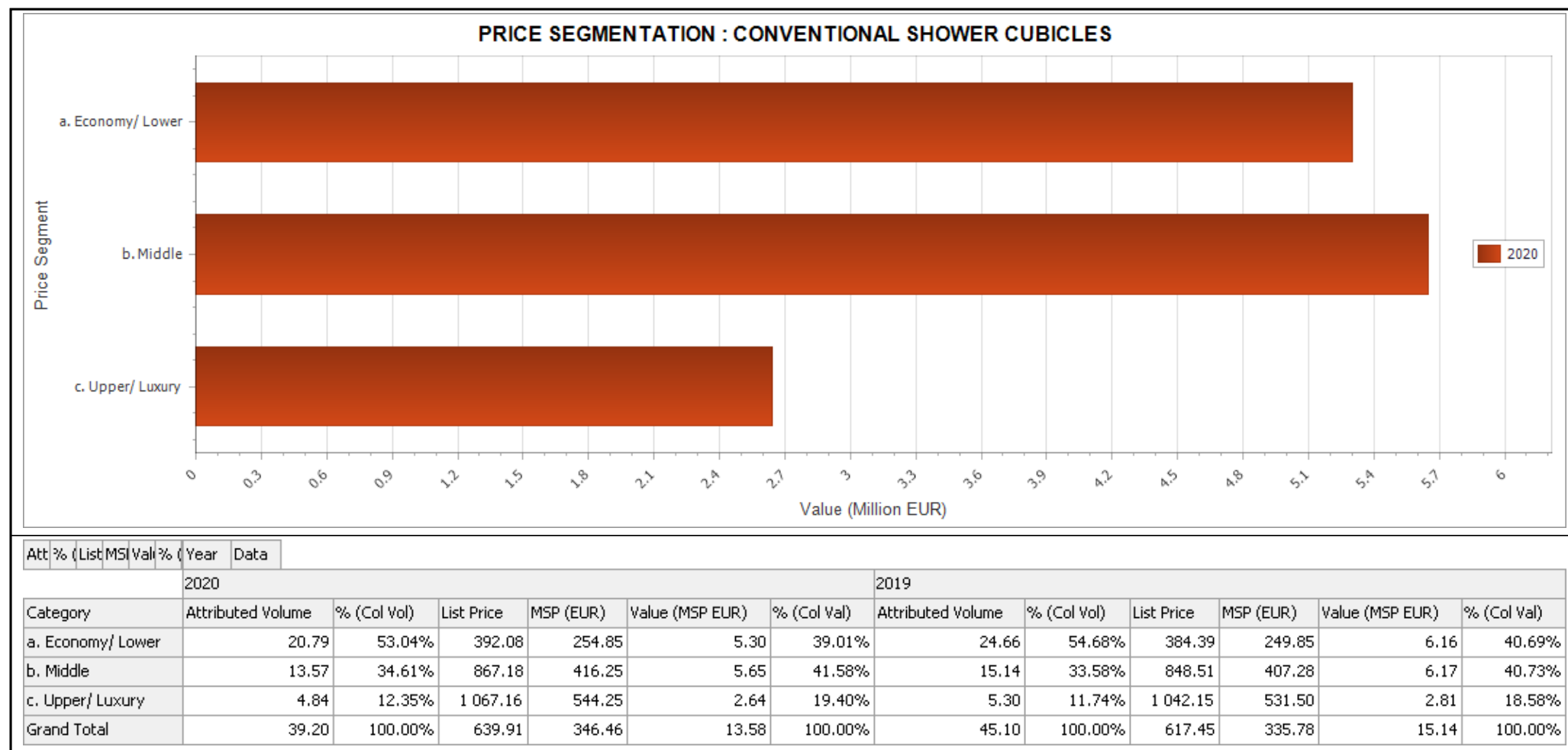
FR - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

4.3.3 Price Segmentation : Conventional Shower Cubicles

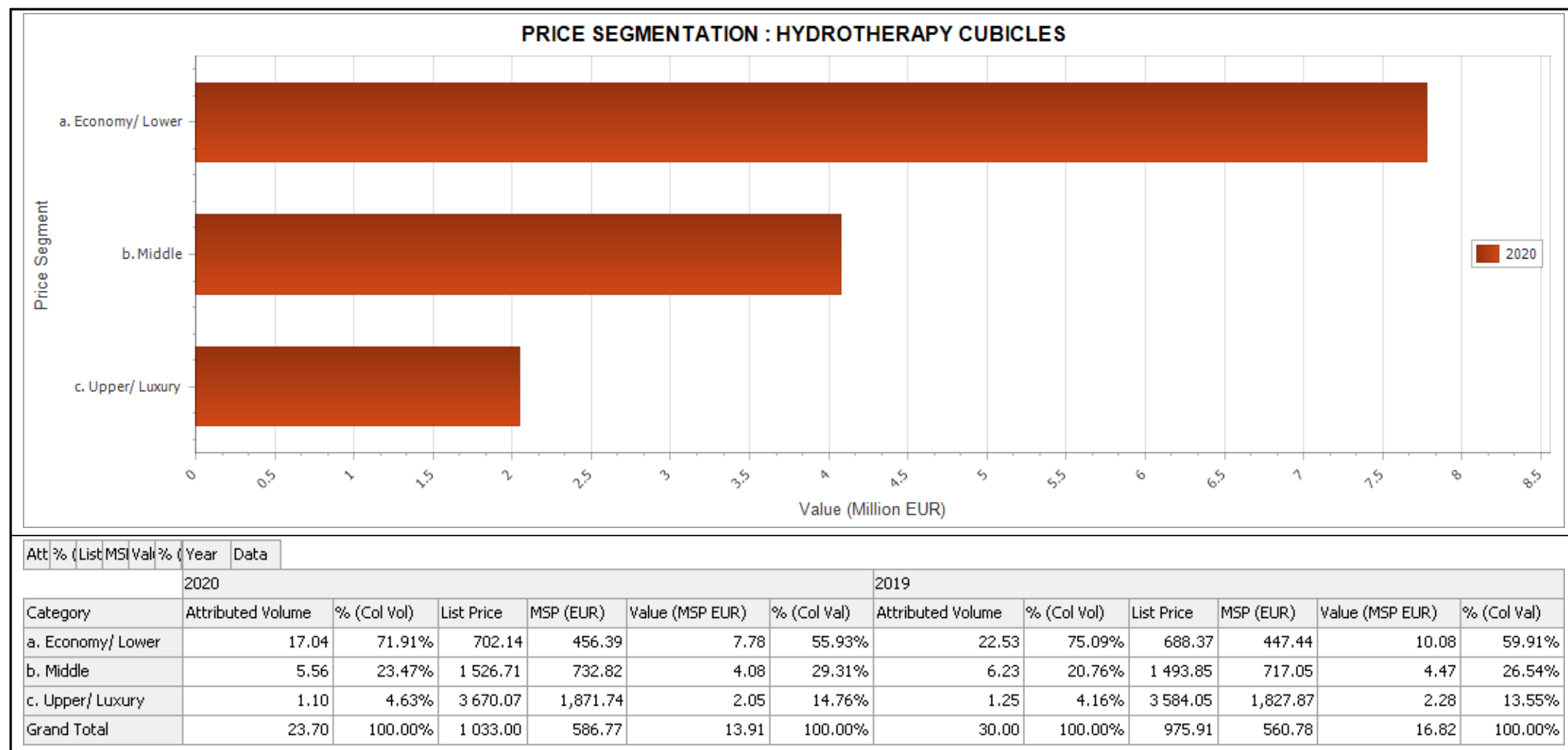
FR - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€500, Upper/ Luxury >€500

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

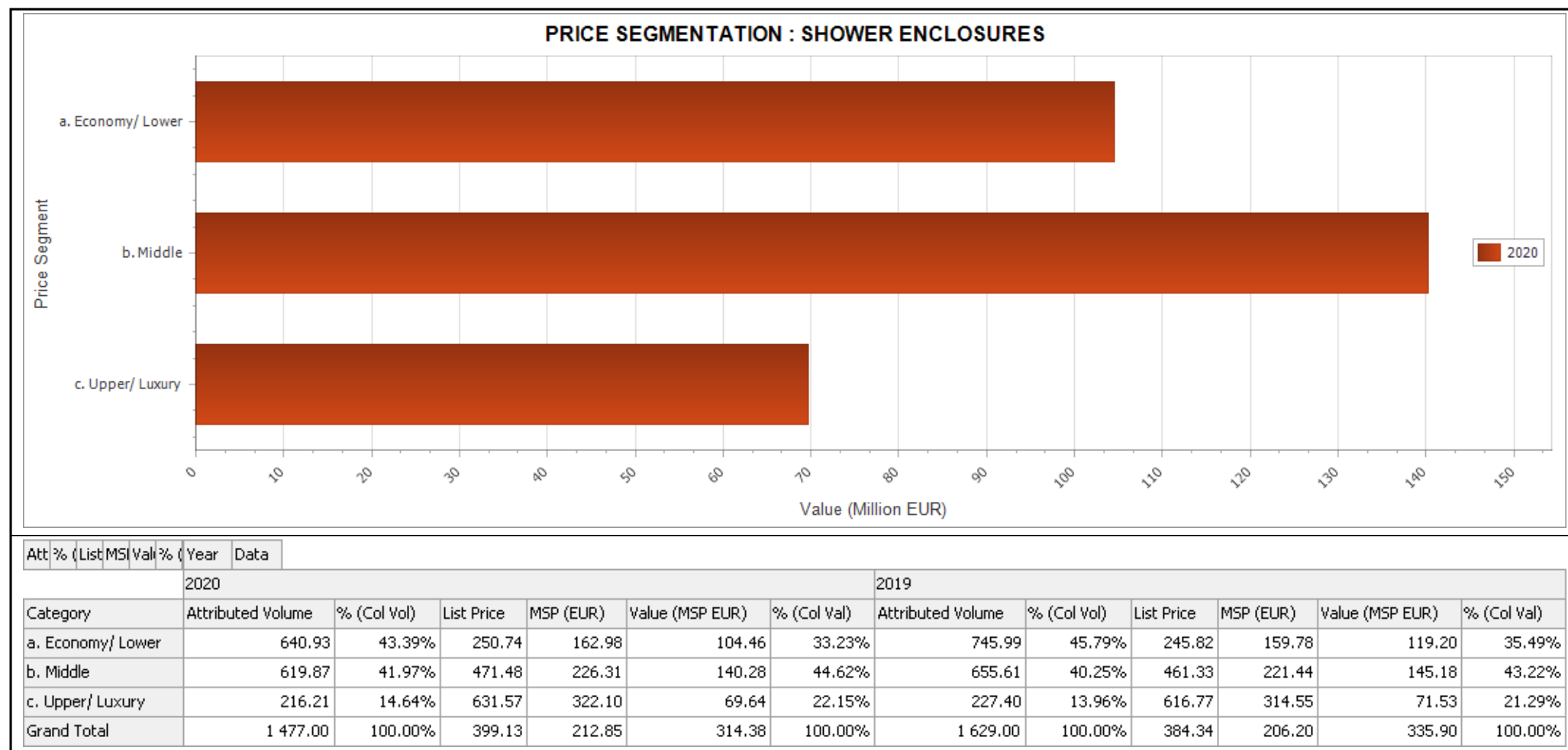
FR - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€1,000, Upper/ Luxury >€1,000

4.3.5 Price Segmentation : Shower Enclosures

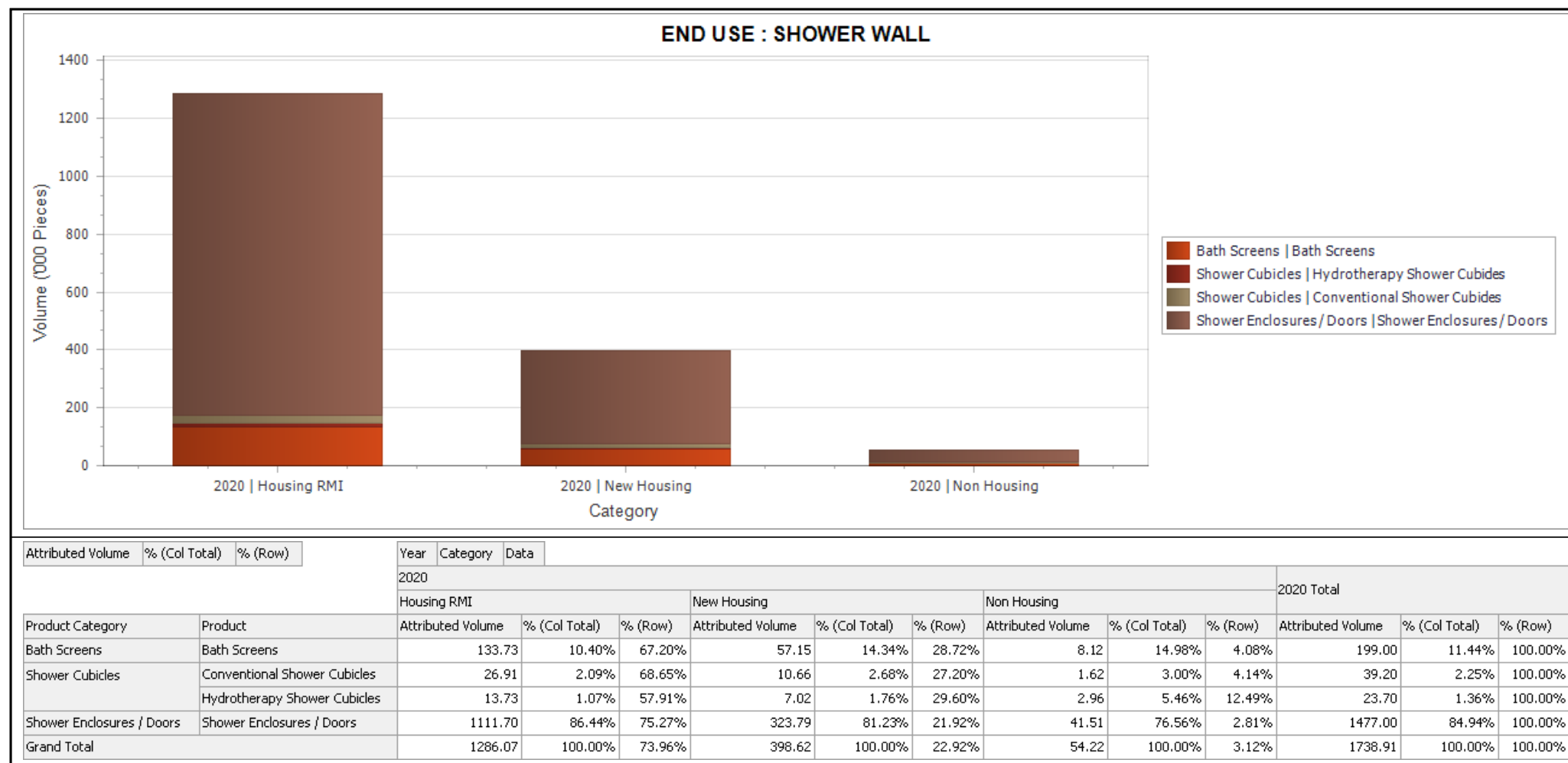
FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€300, Upper/ Luxury >€300

4.4.1 End Use : Base Year

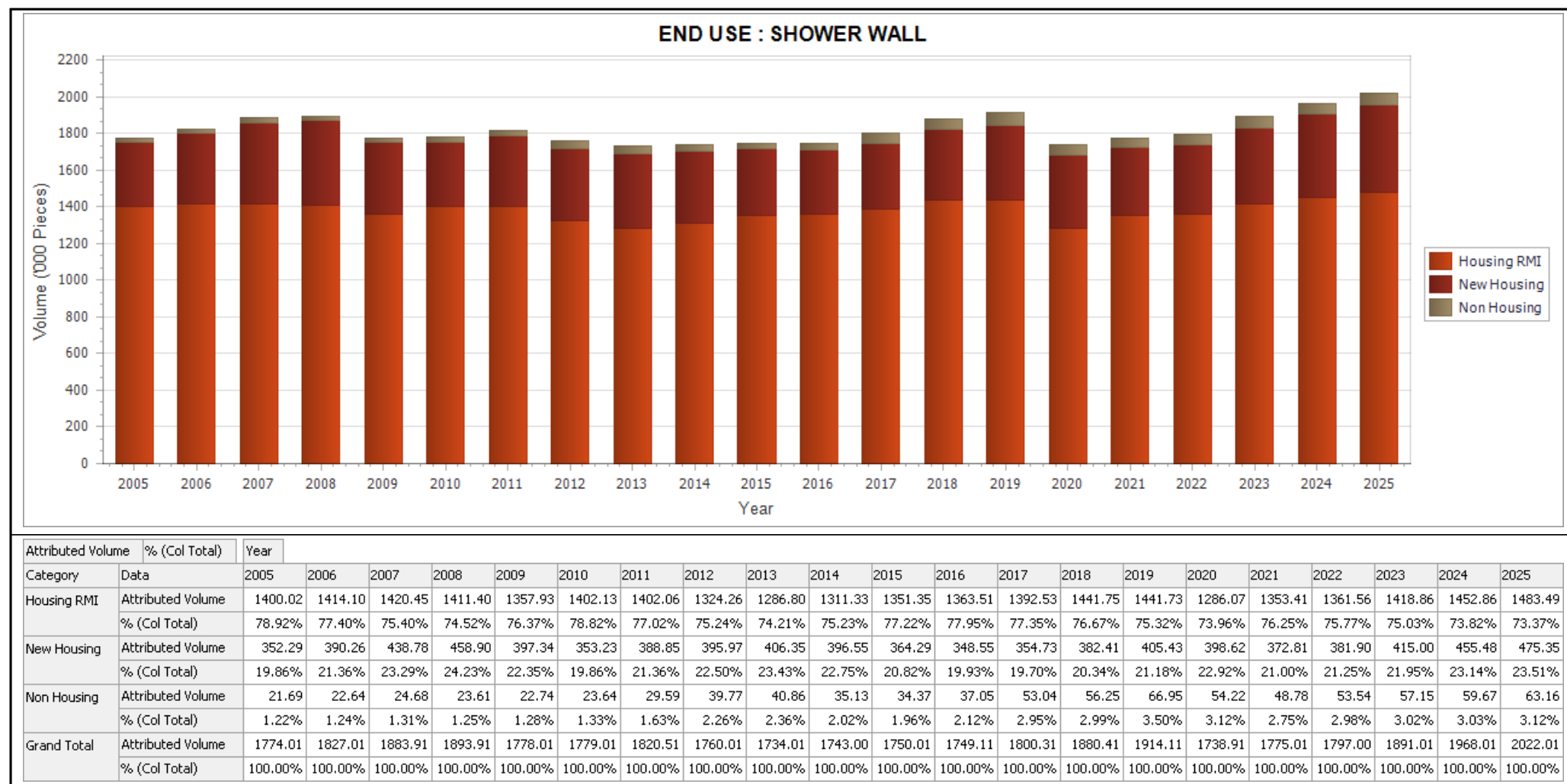
FR - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

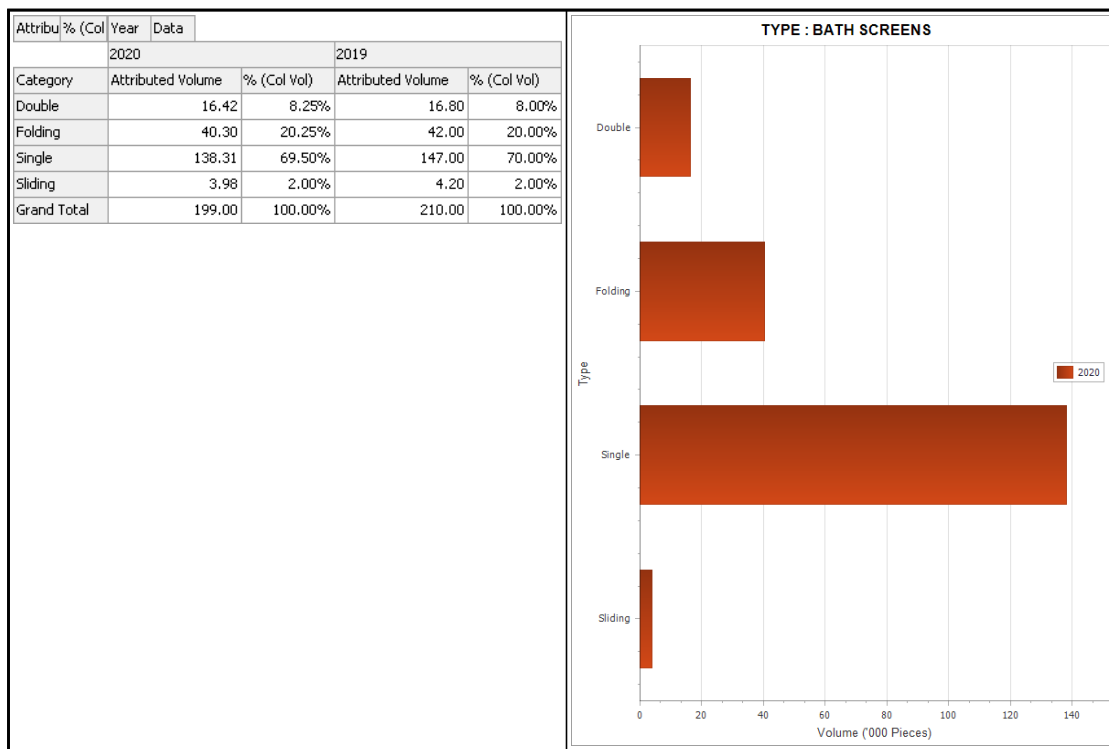
FR - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

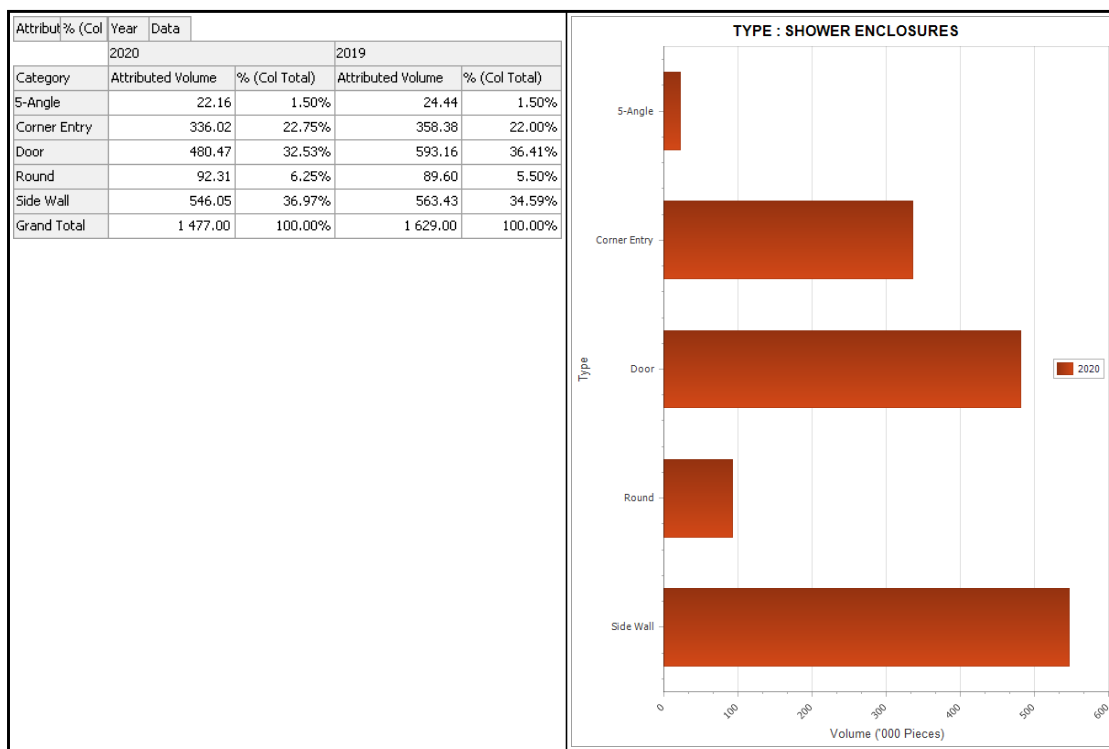
FR - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

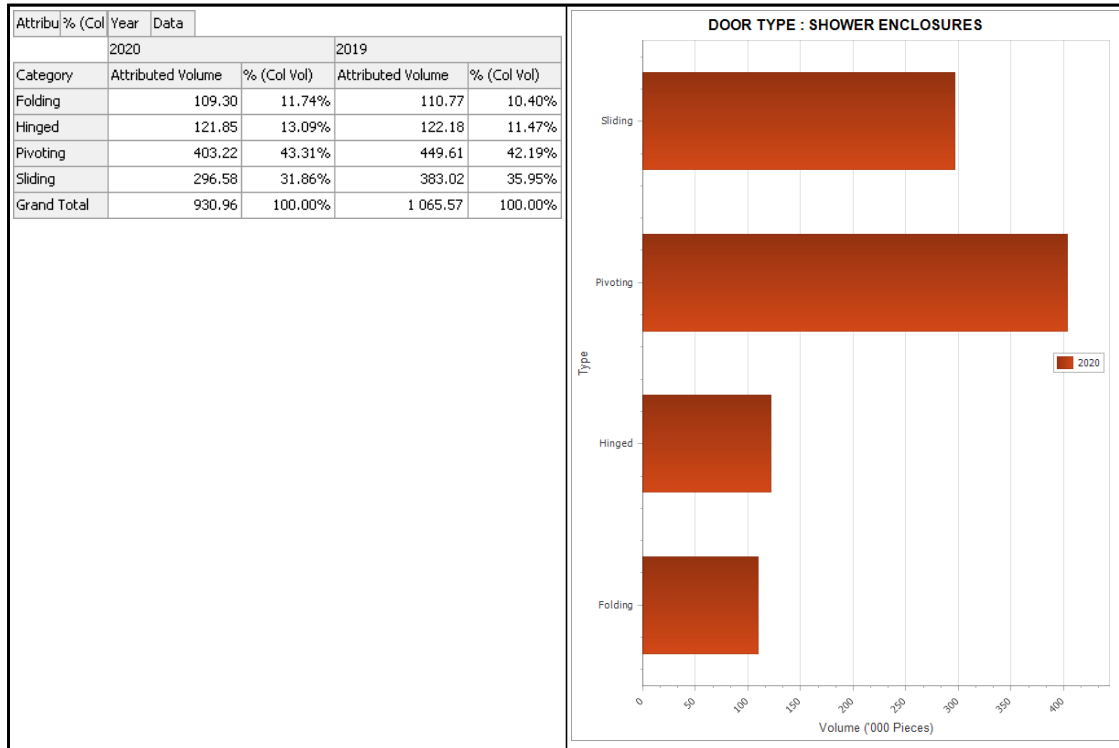
FR - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

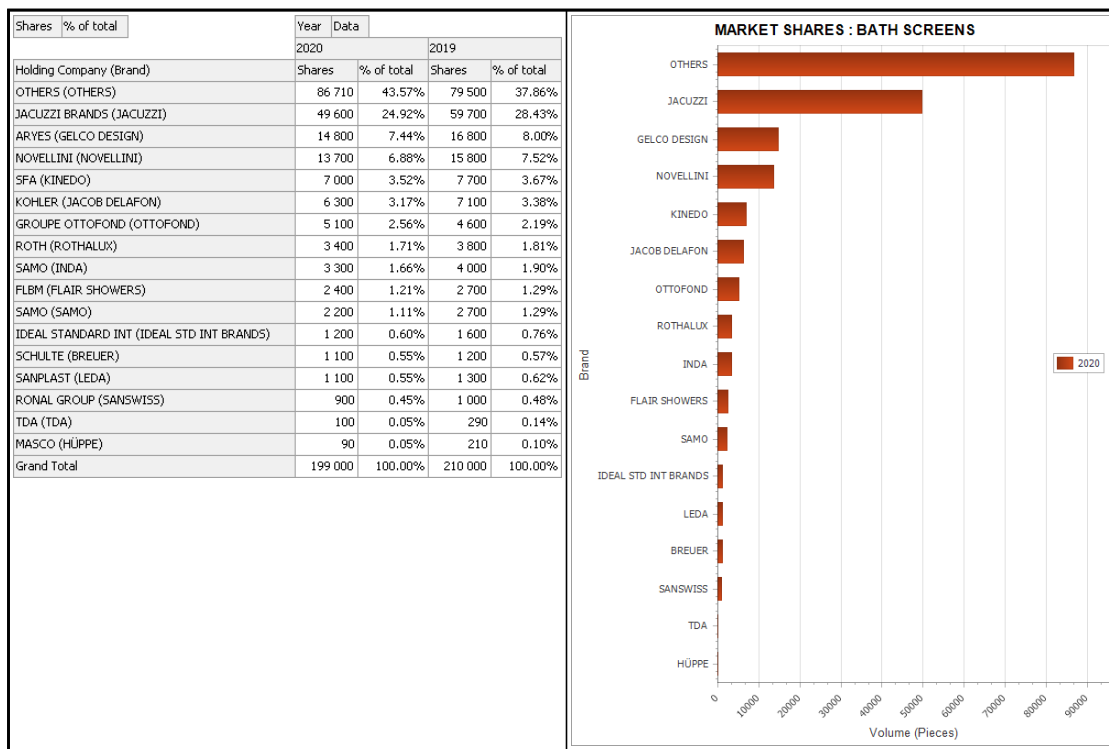
FR - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

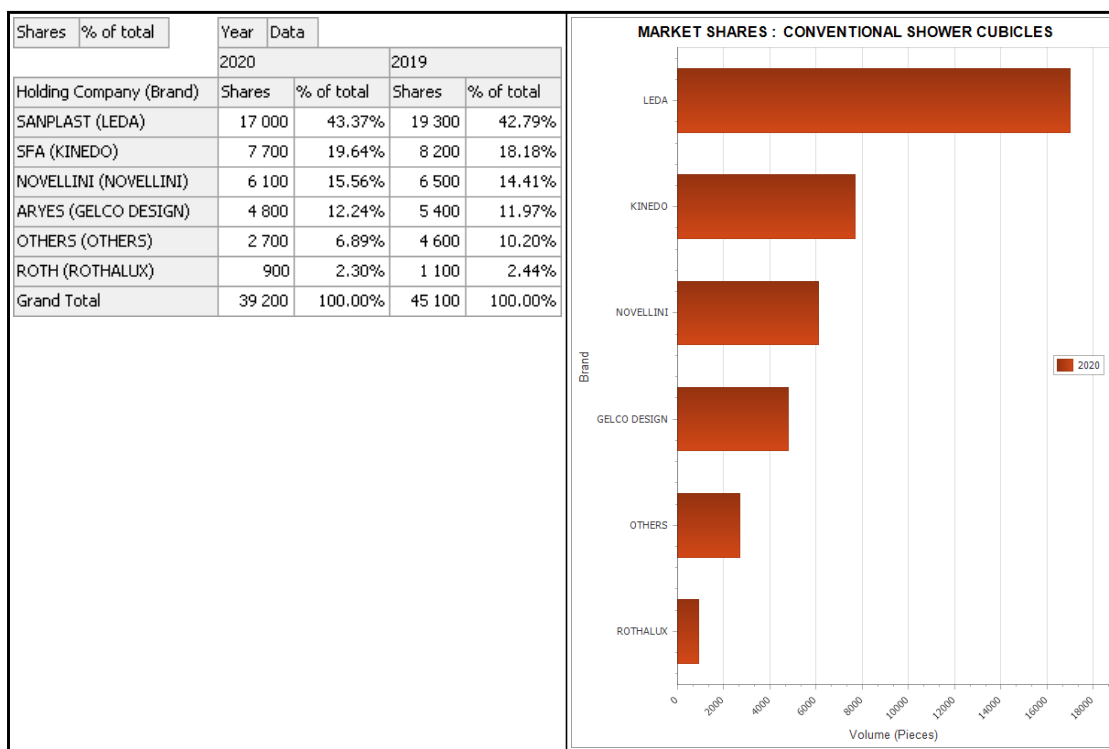
FR - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

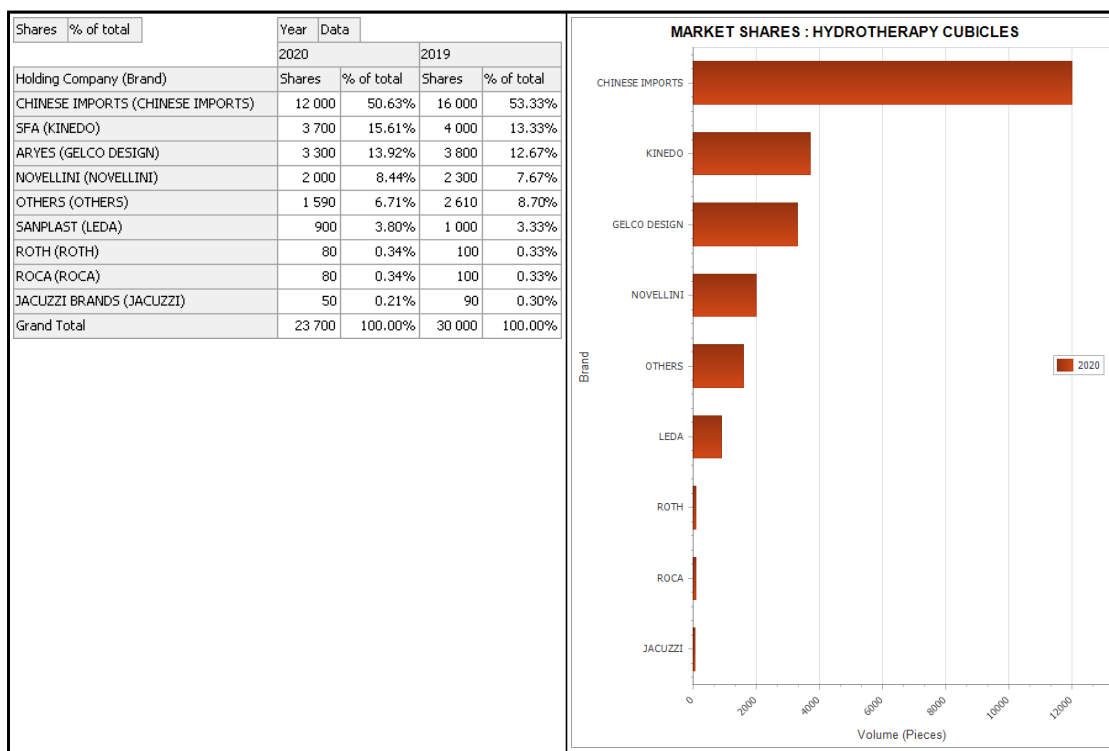
FR - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

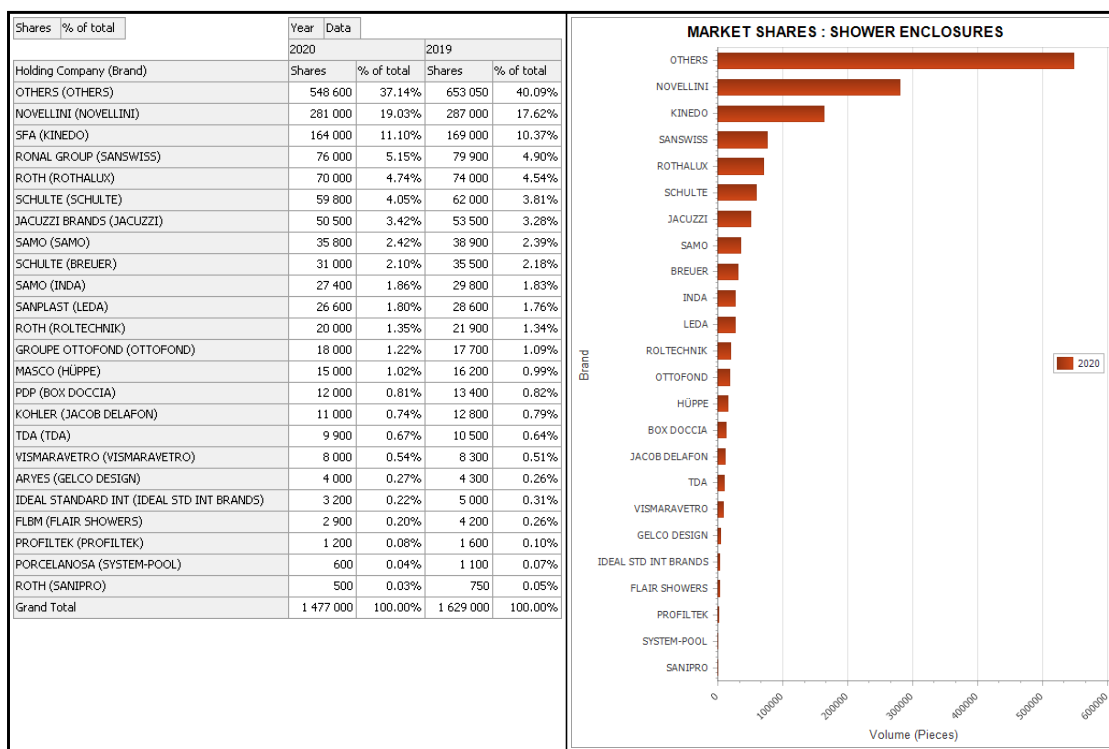
FR - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

FR - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
FR - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	72.1%
	Wholesalers / Merchants
	72.1%

Retail Level	Manufacturer 1.5%	Wholesaler 2.1%	Manufacturer 19.7%	Wholesaler 23.1%	Manufacturer 5.3%	Wholesaler 4.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.7%		42.8%		9.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.1%	36.5%	0.6%	15.0%	1.9%
Installers				
54.0%				

End Use Level	Manufacturer 0.0%	Wholesaler 5.4%	Internet 3.1%	DIY 27.5%	Specialist 7.0%	Installer 53.8%	Manufacturer 1.2%	Wholesaler 1.0%	Internet 0.0%	DIY 0.3%	Specialist 0.4%	Installer 0.2%
	Residential						Non-Residential					
	96.9%						3.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	22.9%			74.0%			1.7%			1.4%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	12.6%	10.3%		5.8%	68.2%		1.5%	0.3%		0.3%	1.1%	

4.6.2 Route to Market: Shower Wall
FR - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	72.2%
	Wholesalers / Merchants
	72.2%

Retail Level	Manufacturer 3.2%	Wholesaler 3.9%	Manufacturer 18.3%	Wholesaler 22.7%	Manufacturer 5.0%	Wholesaler 3.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.1%		41.0%		8.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.1%	35.8%	1.1%	14.4%	7.6%
Installers				
58.9%				

End Use Level	Manufacturer 0.0%	Wholesaler 5.3%	Internet 6.0%	DIY 26.7%	Specialist 1.0%	Installer 57.9%	Manufacturer 1.2%	Wholesaler 1.0%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 0.9%
	Residential						Non-Residential					
	96.9%						3.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	23.5%			73.4%			1.5%			1.7%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	12.9%	10.6%		5.7%	67.6%		1.2%	0.2%		0.4%	1.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

FR - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2020

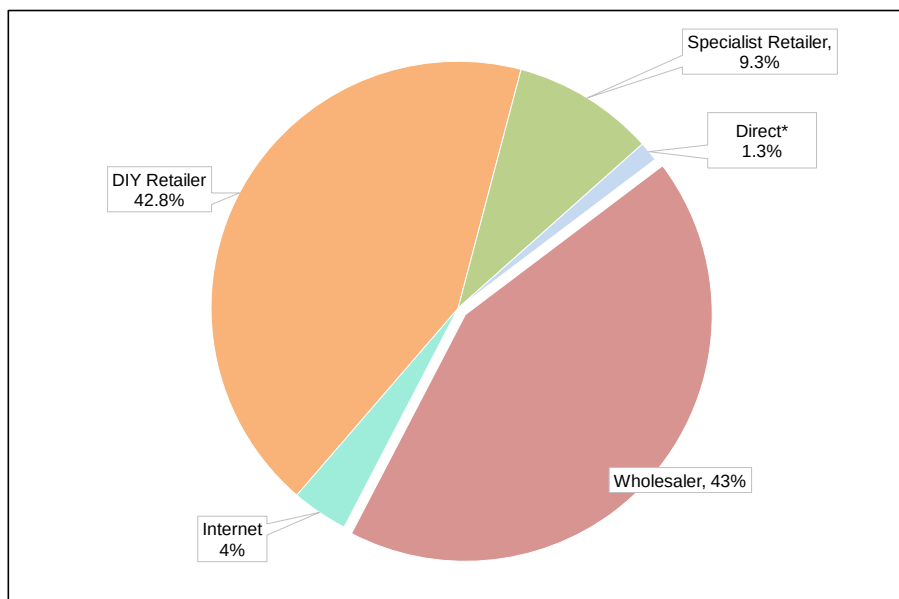
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
42.9%	3.7%	42.8%	9.3%	1.3%	18.4%	1.8%	78.5%	1.4%
100%					20.1%		79.9%	

4.6.4 Route to Market - Consolidated View : Shower Wall

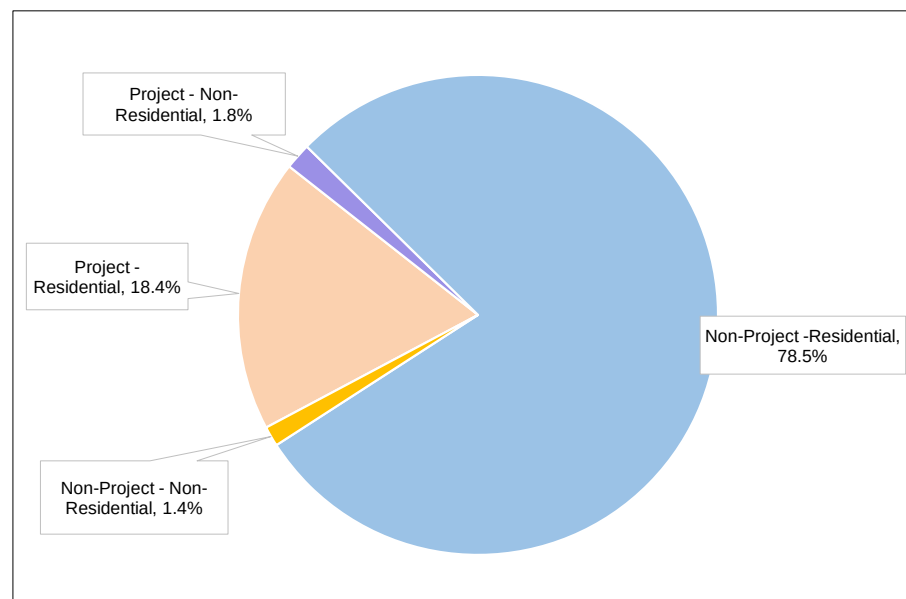
FR - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
42.1%	7.1%	41.0%	8.6%	1.3%	18.7%	1.6%	78.2%	1.5%
100%					20.3%		79.7%	

FR - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2020



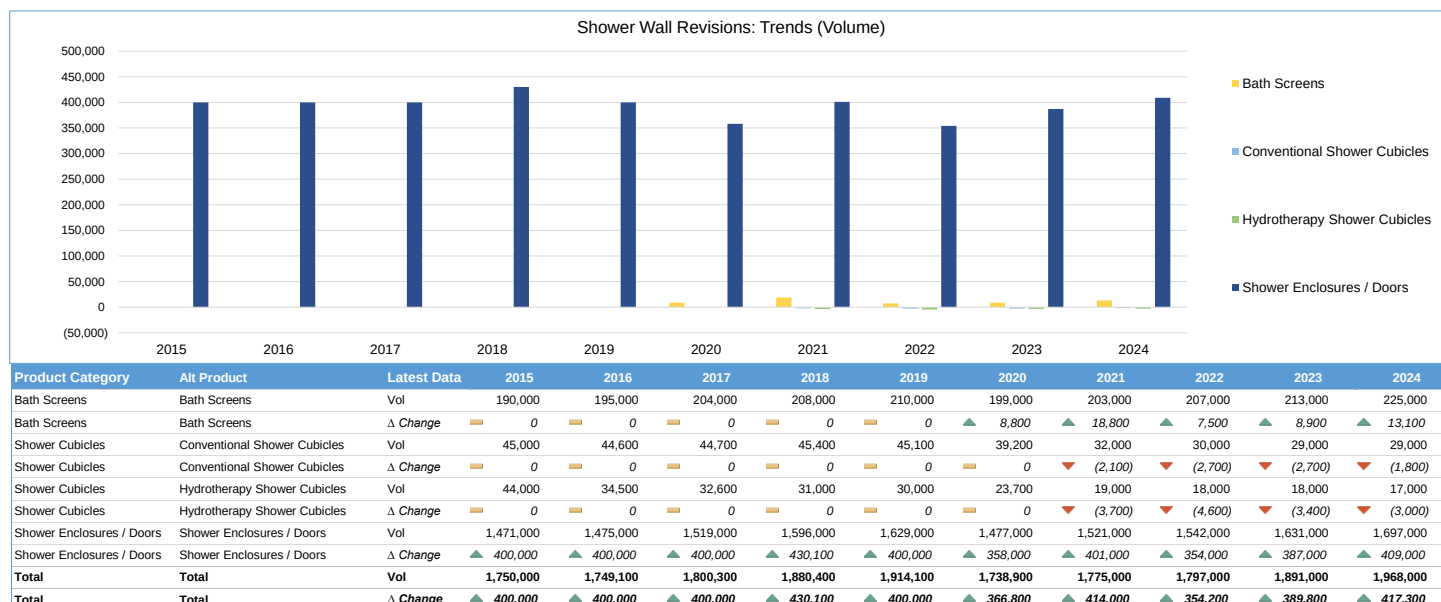
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the French Shower Wall Market (April 2021)

FR - REVISIONS IN THE FRENCH SHOWER WALL MARKET

Data Comparison: October 2020



Upward revisions were made to the market size for shower enclosures due to the upward revision made to shower trays, all types, for the entire trendline.

The MSPs for all types of shower wall products, apart from conventional shower cubicles, were adjusted due to changes made to the sales per price segment, including the MSP per price segment.

FRANCE

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

One of the most important factors behind the growth in the bathroom furniture market before the start of the crisis had been the growing interest of French consumers in the comfort, decoration and design of their bathrooms. This resulted in the increasing penetration of bathroom furniture in new build and, to a lesser extent, housing RMI. Since 2007, however, French households have reduced the value of their purchases and also bought cheaper products – neglecting the bathroom – while new build activity remained subdued in 2009 and 2010. Therefore, the overall market is highly dependent on the level of investment of consumers and the developments of the new housing sector.

The trend towards wider homogeneity in the offer and style ranges in the French bathroom furniture market has resulted in the repositioning of domestic and specialist manufacturers in the middle and luxury price segments to escape the mass market, where the number of imports has risen steadily in recent years. A clear increase in imports from Eastern European countries, in particular Poland and Romania, has been noticeable, although China, Germany and Italy have remained the main suppliers in this market. Since 2010, imports from southern Europe, especially Spain, have also developed significantly.

Regarding the base unit / vanities segment, sales of ceramic countertops have been historically significant – due to the importance of imports and the ongoing high levels of investments made by manufacturers to reposition themselves in higher ceramic product price ranges through offering a wider choice of colours, shapes and quality. In the last decade, however, the French market has tended rather to focus on polyconcrete/concrete, Corian, and synthetic materials.

The casing of all types of bathroom furniture is traditionally mainly made of MDF (medium-density fibreboard), which offers a number of advantages over chipboard, although it is slightly more expensive. However, the price of MDF in the French market is characterised by a downward trend, as MDF is increasingly used for the economy and middle price ranges (generally polymer) and the premium price range (lacquered). This material, however, is perceived to be of low quality, due to the fact that it is not very resistant to moisture and that there are issues regarding how the connecting joints are fitted and assembled together. Historically, most base units were monobloc/countertop basins, but a recent trend towards more designer products has led the countertops segment to develop.

Recent Market Trends

The bathroom furniture market was hit by the effects of COVID-19, and sales in 2020 decreased across all product categories. The French bathroom furniture market was negatively impacted by the contraction of new housing activity, with new completions decreasing for both apartment buildings and family houses. Also, French households consider bathroom furniture as non-essential items as opposed

to extra-flat shower trays or even wet shower rooms, or other rooms in the dwelling such as the living room and the kitchen. This has been confirmed by the economic situation in France during the pandemic.

In terms of product mix in 2020, mirror and mirror/medicine cabinets represented the largest product segment and their demand dropped significantly in comparison to 2019. BRG believes that sales continued to be driven by fashionable, affordable products, which reflected a trend towards functional bathroom furniture.

Prices and Market Values

The average price of base units / vanities and separate cabinets slightly decreased in 2020, although the MSP (manufacturers' selling price) in each segment relatively increased. This is due to the shift of sales volume from the upper/luxury and middle segments towards more economical ones. Indeed, in 2020 more units were sold in the economy/lower price segments of the market because of the decrease in consumer confidence and French financial instability. Consequently, data showed a positive trend for the DIY segments, whereby DIY channels gained market shares to the detriment of other segments.

For mirrors / medicine cabinets, the average price decreased at a higher rate than in the case of base units / vanities and separate cabinets. However, the distribution among price segments followed the same trend, whereby sales volumes increased substantially in the economy/lower price segment.

New Housing

New build traditionally plays a relatively important role in the bathroom furniture market, and BRG estimates that the penetration rates of the various segments of the bathroom furniture market will not significantly evolve year after year. The importance of the new build sector in driving market development seems to place pressure on market value, as house builders in France opt most of the time for cheaper products. Bulk purchases by contractors are another factor to impact prices and marginal profits.

Sales to the new housing sector decreased in 2020, following the strong recovery of new housing activity in France during the previous five years. In 2020, sales to new housing remained significantly more important for the base units / vanities, and separate cabinets and mirror/medicine cabinets generally come last on the list of bathroom equipment, being more for housing RMI applications.

Housing RMI

Replacement demand accounts for the clear majority of sales in the bathroom furniture market in France, although sales of base units / vanities rely slightly more on new build (as mentioned above) than other products. Overall residential RMI activities experienced a decline in 2020, mainly due to the sharp decline of French households' level of private consumption. Sales of separate cabinets rely slightly

more on RMI activity than other products, as they are often bought as an additional fixture or before the refurbishment of the entire bathroom.

Non-Housing

Sales to non-housing decreased in 2020 when compared to the previous year. Sales to this end-use sector mainly comprise demand coming from the hospitality sector, which explains the limited share of non-housing sales with regards to the total bathroom furniture market. Indeed, the demand of these types of products in RMI has been following a downward trend for the past five years, reflecting the marginal development of hospitality as well as office-related projects.

Supply Structure

The French bathroom furniture market is extremely fragmented, and it comprises both domestic and foreign manufacturers.

In recent years, the base unit segment has been characterised by a certain repositioning of manufacturers within the real estate market in order to develop their growth potential. As an example, DELPHA increasingly works on strengthening its business relationship with the real estate market and retail merchants. SANIJURA, for its part, has chosen to focus on both the real estate and hotel industries. Its commercial and marketing strategy consists of participating in regular specialist exhibitions such as ARCHIVISION or EQUIP`HOTEL.

Another clear trend has been towards the use of more technologically advanced services. Geo-localisation services, to locate the distributors of a given manufacturer as well as the available product stock, have experienced growing success. Lastly, domestic manufacturers have been looking to develop internationally. This has been the case of SANIJURA in areas such as the Benelux countries, Switzerland and Germany, and DECOTEC, which estimates that the German market offers an attractive outlet, with an estimated eight-year replacement cycle against 15 years for France.

The base unit segment is characterised by a high degree of fragmentation and a rising number of imports. Imports from Spain have developed significantly since 2010. Of the OEM sales going into DIY, BRG has identified MOBILIARIO ROYO, EXPORTMOBLE, and SALGAR. Many of the imports are believed to come from Asia, especially China, as well as Italy, Germany, Poland, and to a lesser extent Romania. However, ROCA took a new step to establish itself as a world leader in bathroom products by acquiring a majority stake in the Valencian group ROYO. The market also witnessed in 2020 the exit of ALLIA, and its sales shifted to GEBERIT.

Most mirrors / mirror cabinets' market players, whether they are specialist or generalist manufacturers, aim to have a complete offering that includes base units, mirrors and mirror cabinets – as well as separate cabinets – in their catalogues. One main difference, however, lies in the distribution of separate cabinets, which

mainly relies on the DIY channel, where great quantities of individual cabinets (not part of a set) are sold. The supply structure of this market witnessed the acquisition of MOBILIARIO ROYO by ROCA.

GROUPE PARISOT, one of the main players on the French bathroom furniture market, was acquired in 2017 by the holding P3G, which had previously purchased some of GROUP PARISOT's subsidiaries. In the context of a French entry-level furniture market where consumption is low and distribution concentrated, with big players negotiating prices at the tightest level such as GROUPE FOURNIER, some brands have suffered or disappeared in recent years in France and the market has been characterised by a trend towards concentration. For instance, NEFORM has recently acquired NEOVA and PYRAM, two important players on the French bathroom furniture market.

Forecasts

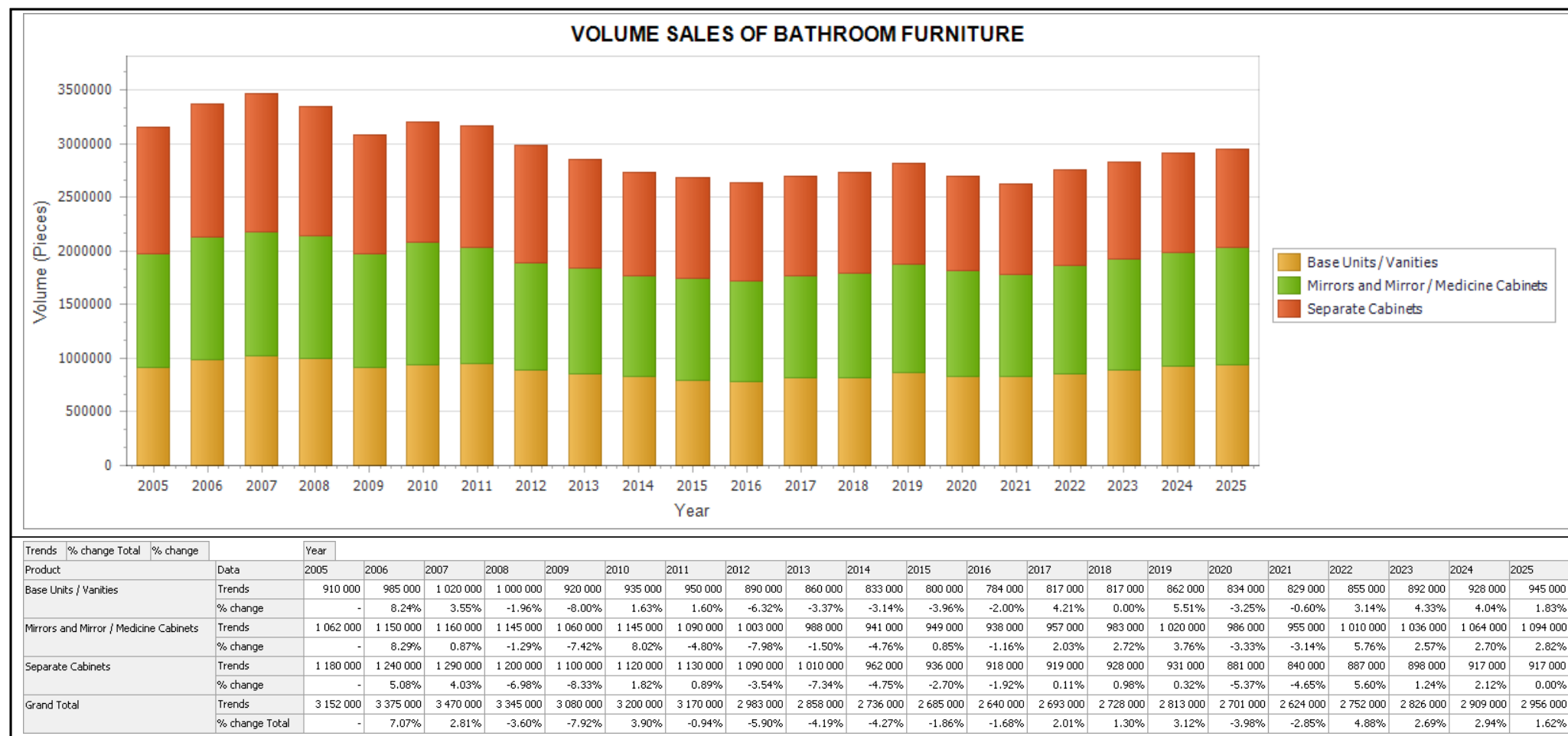
Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2021 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and the supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2021.

The bathroom furniture market is forecast to experience a decline in 2021. All product sales should decrease in the year due to the COVID-19 outbreak aftereffects, but start a step-by-step recovery from 2022. The construction market is expected to be impacted negatively. The renovation and non-housing segments are also expected to be negatively impacted in 2021. In fact, macroeconomic indicators are set to decrease significantly in the year, followed by consumer confidence and purchasing power.

Mirrors and mirror/medicine cabinets and separate cabinets are anticipated to account for the greatest portion of sales. New housing is likely to play an important part in the overall market fluctuation over the next few years, as new housing completions are anticipated to decline significantly until 2021 and then return to marginal growth. As the bathroom furniture market has not yet reached maturity, the renovation sector should remain the key driver of the market.

5.2 Historical Trends & Forecasts : Bathroom Furniture

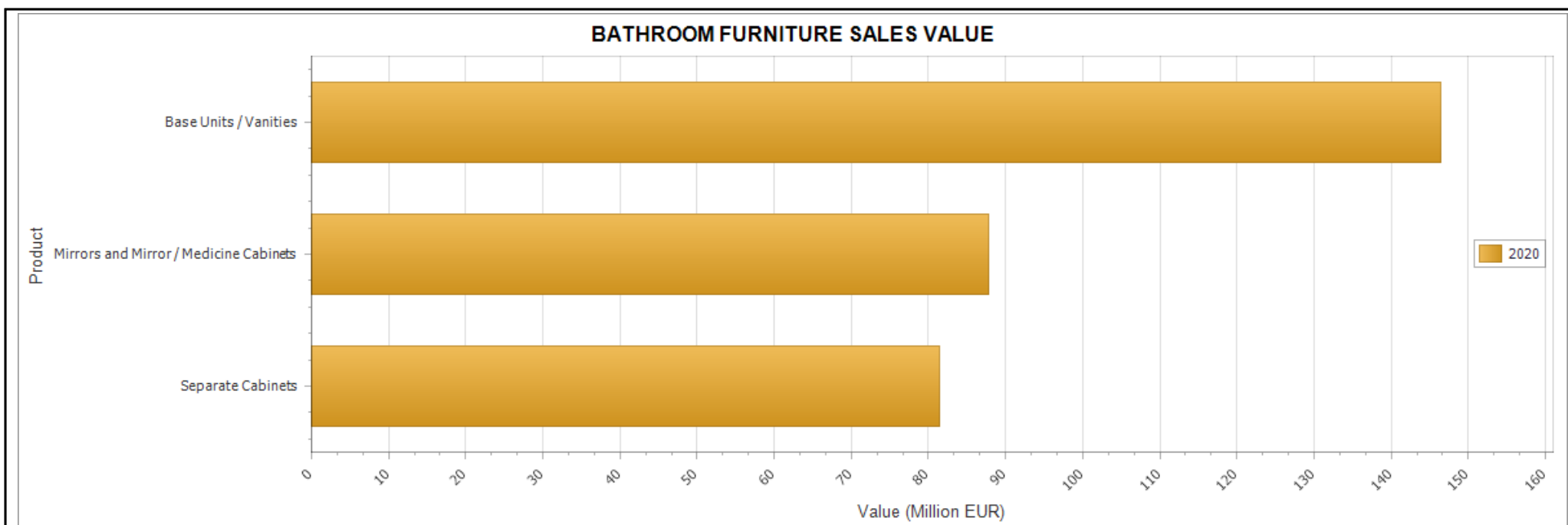
FR - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

FR - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET

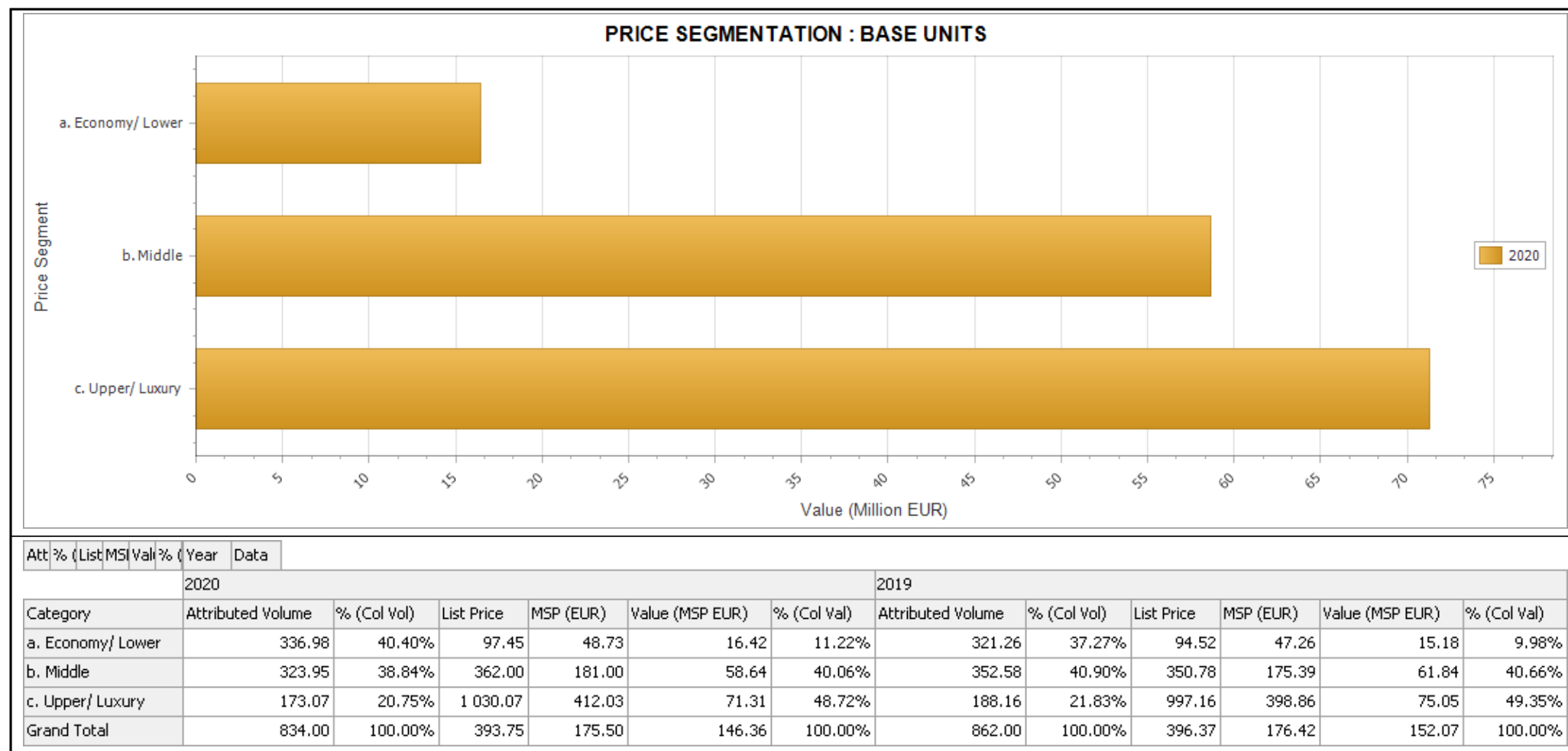


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data		
			2020	2019		
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Base Units / Vanities	834 000	175.50	146.37	862 000	176.42	152.07
Mirrors and Mirror / Medicine Cabinets	986 000	89.08	87.83	1 020 000	94.58	96.47
Separate Cabinets	881 000	92.38	81.39	931 000	93.81	87.34
Grand Total	2 701 000	116.84	315.59	2 813 000	119.40	335.88

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

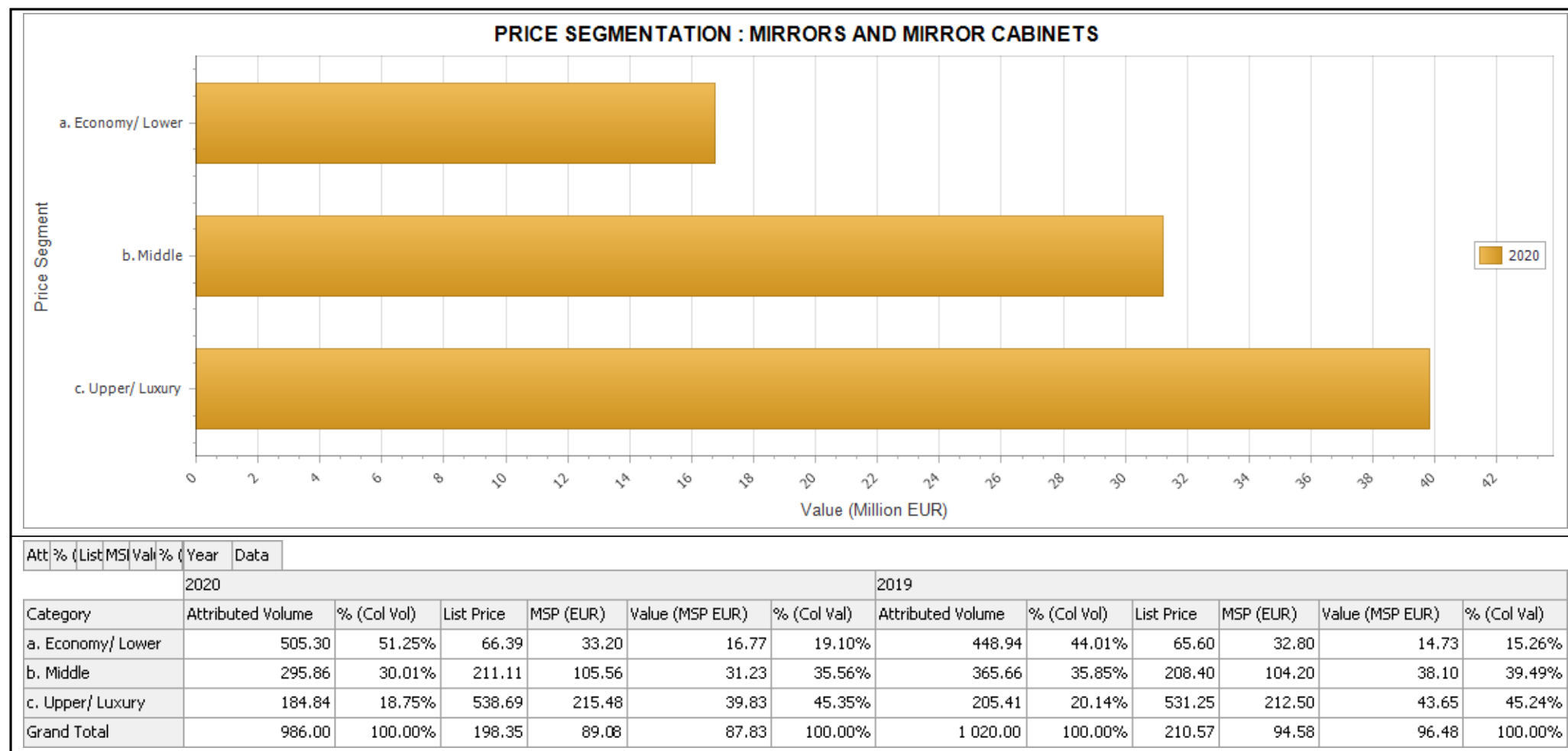
FR - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

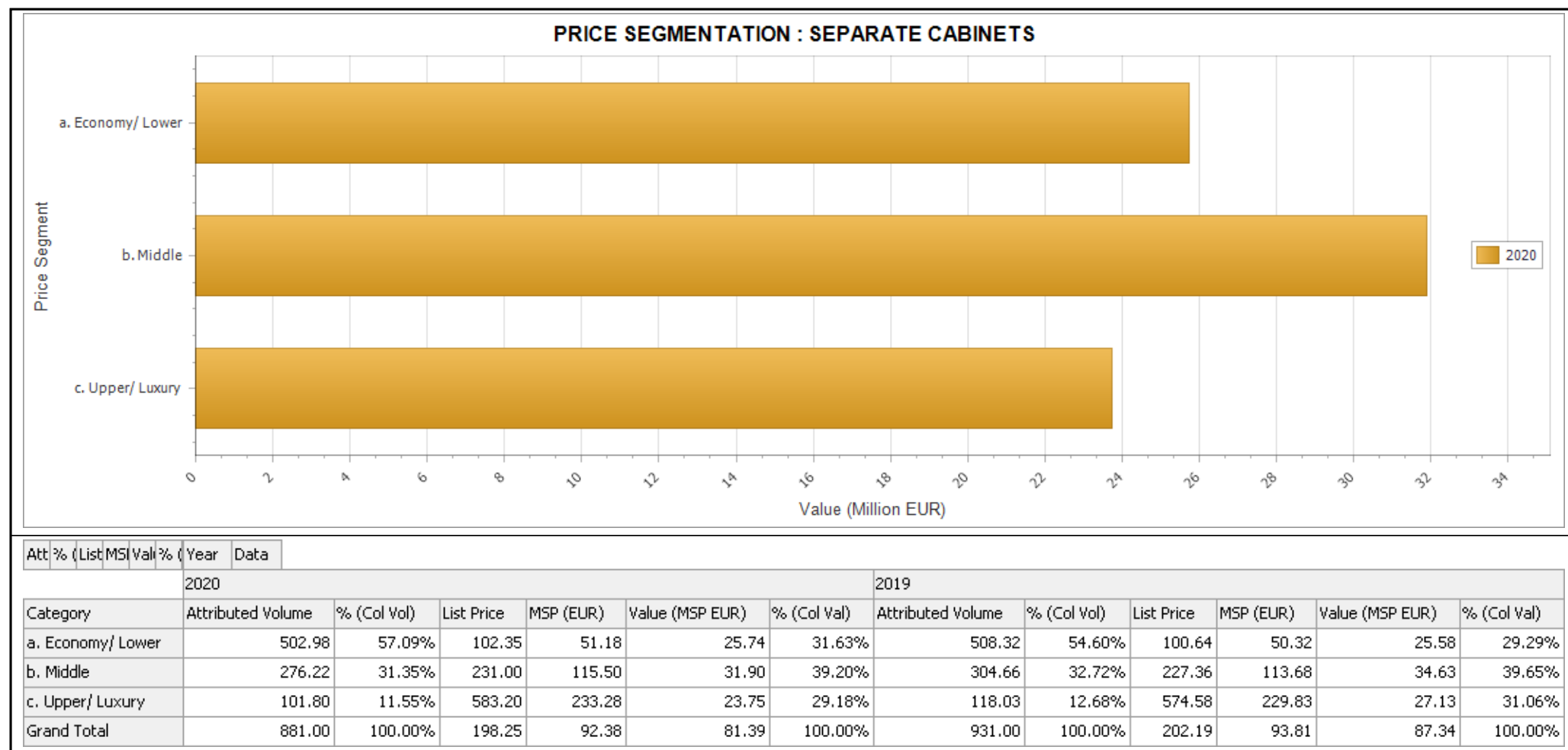
FR - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

5.3.4 Price Segmentation : Separate Cabinets

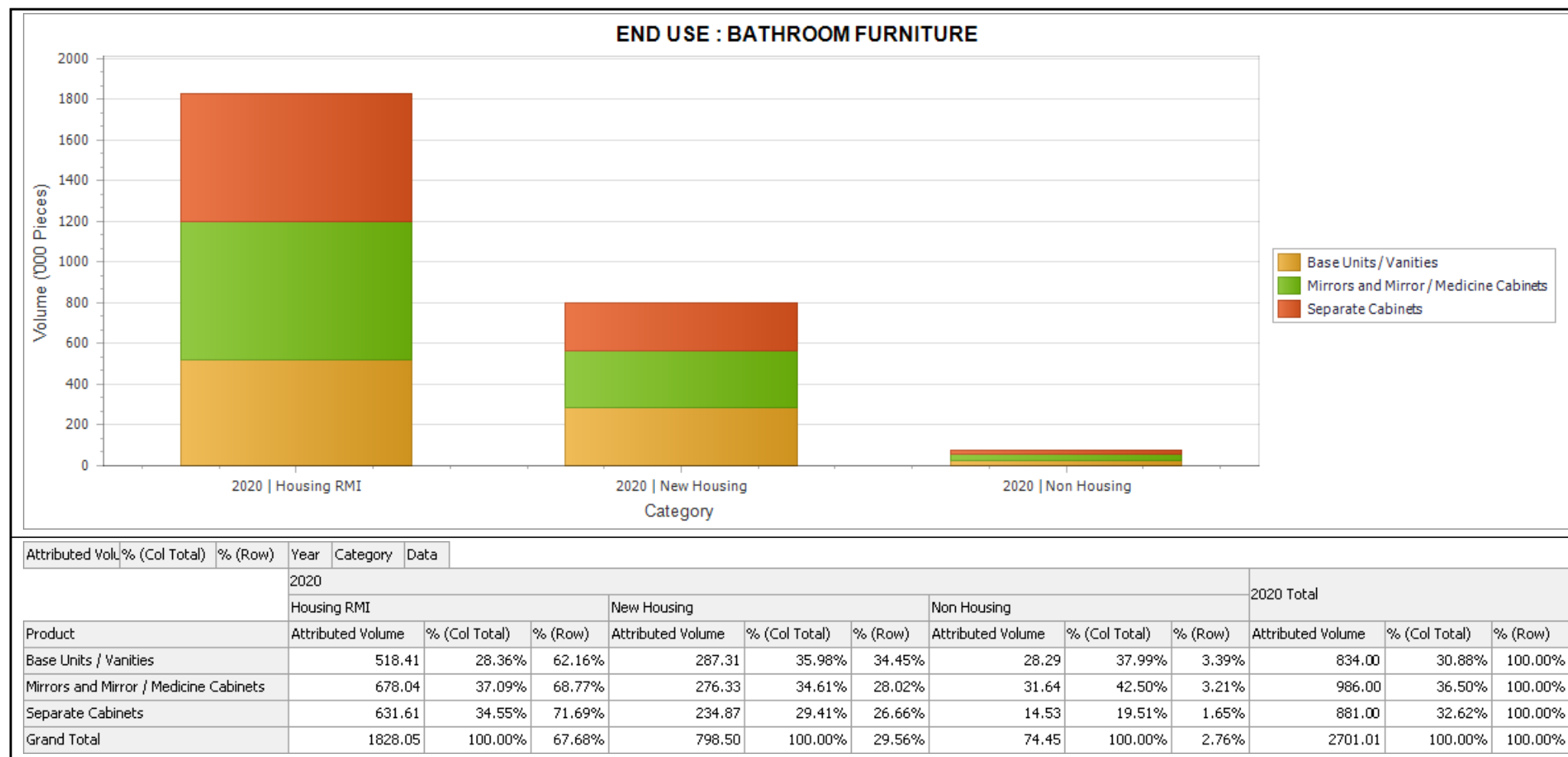
FR - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

5.4.1 End Use : Base Year

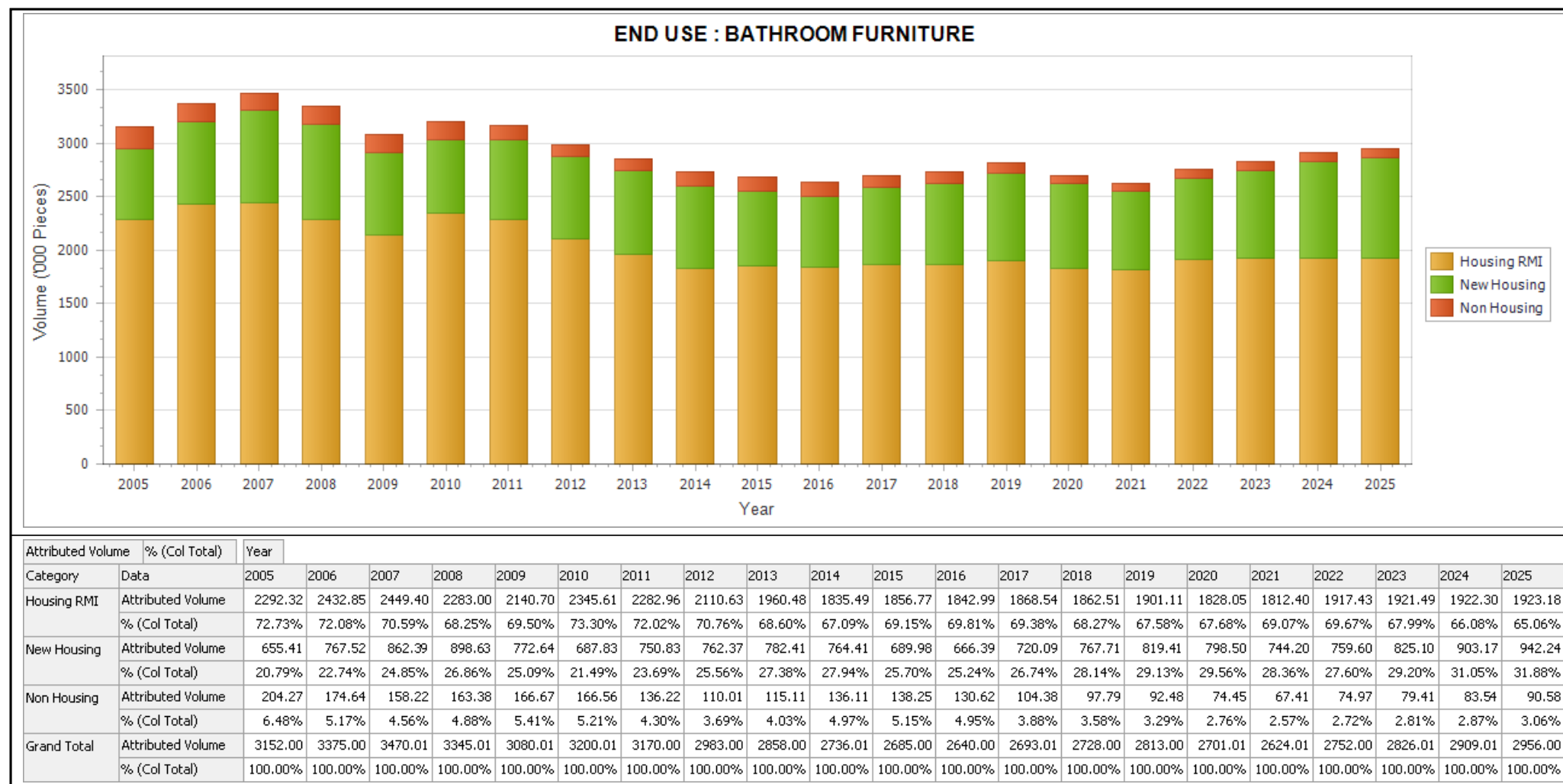
FR - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

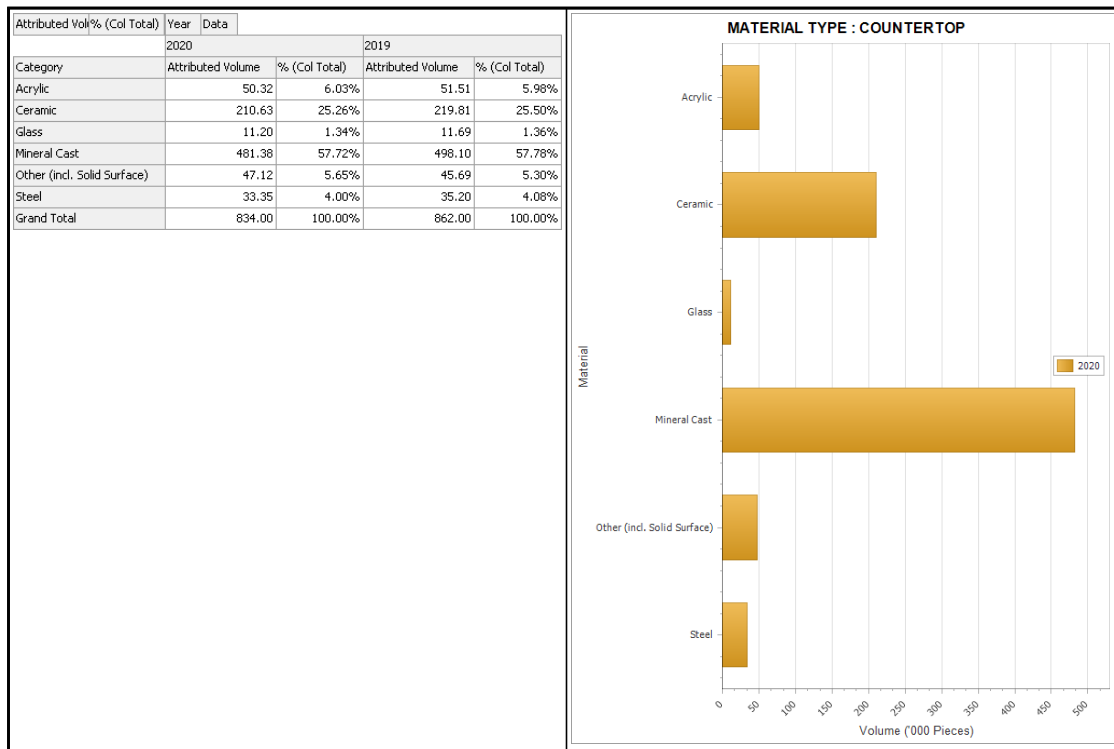
FR - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Washbasin Material : Base Units

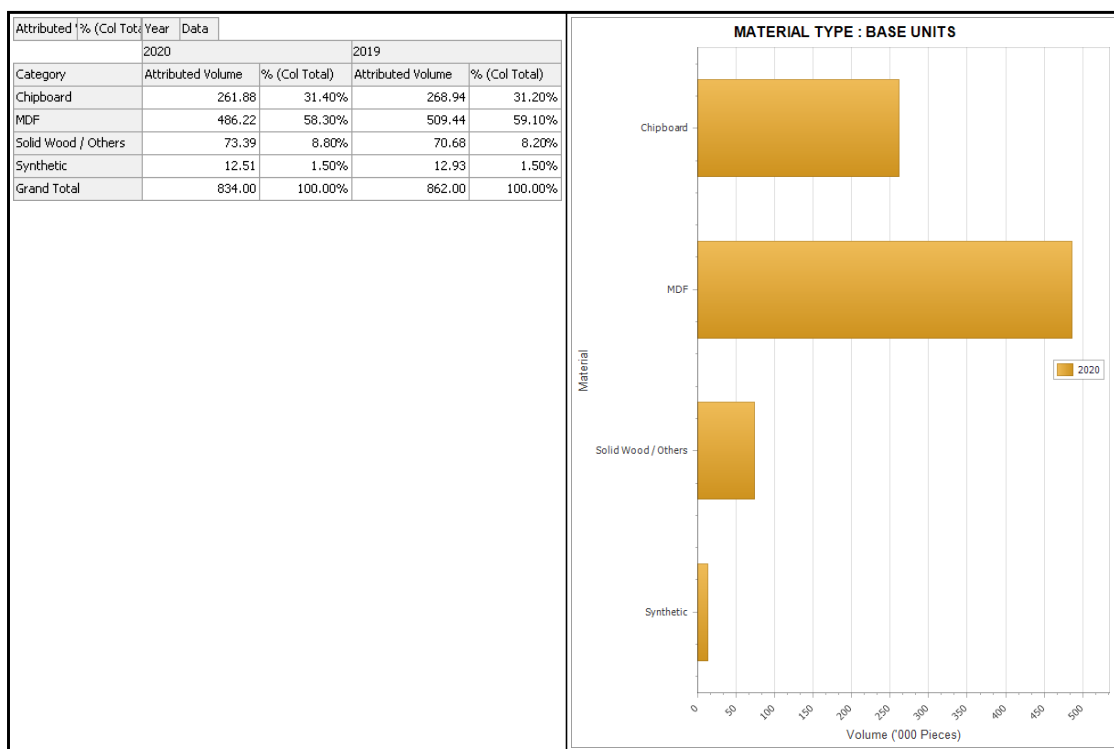
FR - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Material : Base Units

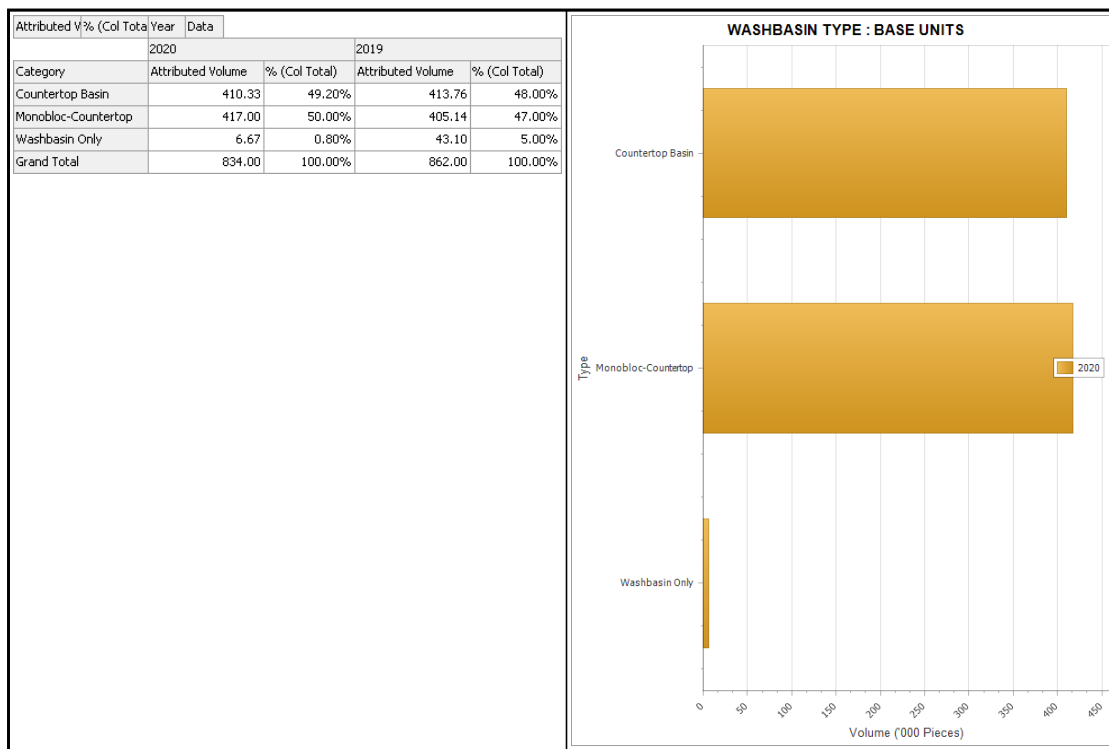
FR - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

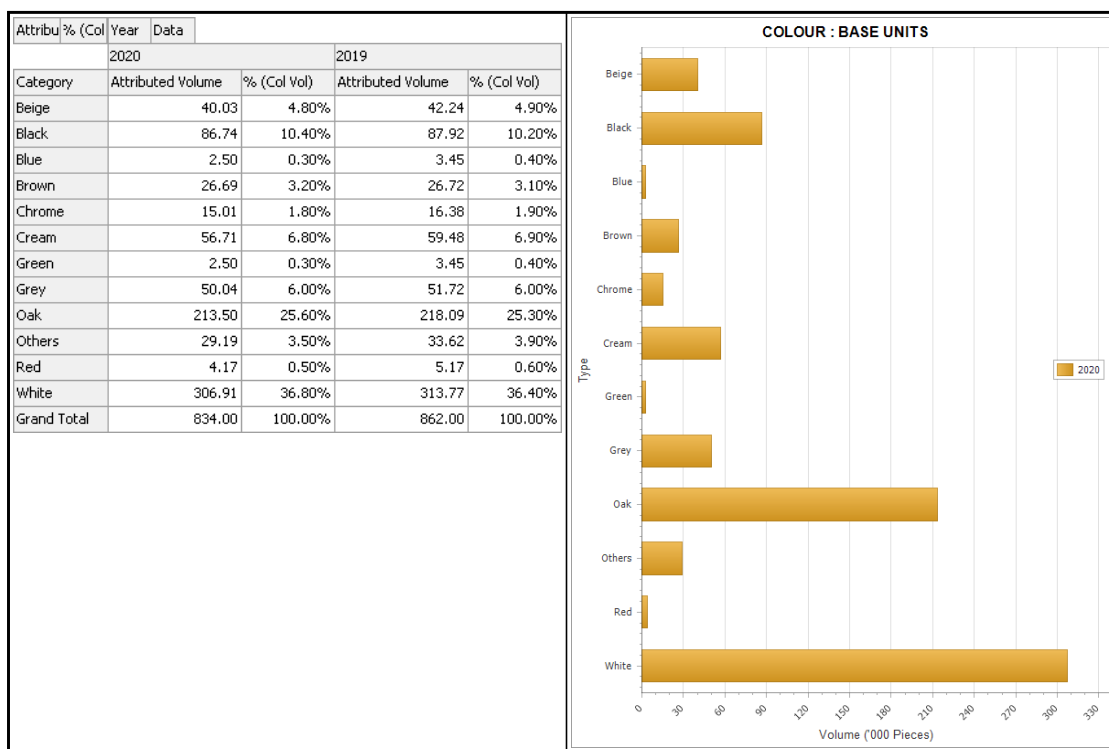
FR - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

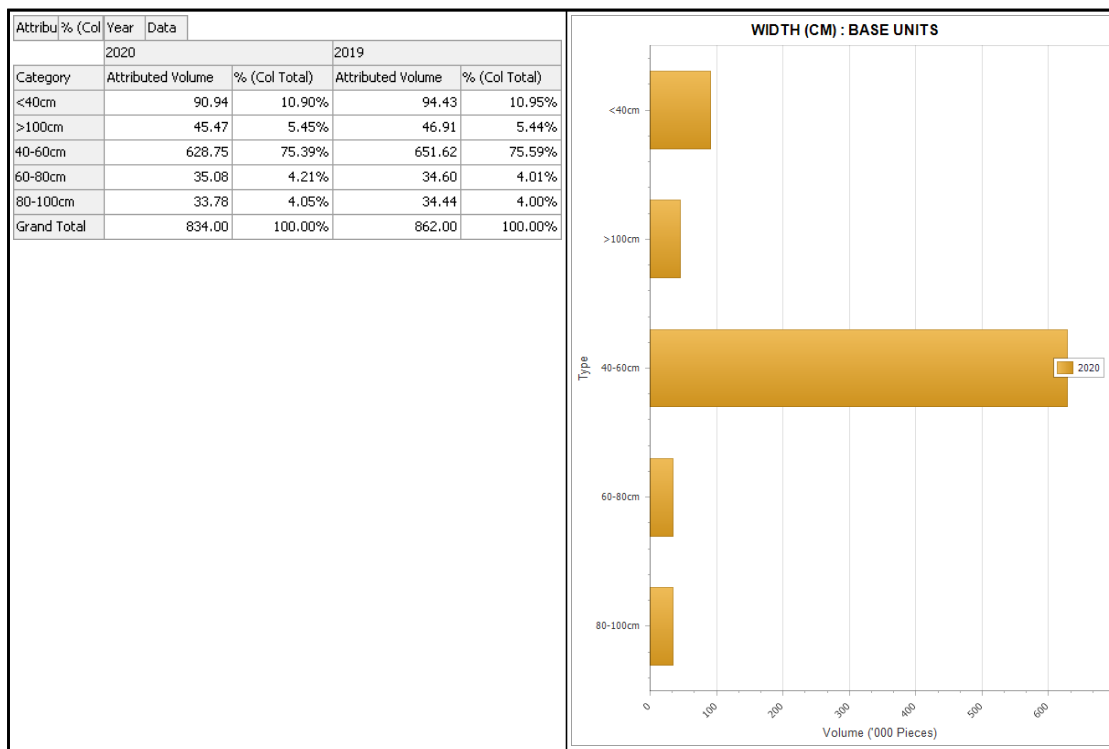
FR - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

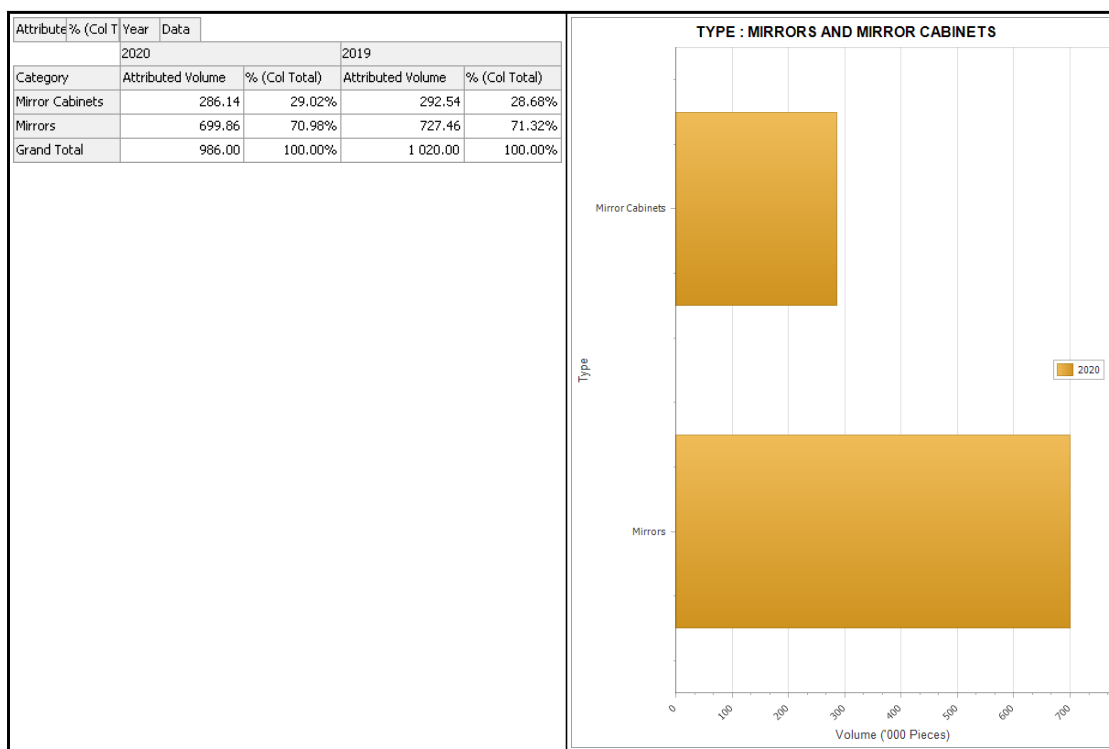
5.4.7 Sales by Width : Base Units

FR - BASE UNIT SALES BY WIDTH ('000 PIECES)



5.4.8 Sales by Type : Mirror and Mirror Cabinets

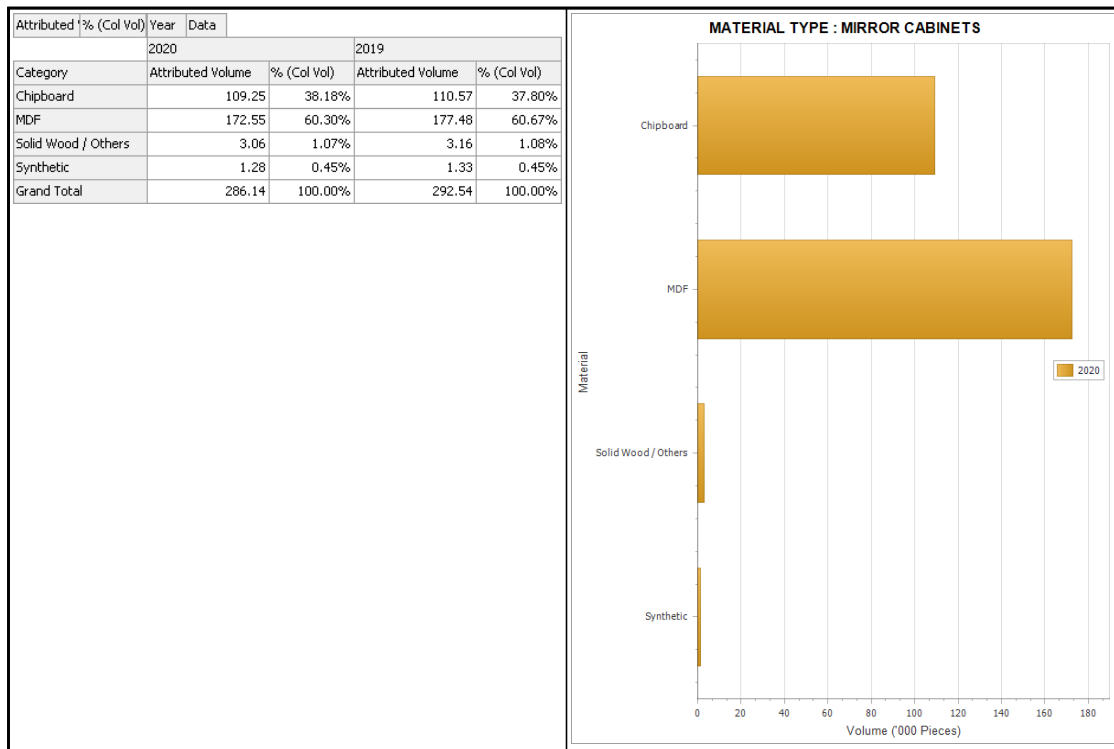
FR - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

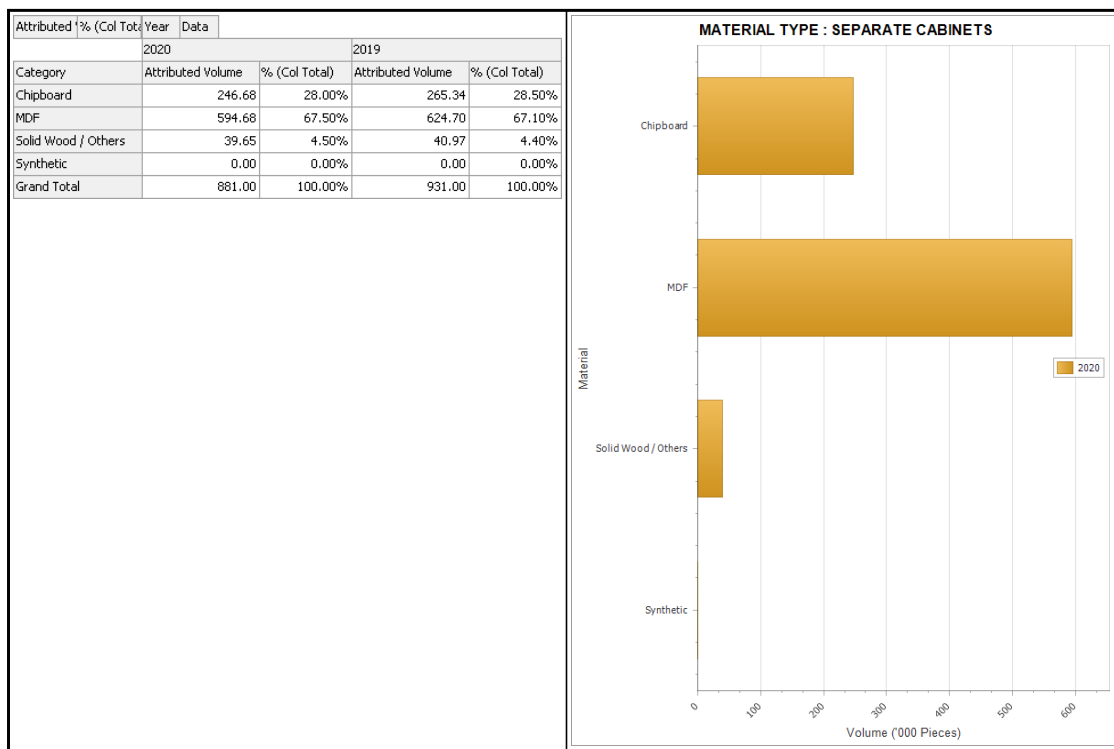
5.4.9 Sales by Type of Material : Mirror Cabinets

FR - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



5.4.10 Sales by Type of Material : Separate Cabinets

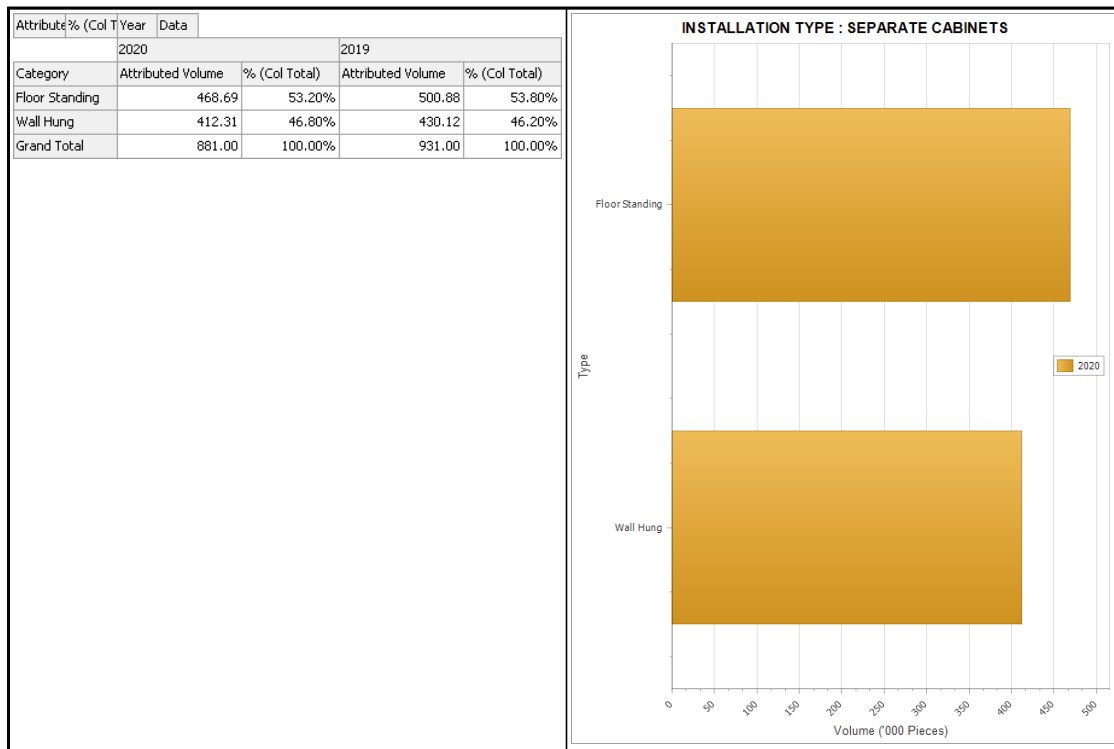
FR - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

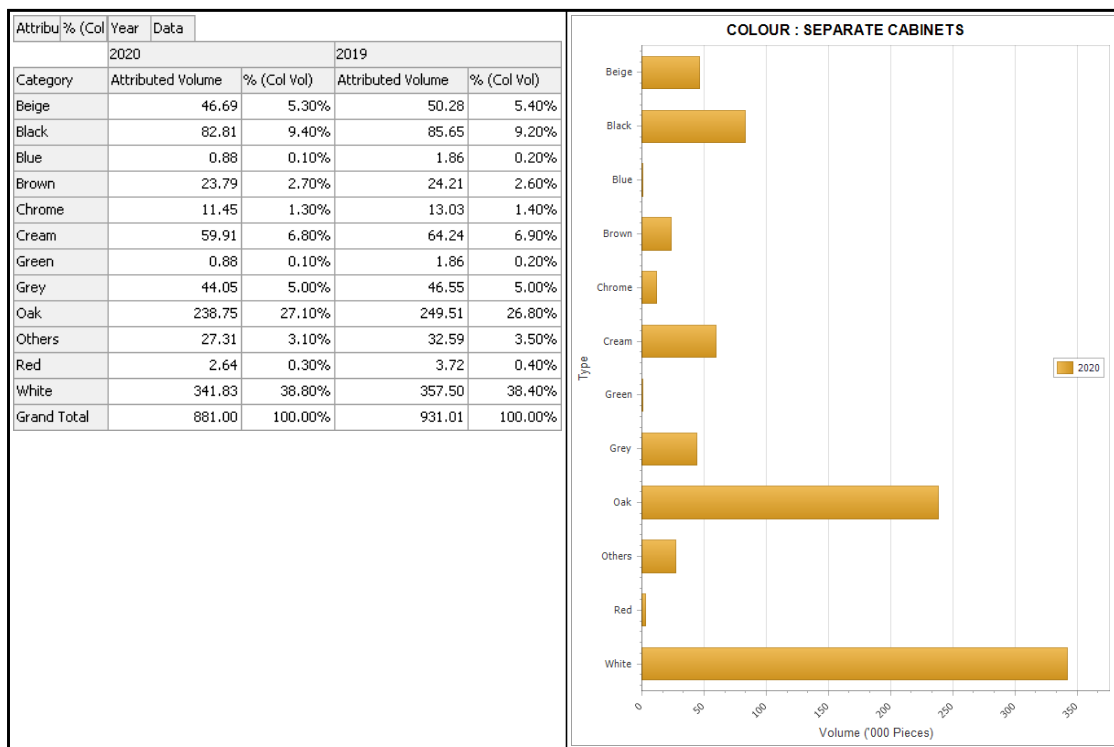
5.4.11 Sales by Type of Installation : Separate Cabinets

FR - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



5.4.12 Sales by Type of Colour : Separate Cabinets

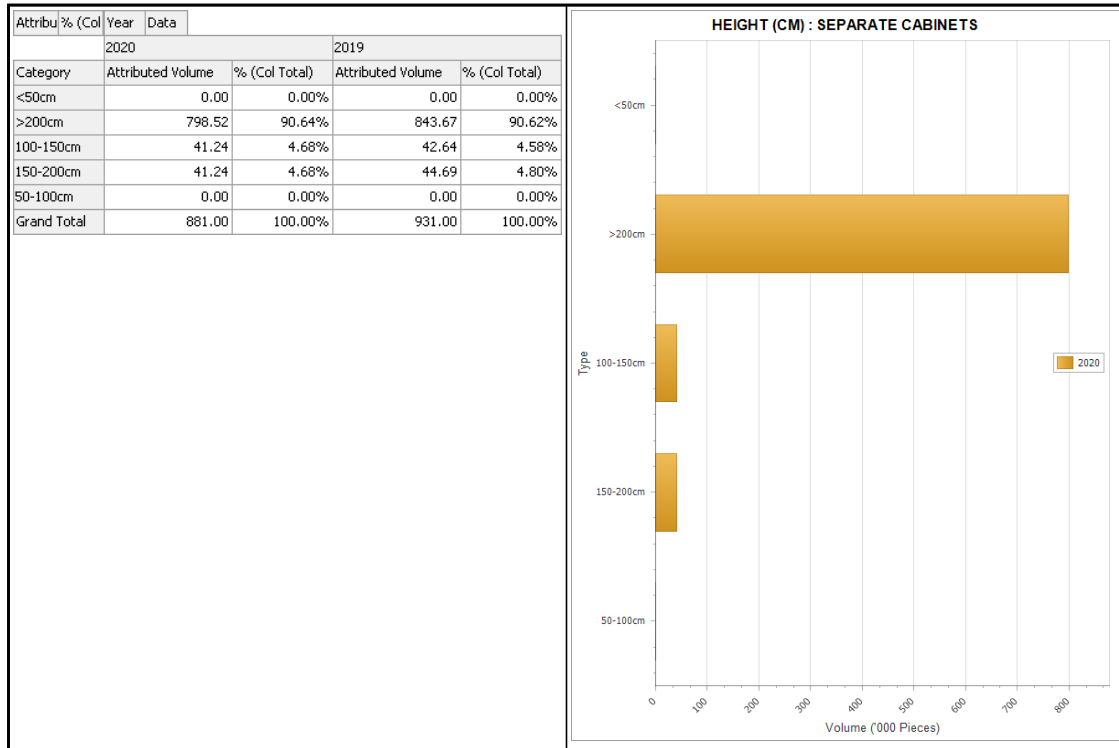
FR - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

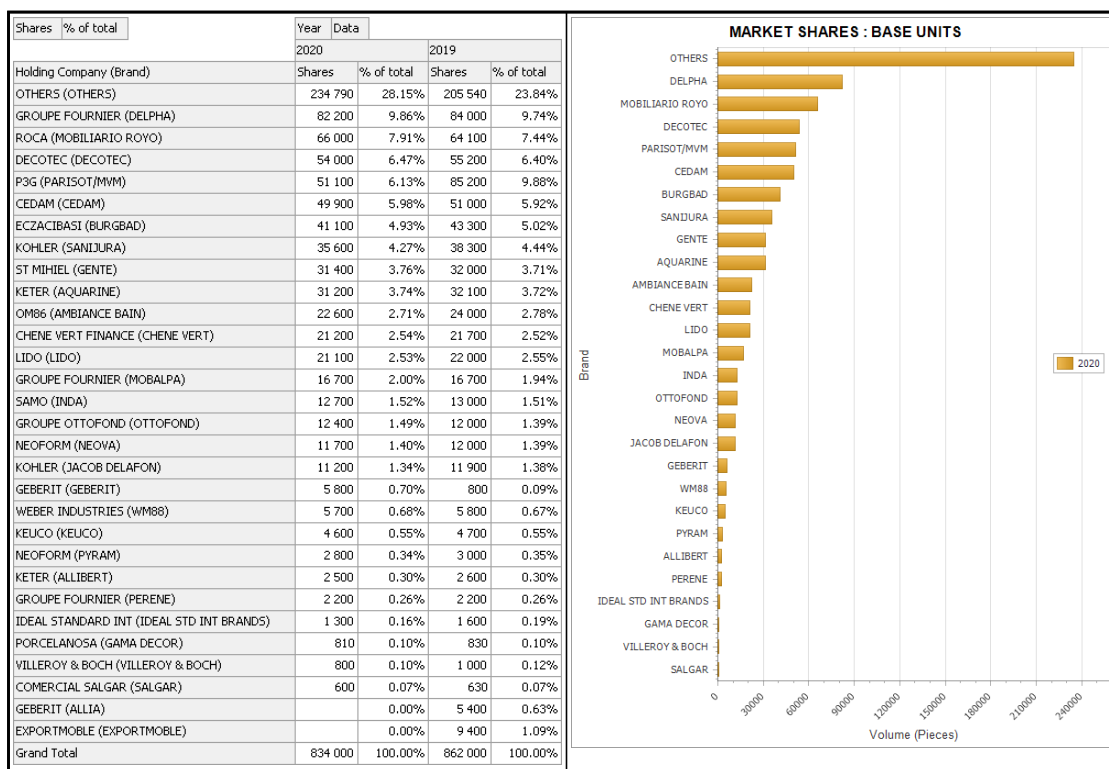
FR - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

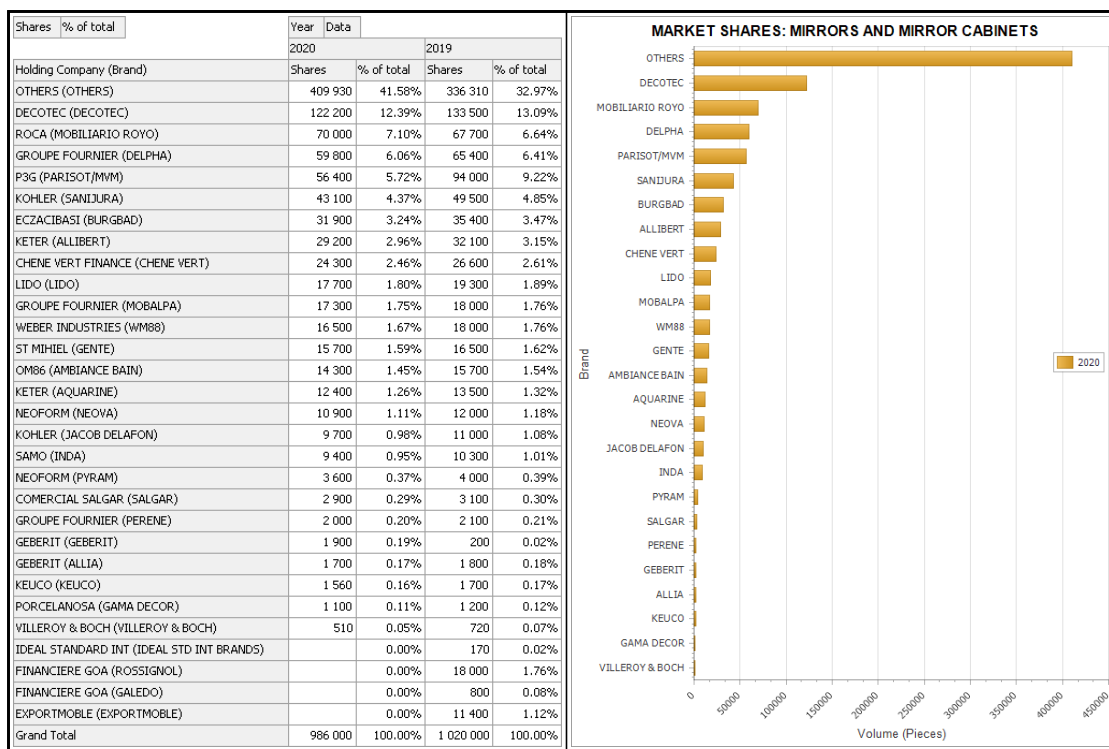
FR - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

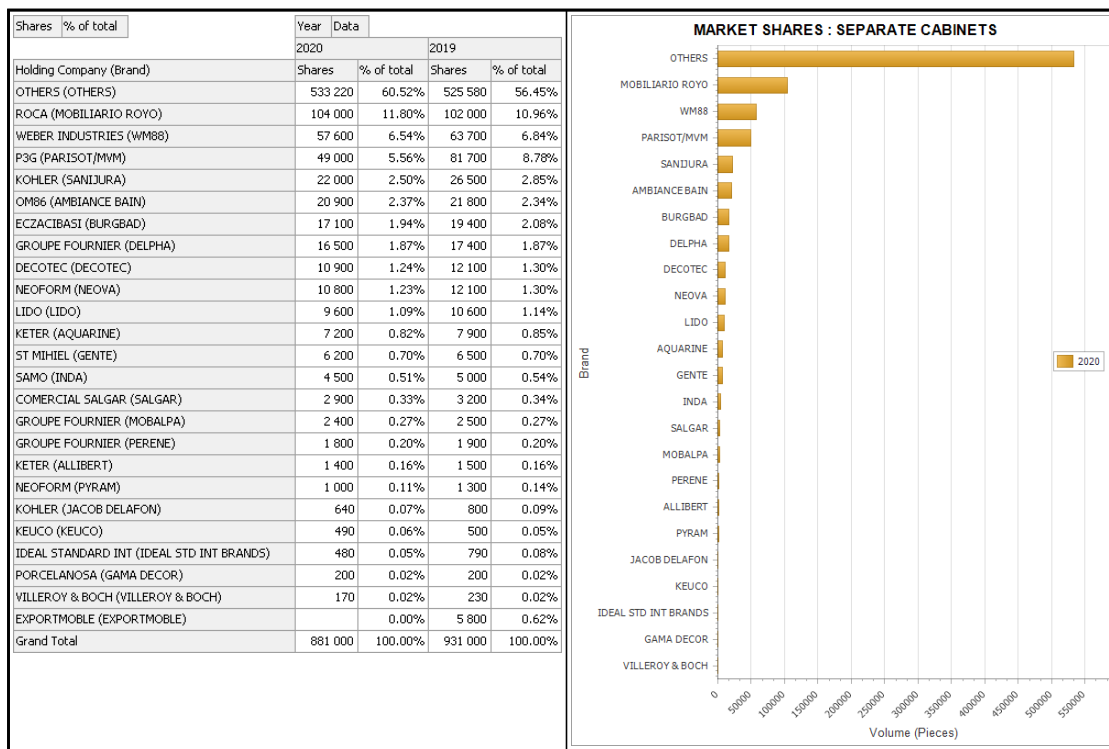
FR - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

FR - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1

Route to Market: Bathroom Furniture
FR - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

50.7%
Wholesalers / Merchants
50.7%

Retail Level

Manufacturer	Wholesaler
3.6%	3.3%
Internet Retailers	
6.9%	

Manufacturer	Wholesaler
24.8%	11.2%
DIY Retailers	
36.0%	

Manufacturer	Wholesaler
11.7%	16.5%
Specialist Retailers	
28.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.3%	15.2%	1.0%	7.6%	2.8%
Installers				
31.9%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
3.1%	4.0%	5.9%	28.5%	25.4%	30.5%
Residential					
97.2%					

New Build			Residential RMI		
29.6%			67.7%		
Project	Non-Project		Project	Non-Project	
16.3%	13.3%		0.7%	67.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.7%	0.5%	0.0%	0.0%	0.0%	1.5%
Non-Residential					
2.8%					

New Build			Non-Residential RMI		
1.6%			1.2%		
Project	Non-Project		Project	Non-Project	
0.9%	0.7%		0.6%	0.6%	

5.6.2

Route to Market: Bathroom Furniture
FR - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2025

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

50.2%
Wholesalers / Merchants
50.2%

Retail Level

Manufacturer	Wholesaler
6.0%	3.8%
Internet Retailers	
9.8%	

Manufacturer	Wholesaler
24.2%	11.1%
DIY Retailers	
35.4%	

Manufacturer	Wholesaler
11.1%	14.6%
Specialist Retailers	
25.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.1%	15.9%	1.5%	7.4%	2.6%
Installers				
32.5%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
2.6%	4.1%	8.3%	27.9%	23.1%	30.8%
Residential					
96.9%					

New Build			Residential RMI		
31.9%			65.1%		
Project	Non-Project		Project	Non-Project	
17.5%	14.3%		0.7%	64.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.8%	0.6%	0.0%	0.0%	0.0%	1.6%
Non-Residential					
3.1%					

New Build			Non-Residential RMI		
2.5%			0.6%		
Project	Non-Project		Project	Non-Project	
1.4%	1.1%		0.4%	0.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

FR - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2020

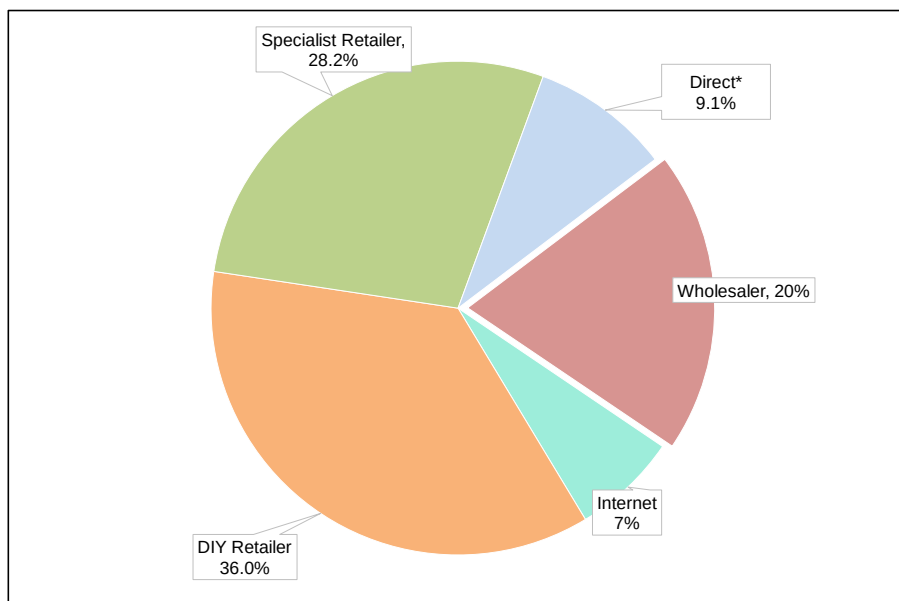
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.7%	6.9%	36.0%	28.2%	9.1%	17.0%	1.5%	80.3%	1.3%
100%					18.4%		81.6%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

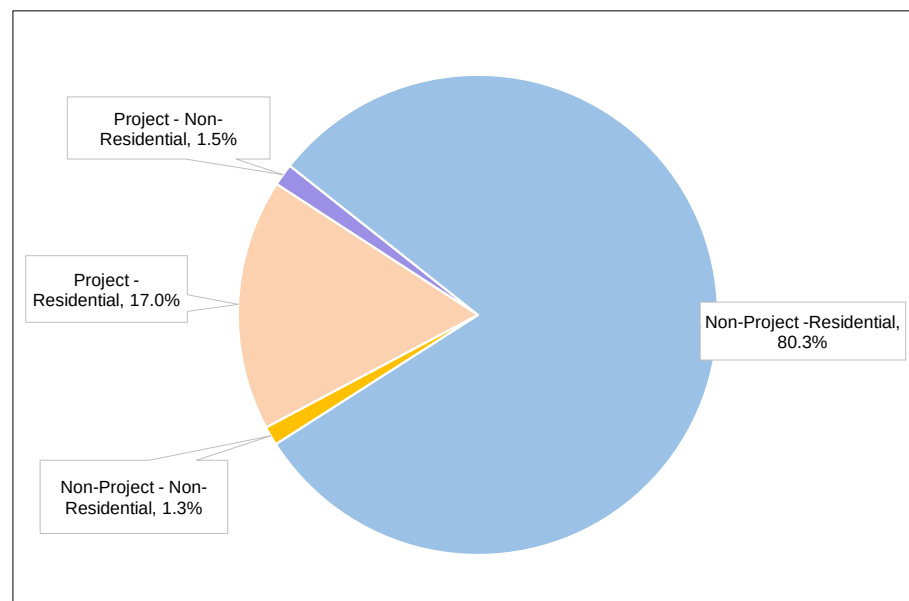
FR - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.6%	9.8%	35.4%	25.7%	8.5%	18.2%	1.8%	78.7%	1.3%
100%					20.0%		80.0%	

FR - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2020



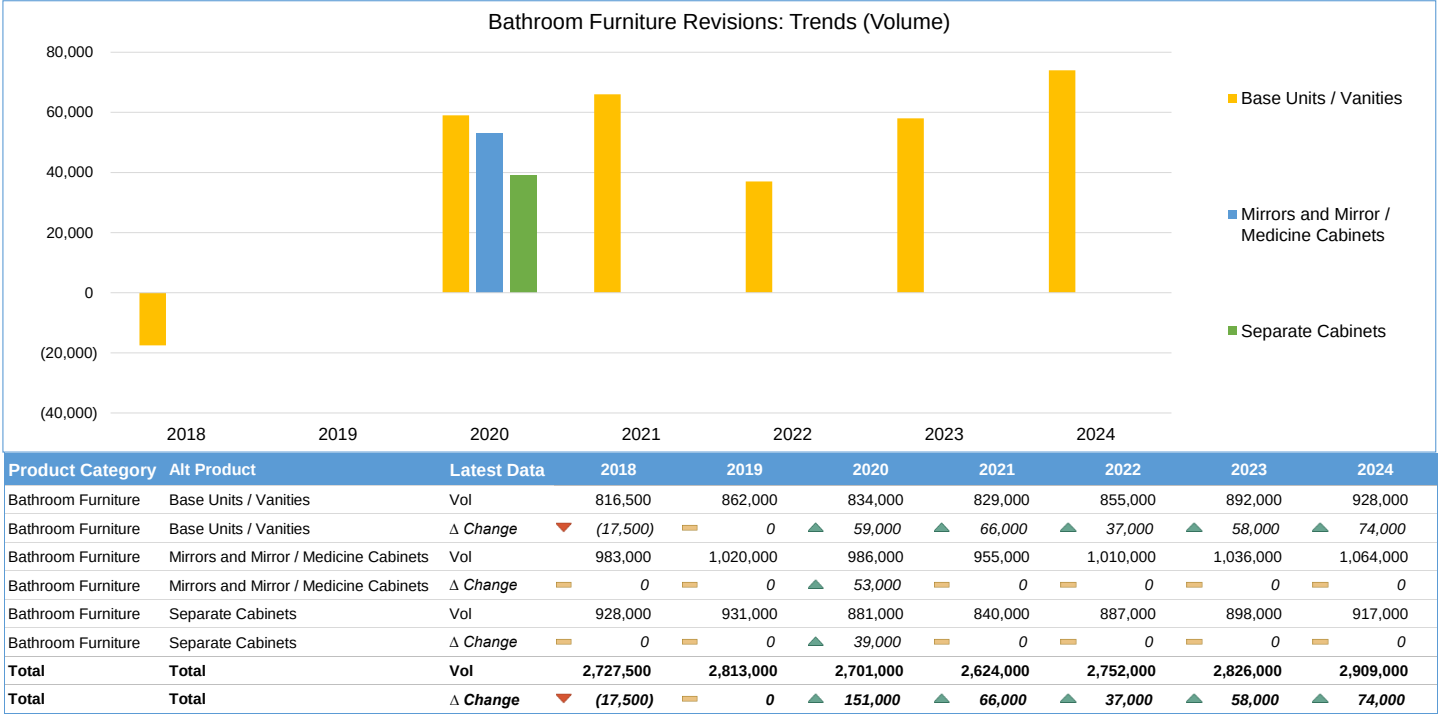
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the French Bathroom Furniture Market (April 2021)

FR - REVISIONS IN THE FRENCH BATHROOM FURNITURE MARKET

Data Comparison: October 2020



Marginal changes have been made to historical volumes for this market.

FRANCE

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The bathroom accessories market value is characterised by a low degree of elasticity in some drivers, such as price or product mix, the impact of which on other bathroom markets is fundamental. The value of the volatile bathroom accessories market has long been dependent on DIY stores and supermarkets' own-brand bathroom accessories (purchased through private labels), whereby consumers tend to be rather irrational in their decision-making processes. Over the last decade, however, sales of bathroom accessories in the French market have been enhanced by the development of specialist retailers such as IKEA, whose development primarily focuses on triggering impulse purchases among consumers. This certainly explains the various phases of fluctuations and the general slowdown seen in the French market for bathroom accessories since 2008.

French consumers tend to focus on the lower end of the product offering and purchase inexpensive products imported from Asia, for instance, which explains the success and the importance of DIY stores and specialist retailers, such as IKEA, on the bathroom accessories market. On the other hand, specialist bathroom manufacturers have been struggling to compete and maintain their market shares in a market characterised by low prices and margins.

The French market for bathroom accessories is saturated by accessories made with synthetic and metal materials (brass, stainless steel, chrome and nickel). Also, French households have showed interest in minimalist design and colour, with elegant metal designs, while sales of synthetic materials have remained strong due to the variety of shapes that they are allowing. In addition, the product mix has continued the shift towards the autonomous accessories segment – to the detriment of accessories that need to be attached. The most popular bathroom accessories have historically been towel holders (in particular free-standing and fixed bars), toilet paper holders, toilet brushes, waste paper bins, soap holders, and shelves.

Recent Market Trends

The French bathroom accessories market experienced a negative trend in 2020, mainly due to COVID-19 and its impact on the new housing, RMI and non-housing segments. The new housing activity, for both family houses and apartment buildings, suffered from the lockdowns and the closure of construction sites. Even after the opening of construction sites, productivity has shrunk because of the regulations adopted for workers' safety. Moreover, the market value has dropped as a result of a sharp decrease of private consumption levels on the back of contracted household purchasing power. Consequently, the willingness of French households to invest in their bathrooms went down in 2020 in comparison to 2019. Sales of bathroom accessories often do not follow any specific driver, but BRG believes that private consumption – combined with the status of the real estate market – are key factors that drive the market, in both value and volume terms. In

addition, sales of most bathroom accessories are of price- and aesthetic-driven products, and French consumers have continued to show a growing interest in creating a certain degree of stylistic uniformity in the bathroom.

Prices and Market Values

The MSP of bathroom accessories decreased only slightly for some items in 2020, as a result of, firstly, a strong price pressure due to high competition within the bathroom accessories market, and secondly because of increasing sales in the DIY and specialist retailer distribution channels – which mostly offer cheap products imported from Asian suppliers. On top of this, the decline of some bathroom accessories' average MSPs came from the shift towards products in the lower and economy price segments, at the expense of the upper and middle price segments.

New Housing

The market of bathroom accessories in the new housing segment remains limited in France. This small presence followed a downward trend in 2020, marginally impacted by the decline of construction outputs. Purchases for bathroom accessories, such as toilet brushes, toilet paper holders, waste paper bins and others, are usually made after the purchase of the house. This means that construction outputs do not have a considerable impact on the sales of bathroom accessories.

Housing RMI

Most sales of bathroom accessories are going to housing RMI, as this end use concentrates the largest part of the demand. Toilet products are reportedly the products for which the replacement rate is the highest, since they have much shorter lifespans than most of the other bathroom products. Volume sales dropped in 2020, as a result of a contraction of private consumption as well as real estate levels.

Towel holders are the most sold bathroom accessories in France. There are various types of towel holders, from free-standing to ring models, through to units fixed to the wall.

Non-Housing

The non-housing sector comprises hotels and restaurants, offices, and health buildings. Demand from the hotels and accommodation segment has a great impact on sales to this end-use segment, while office construction also provides some scope for uptake. However, it is noted that in the non-housing segment, investments in bathroom accessories are way smaller than in other products, such as bathroom furniture. The non-housing sector also includes specific sales of accessories for disabled people. Among the products sold to the non-residential sector are mostly toilet paper holders that are usually sold with a complete or partial cover. A few models are still offered without any cover, but these are

becoming very rare. Complete covers are reported to be increasingly popular, as they protect the toilet paper – mainly from dust and water.

Supply Structure

The market for bathroom accessories in France is very fragmented, with a large domination of domestic manufacturers. These especially include ARYES, which comprises the GELCO DESIGN and OLFA brands. The French brand ALLIBERT is well-known in France and is one of the historical leaders of the bathroom accessories market. Other significant domestic players include WIRQUIN and GILAC.

On the import side, imports mainly come from Italy, Spain, Germany and the Netherlands. Relevant players are KEUCO, a German manufacturer of bathroom accessories and furniture and the leader in the upper price segment in the bathroom accessories market, and HEWI, a German company with a subsidiary in France, which manufactures synthetic and chrome accessories. HEWI specialises in barrier-free products and other accessories for disabled people. It mostly supplies accessories in the upper price range. ROCA also holds a good position in the French bathroom accessories market, selling under several brands: ROCA FRANCE, INDUSTRIAL COSMIC, and POM D'OR.

HANSGROHE and HANSA, the German tap and mixer specialist manufacturers, are also present in the bathroom accessories market, but with relatively low turnovers.

Specialist retailers such as IKEA and DIY shops have performed well on the bathroom accessories market in France. Their development primarily focuses on triggering impulse purchases among consumers, as previously mentioned.

Forecasts

Demand for bathroom accessories is likely to slightly recover in 2021. Being a mature market, demand for shower accessories depends heavily on replacement sales. Apart from the year 2021, demand for all three end-use segments is expected to rebound throughout the forecast period. Sales of bathroom accessory products are believed will continue to grow in the replacement segment, in accordance with high demand for bathroom renovations (although sales of most bathroom accessories do not always follow any specific driver, as previously mentioned), from 2022 onwards.

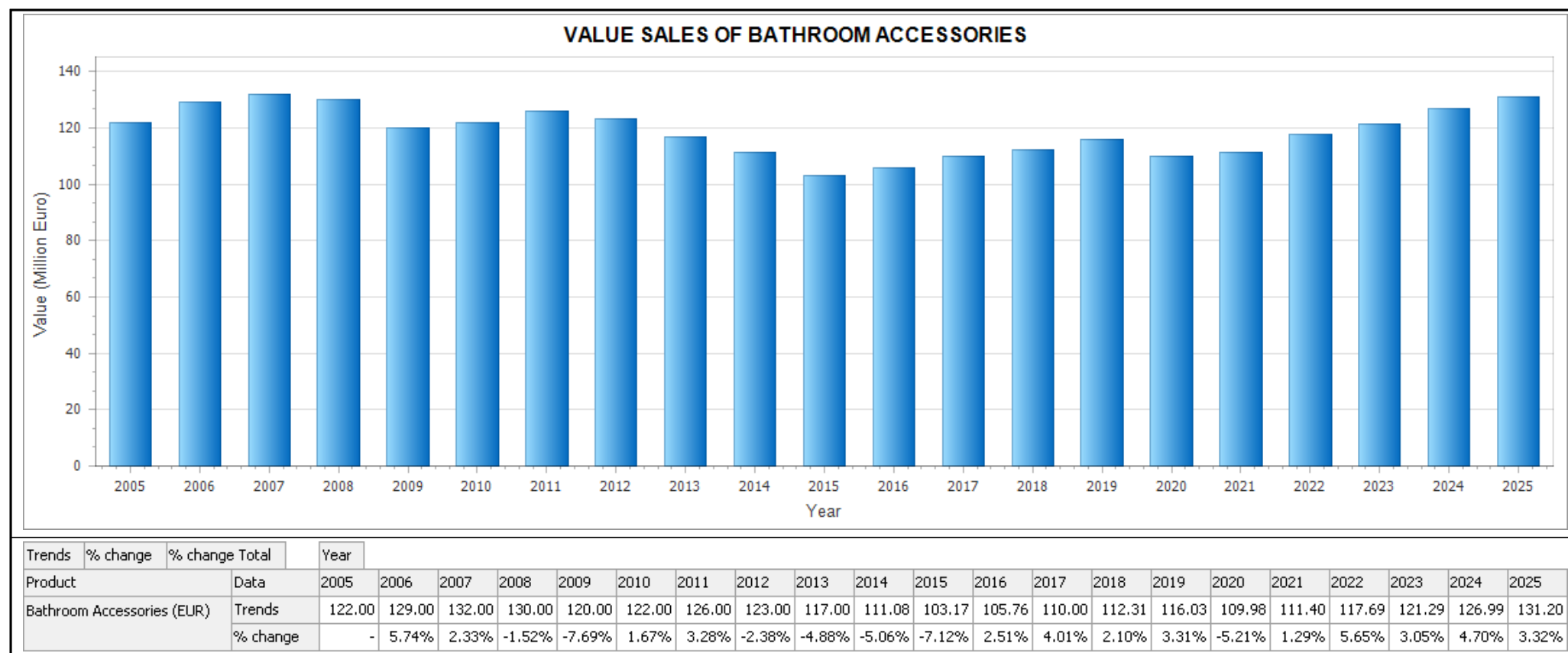
Bathroom accessories are rather price- and aesthetics-driven products, and rely partly on the non-negligible share of impulse purchases. French consumers should return to showing an interest in creating a certain degree of stylistic uniformity in the bathroom from 2022 onwards. Cheap imports sold via internet retailers and DIY shops are likely to push down the average MSP of some bathroom accessories.

Considering the long-term factors, BRG believes that there should be room for further development of the sales of bathroom accessories over the forecast period. The French bathroom accessories market recovery, in value terms, is likely to be sustained and supported by the increase in RMI activity, as consumer discretionary spending increases, combined with the rise in the number of new housing units delivered over the long run. The increase in internet distribution is likely to enable consumers to obtain higher-quality bathroom accessories at lower prices, which will put pressure on traditional distribution channels such as independent merchants and DIY.

Among the main trends identified in this market is the rising share of free-standing and multiple-function accessories. BRG believes that metal material will continue to gain popularity over the forecast period.

6.2 Historical Trends and Forecasts : Bathroom Acces.

FR - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)

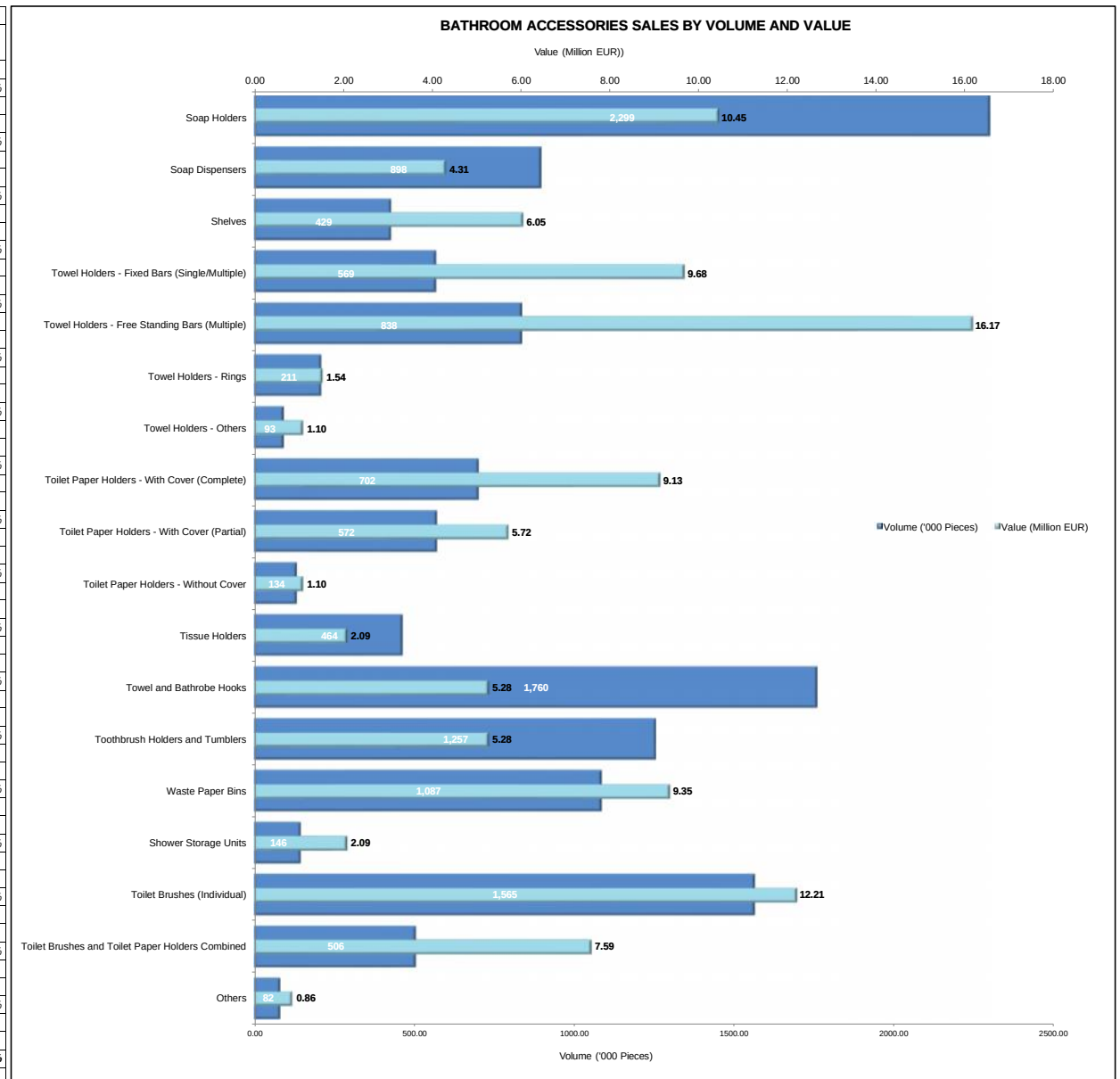


Source: BRG based on industry interviews.

Market Value		2020	
		Volume ('000 Pieces)	Value (Million Euro)
Soap Holders	Volume / Value	2 299.3	10.4
	Share	16.9%	9.5%
	Average Price (EUR)		4.5
Soap Dispensers	Volume / Value	898.2	4.3
	Share	6.6%	3.9%
	Average Price (EUR)		4.8
Shelves	Volume / Value	429.0	6.0
	Share	3.2%	5.5%
	Average Price (EUR)		14.1
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	569.3	9.7
	Share	4.2%	8.8%
	Average Price (EUR)		17.0
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	837.7	16.2
	Share	6.2%	14.7%
	Average Price (EUR)		19.3
Towel Holders: Rings	Volume / Value	210.9	1.5
	Share	1.5%	1.4%
	Average Price (EUR)		7.3
Towel Holders: Others	Volume / Value	93.2	1.1
	Share	0.7%	1.0%
	Average Price (EUR)		11.8
Toilet Paper Holders: With Cover (Complete)	Volume / Value	702.2	9.1
	Share	5.2%	8.3%
	Average Price (EUR)		13.0
Toilet Paper Holders: With Cover (Partial)	Volume / Value	571.9	5.7
	Share	4.2%	5.2%
	Average Price (EUR)		10.0
Toilet Paper Holders: Without Cover	Volume / Value	134.1	1.1
	Share	1.0%	1.0%
	Average Price (EUR)		8.2
Tissue Holders	Volume / Value	464.4	2.1
	Share	3.4%	1.9%
	Average Price (EUR)		4.5
Towel and Bathrobe Hooks	Volume / Value	1 759.7	5.3
	Share	12.9%	4.8%
	Average Price (EUR)		3.0
Toothbrush Holders and Tumblers	Volume / Value	1 256.9	5.3
	Share	9.2%	4.8%
	Average Price (EUR)		4.2
Waste Paper Bins	Volume / Value	1 087.0	9.3
	Share	8.0%	8.5%
	Average Price (EUR)		8.6
Shower Storage Units	Volume / Value	146.1	2.1
	Share	1.1%	1.9%
	Average Price (EUR)		14.3
Toilet Brushes (Individual)	Volume / Value	1 565.1	12.2
	Share	11.5%	11.1%
	Average Price (EUR)		7.8
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	505.9	7.6
	Share	3.7%	6.9%
	Average Price (EUR)		15.0
Others	Volume / Value	82.5	0.9
	Share	0.6%	0.8%
	Average Price (EUR)		10.4
TOTAL	Volume in '000/Value in Million	13 613.5	110.0
	Share	100.0%	100.0%
	Average Price (EUR)		8.1

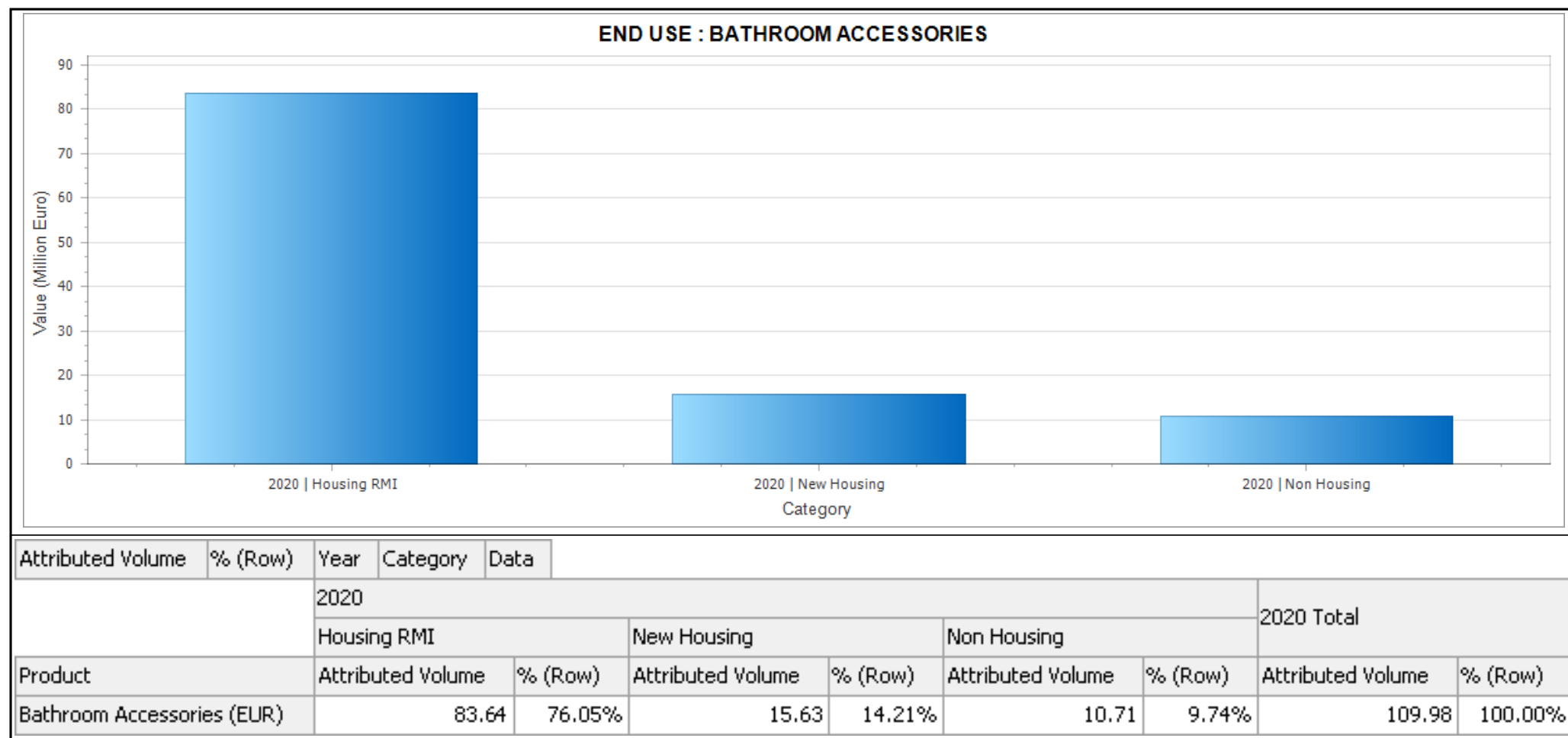
Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

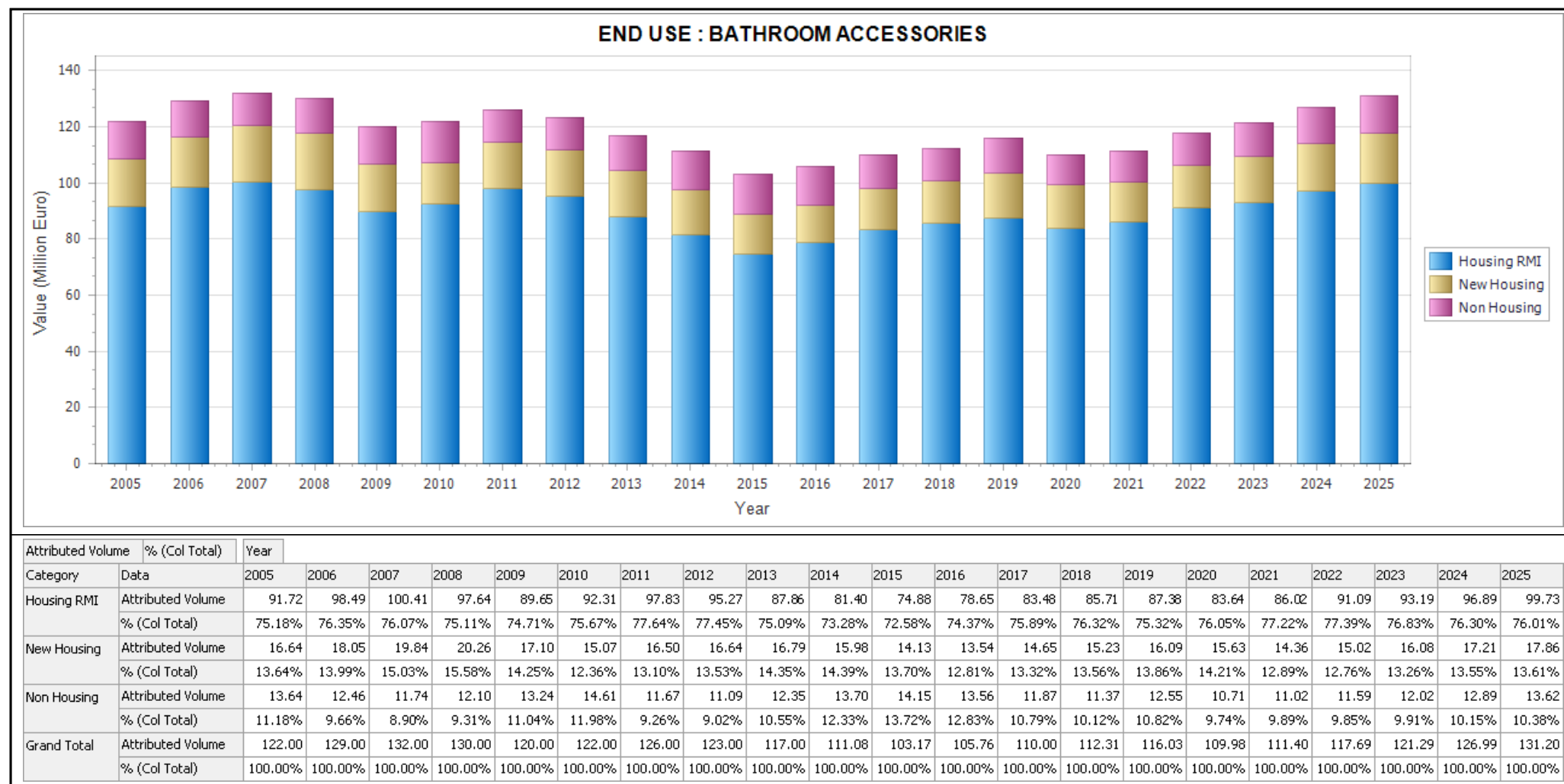
FR - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

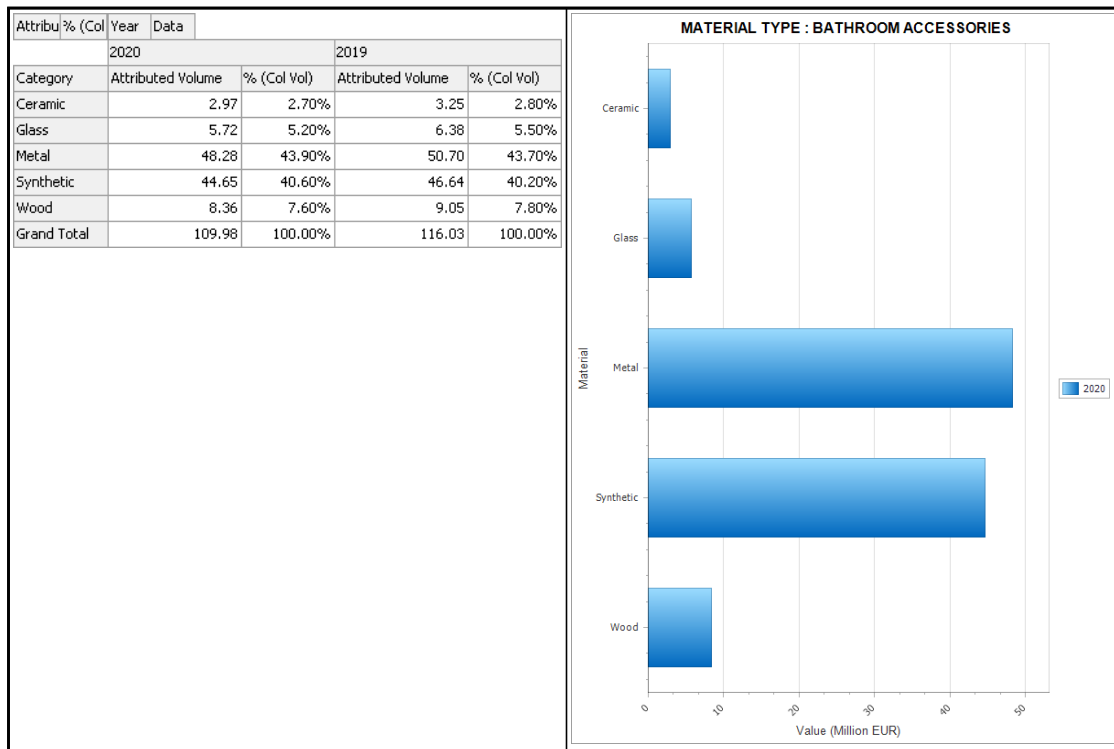
FR - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

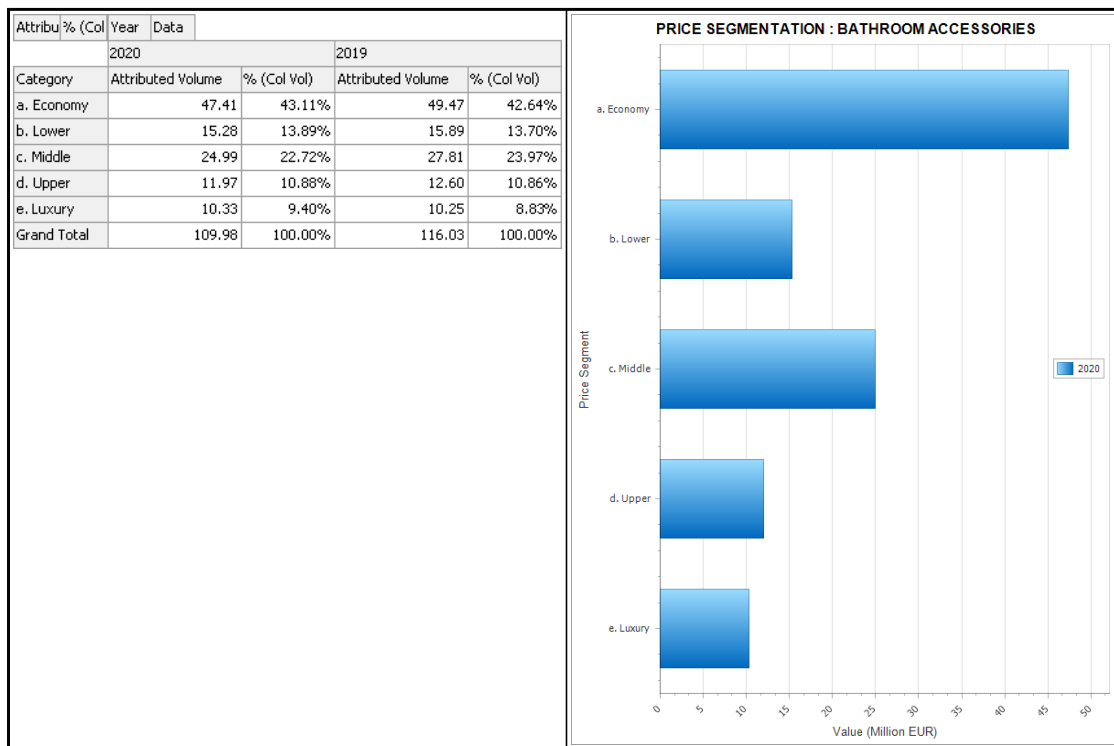
FR - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

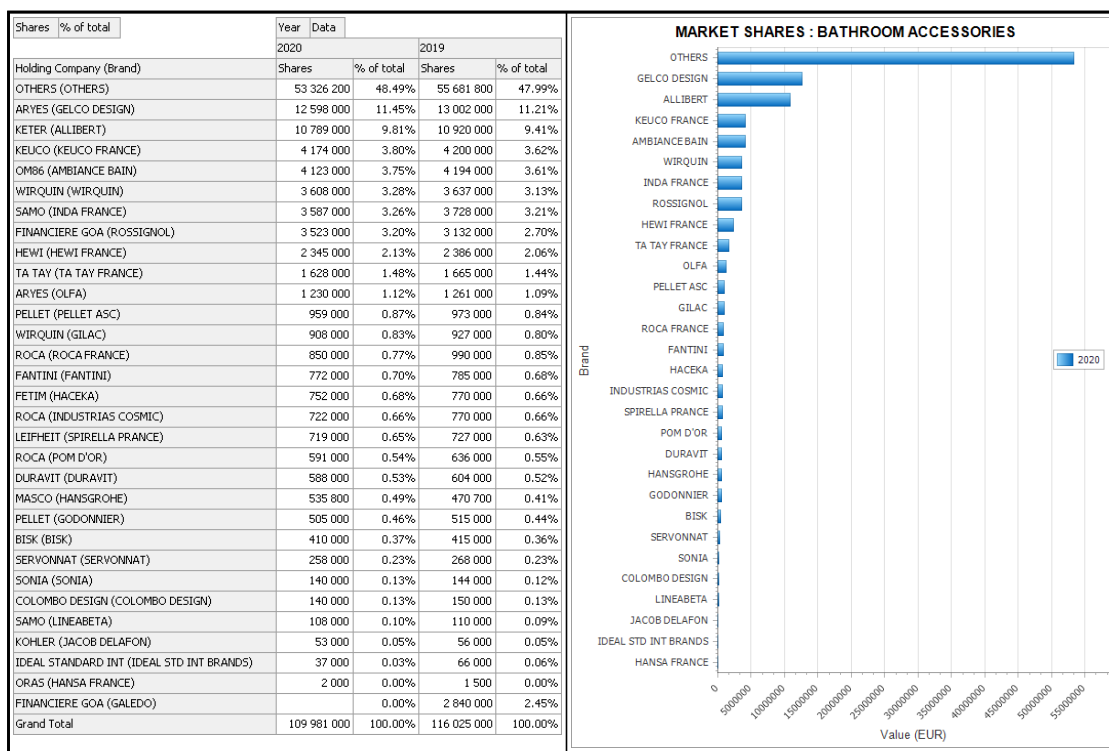
FR - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

FR - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
FR - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2020

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																																																																															
Manufacturers / Importers																																																																																																										
100.0%																																																																																																										
Wholesale Level	<table><tr><td colspan="5">32.7%</td></tr><tr><td colspan="5">Wholesalers / Merchants</td></tr><tr><td colspan="5">32.7%</td></tr></table>					32.7%					Wholesalers / Merchants					32.7%																																																																																										
32.7%																																																																																																										
Wholesalers / Merchants																																																																																																										
32.7%																																																																																																										
Retail Level	<table><tr><td colspan="2"><table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>7.3%</td><td>6.4%</td></tr><tr><td colspan="2">Internet Retailers</td></tr><tr><td colspan="2">13.7%</td></tr></table></td><td colspan="2"><table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>33.4%</td><td>3.5%</td></tr><tr><td colspan="2">DIY Retailers</td></tr><tr><td colspan="2">36.9%</td></tr></table></td><td><table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>21.8%</td><td>18.4%</td></tr><tr><td colspan="2">Specialist Retailers</td></tr><tr><td colspan="2">40.2%</td></tr></table></td></tr></table>					<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>7.3%</td><td>6.4%</td></tr><tr><td colspan="2">Internet Retailers</td></tr><tr><td colspan="2">13.7%</td></tr></table>		Manufacturer	Wholesaler	7.3%	6.4%	Internet Retailers		13.7%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>33.4%</td><td>3.5%</td></tr><tr><td colspan="2">DIY Retailers</td></tr><tr><td colspan="2">36.9%</td></tr></table>		Manufacturer	Wholesaler	33.4%	3.5%	DIY Retailers		36.9%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>21.8%</td><td>18.4%</td></tr><tr><td colspan="2">Specialist Retailers</td></tr><tr><td colspan="2">40.2%</td></tr></table>	Manufacturer	Wholesaler	21.8%	18.4%	Specialist Retailers		40.2%																																																																									
<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>7.3%</td><td>6.4%</td></tr><tr><td colspan="2">Internet Retailers</td></tr><tr><td colspan="2">13.7%</td></tr></table>		Manufacturer	Wholesaler	7.3%	6.4%	Internet Retailers		13.7%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>33.4%</td><td>3.5%</td></tr><tr><td colspan="2">DIY Retailers</td></tr><tr><td colspan="2">36.9%</td></tr></table>		Manufacturer	Wholesaler	33.4%	3.5%	DIY Retailers		36.9%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>21.8%</td><td>18.4%</td></tr><tr><td colspan="2">Specialist Retailers</td></tr><tr><td colspan="2">40.2%</td></tr></table>	Manufacturer	Wholesaler	21.8%	18.4%	Specialist Retailers		40.2%																																																																															
Manufacturer	Wholesaler																																																																																																									
7.3%	6.4%																																																																																																									
Internet Retailers																																																																																																										
13.7%																																																																																																										
Manufacturer	Wholesaler																																																																																																									
33.4%	3.5%																																																																																																									
DIY Retailers																																																																																																										
36.9%																																																																																																										
Manufacturer	Wholesaler																																																																																																									
21.8%	18.4%																																																																																																									
Specialist Retailers																																																																																																										
40.2%																																																																																																										
End Use Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>1.9%</td><td>1.5%</td><td>11.2%</td><td>26.2%</td><td>38.2%</td><td>11.2%</td></tr><tr><td colspan="6">Residential</td></tr><tr><td colspan="6">90.3%</td></tr><tr><td colspan="3">New Build</td><td colspan="3">Residential RMI</td></tr><tr><td colspan="3">14.2%</td><td colspan="3">76.0%</td></tr><tr><td>Project</td><td colspan="2">Non-Project</td><td>Project</td><td colspan="2">Non-Project</td></tr><tr><td>7.8%</td><td colspan="2">6.4%</td><td>1.5%</td><td colspan="2">74.6%</td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	1.9%	1.5%	11.2%	26.2%	38.2%	11.2%	Residential						90.3%						New Build			Residential RMI			14.2%			76.0%			Project	Non-Project		Project	Non-Project		7.8%	6.4%		1.5%	74.6%		<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>1.0%</td><td>1.8%</td><td>0.4%</td><td>0.8%</td><td>0.9%</td><td>5.0%</td></tr><tr><td colspan="6">Non-Residential</td></tr><tr><td colspan="6">9.7%</td></tr><tr><td colspan="3">New Build</td><td colspan="3">Non-Residential RMI</td></tr><tr><td colspan="3">3.1%</td><td colspan="3">6.6%</td></tr><tr><td>Project</td><td colspan="2">Non-Project</td><td>Project</td><td colspan="2">Non-Project</td></tr><tr><td>1.7%</td><td colspan="2">1.4%</td><td>1.8%</td><td colspan="2">4.8%</td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	1.0%	1.8%	0.4%	0.8%	0.9%	5.0%	Non-Residential						9.7%						New Build			Non-Residential RMI			3.1%			6.6%			Project	Non-Project		Project	Non-Project		1.7%	1.4%		1.8%	4.8%	
Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																																																																					
1.9%	1.5%	11.2%	26.2%	38.2%	11.2%																																																																																																					
Residential																																																																																																										
90.3%																																																																																																										
New Build			Residential RMI																																																																																																							
14.2%			76.0%																																																																																																							
Project	Non-Project		Project	Non-Project																																																																																																						
7.8%	6.4%		1.5%	74.6%																																																																																																						
Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																																																																					
1.0%	1.8%	0.4%	0.8%	0.9%	5.0%																																																																																																					
Non-Residential																																																																																																										
9.7%																																																																																																										
New Build			Non-Residential RMI																																																																																																							
3.1%			6.6%																																																																																																							
Project	Non-Project		Project	Non-Project																																																																																																						
1.7%	1.4%		1.8%	4.8%																																																																																																						

6.6.2 Route to Market: Bathroom Accessories (EUR)
FR - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2025

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

32.1%	
Wholesalers / Merchants	
32.1%	

Retail Level

Manufacturer	Wholesaler
10.5%	9.2%
Internet Retailers	
19.8%	

Manufacturer	Wholesaler
31.8%	3.4%
DIY Retailers	
35.2%	

Manufacturer	Wholesaler
21.4%	15.9%
Specialist Retailers	
37.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	0.7%	3.0%	9.5%	24.5%
Installers				
39.3%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.4%	1.0%	16.4%	24.9%	11.9%	34.0%
Residential					
89.6%					

New Build		Residential RMI	
13.6%		76.0%	
Project	Non-Project	Project	Non-Project
7.5%	6.1%	1.5%	74.5%

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.0%	1.9%	0.4%	0.8%	0.9%	5.3%
Non-Residential					
10.4%					

New Build		Non-Residential RMI	
3.7%		6.7%	
Project	Non-Project	Project	Non-Project
2.0%	1.7%	1.8%	4.9%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

FR - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2020

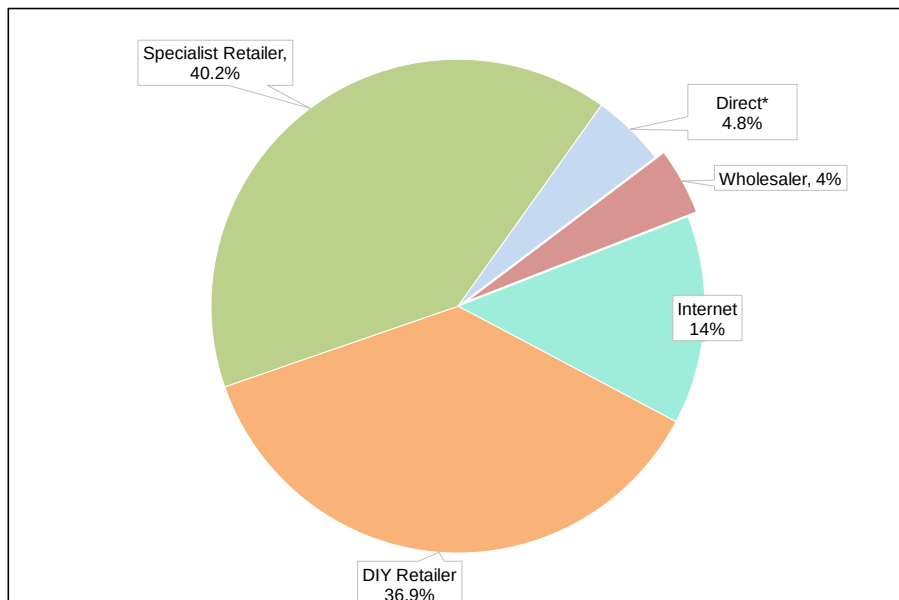
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
4.4%	13.7%	36.9%	40.2%	4.8%	9.3%	3.5%	81.0%	6.2%
100%					12.8%		87.2%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

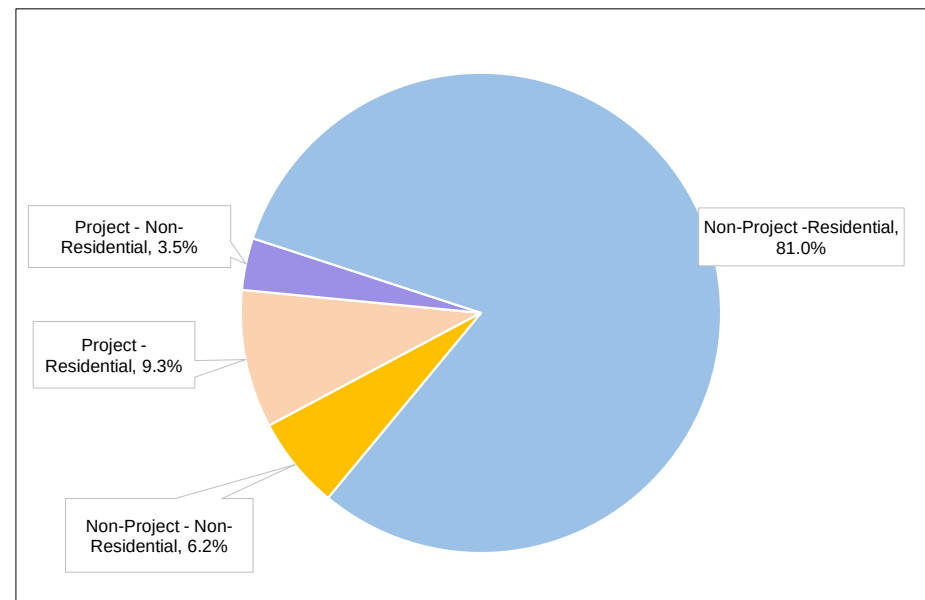
FR - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
3.6%	19.8%	35.2%	37.3%	4.2%	9.0%	3.8%	80.6%	6.5%
100%					12.8%		87.2%	

FR - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



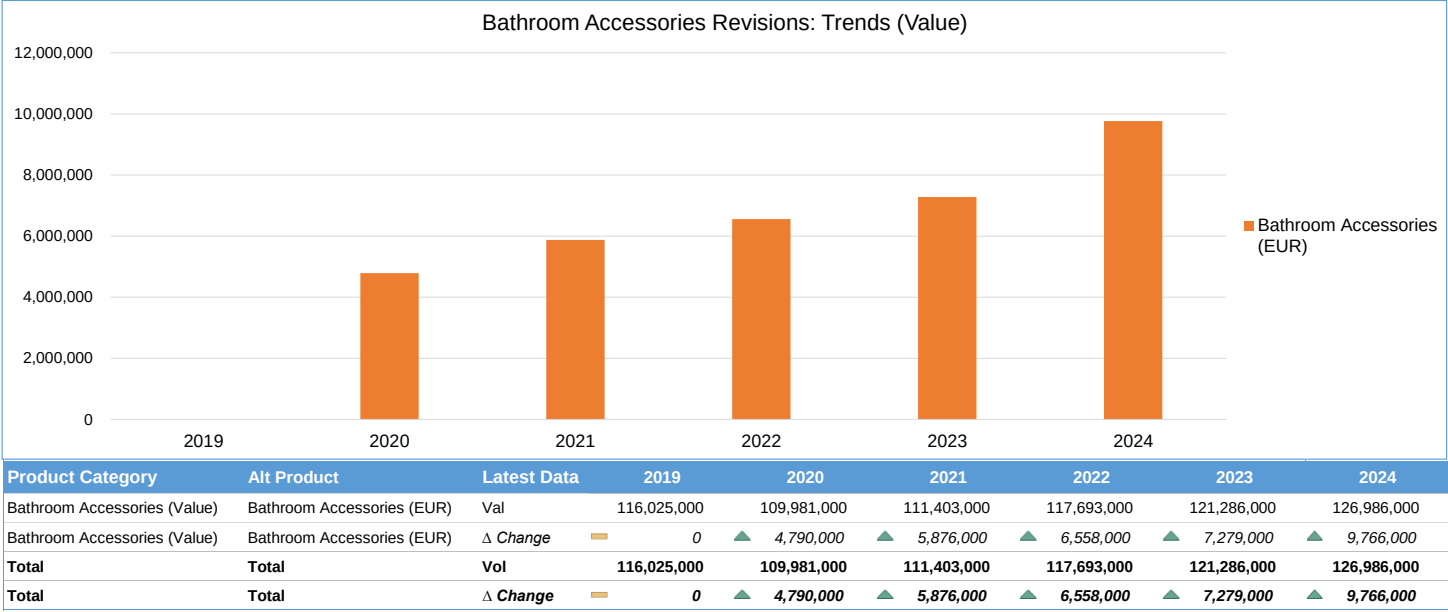
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the French Bathroom Accessories Market (April 2021)

FR - REVISIONS IN THE FRENCH BATHROOM ACCESSORIES MARKET

Data Comparison: October 2020



No changes have been made to historical values for this market.

FRANCE

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower accessories market is, to some extent, positively impacted by the large product ranges offered in DIY stores. Most products sold by DIY retailers are imported, and mostly from outside Europe, with imports from China, India, Vietnam and Thailand gaining ground over European imports year after year. However, the share of imports coming from Eastern European countries has remained significant.

With the increasing number of new dwellings built over the period 2002-2007 and the trend away from bathing towards showering, the shower accessories market benefitted from a solid basis in the years up to the 2008 crisis. Many of the sales of shower accessories were also linked to replacement purposes and, therefore, the wider range offering certainly played a major role in pushing sales of shower accessories up in a then-favourable macroeconomic context. Among the trends seen since 2002, the popularity of shower sets was certainly the most obvious.

Sales of shower sets (single function and adjustable) are thought to account for the vast majority of the shower head market, the remaining part being split between fixed heads and fixed side jets. Such a trend has reflected the desire of the consumer to use more convenient and functional products. By contrast, the choice of single-function handsets remains a financial issue, since low construction budgets oblige some households to dispense with some more advanced products. Over the past few years, shower heads have increasingly diversified (especially in terms of product functionality and design), with strong marketing campaigns by specialist manufacturers. For instance, some innovative products have entered the French market – such as shower heads with wireless speakers and/or lights. However, BRG believes that these products are part of a niche market.

Flexible hoses have traditionally been the largest market in volumes among all shower accessories, since it is the product that is most often replaced due to limescale or quality issues, for instance. BRG believes, however, that the quality of flexible hoses has improved in recent years (especially the metal variety, which are favoured nowadays by French consumers).

Sales of bars under 90 cm have decreased slightly over the years, due to the fact that the share of the traditional bar length fell slightly as a consequence of the discrete but rising trend towards bars of 90 cm and over. These may be found in hotels for aesthetic reasons, and in care homes for convenience issues. Holders, which are part of shower supports, have comprised the majority of sales in this segment in France, but their share has been slightly decreasing recently.

As regards shower panels, the product offers a good alternative to hydromassage baths and hydrotherapy shower cubicles, as it includes several massage options and is, therefore, a quite attractive and competitive alternative – and with a lower upfront cost. Shower panels consist of body jets and multiple showerheads and can

easily replace a standard shower set – which makes them interesting products for both the housing RMI residential and new housing sectors. Sales of shower panels developed quickly in France, although they were already present in the 1970s in campsites and sports centres. Shower panels were then just basic showering units that could easily be fixed to a wall. The first multifunction shower panel was introduced to the French market in 1993. Nevertheless, since the financial crisis, sales of shower panels have started to decline, showing the disinterest of French households in hydrotherapy products.

BRG believes that shower pipes, introduced by HANSGROHE a few years ago, are rapidly gaining share and the market has been growing since then. Their share is set to increase with wider availability via DIY stores and interest from French consumers. A typical shower pipe would consist of one fixed shower head, hand shower head, flexible hose and water-bearing pipe. Most manufacturers have several shower pipes in their portfolios, and seem to focus on the development of this product category.

Recent Market Trends

The shower accessories market experienced a negative year in 2020, after four years of steady growth. Sales were mainly driven down by the RMI end-use segment, which witnessed a contraction in 2020 as a result of negative consumer confidence. Also, strong replacement sales recorded during the previous years contributed to this decrease. Moreover, sales of some products follow the same trend of other bathroom products. For example, shower hoses and supports are usually sold together with taps and mixers. Therefore, the market of taps and mixers has driven down the market of these shower products.

Nevertheless, the shower accessories market has continued to benefit from the trend away from bathing towards showering – as French consumers prefer to opt now, in their new or renovation projects, for a shower rather than a bath.

Decreases in sales were observed across all product segments in 2020, with sales of the long-declining shower panels market recording the biggest drop. This product seems to suffer from a poor image in terms of quality, maintenance and noise. In addition, French consumers seem to favour other installations such as shower trays and walk-in showers to improve their bathrooms, rather than a hydrotherapy product. Sales of shower pipes decreased in 2020, despite the massive growth this product achieved in the previous years. In fact, shower pipes earlier had a great success in the French market. In 2020, the economic situation and the uncertainty surrounding the French consumer drove sales of shower pipes down, specifically in the RMI end-use segment. Being an important segment for shower pipes, the contraction in new housing output also had a great impact on the market.

French consumers tend to harmonise the style of the entire bathroom. Thus, taps and mixers and shower accessories often have a matching colour and finish. Chrome is still the most popular colour installed in 2020. However, there has been

a decline of it in recent years, as it is assimilated as a cheap product. Other colours such as black, copper and white are increasingly popular in France. White is expected to take share over other colours in the near future. Generally speaking, colourful taps are sold to create an aesthetically pleasing bathroom. The adjustable, round-shaped version was the most common type of shower head sold in 2020, as it is the cheapest solution in the market.

Prices and Market Values

The average price has slightly increased for flexible hoses, shower heads and supports, but decreased for shower panels and shower pipes. It was noted that sales volumes in 2020 were concentrated in the economy/lower price segment. This scenario was boosted by the fact that manufacturers in the economy/lower price segment decreased their prices, while others in the middle and upper/luxury segments increased theirs.

Shower panel manufacturers tried to make their products more price-attractive for consumers. Intense competition between manufacturers who tried to maintain their shares in a declining market added even more price pressure. In the lower/economy price segments of the market average prices also decreased as a result of more units being sold, to the detriment of the middle and upper/luxury price segments. The average manufacturers' selling price for shower panels decreased, due to the increase in sales of products through the DIY channel, with low-cost products coming from China, for instance. The average manufacturers' selling price of shower supports, however, increased as a result of the increase in prices through all segments.

The increase of the unemployment rate, along with the decrease in private consumption, led to a noticeable movement towards the economy/lower price segment for traditional shower accessories, with consumers purchasing cheaper products.

New Housing

Sales to the new housing sector decreased in 2020, due to the contraction of new construction activity in France. Nevertheless, shower pipes are gaining popularity in new housing – to the detriment of more basic solutions. As a relatively new product on the market, the share in the new housing segment was set to decrease over the years, to the benefit of RMI. This scenario was fortified in 2020, due to the negative performance of new construction.

Also, shower panels represent the main product installed in new housing within the hydrotherapy products available on the French market.

Housing RMI

Sales of shower accessories rely heavily on housing RMI activity. Sales to housing RMI decreased across all categories in 2020, following the downward trend of the

whole market, as a result of the economic instability due to COVID-19.

Sales to the residential RMI segment are mainly represented by flexible hoses, due to their fairly short longevity when compared to shower supports and shower heads. Replacement sales not only refer to substitutions of a single shower accessory but also include sales of complete shower sets, often done at the same time as the complete bathroom refurbishment. Sales of more innovative and aesthetic shower heads were also noticeable in the housing RMI segment in 2020. For instance, shower pipes and two-head showers to the RMI segment seemed to have saved their place in the French market due to their aesthetic qualities and somewhat affordable prices. On the other hand, shower panels continue to suffer from a higher upfront cost and less attractive design.

Non-Housing

The French non-housing segment of the shower accessories market relies mainly on the hospitality segment, in which the share of showers is higher than the share of baths. In fact, demand for shower supports, flexible hoses, shower heads and shower pipes is noticeable in non-residential buildings. The preferences for innovative showers and shower heads are considered to be the main boosters of sales into this segment, as these technologies are increasingly preferred over the previously-popular hydrotherapy products.

Supply Structure

The French manufacturer VALENTIN is leading the declining shower panels market in France, followed by imports, ROUSSEAU, and SFA, with its KINEDO brand.

As far as imports are concerned, imports coming from China and other Far Eastern countries (India, Vietnam and Thailand) have remained strong. On the European import side, the players positioned in the French market include some German manufacturers such as GROHE and HANSGROHE, whose product coverage includes the middle, upper and luxury price segments. The numerous Italian manufacturers do not have any subsidiaries located in France and, therefore, export directly to the country. Among these manufacturers, VISENTIN and FORNARA & MAULINI have concluded OEM agreements with a large number of tap and mixer manufacturers. BOSSINI distributed shower accessories in France through its exclusive distributor EUROTEAM, before going bankrupt at the end of 2018. Finally, the presence of Spanish manufacturers with exports to France remains important, especially since their domestic sales have suffered from low demand. The most important companies located in France include ROCA and TA-TAY, while direct sales from Spain to France are represented by companies such as INTERBATH.

Other players include importers or packagers that mainly source from Italy, Spain and Germany. They assemble, package and re-brand products, as well as supply DIY and the multiple retail outlets (ROUSSEAU, MTK, etc.). Other players also include tap and mixer manufacturers with a limited range of shower accessories.

Forecasts

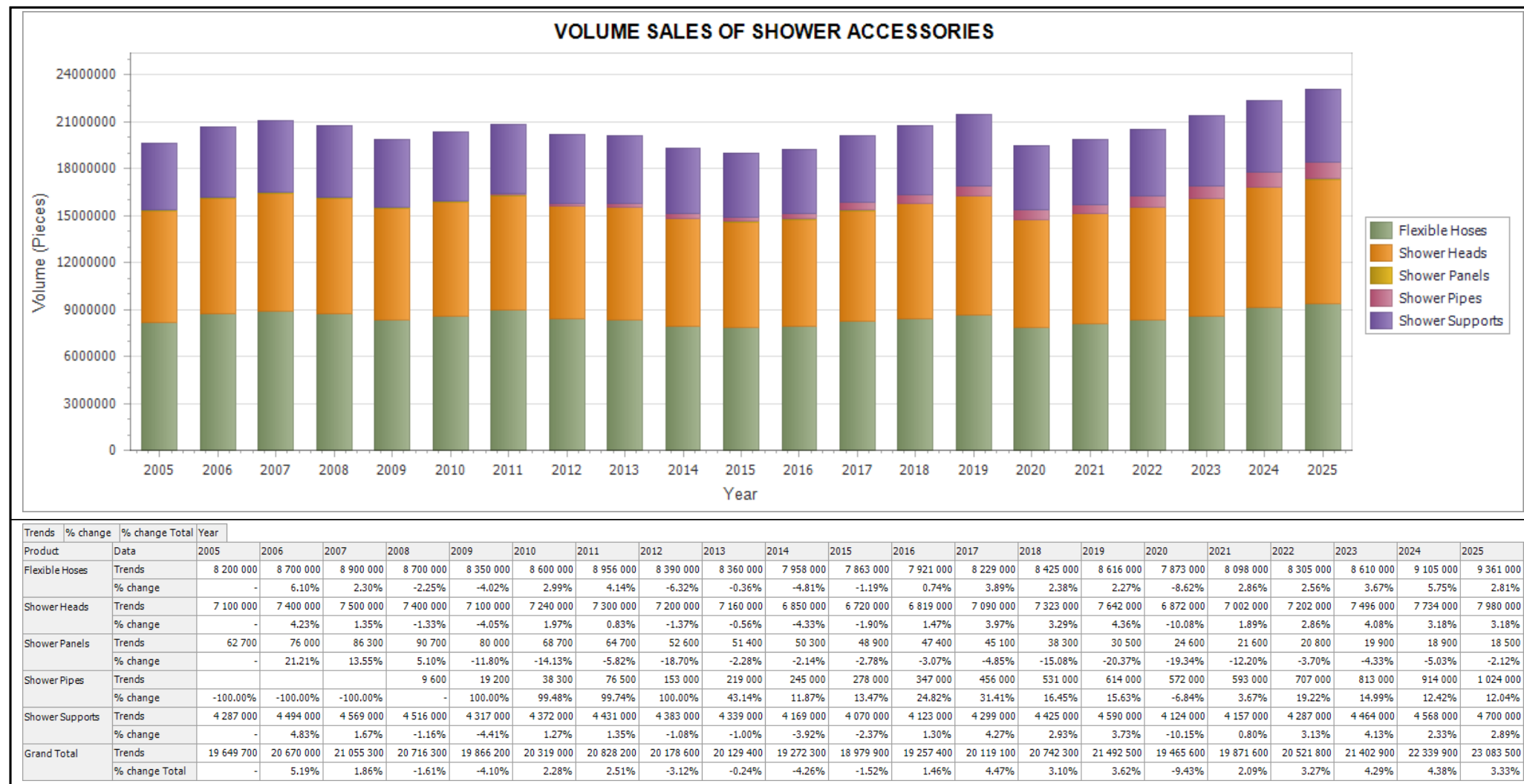
Demand for shower accessories is likely to grow in 2021. Being a mature market, these products depend heavily on replacement sales. In addition, demand for all three end-use segments is expected to grow further throughout the forecast period. Although the growth rate of housing completions is expected to weaken, demand from new housing is likely to remain on a high level. Sales of shower accessories are believed will continue to grow in the replacement segment from 2022 onwards, in accordance with high demand for bathroom renovations.

Despite decreasing sales among all products, a preference for innovative showers and shower heads, such as shower pipes, should remain intact over the forecast period. On the other hand, sales of shower panels are expected to continue to fall, as there is no sign of a possible upturn in the French market. Hydrotherapy products are currently not very popular in France, often due to higher retail prices. In fact, French households show some resistance to using hydrotherapy products – which are perceived as too expensive and not necessary.

The shower accessories market is likely to be sustained and supported by the increased popularity of showering over baths over the forecast period. The increase in internet distribution is likely to enable consumers to obtain higher-quality products at lower prices, which will put pressure on traditional distribution channels such as independent merchants and DIY. BRG does not believe that the shower accessories market will reach maturity over the forecast period and, therefore, there is further room for market developments.

7.2.1 Historical Trends & Forecasts : Shower Accessories

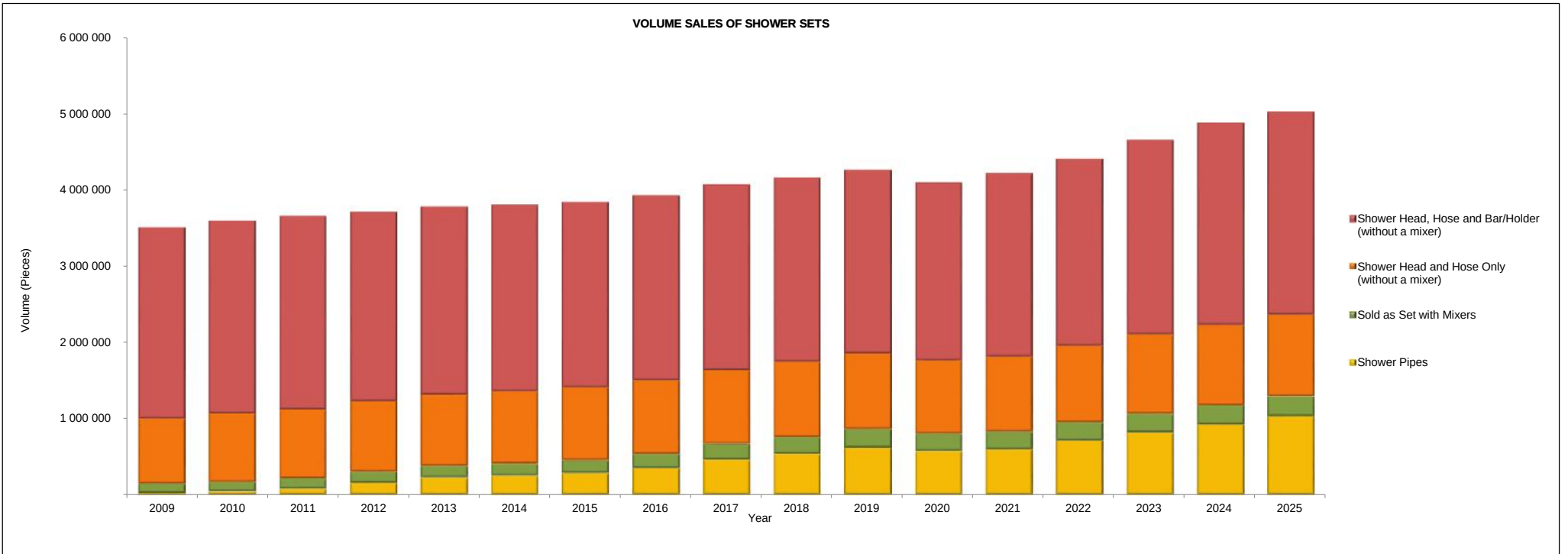
FR - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

7.2.2 Historical Trends and Forecasts : Shower Sets

FR - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS

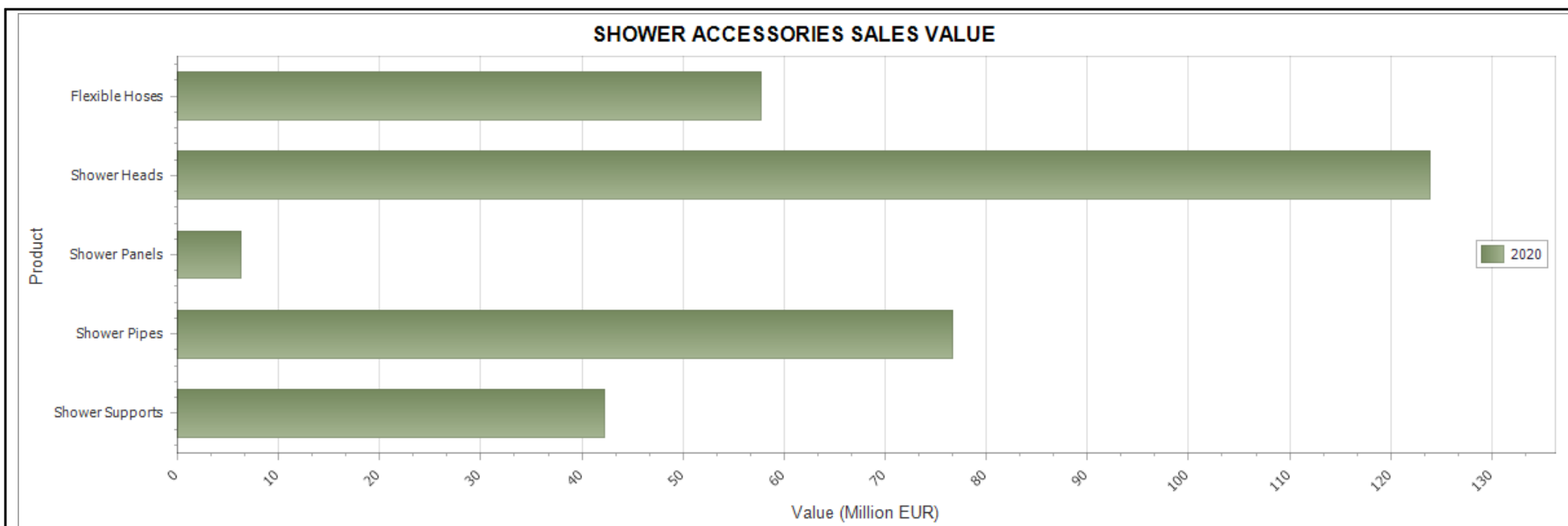


Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	2 505 000	2 525 000	2 535 000	2 480 000	2 465 000	2 443 000	2 428 000	2 424 000	2 430 000	2 414 000	2 402 000	2 330 000	2 400 000	2 453 000	2 549 000	2 645 000	2 655 000
	% Change	-	0.80%	0.40%	-2.17%	-0.60%	-0.89%	-0.61%	-0.16%	0.25%	-0.66%	-0.50%	-3.00%	3.00%	2.21%	3.91%	3.77%	0.38%
	Shower Head and Hose Only (without a mixer)	860 000	900 000	910 000	930 000	940 000	950 000	960 000	968 000	975 000	990 000	999 000	965 000	989 000	1 010 000	1 043 000	1 059 000	1 078 000
	% Change	-	4.65%	1.11%	2.20%	1.08%	1.06%	1.05%	0.83%	0.72%	1.54%	0.91%	-3.40%	2.49%	2.12%	3.27%	1.53%	1.79%
	Sold as Set with Mixers	120 000	125 000	130 000	145 000	155 000	160 000	168 000	182 000	204 000	221 000	239 000	223 000	229 000	235 000	241 000	253 000	260 000
	% Change	-	4.17%	4.00%	11.54%	6.90%	3.23%	5.00%	8.33%	12.09%	8.33%	8.14%	-6.69%	2.69%	2.62%	2.55%	4.98%	2.77%
	Shower Pipes	19 200	38 300	76 500	153 000	219 000	245 000	278 000	347 000	456 000	531 000	614 000	572 000	593 000	707 000	813 000	914 000	1 024 000
	% Change	-	99.48%	99.74%	100.00%	43.14%	11.87%	13.47%	24.82%	31.41%	16.45%	15.63%	-6.84%	3.67%	19.22%	14.99%	12.42%	12.04%
Grand Total		3 504 200	3 588 300	3 651 500	3 708 000	3 779 000	3 798 000	3 834 000	3 921 000	4 065 000	4 156 000	4 254 000	4 090 000	4 211 000	4 405 000	4 646 000	4 871 000	5 017 000
% Change Total		-	2.40%	1.76%	1.55%	1.91%	0.50%	0.95%	2.27%	3.67%	2.24%	2.36%	-3.86%	2.96%	4.61%	5.47%	4.84%	3.00%

Source: BRG based on Industry Interviews.

7.3.1 Prices and Market Values : Shower Accessories

FR - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET

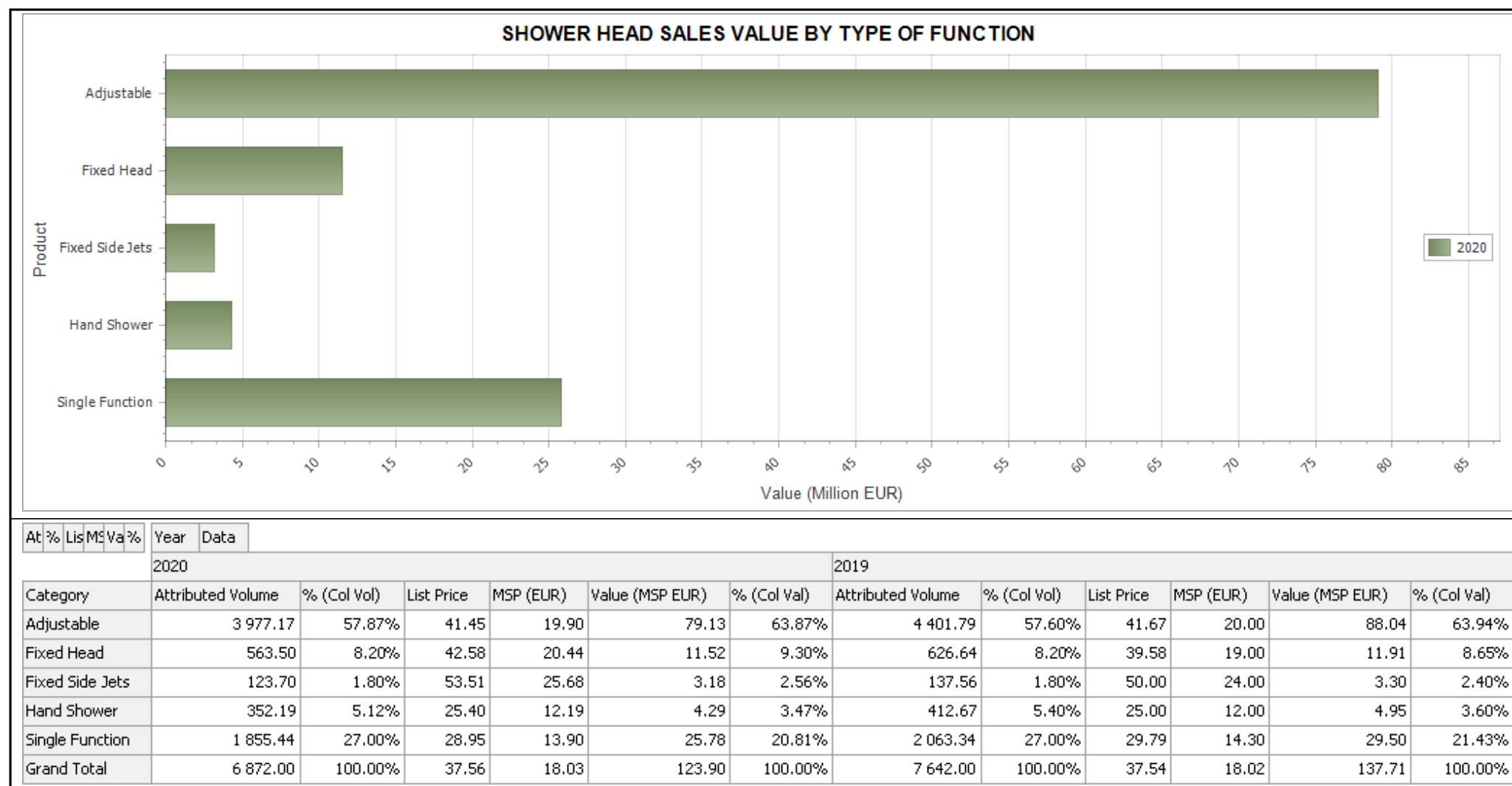


Volume	MSP (Value)	Year	Data				
		2020			2019		
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Flexible Hoses	7 873 000	7.33	57.71	8 616 000	7.16	61.69	
Shower Heads	6 872 000	18.03	123.90	7 642 000	18.02	137.71	
Shower Panels	24 600	256.66	6.31	30 500	259.24	7.91	
Shower Pipes	572 000	133.94	76.61	614 000	134.88	82.82	
Shower Supports	4 124 000	10.24	42.23	4 590 000	10.14	46.54	
Grand Total	19 465 600	15.76	306.77	21 492 500	15.66	336.67	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

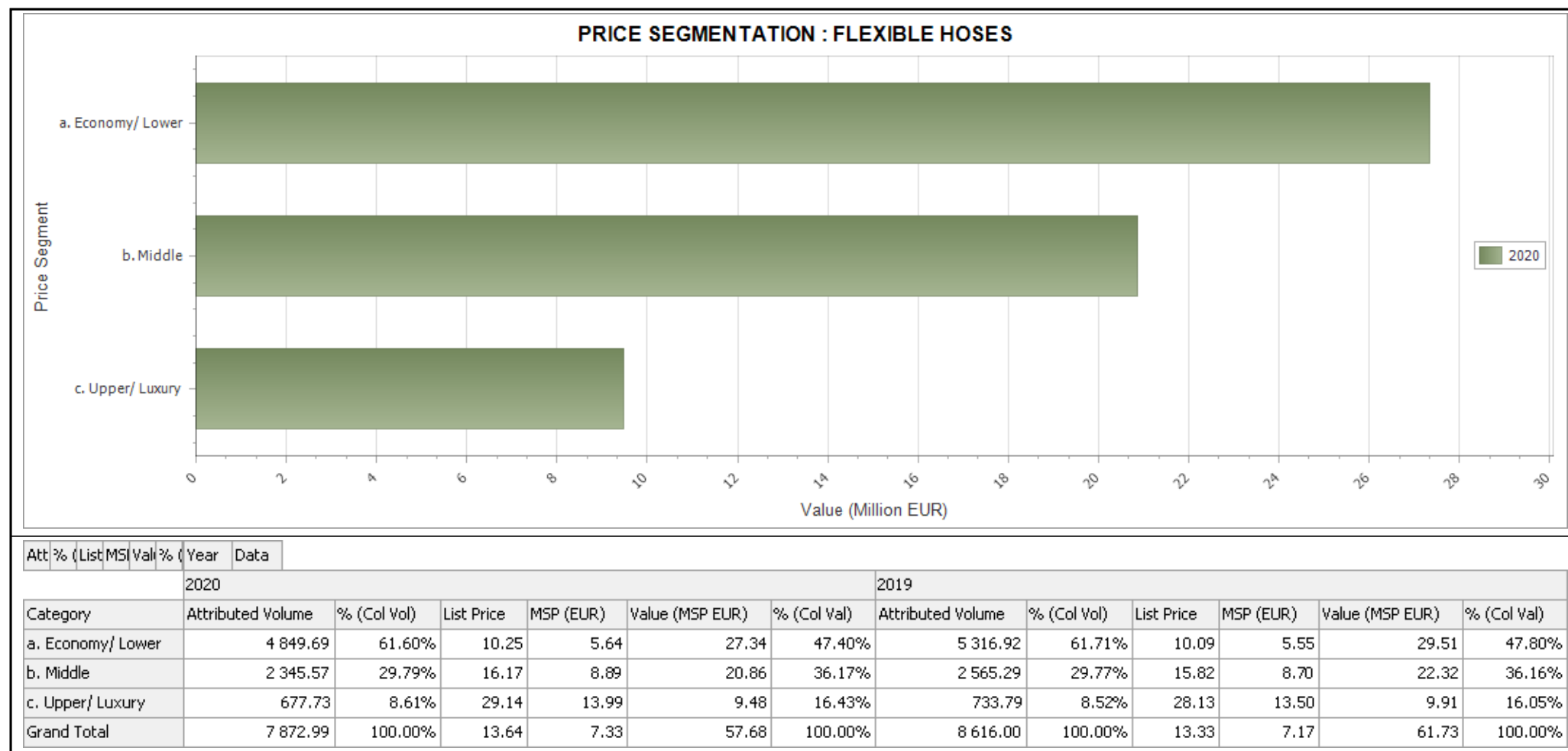
FR - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

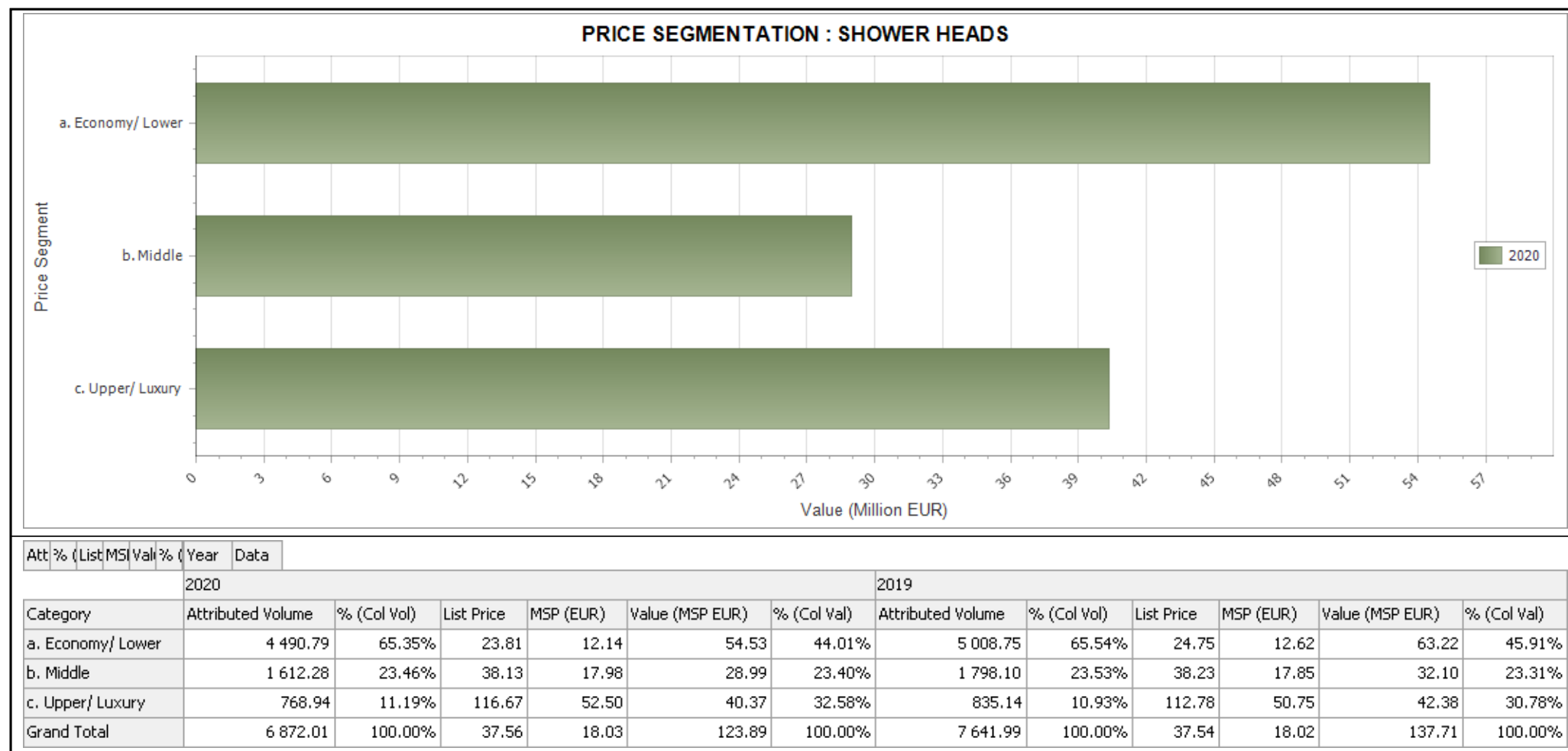
FR - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€7, Middle €7-€10, Upper/ Luxury >€10

7.3.4 Price Segmentation : Shower Heads

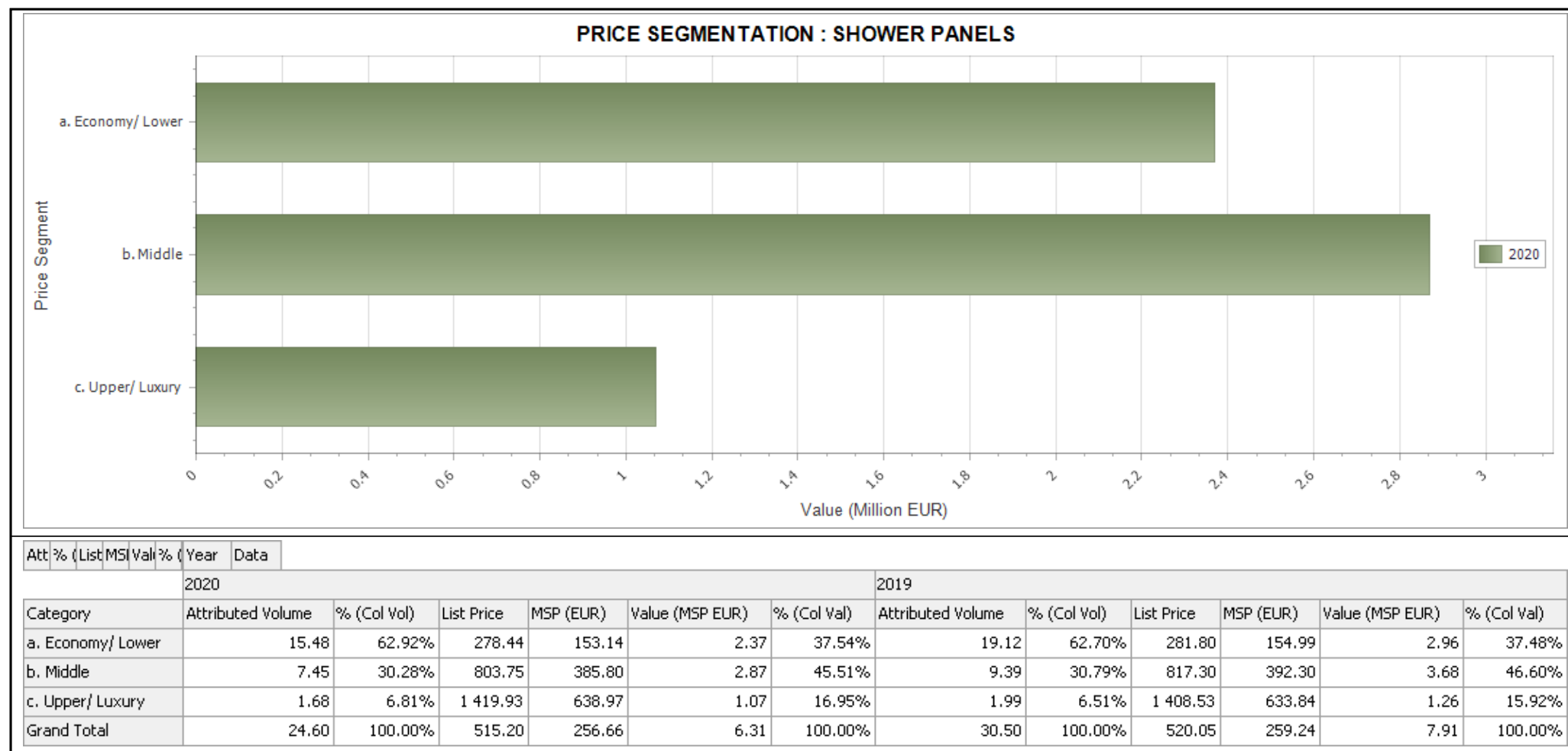
FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€15, Middle €15-€30, Upper/ Luxury >€30

7.3.5 Price Segmentation : Shower Panels

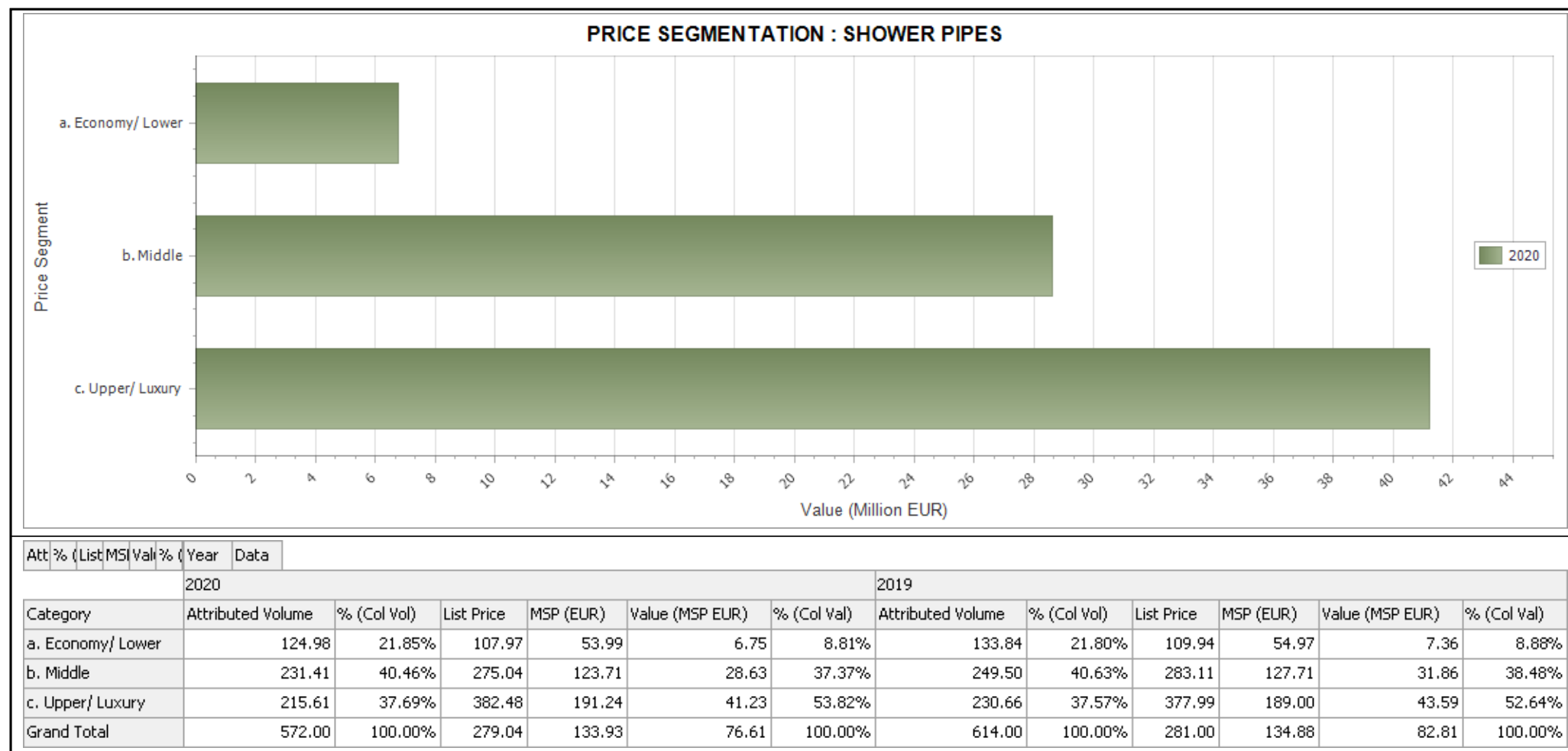
FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€500, Upper/ Luxury >€500

7.3.6 Price Segmentation : Shower Pipes

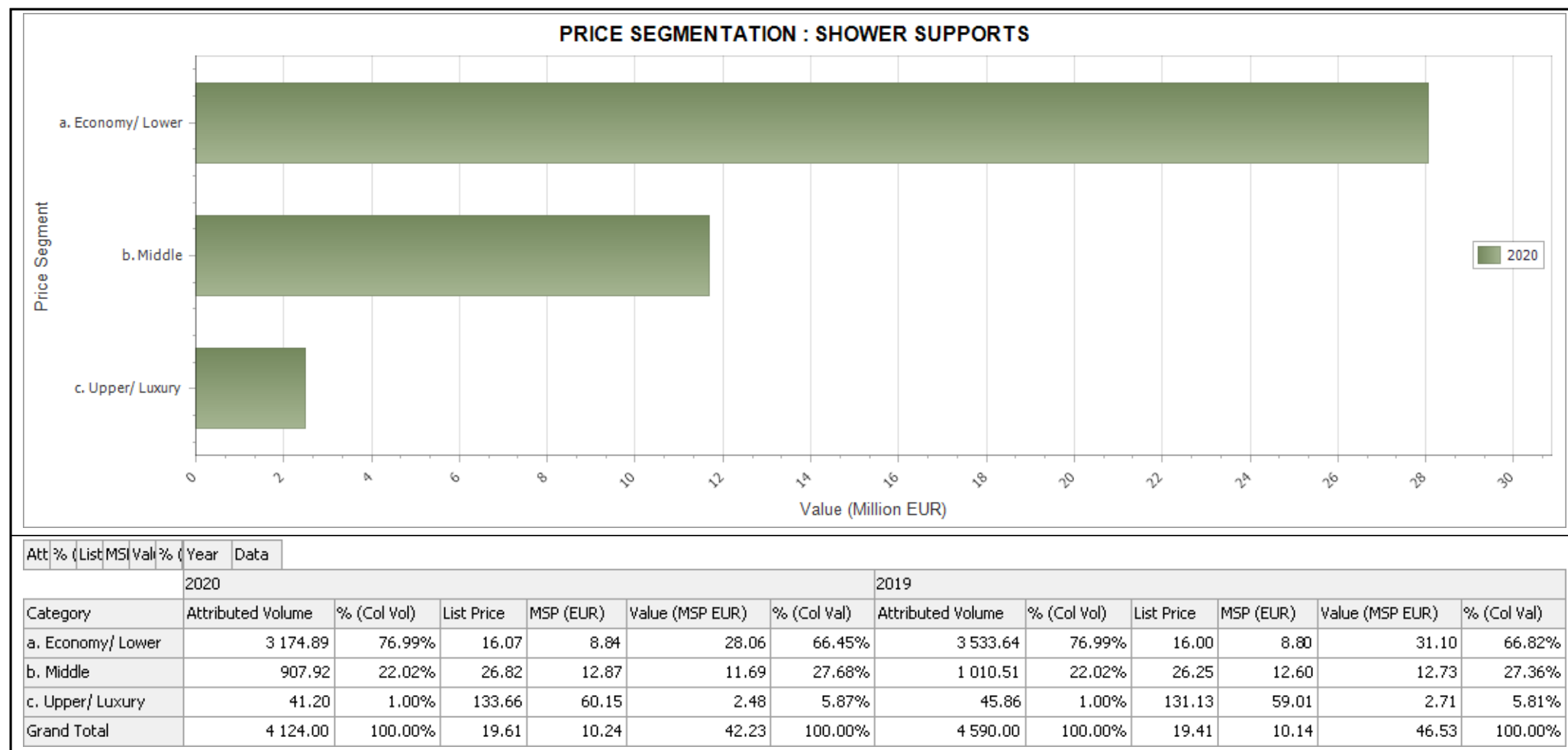
FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€150, Upper/ Luxury >€150

7.3.7 Price Segmentation : Shower Supports

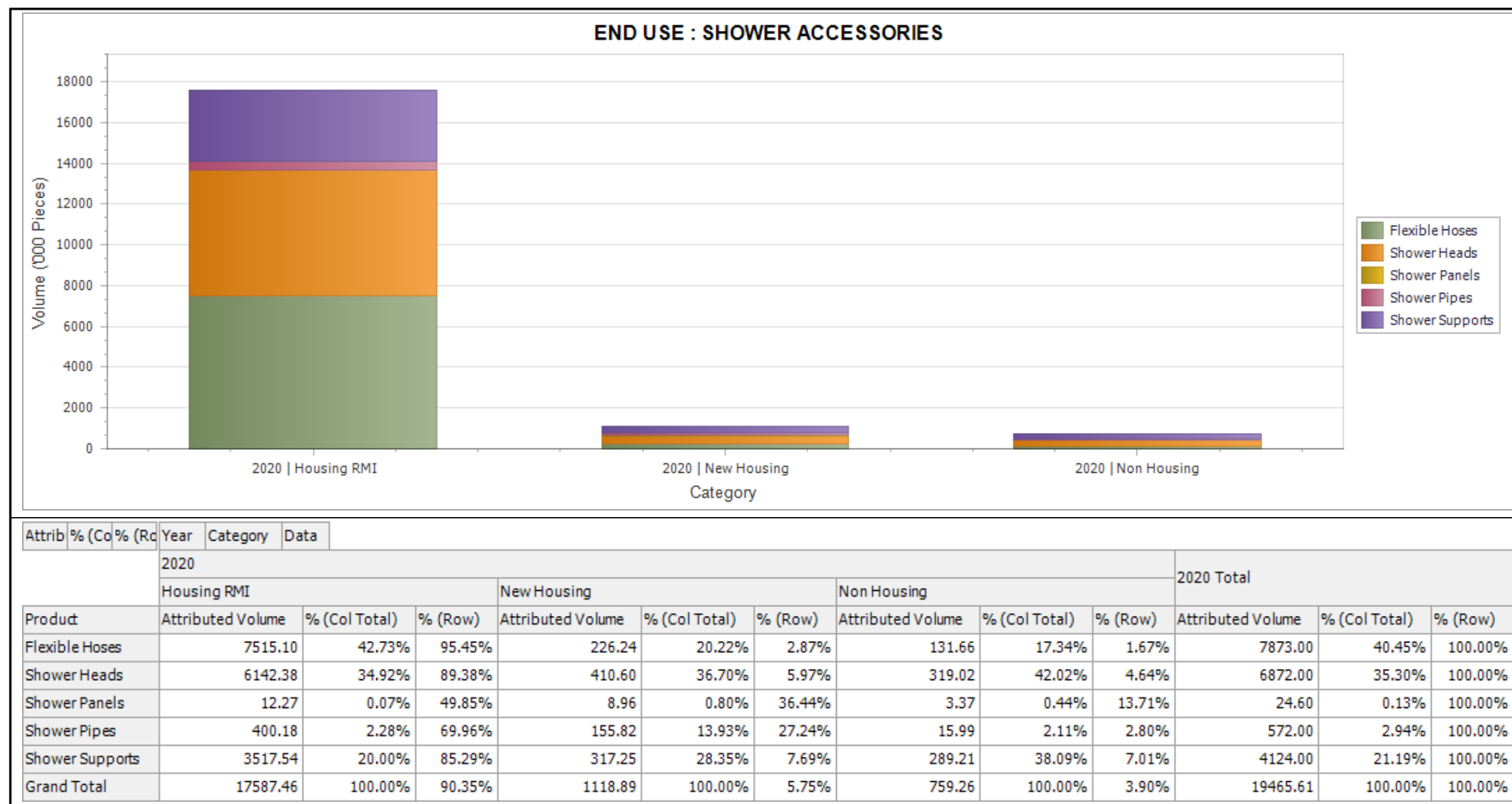
FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€15, Upper/ Luxury >€15

7.4.1 End Use : Base Year

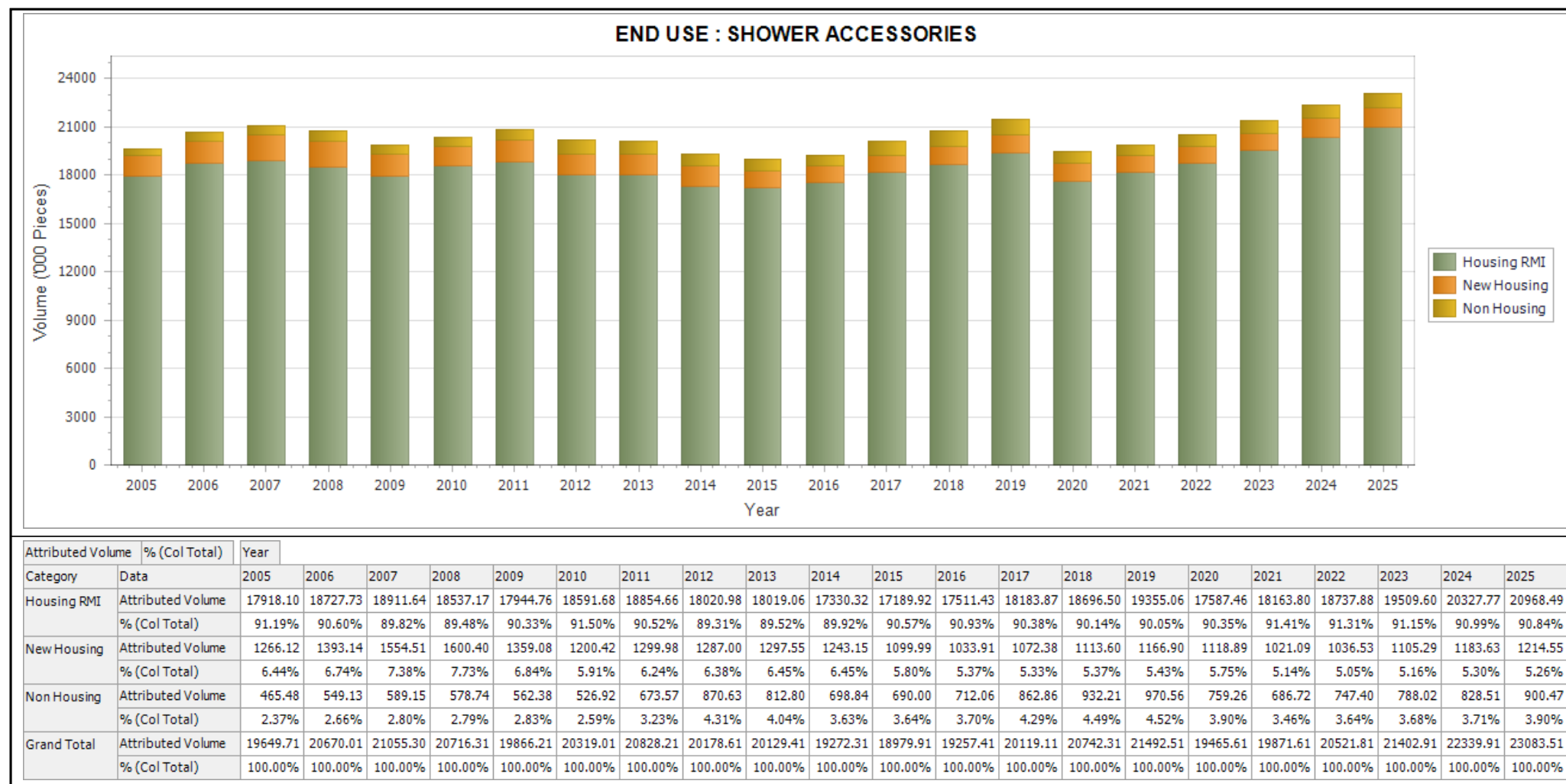
FR - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

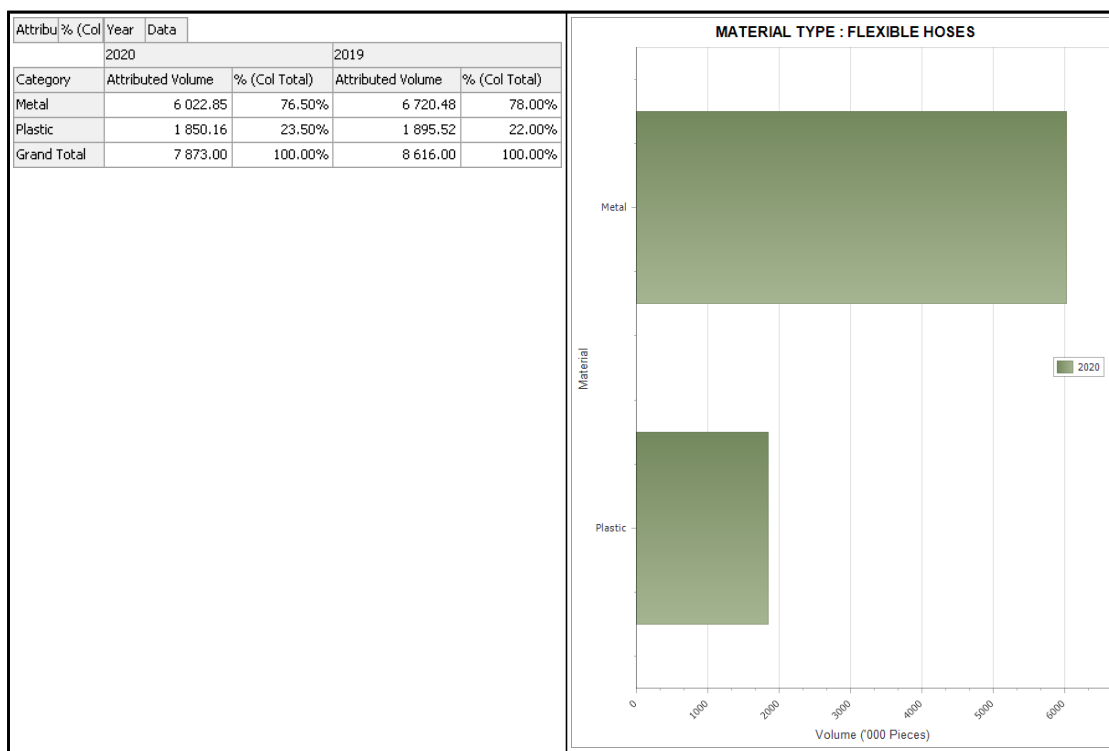
FR - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.3 Sales By Type of Material : Flexible Hoses

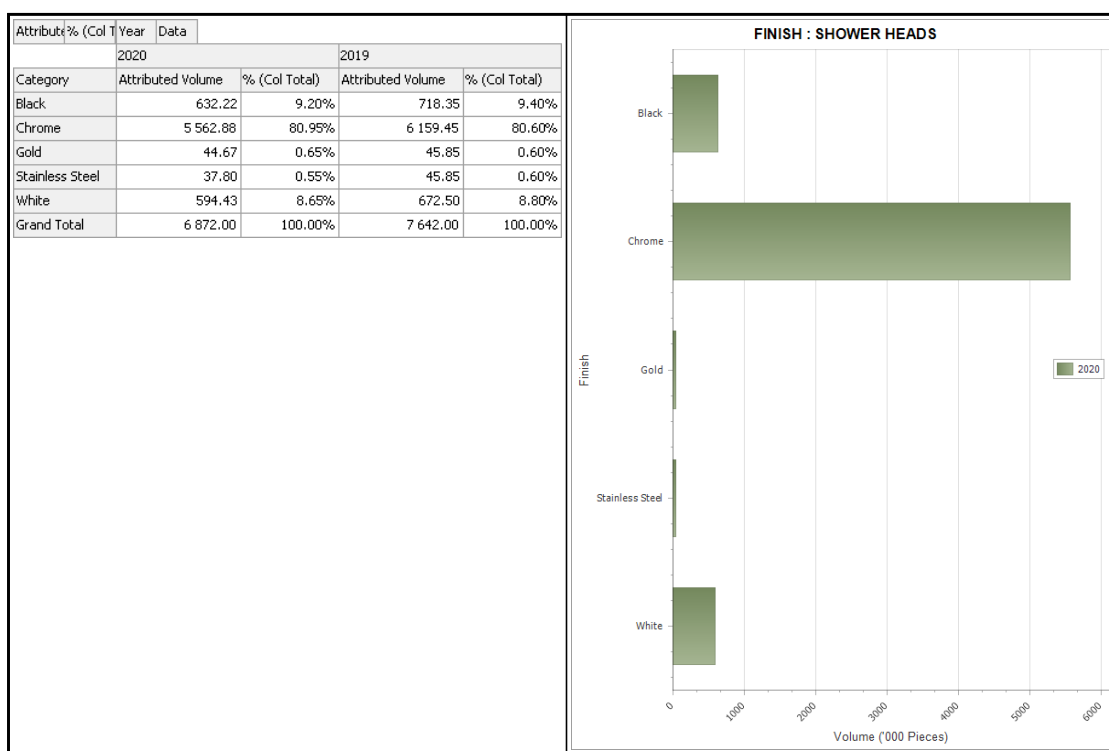
FR - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.4 Sales by Type of Finish : Shower Heads

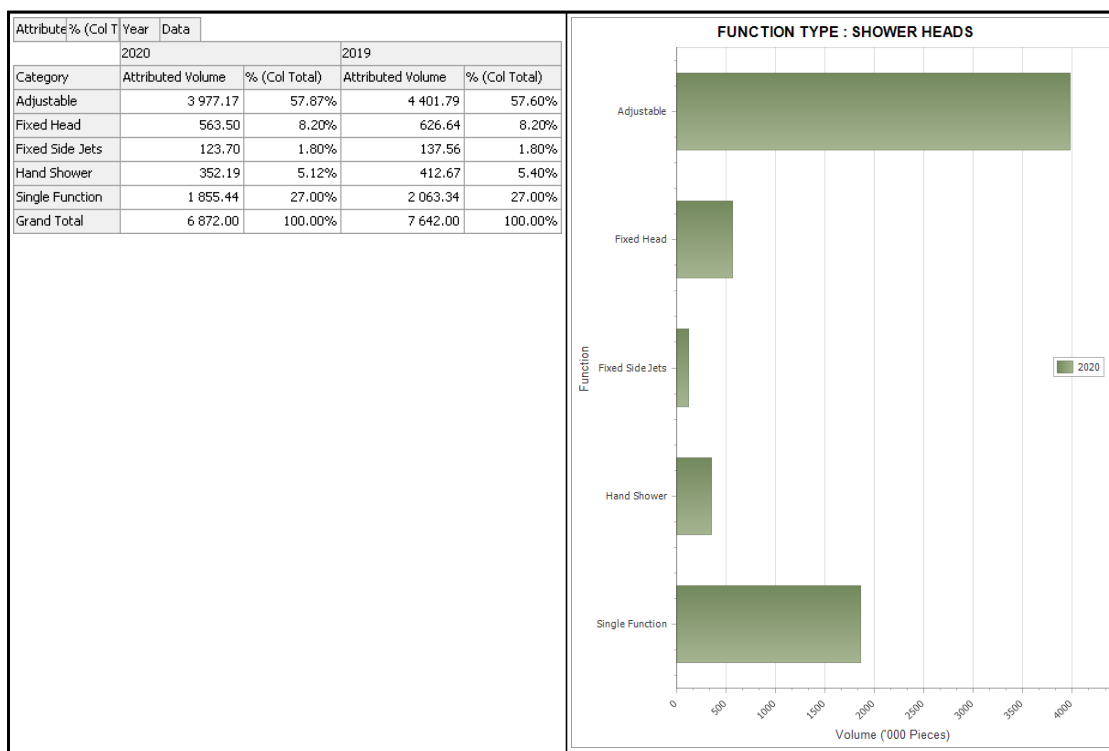
FR - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.5 Sales By Type of Function : Shower Heads

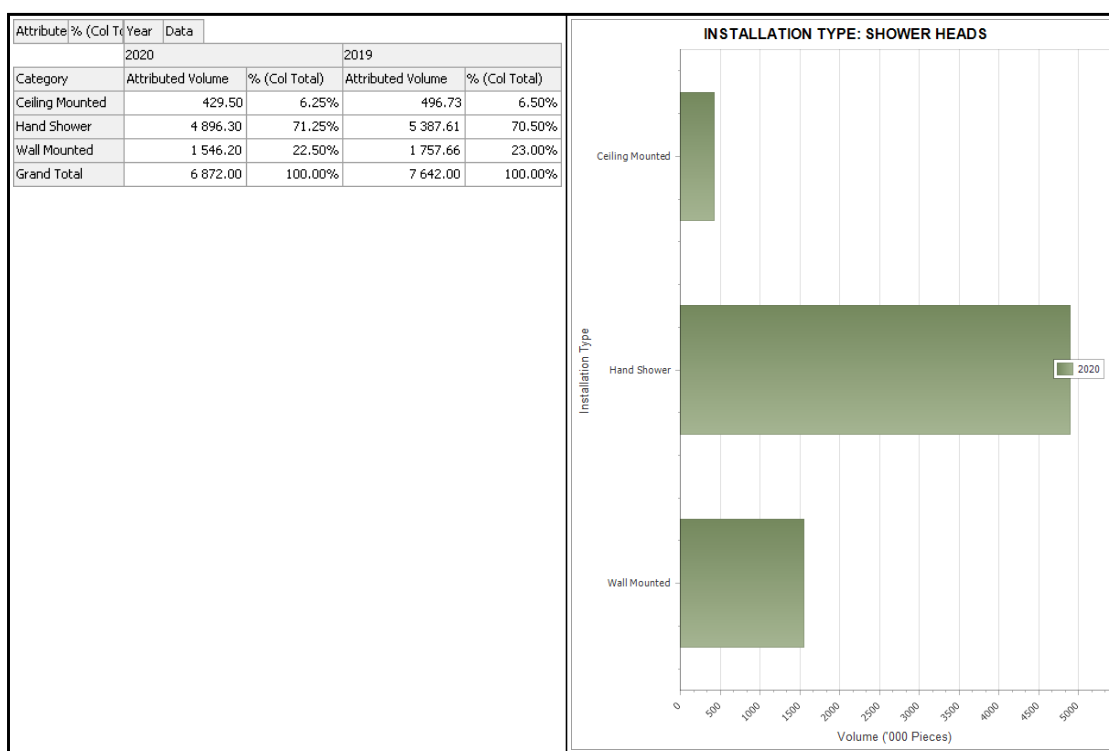
FR - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.6 Sales by Type of Installation : Shower Heads

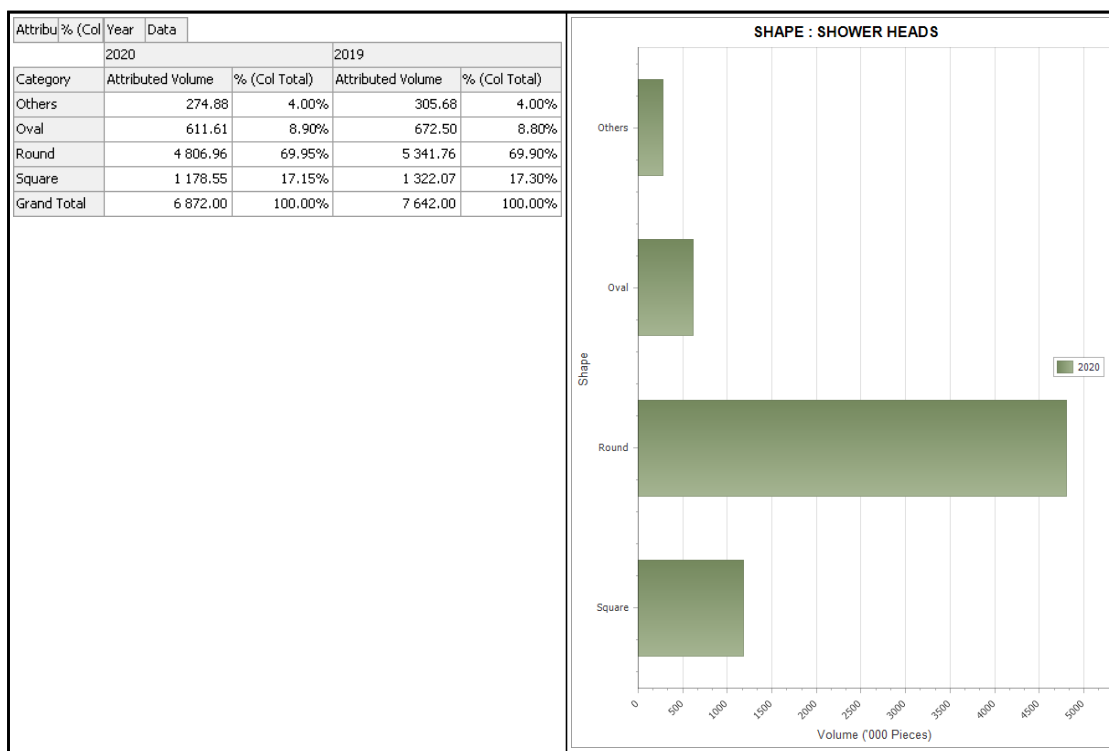
FR - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.7 Sales By Type of Shape : Shower Heads

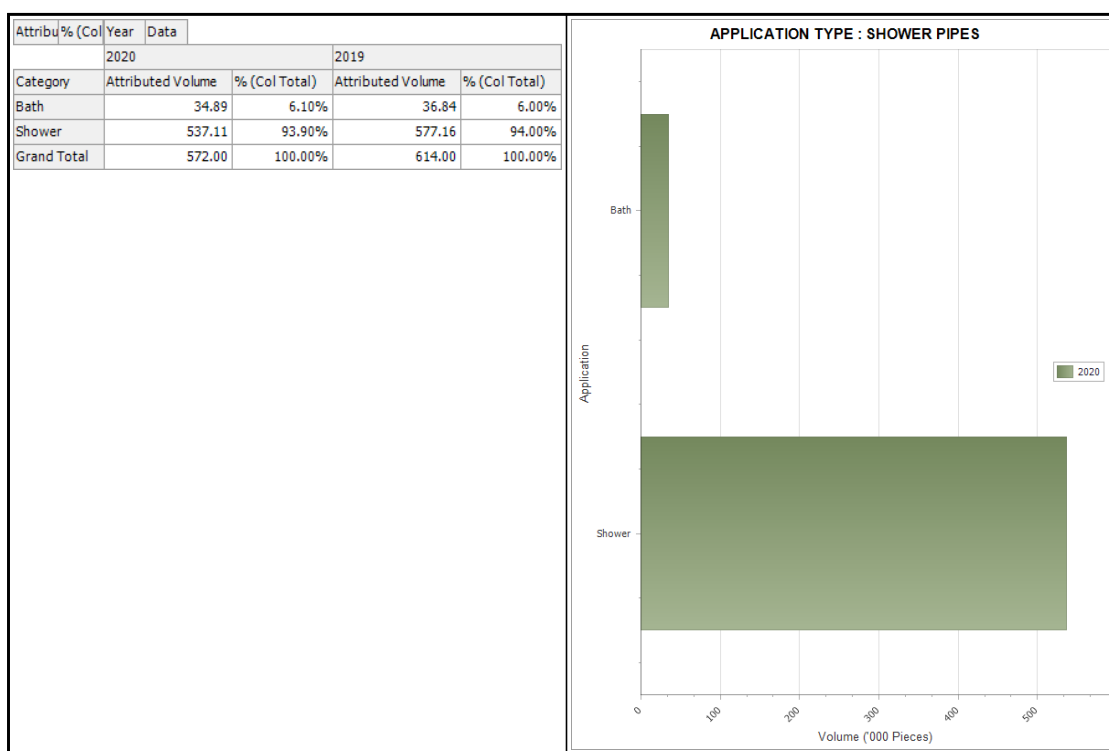
FR - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.8 Sales by Type of Application : Shower Pipes

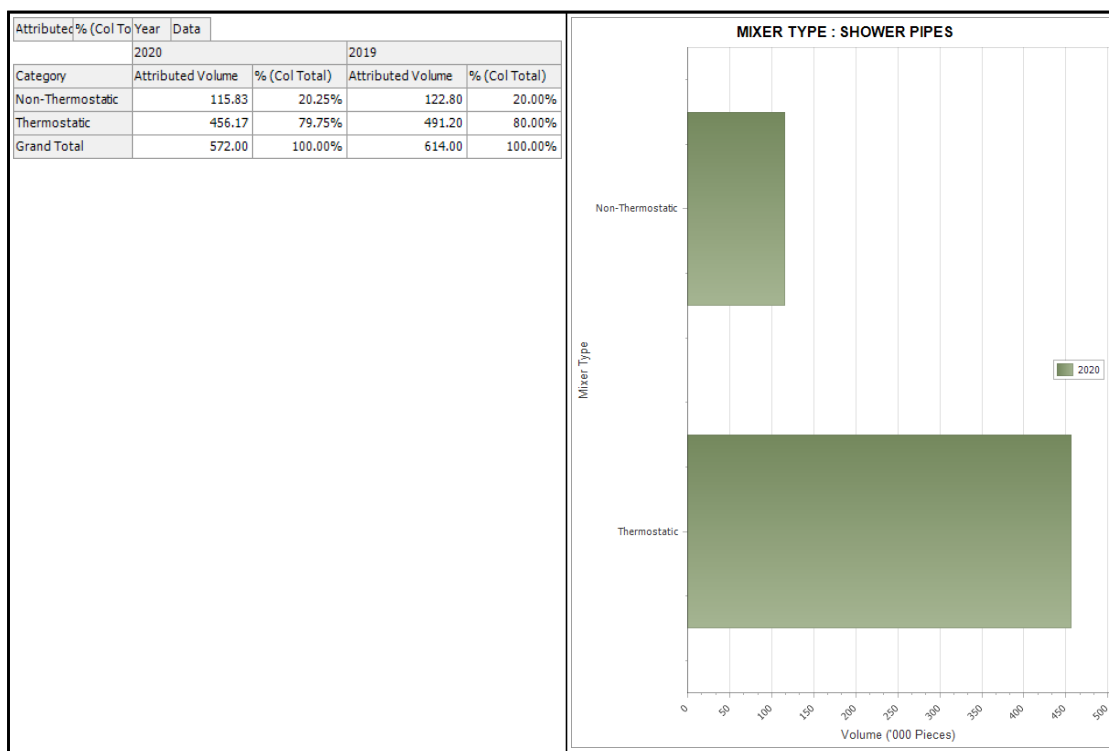
FR - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

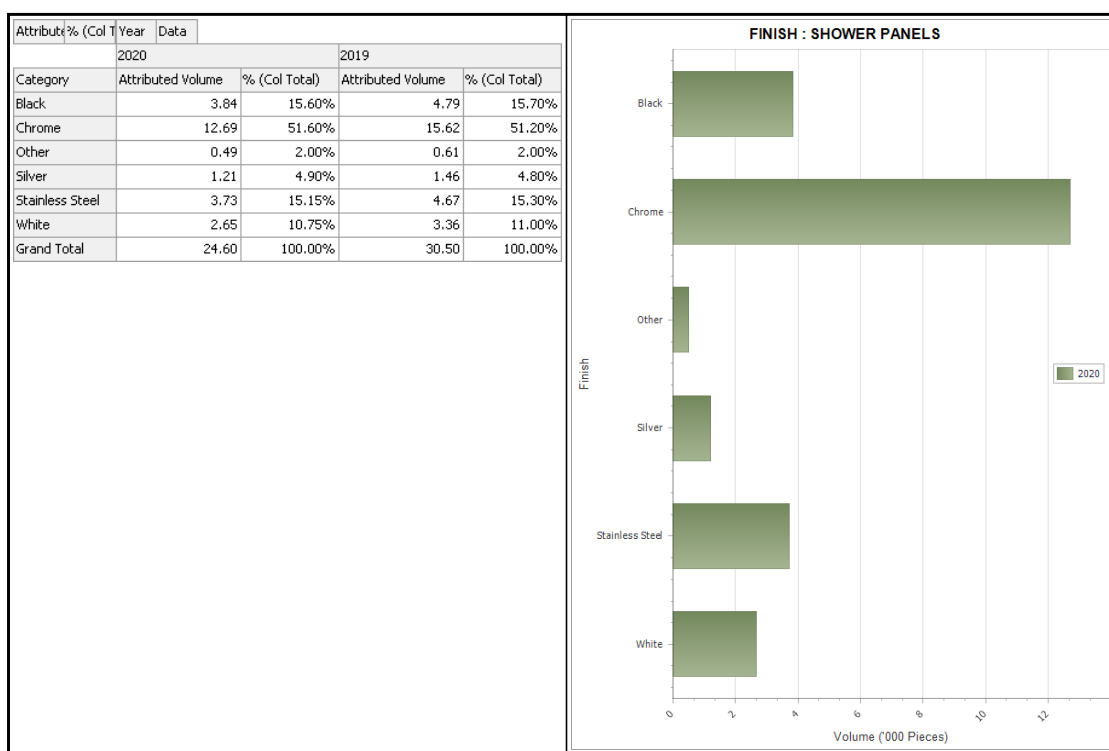
FR - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.10 Sales by Type of Finish: Shower Panels

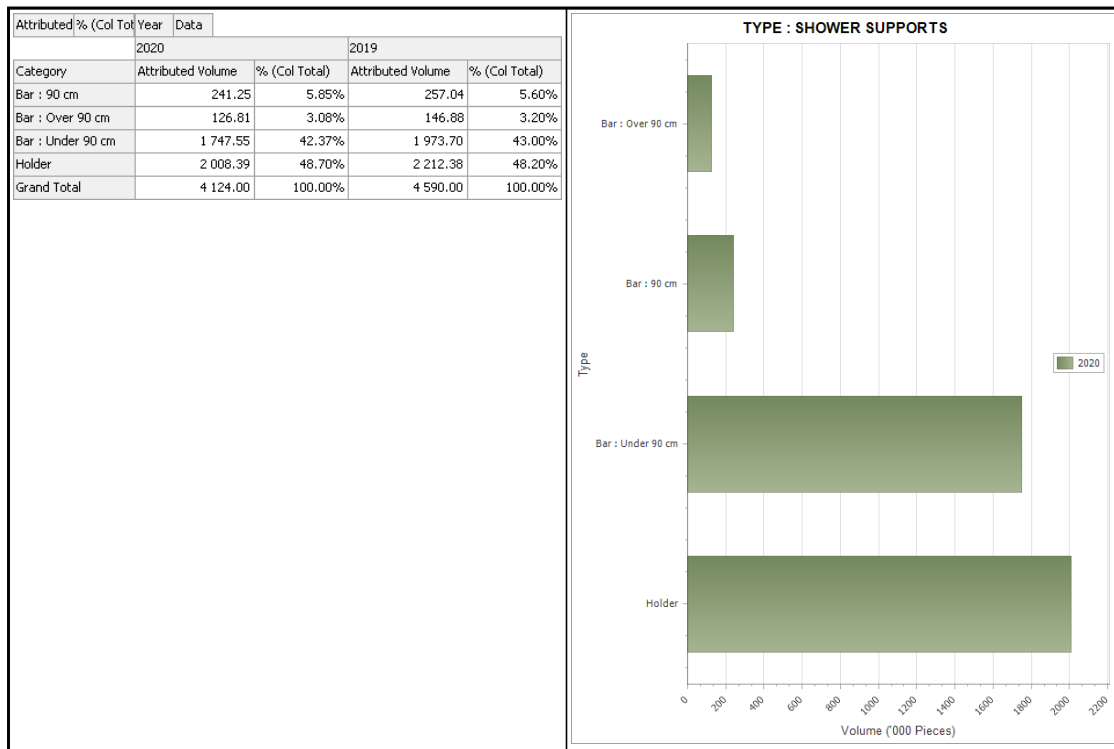
FR - SHOWER PANEL SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

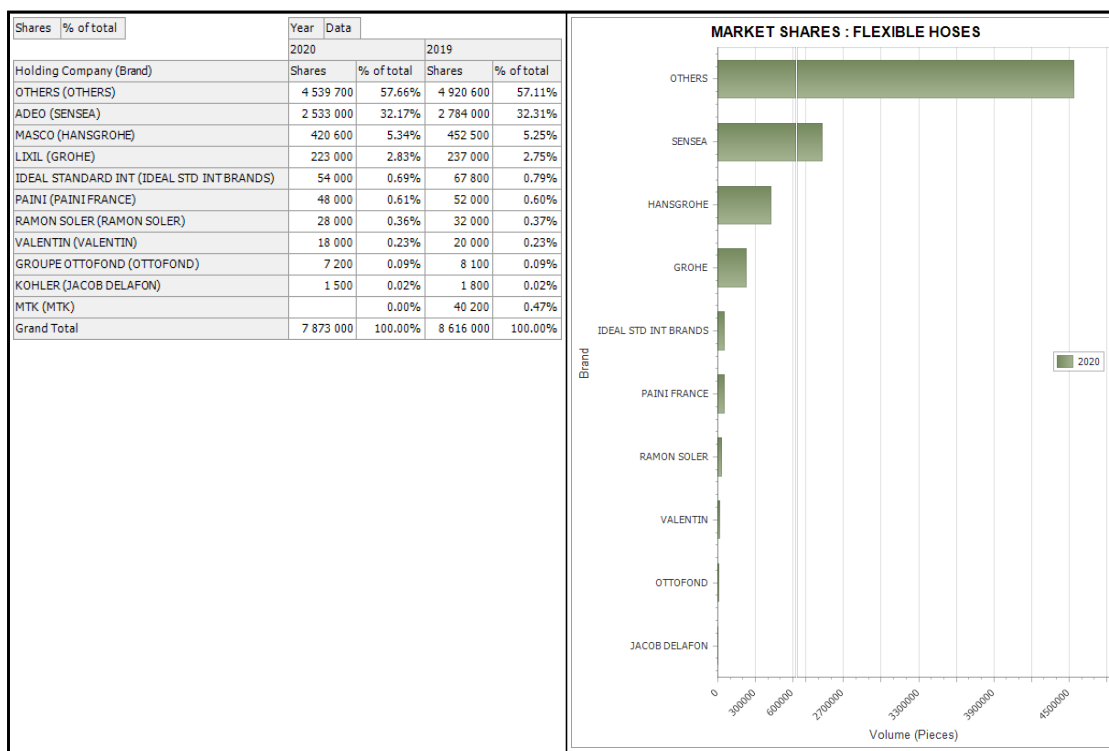
FR - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

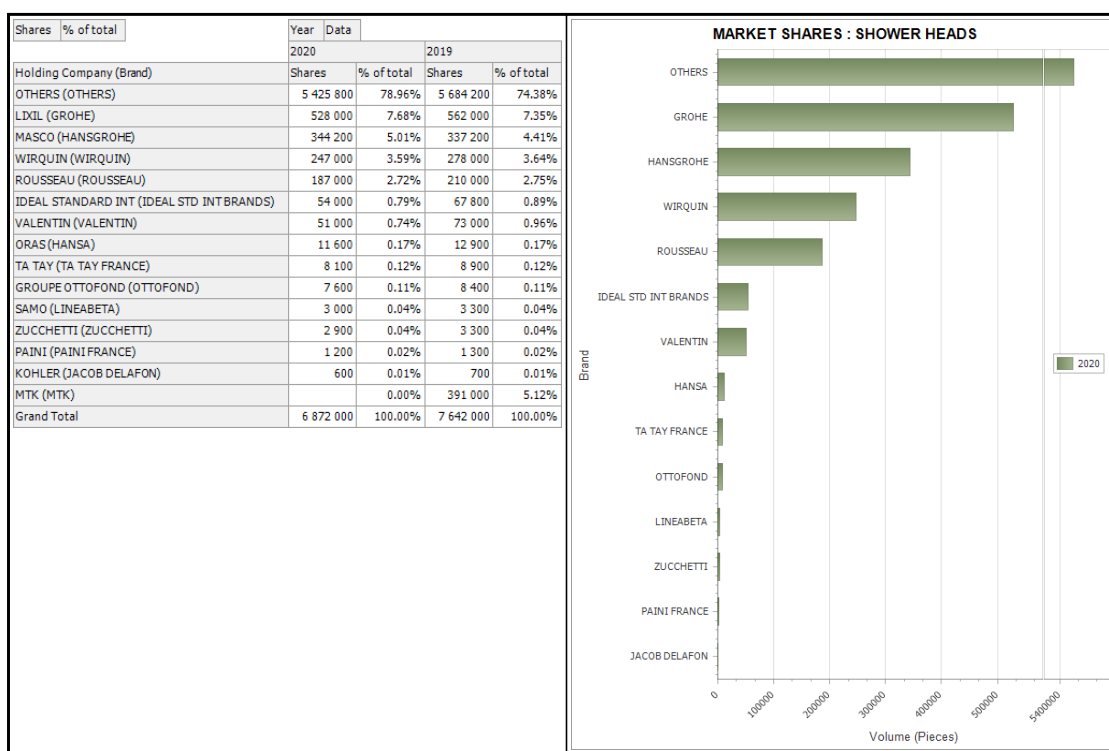
FR - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

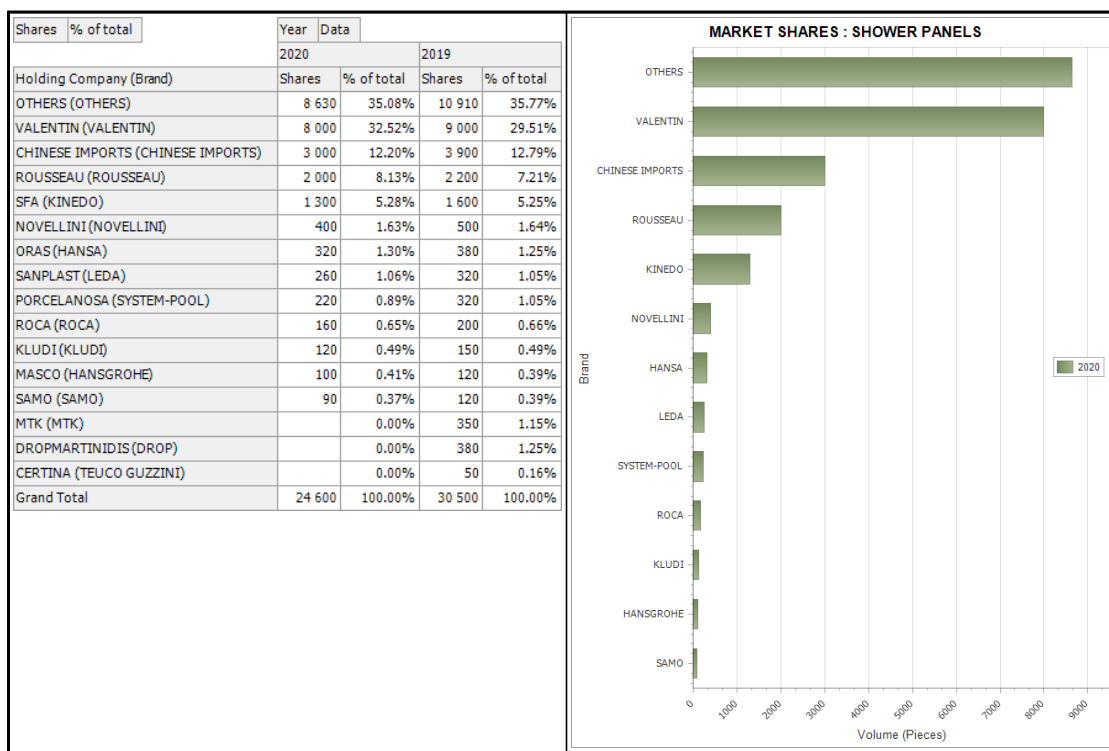
FR - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

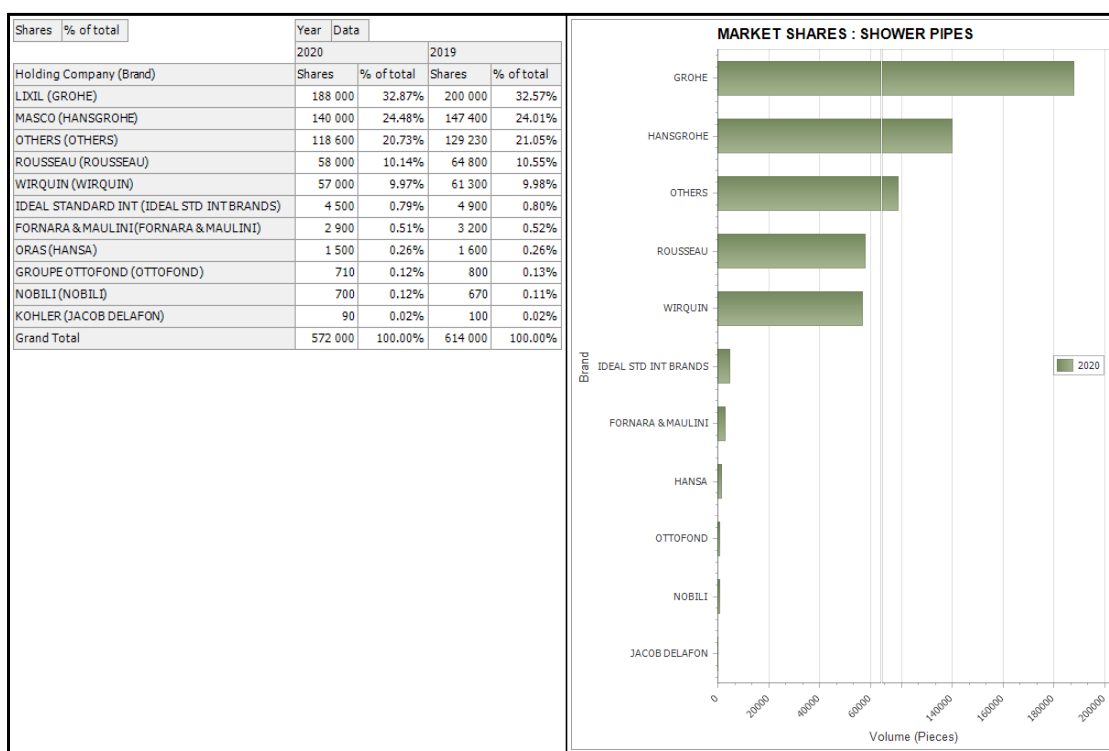
FR - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

FR - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1

Route to Market: Shower Accessories
FR - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

46.7%
Wholesalers / Merchants
46.7%

Retail Level

Manufacturer	Wholesaler
3.7%	3.6%
Internet Retailers	
7.3%	

Manufacturer	Wholesaler
44.0%	5.4%
DIY Retailers	
49.4%	

Manufacturer	Wholesaler
0.5%	8.6%
Specialist Retailers	
9.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.9%	24.8%	1.1%	17.3%	1.7%
Installers				
47.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.5%	3.7%	6.2%	31.0%	6.8%	47.0%
Residential					
96.1%					

New Build			Residential RMI		
5.7%			90.4%		
Project	Non-Project		Project	Non-Project	
3.2%	2.6%		7.1%	83.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.7%	0.7%	0.0%	1.1%	0.6%	0.8%
Non-Residential					
3.9%					

New Build			Non-Residential RMI		
0.4%			3.5%		
Project	Non-Project		Project	Non-Project	
0.3%	0.1%		0.3%	3.2%	

7.6.2

Route to Market: Shower Accessories
FR - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

48.2%
Wholesalers / Merchants
48.2%

Retail Level

Manufacturer	Wholesaler
7.6%	6.5%
Internet Retailers	
14.1%	

Manufacturer	Wholesaler
41.9%	5.2%
DIY Retailers	
47.1%	

Manufacturer	Wholesaler
0.5%	7.6%
Specialist Retailers	
8.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	24.6%	2.3%	16.0%	1.2%
Installers				
44.1%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.4%	3.6%	11.8%	29.9%	6.1%	43.3%
Residential					
96.1%					

New Build			Residential RMI		
5.3%			90.8%		
Project	Non-Project		Project	Non-Project	
2.9%	2.4%		7.1%	83.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.4%	0.7%	0.0%	1.2%	0.8%	0.8%
Non-Residential					
3.9%					

New Build			Non-Residential RMI		
0.4%			3.5%		
Project	Non-Project		Project	Non-Project	
0.3%	0.1%		0.3%	3.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

FR - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2020

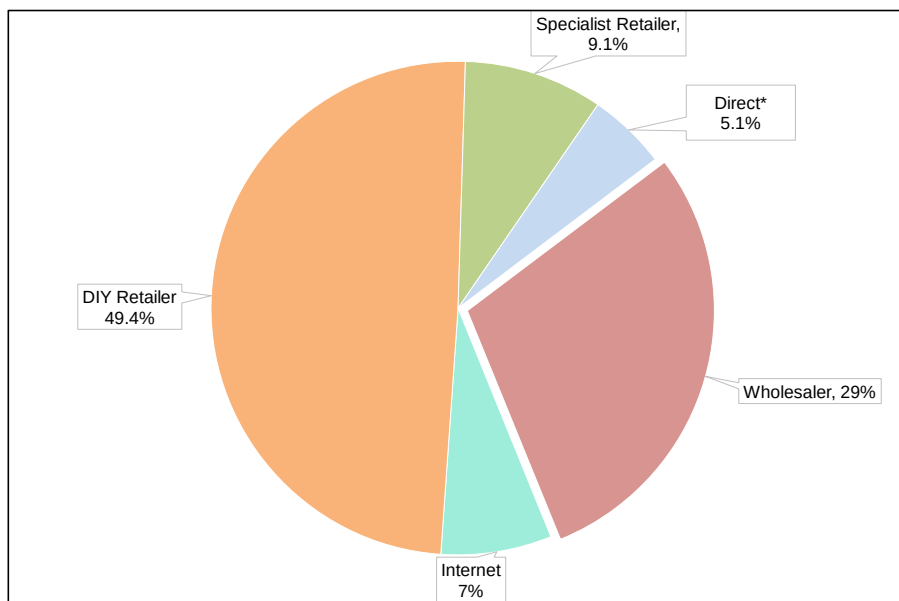
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.1%	7.3%	49.4%	9.1%	5.1%	10.2%	0.6%	85.9%	3.3%
100%					10.8%		89.2%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

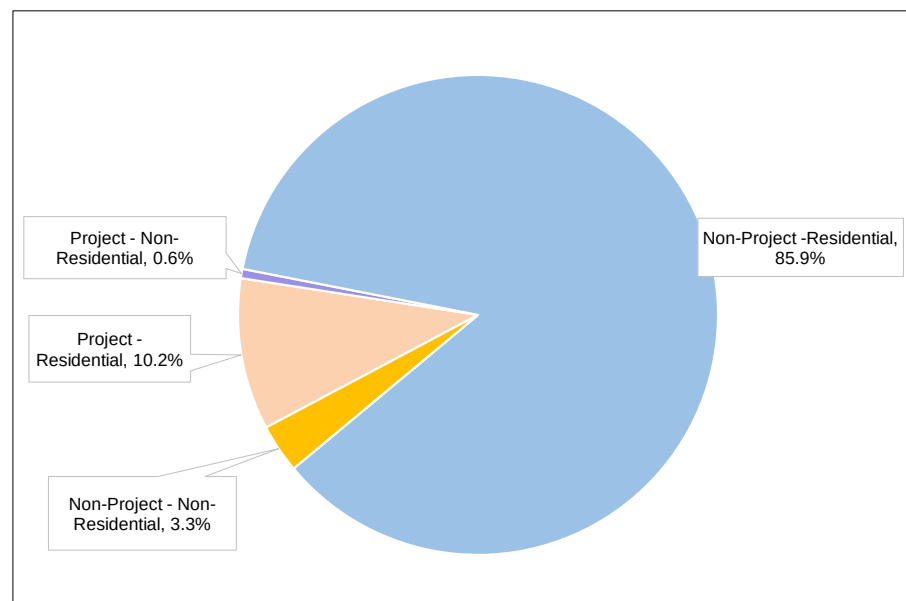
FR - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.9%	14.1%	47.1%	8.1%	1.8%	10.0%	0.6%	86.1%	3.3%
100%					10.6%		89.4%	

FR - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020

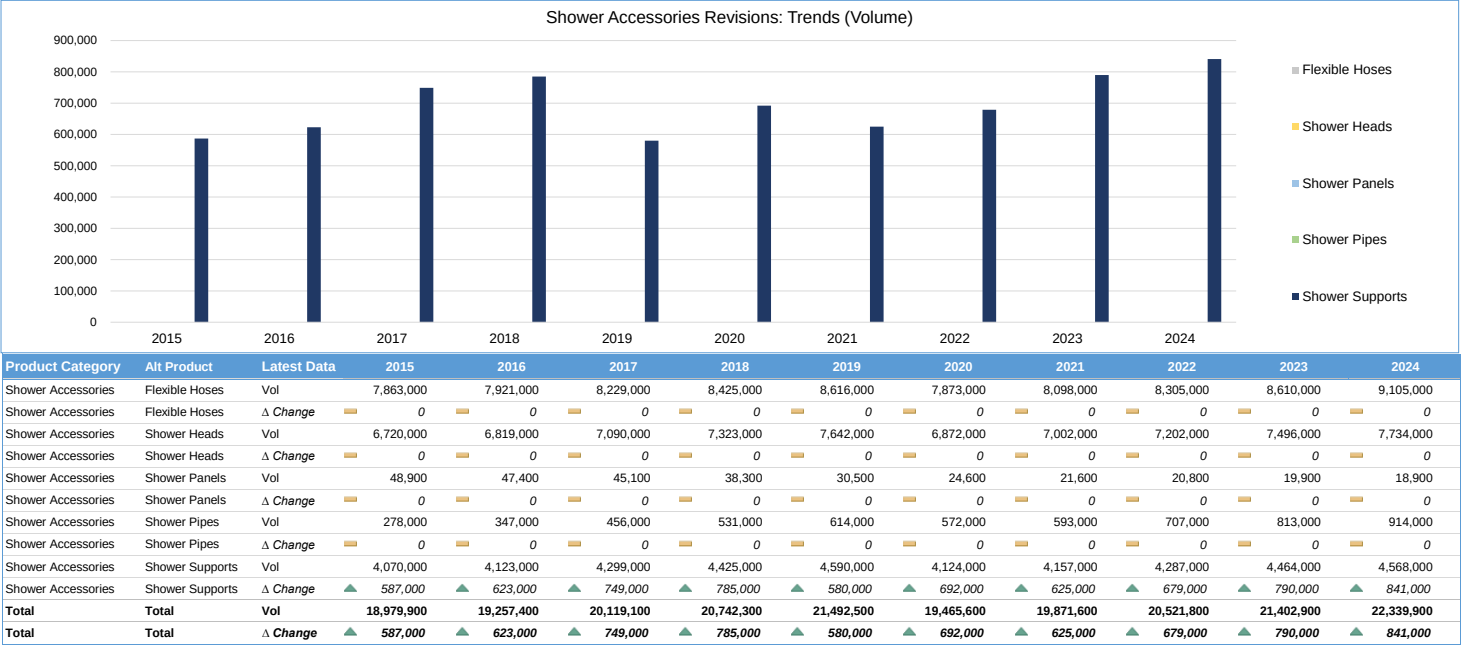


Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the French Shower Accessories Market (April 2021)

FR - REVISIONS IN THE FRENCH SHOWER ACCESSORIES MARKET
Data Comparison: October 2020



Upward revisions were made to the market sizes, for all years, for shower supports, which was due to the fact that like-for-like replacement sales of shower supports were underestimated.

Minor changes were made to the MSPs for shower supports for 2019, whereas more significant revisions were made to the MSP for shower pipes. The previously published MSP was considered to be too high according to industry feedback. Average prices for shower pipes have decreased in recent years since more players have entered the market, including typical DIY players, and changing distribution patterns have also affected prices. At the same time, shower pipes are not overly expensive since most parts of a shower pipe set are quite affordable, with the thermostatic mixer being the most expensive part.

FRANCE

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

In the years up to 2007, the kitchen sink market experienced steady growth, positively driven by activity in the construction market. Sales of kitchen sinks are closely linked to the overall kitchen market, as they are usually bought as part of a new kitchen rather than as a single item. However, the market development has long been linked to replacement activity, which has traditionally comprised the bulk of sales of kitchen sinks. Such a driver explains the continuing decrease in sales seen since 2008.

Sales of ceramic sinks have experienced decreasing importance in volume in France since 2011, but should benefit from recently-growing demand for that product. Ceramic sinks are traditionally made from kiln-fired porcelain or fireclay, to form robust sinks. Traditionally white or ivory-coloured, ceramic sinks constitute an alternative to stainless steel sinks. This product has progressively turned into a luxury product, designated for luxury hotels and houses in housing RMI.

A steady demand for stainless steel kitchen sinks, which dominate the market, has clearly kept the market for kitchen sinks afloat in recent years. Several reasons may explain the sales trends for stainless steel kitchen sinks over the last decade. Firstly, manufacturers of stainless steel kitchen sinks chose to adopt an aggressive price positioning strategy and promote the products' use for sleek and modern kitchen decor. Although stainless steel kitchen sinks positioned in the budget/low price range reportedly experience issues with surface rust and staining, recent improvements by manufacturers have made stainless steel material more resistant, thanks particularly to the growing share of nickel in its composition.

Over the past few years, manufacturers have developed synthetic materials, combining the strength and durability of cast iron with the light weight and rustproof feature of steel. Synthetic models have grown in popularity in recent years, due to the fact that they are easily available in DIY stores in the low-price range. There are two different types of synthetic sinks. Firstly, demand for sinks with alternative colours has brought about the development of granite/quartz-based materials, which are marketed under various brand names. Then, there has been a growing demand for synthetic sinks made from SMC (sheet moulding compound or composite), a ready-to-mould fibre-reinforced polyester material. As with BMC (bulk moulding compound), SMC is a mixture of polymer resin with glass reinforcement, but, in comparison to BMC, the glass length is longer. BMC is generally cheaper than SMC, but less shock resistant. In France, two types of SMC sinks may be found: the first type is referred to as 'pure SMC' (also known as *teintés dans la masse*), a cheap priced model; the second type is coated with PIMC (powder in-mould coating), which gives a smoother finish and more space for the sink when compared to pure SMC. These sinks are shock resistant and more aesthetically pleasing, because of the colours available on the market. SMC sinks coated with PIMC are mainly in the middle, upper and premium product ranges.

In the French kitchen market, most sinks are inset models, while countertops are only found within the ceramic category. Inset sinks are sold as a complement to a countertop, whereas countertop sinks are indivisible from worktops. Kitchenettes are to some extent installed in France, especially in small flats and studios. In student buildings, for instance, flats often comprise a kitchenette. In recent years, undermount sinks have become increasingly more popular in new and existing French kitchens. They provide a nice design and aesthetic, and are functional because the sink sits underneath the countertop. Most kitchen sink manufacturers already offer a range of undermount sinks across different materials.

Recent Market Trends

In 2020, sales of kitchen sinks declined in line with the downward trend of the kitchen sector. As previously mentioned, sales of kitchen sinks are closely linked to the overall kitchen market, as they are usually bought as part of a new kitchen rather than as a single item. It also appears that the kitchen market was hit by the negative impacts that COVID-19 had on the French economy. After three years of recovery and flourishing, the new housing segment suffered in 2020. Building sites had to stop working for a few weeks at least, and building products' distribution activities were interrupted. Sales came from the marginal savings that the French consumer used to refurbish their kitchens in order to make them more practical and aesthetically pleasing. The kitchen is becoming a more social focal point in French homes, so the refurbishment of this room is starting to be a higher priority for consumers. However, activities in the RMI segment were not enough to sustain the kitchen sink market in 2020. The RMI segment, though it contributed to the bulk of sales of kitchen sinks, suffered more than the new housing segment. In fact, sales of kitchen sinks dropped substantially in all end-use segments in 2020.

Ceramic kitchen sinks have continued to suffer from fiercer competition from synthetic kitchen sinks. Stainless steel kitchen sinks recorded the highest sales volume in 2020, due to the fact that this product benefits from a long lifespan and resistance, affordable prices, and ease of installation (both in modern and traditional interior designs). Synthetic kitchen sinks continue to attract more consumers due to their aesthetic features, low prices and positioning across inset, kitchenette and more recently undermount installations. BRG believes that synthetic models have been gaining market share at the expense of ceramic kitchen sinks. Finally, cast iron and enamelled steel kitchen sinks continue to remain a niche in the French market.

Prices and Market Values

The average price for all kitchen sinks increased in 2020. This increase was supported by an increase of the manufacturers' selling price for all types of sinks at all the price segmentation levels, except for stainless steel kitchen sinks. Indeed, manufacturers of stainless steel kitchen sinks moderately decreased their prices in the middle price range segmentation.

BRG believes that French households are increasingly attracted by innovative and designed products, such as undermount sinks, and by higher quality – which explains why most average prices grew in 2020. This is often the case when households build their first house or renovate an entire kitchen. Stainless steel kitchen sinks are the cheapest among all types of kitchen sinks, which explains the high sales volume recorded in 2020 in France. Ceramic kitchen sinks, on the other hand, are known for non-corrosive features – which explains the interest of some French consumers in this type of kitchen sink.

New Housing

Of all kitchen sinks sold to new housing in 2020, most were made of stainless steel, since this material is well known for its quality, design features and low price, followed by synthetic and ceramic models. However, the sharp decline of the new housing market had a negative impact on the number of kitchen sinks installed, since every new dwelling needs at least one kitchen sink.

Housing RMI

The largest end-use segment, housing RMI, was once again one of the main contributors behind the overall French market sales level in 2020. This segment was negatively impacted by the contraction of French private consumption. However, RMI sales were stimulated, to a limited level, by households' extra savings amassed during the 2020 lockdowns.

Most consumers still prefer to purchase their kitchen products as part of an overall kitchen plan, which gives companies that offer a complete set the most control when selling into this key market segment. The housing RMI market mainly comprises synthetic, stainless steel and ceramic kitchen sinks. The decrease of the ceramic sink share in housing RMI continued to benefit both the stainless steel and synthetic segments in 2020. Overall, ceramic and synthetic materials are traditionally used in the renovation sector, reflecting a preference for better aesthetics in new housing and greater durability for housing RMI purposes.

Non-Housing

The market for kitchen products is marginal in the non-housing segment in comparison to the RMI and new housing segments. Unlike bathrooms, not every commercial building, for example, has a kitchen. Kitchen sink products are mainly installed in hospitals, schools, restaurants, bars, and hotels. Stainless steel products are the most sold in these segments. This is due to the fact that stainless steel is well suited for sleek and modern kitchen decor and makes an excellent match for a wide range of kitchen taps and appliances, especially in the hotel industry. Consequently, numerous 'designer' stainless steel sinks are now available in a large variety of shapes and sizes.

In 2020, sales of kitchen sinks going to the non-housing segment dropped across all products.

Supply Structure

The worldwide manufacturer for stainless steel sinks, the FRANKE GROUP, offers through its FRANKE brand a vast range of sinks made of stainless steel, synthetic and ceramic materials, as well as taps and mixers. Also the Spanish company, TEKA, is present in the French stainless steel kitchen sink market through its TEKA brand. The company mainly produces inset sinks, undermount sinks and kitchenettes. Other main players are the French importer for ALVEUS sinks (owned by the Slovenian KOVINOPLASTIKA); NORD INOX, the French importer of PYRAMIS sinks (owned by the Greek PYRAMIS); REGINOX, a Dutch company manufacturing inset sinks; and ASTRACAST, selling inset and undermount sinks.

In the synthetic kitchen sink segment, BRG distinguishes between granite/quartz composite sinks and SMC (sheet moulding compound) ones, since manufacturers are generally specialists. The production of granite/quartz composite materials often takes place in France under licence from the German SCHOCK, which supplies the basic mixture of granite/quartz composite materials for many manufacturers such as FRANKE, LUISINA, and JACOB DELAFON. There are three main players in the segment. FRANKE is the leader and owns the FRAGRANIT material/brand made under licence from SCHOCK. Then BLANCO, part of the EGD GROUP, is well known for inset sinks made of two different materials: Silacron and Silgranit. And finally, LUISINA imports and distributes SCHOCK sinks under its own brand name (OEM agreement), and manufactures its own sinks under licence from SCHOCK in SCHOCK factories. LUISINA sinks are sold under different brands, including LUISIGRANIT and LUISIQUARTZ. LUISINA is distributed by JFA, the leader of the retail trade channel for inset sinks in France.

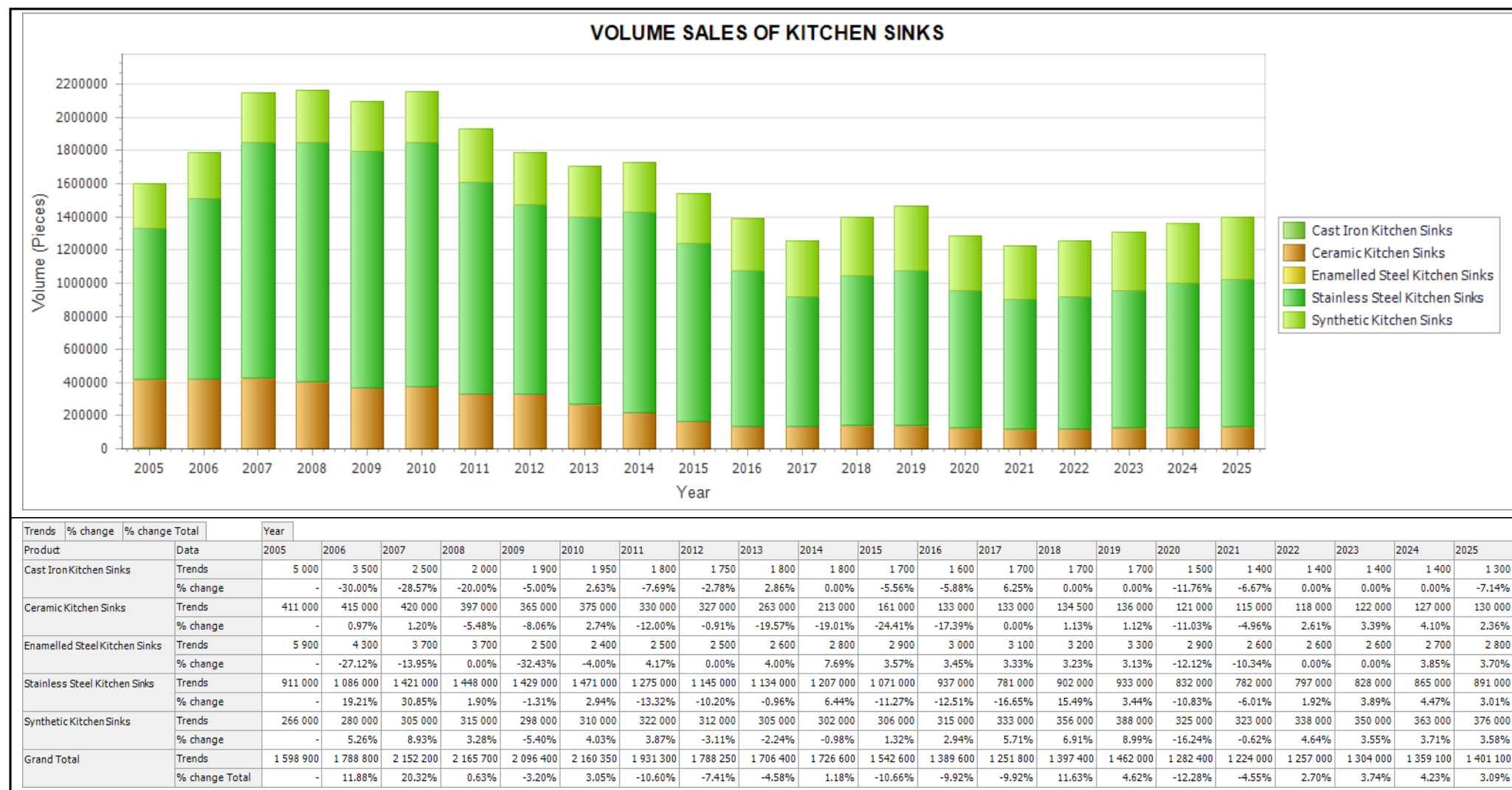
Forecasts

From 2022 onwards, the market should resume growth. The kitchen renovation segment should also continue to be a key driver as regards the sale of kitchen sinks, as French consumers are willing to improve the design and aesthetics of their kitchens. Nevertheless, the growth in the renovation segment should be limited by the fact that the market is fairly saturated and the average lifespan of a kitchen sink is around 20 years. Plus, the renovation activity is expected to decrease in 2021 – but to a lesser extent as in 2020, due to the COVID-19 situation improving.

In terms of product mix, trends in the kitchen sink market in 2021 are likely to be largely consistent with those witnessed throughout 2020 – with stainless steel comprising the bulk of sales of kitchen sinks, while synthetic models should continue to be driven by kitchen renovations due to their ease of installation.

8.2 Historical Trends and Forecasts : Kitchen Sinks

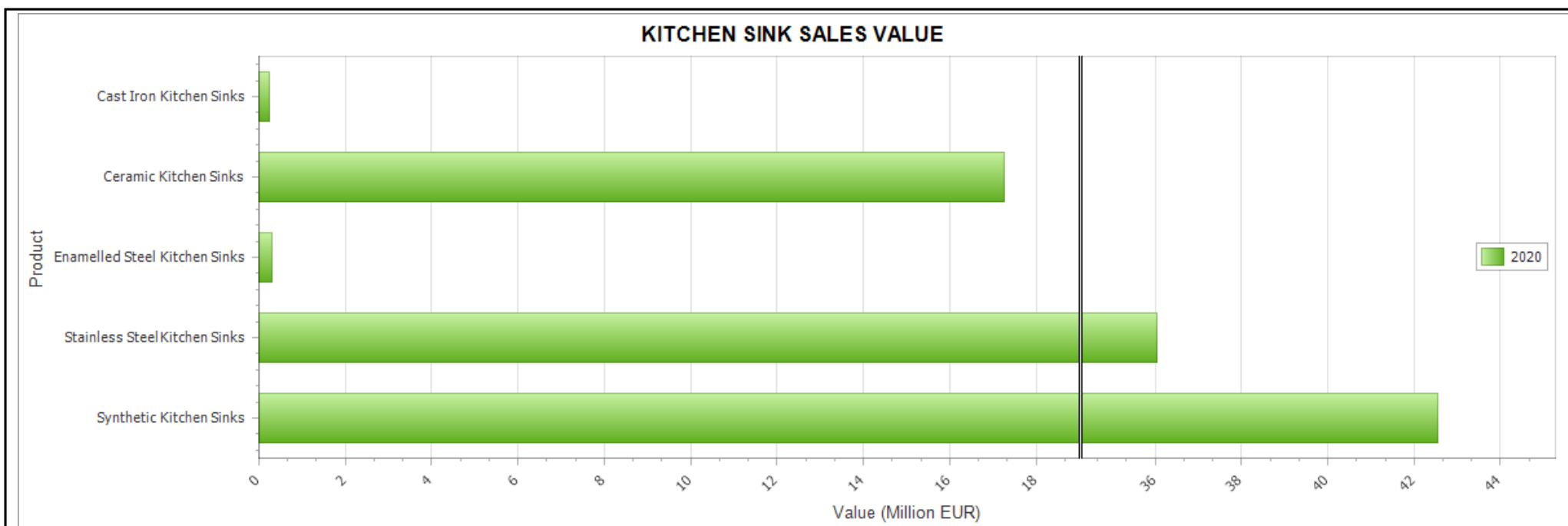
FR - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

FR - ESTIMATED VALUES OF THE KITCHEN SINK MARKET

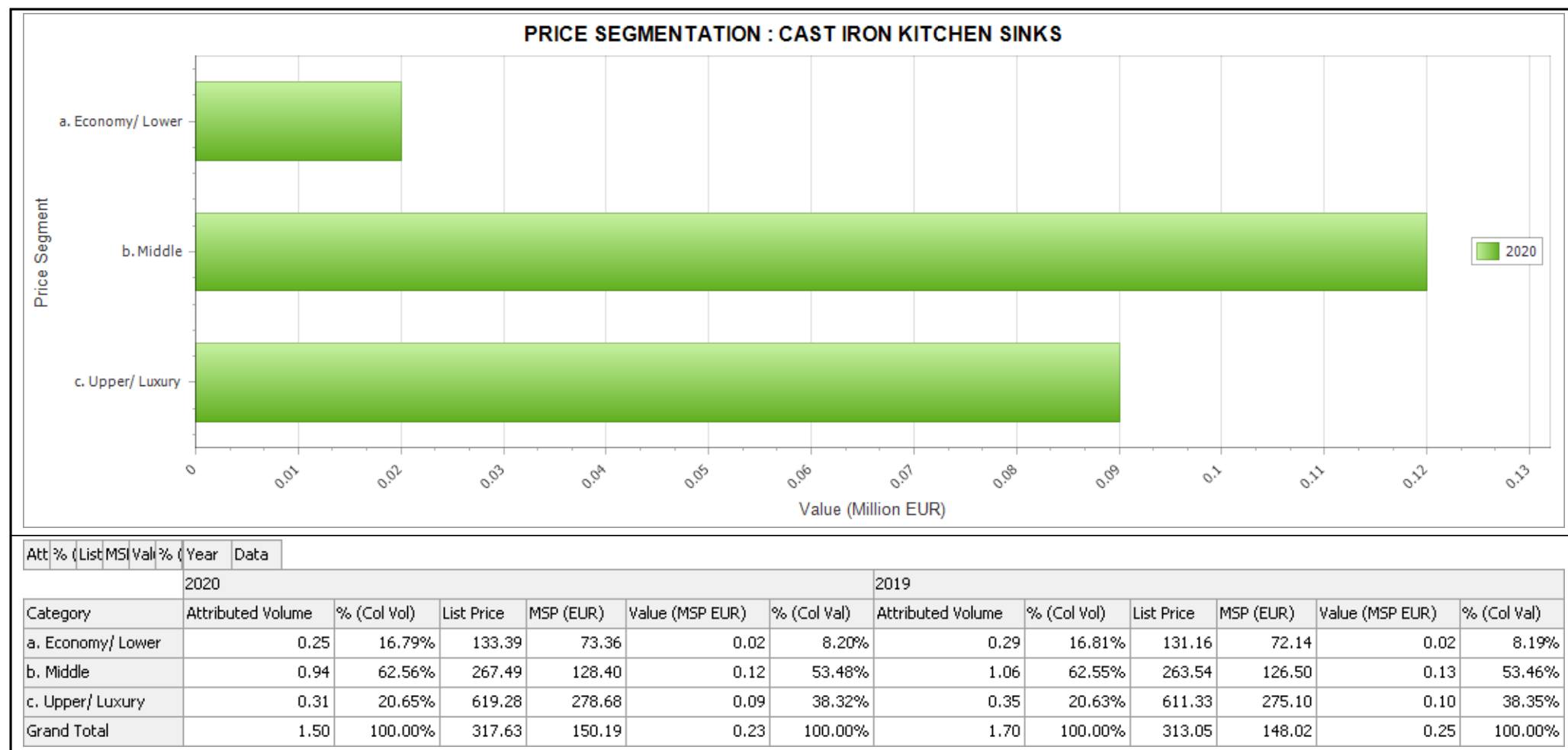


Volumes	MSP (EUR)	Value (MSP)	Year	Data			
2020				2019			
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Cast Iron Kitchen Sinks	1 500	150.19	0.23	1 700	148.06	0.25	
Ceramic Kitchen Sinks	121 000	142.73	17.27	136 000	140.49	19.11	
Enamelled Steel Kitchen Sinks	2 900	106.10	0.31	3 300	102.95	0.34	
Stainless Steel Kitchen Sinks	832 000	43.31	36.03	933 000	42.93	40.05	
Synthetic Kitchen Sinks	325 000	130.92	42.55	388 000	127.72	49.56	
Grand Total	1 282 400	75.16	96.39	1 462 000	74.77	109.31	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Cast Iron Kitchen Sinks

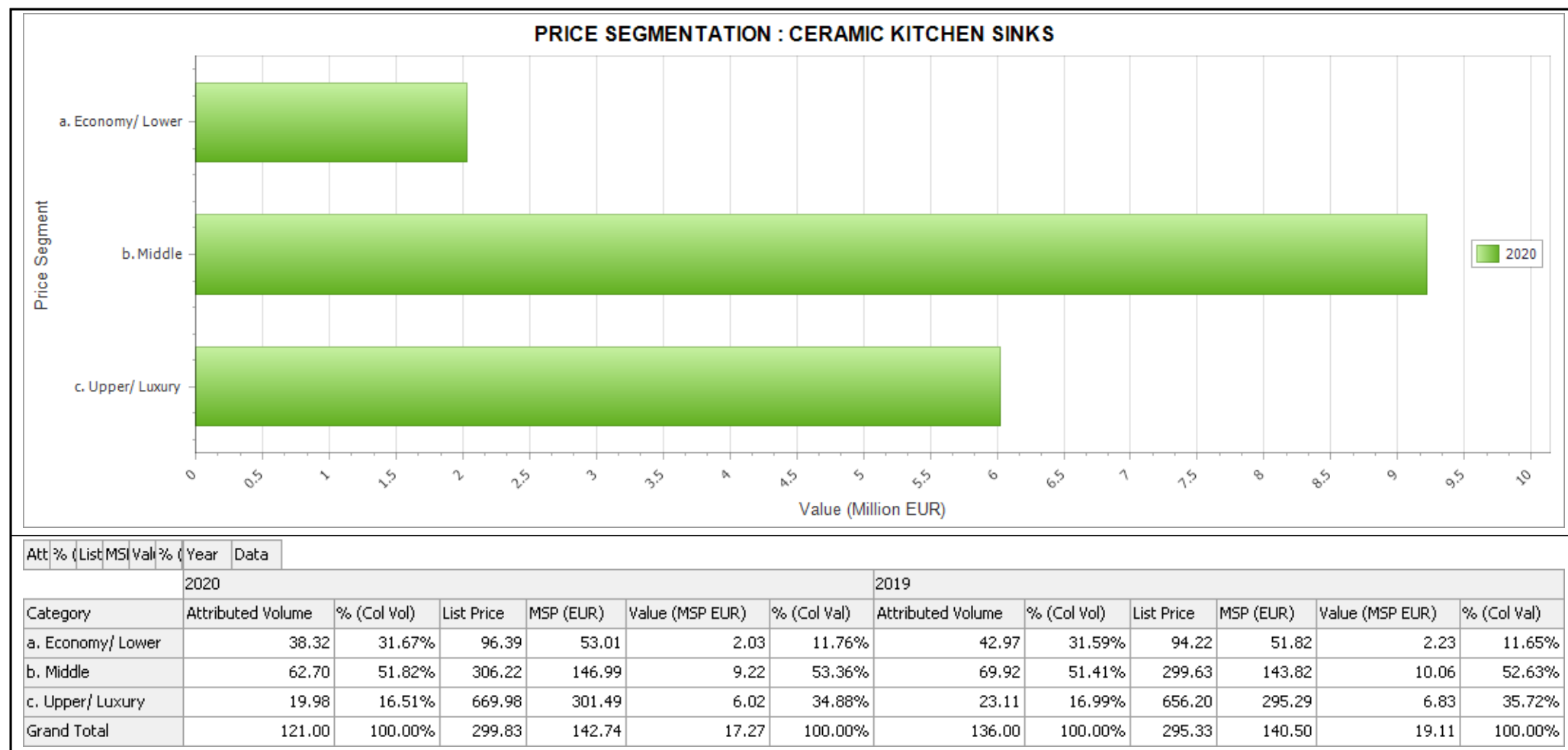
FR - ESTIMATED PRICE SEGMENTATION FOR CAST IRON KITCHEN SINKS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

8.3.3 Price Segmentation : Ceramic Kitchen Sinks

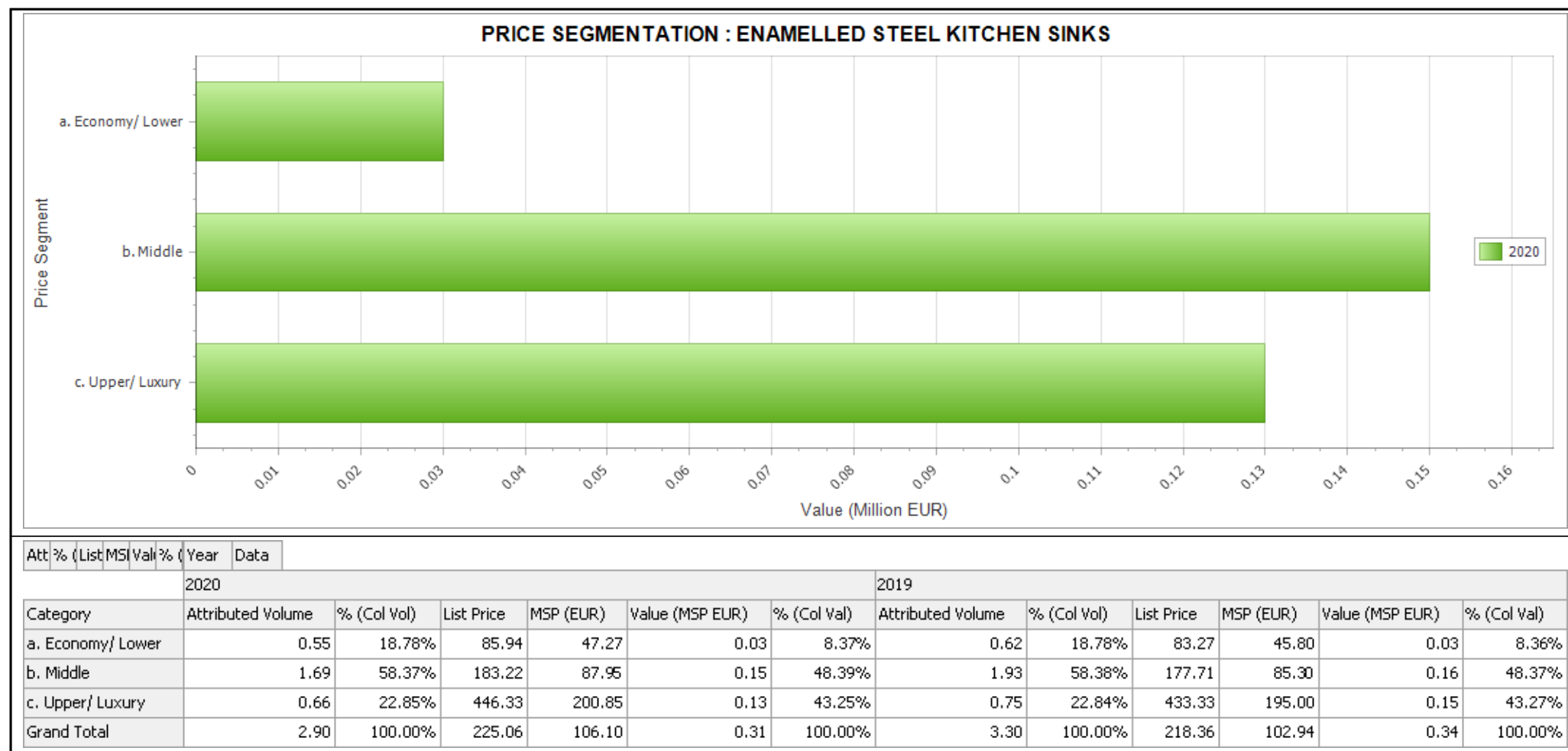
FR - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

8.3.4 Price Segmentation : Enamelled Steel Kitchen Sinks

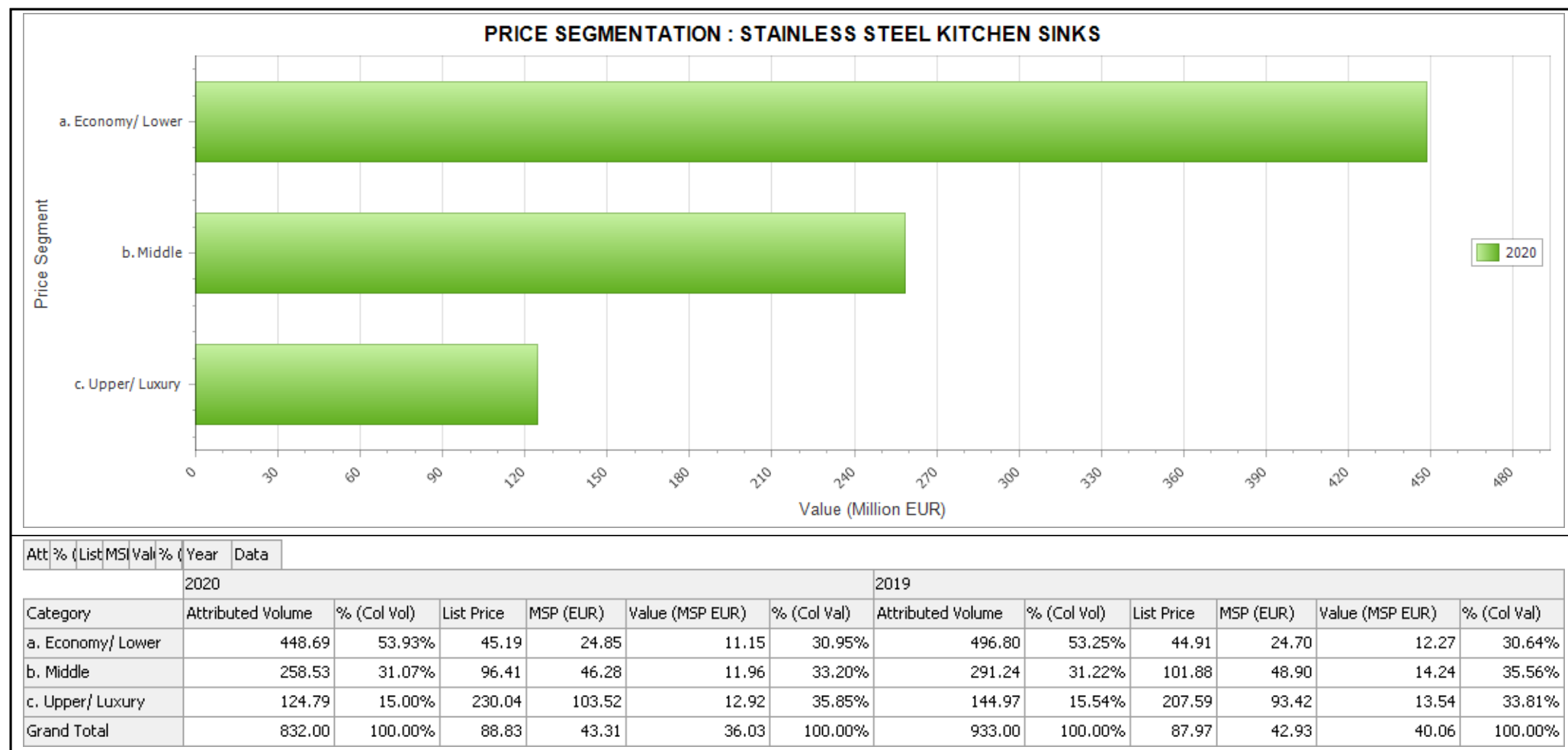
FR - ESTIMATED PRICE SEGMENTATION FOR ENAMELLED STEEL KITCHEN SINKS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

8.3.5 Price Segmentation : Stainless Steel Kitchen Sinks

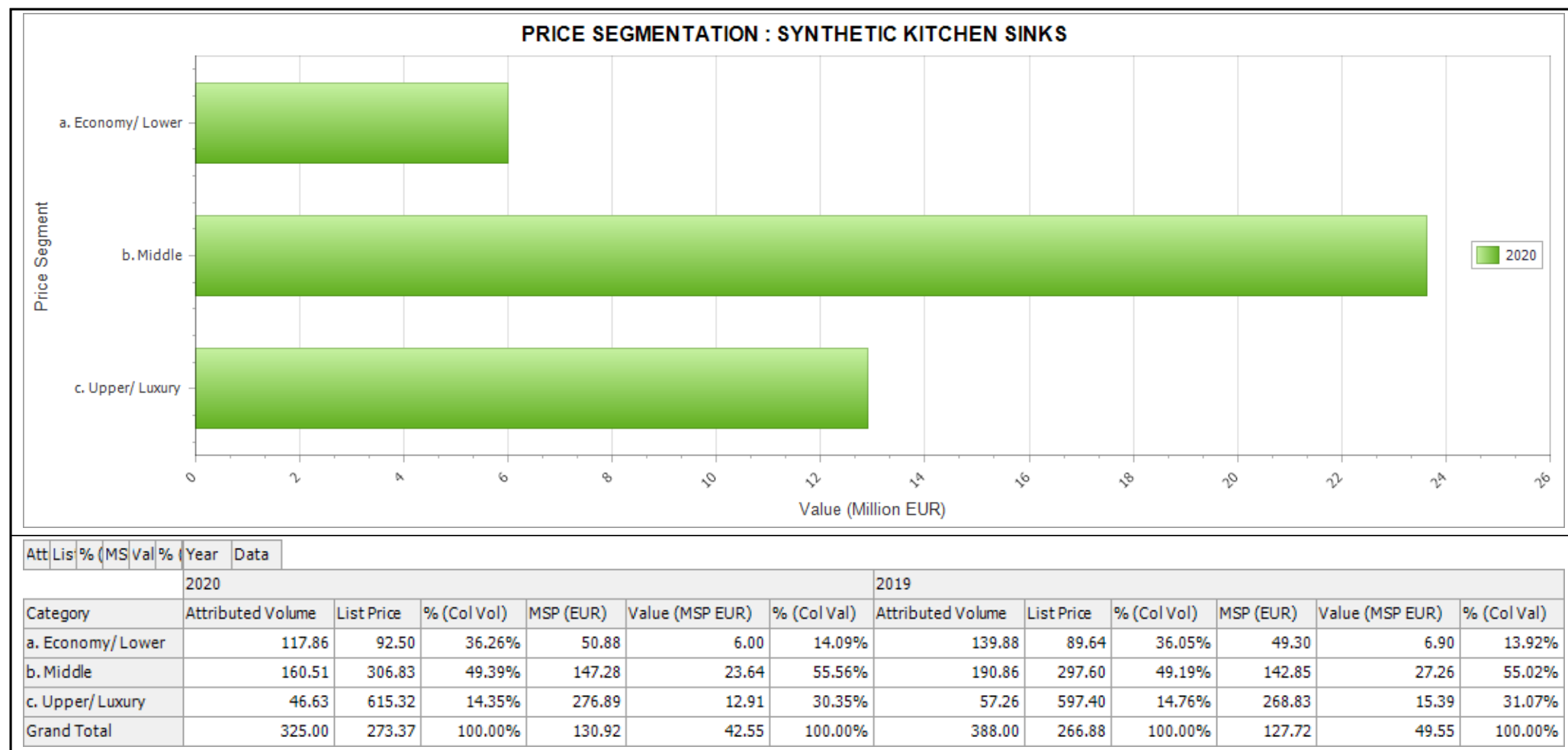
FR - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

8.3.6 Price Segmentation : Synthetic Kitchen Sinks

FR - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

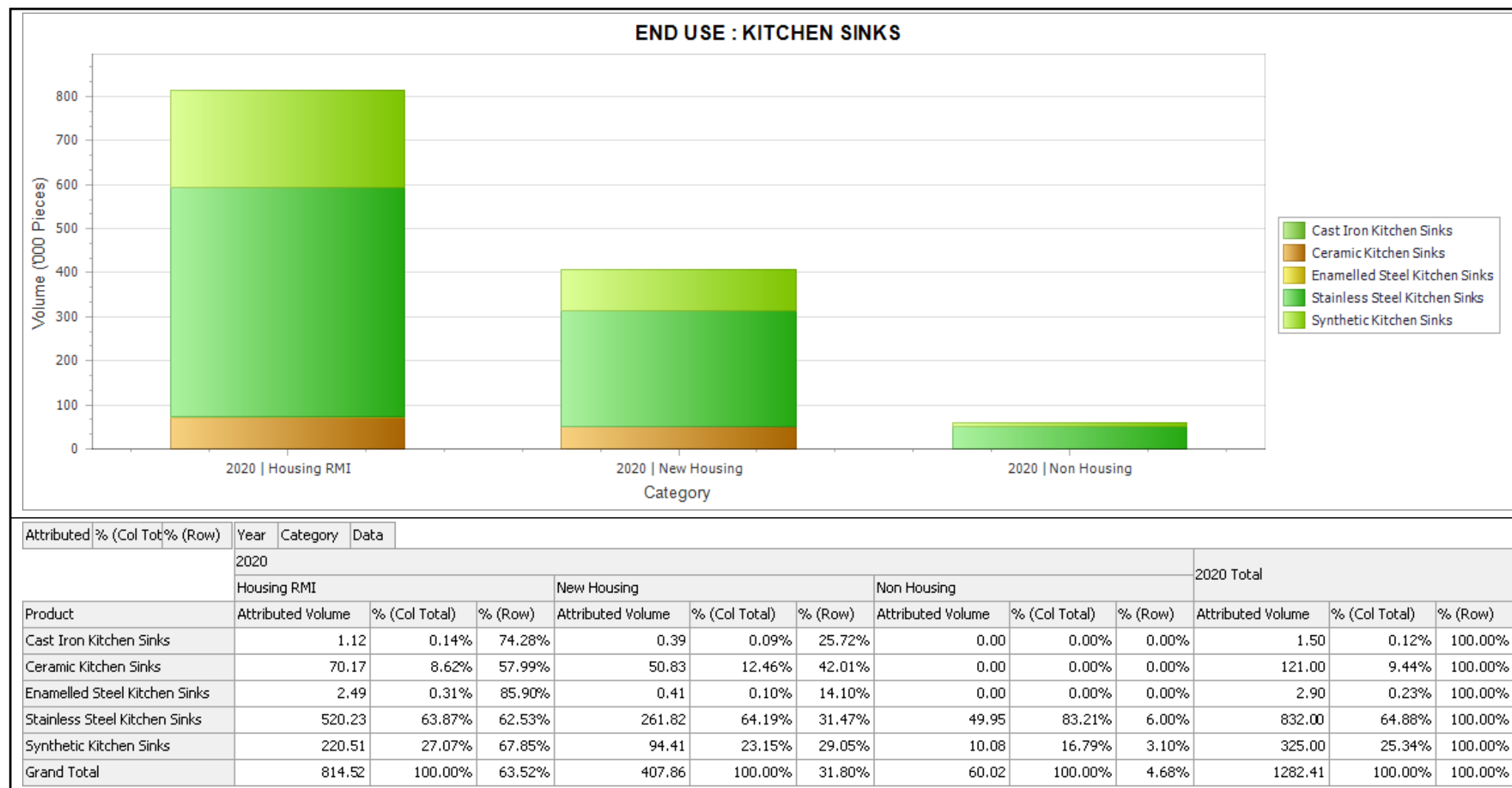


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

8.4.1 End Use : Base Year

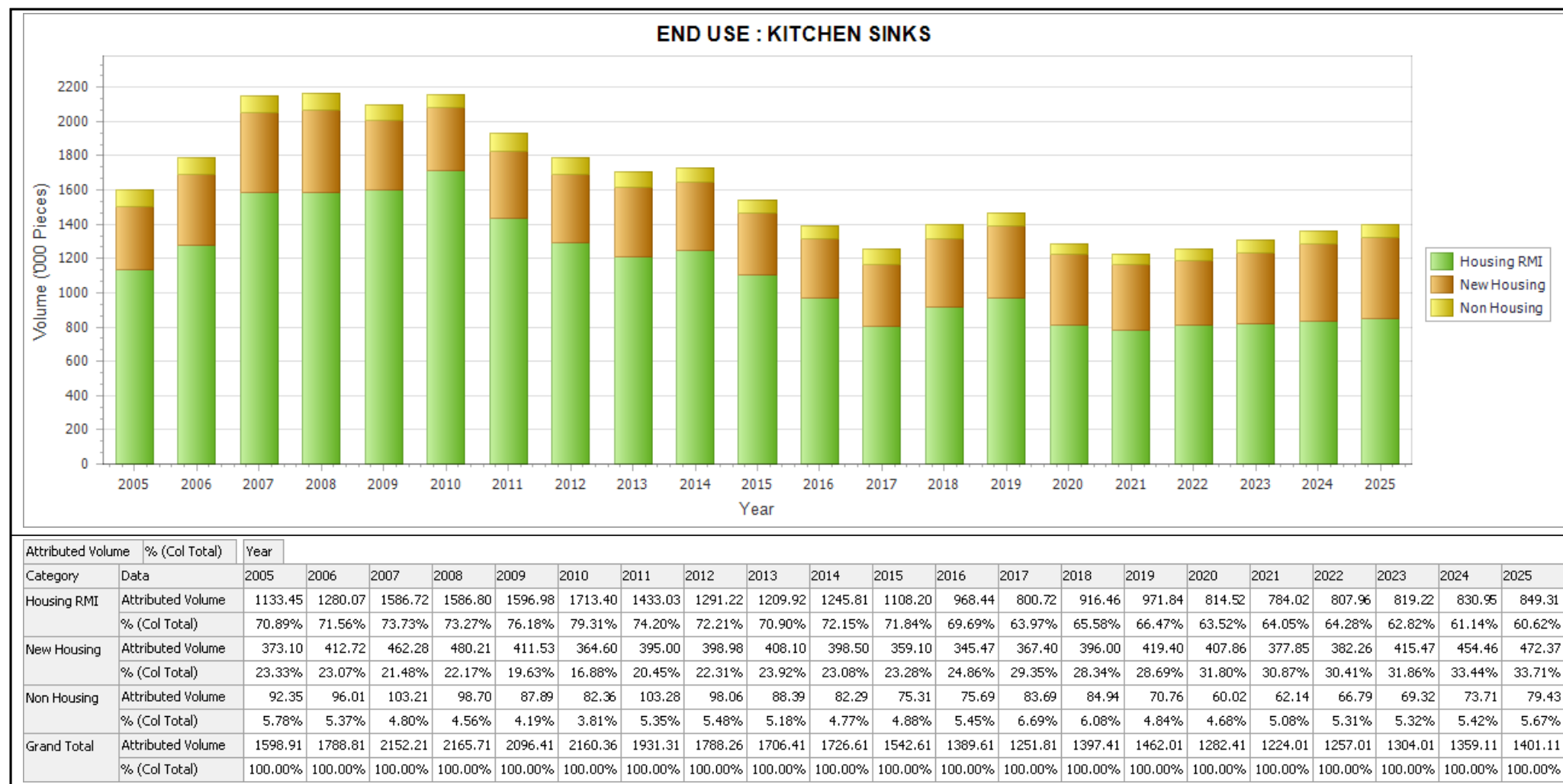
FR - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

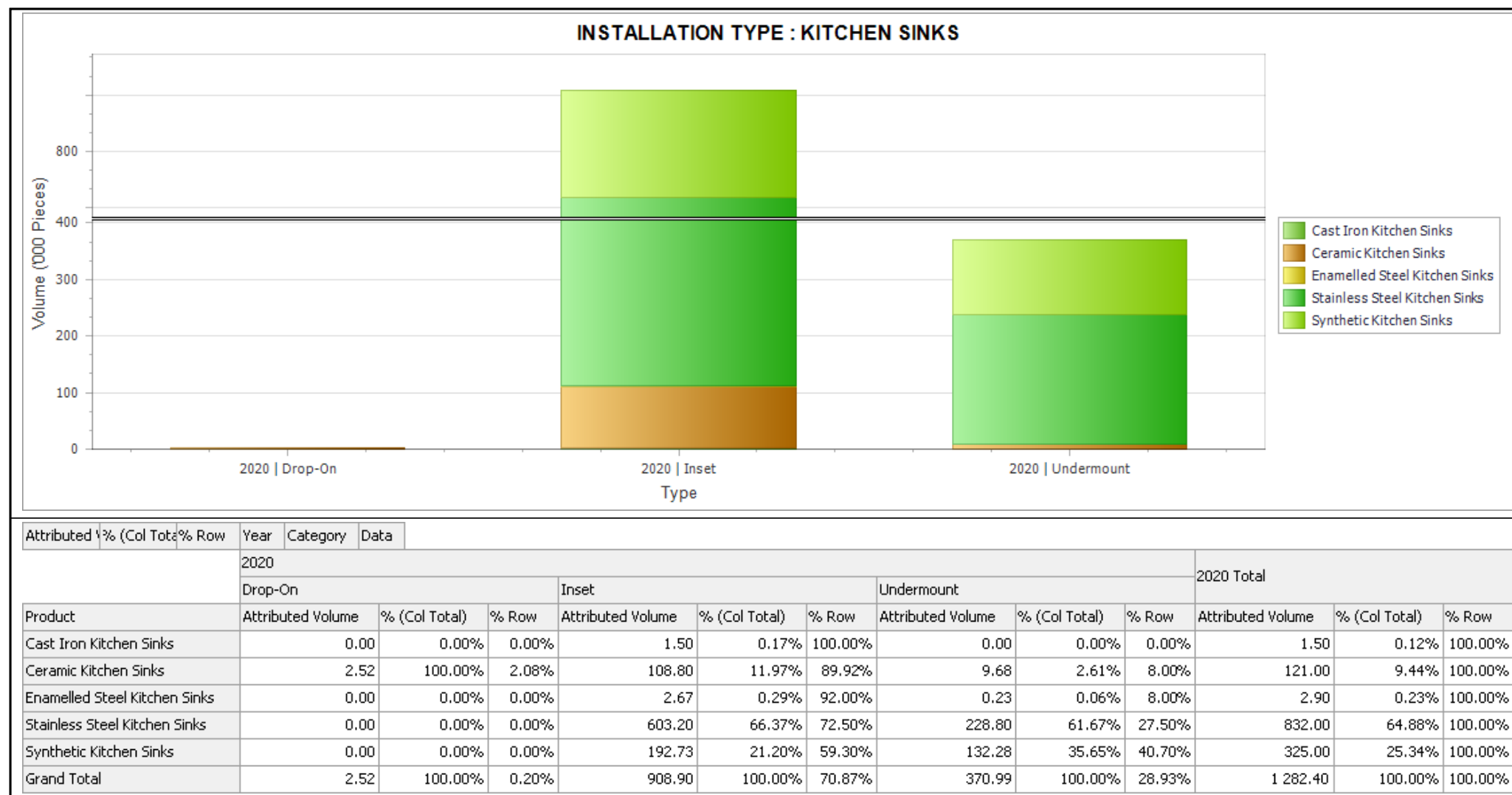
FR - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

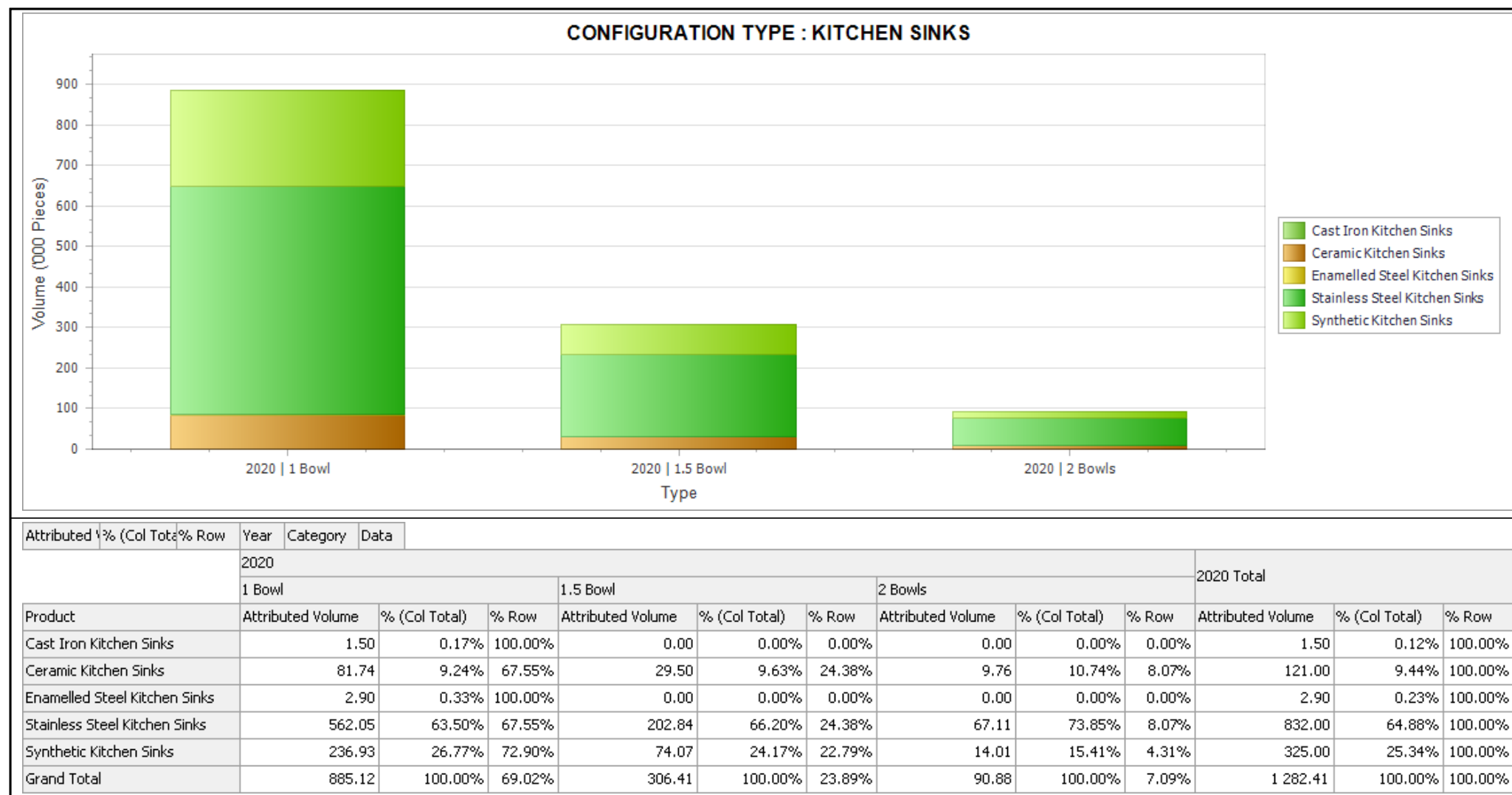
FR - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.4 Sales by Type of Configuration : Kitchen Sinks

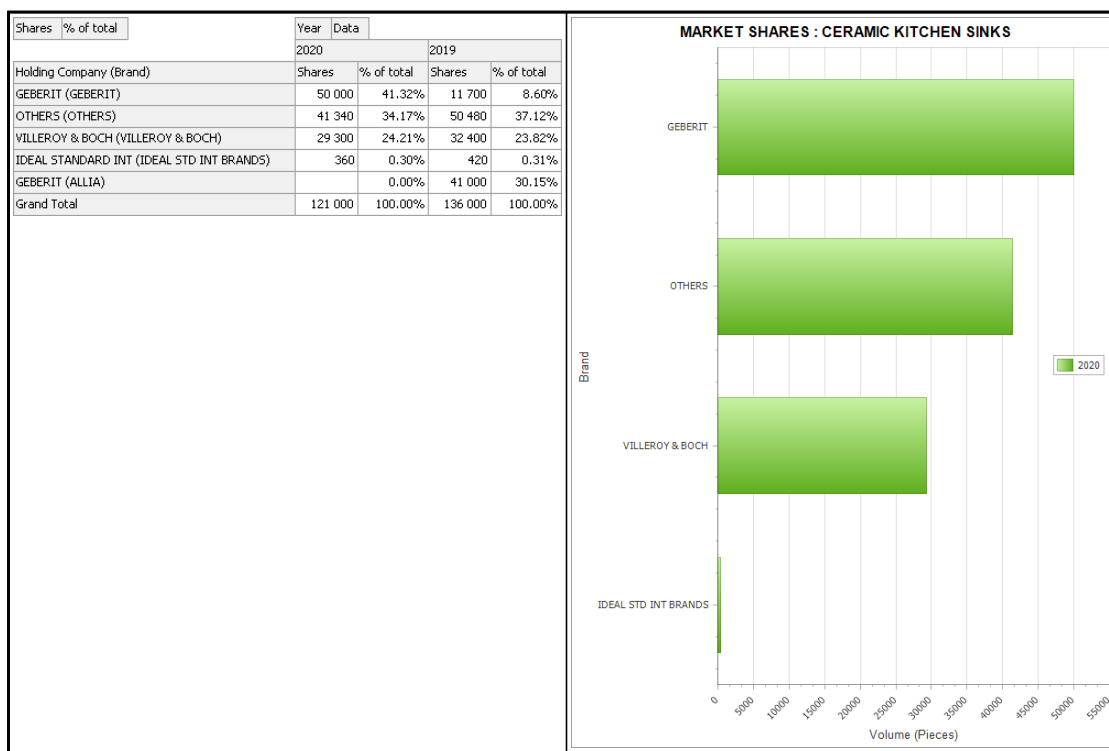
FR - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

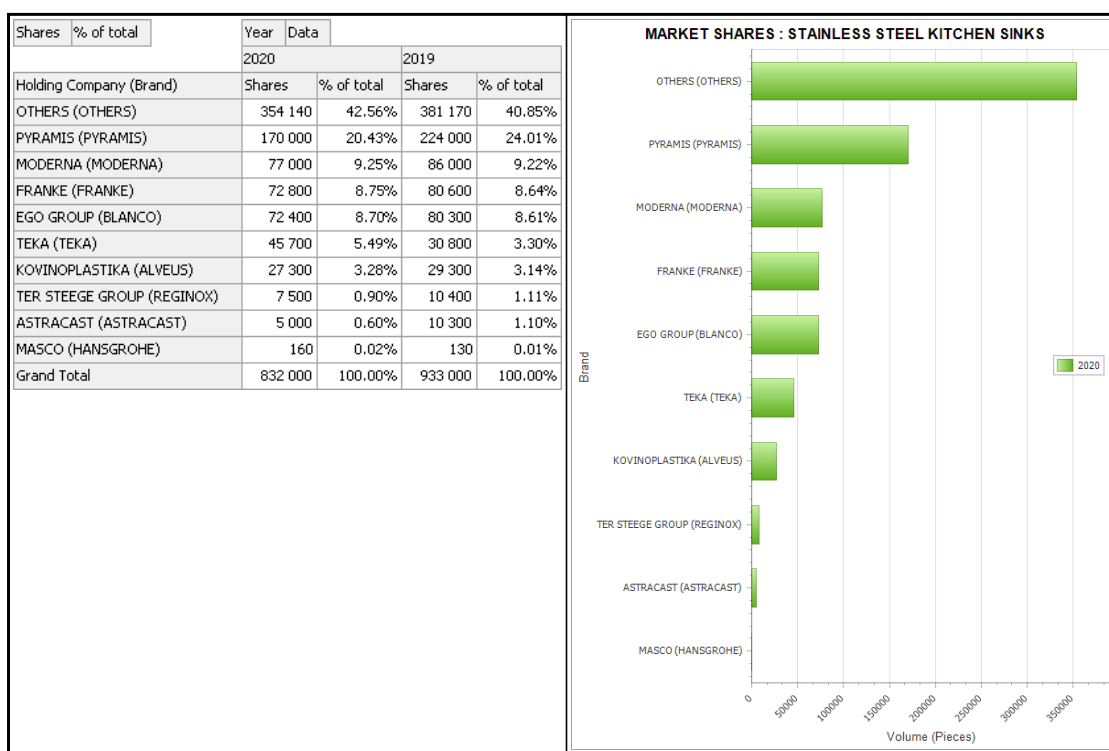
FR - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

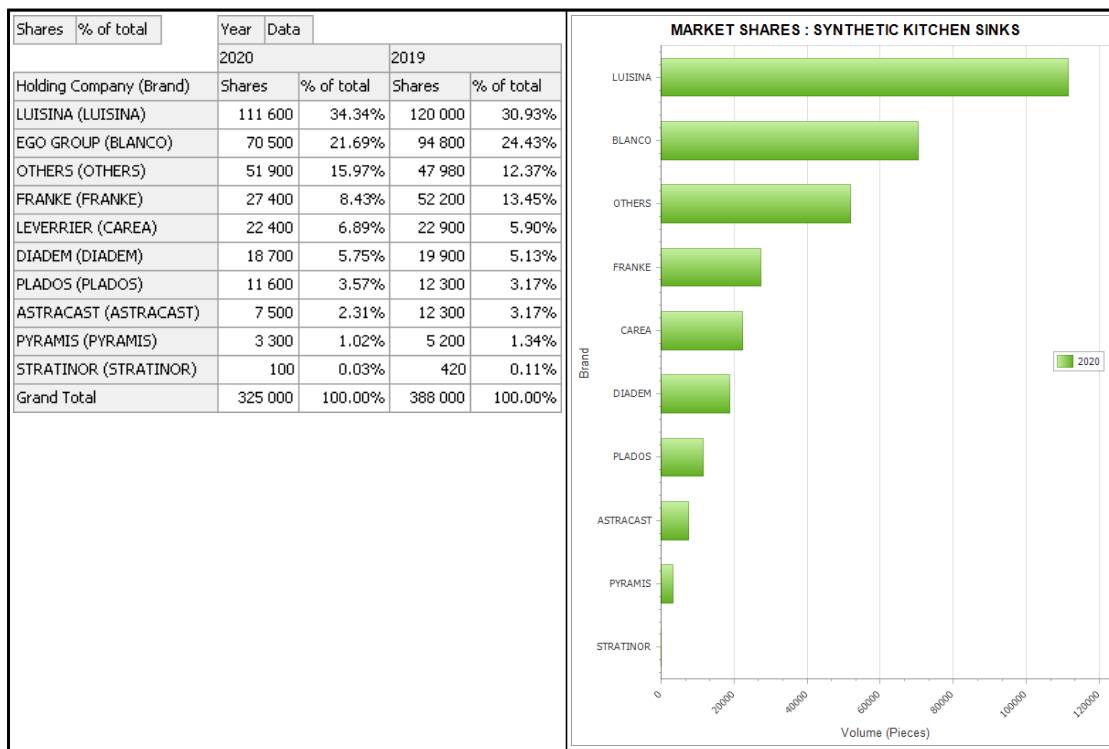
FR - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.3 Market Shares : Synthetic Sinks

FR - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
FR - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

46.6%
Worktop Manufacturers
46.6%

Wholesale Level

Manufacturers	Worktop Manufacturer
32.0%	13.5%
Wholesalers / Merchants	
45.5%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
2.7%	0.0%	4.0%
Internet Retailers		
6.7%		

Manufacturer	Worktop Manufacturer	Wholesaler
10.8%	0.0%	2.3%
DIY Retailers		
13.1%		

Manufacturer	Worktop Manufacturer	Wholesaler
7.2%	18.3%	12.6%
Specialist Retailers		
38.1%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	14.4%	21.3%	1.0%	2.6%	8.8%
Installers					
48.1%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.7%	0.4%	4.5%	5.7%	10.5%	29.3%	44.2%
Residential						
95.3%						
New Build			Residential RMI			
31.8%			63.5%			
Project		Non-Project		Project		Non-Project
17.5%		14.3%		3.5%		60.0%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
0.0%	0.0%	0.8%	0.0%	0.0%	0.0%	3.8%	
Non-Residential							
4.7%							
New Build			Non-Residential RMI				
2.7%			2.0%				
Project		Non-Project		Project		Non-Project	
2.0%		0.7%		0.5%		1.5%	

8.6.2

Route to Market: Kitchen Sinks
FR - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

47.2%
Worktop Manufacturers
47.2%

Wholesale Level

Manufacturers	Worktop Manufacturer
32.8%	14.3%
Wholesalers / Merchants	
47.1%	

Manufacturer	Worktop Manufacturer	Wholesaler
3.2%	0.0%	5.2%
Internet Retailers		
8.4%		

Manufacturer	Worktop Manufacturer	Wholesaler
9.4%	0.0%	1.8%
DIY Retailers		
11.2%		

Manufacturer	Worktop Manufacturer	Wholesaler
6.8%	17.9%	12.4%
Specialist Retailers		
37.1%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	14.6%	22.2%	1.3%	2.2%	8.5%
Installers					
48.8%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
0.6%	0.4%	4.5%	7.1%	9.0%	28.6%	44.1%	
Residential							
94.3%							
New Build			Residential RMI				
33.7%			60.6%				
Project		Non-Project		Project		Non-Project	
18.5%		15.2%		3.3%		57.3%	

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
0.0%	0.0%	1.0%	0.0%	0.0%	0.0%	4.6%	
Non-Residential							
5.7%							
New Build			Non-Residential RMI				
2.9%			2.7%				
Project		Non-Project		Project		Non-Project	
2.2%		0.7%		0.2%		2.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

FR - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2020

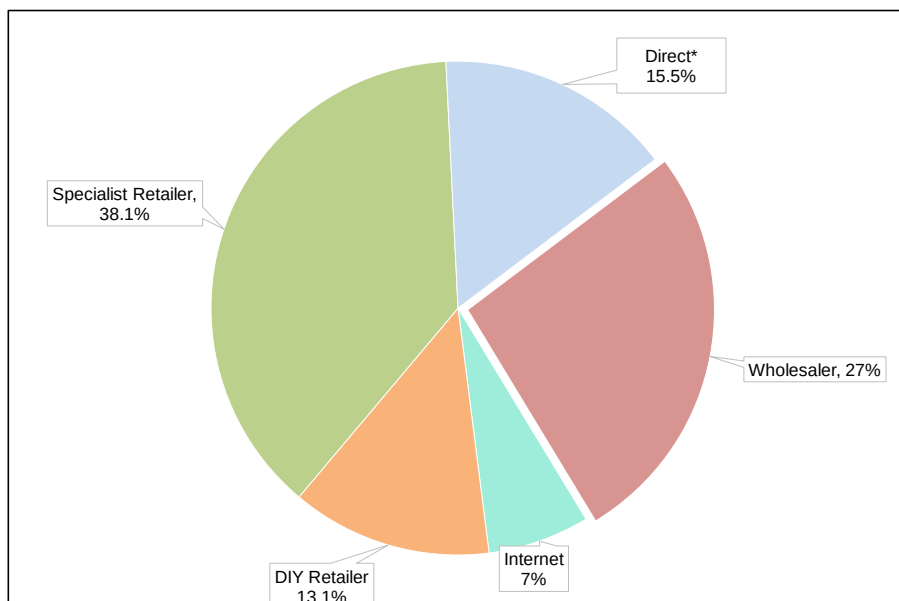
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.6%	6.7%	13.1%	38.1%	15.5%	21.0%	2.5%	74.4%	2.1%
100%					23.5%		76.5%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

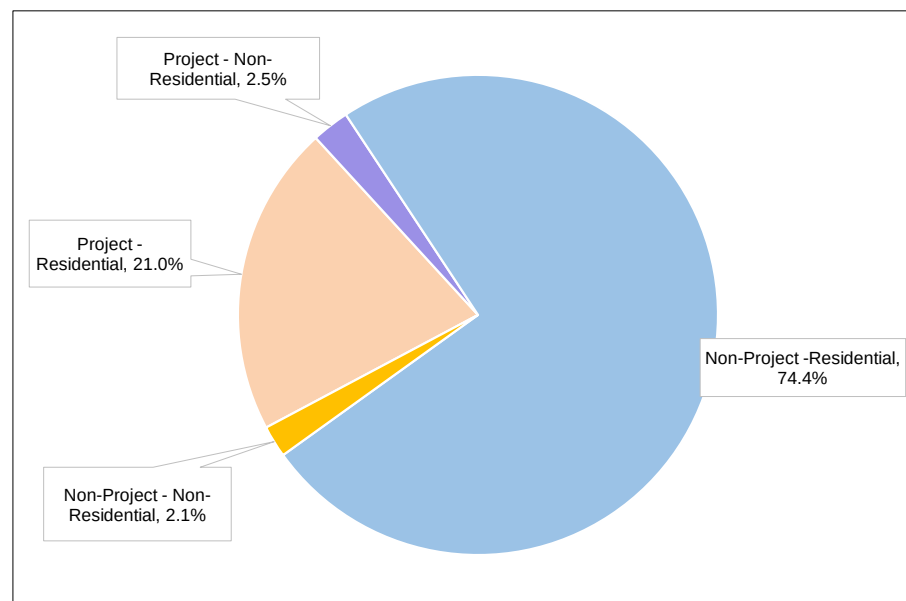
FR - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.7%	8.4%	11.2%	37.1%	15.6%	21.9%	2.4%	72.5%	3.3%
100%					24.3%		75.7%	

FR - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2020



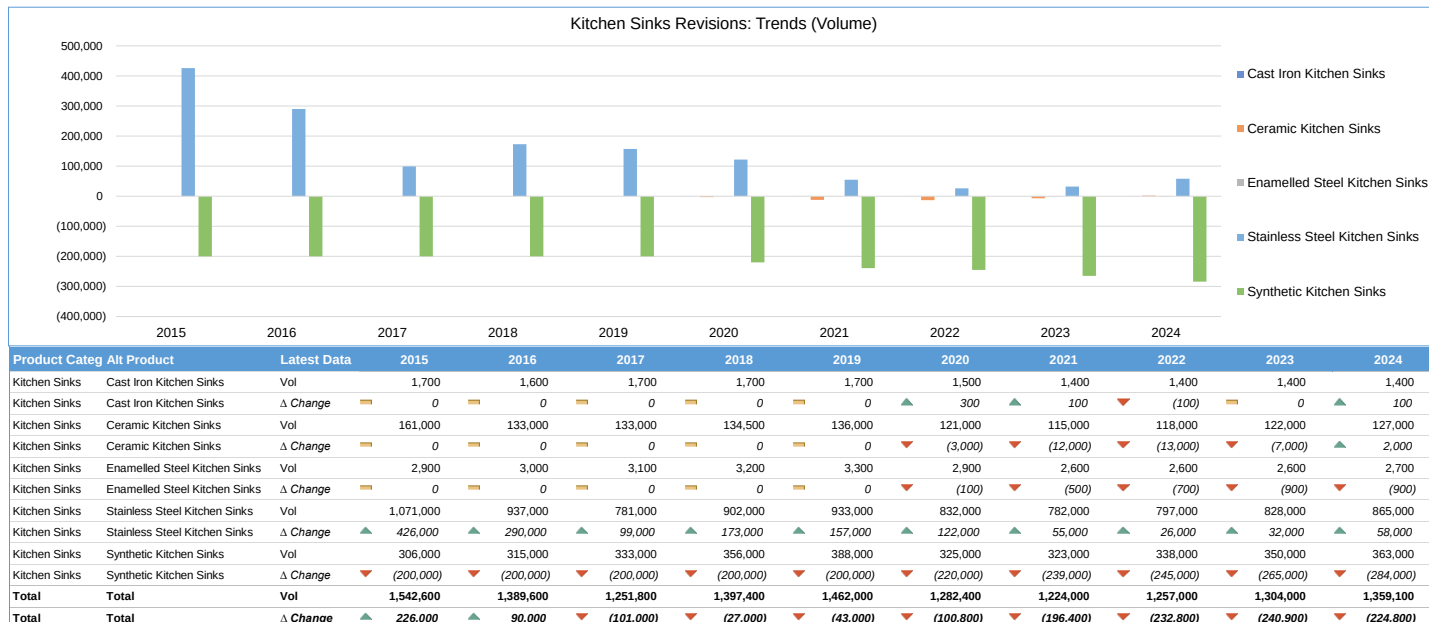
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the French Kitchen Sinks Market (April 2021)

FR - REVISIONS IN THE FRENCH KITCHEN SINKS MARKET

Data Comparison: October 2020



Upward revisions were made to the market size for stainless steel sinks, whereas these were revised for synthetic kitchen sinks. Stainless steel sinks were mostly revised up due to an underestimation in of imports from a number of countries, especially Greece, Germany, Italy, Poland and, but to a lesser extent, China. Imports from Greece were particularly underestimated. Domestic supply is fairly weak in France, with the market mostly relying on imports. Imports developed very well between 2005 and 2011, which peaked in 2007, but have fluctuated in more recent years.

The market for synthetic kitchen sinks was overestimated and has been revised down. Hardly any domestic production takes place, with the market leader, who is a domestic player, working together with the German SCHOCK, and most sinks are imported from Germany, Spain, Italy and Slovakia. German imports dominate the market.

Downward revisions were made to the MSP for stainless steel kitchen sinks. Stainless steel sinks, which remain to be the most common type of kitchen sink sold, are often very basic, available in different price ranges, but the vast majority of the market is sold in the middle price range. Domestically produced kitchen sinks are fairly high priced, averaging just below €100, whereas imported kitchen sinks have an MSP of around €40 to €45, depending on the year, which is affected by competition.

FRANCE

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Overall, the French kitchen taps and mixers market follows a similar trend as the overall taps and mixers market, and experienced uninterrupted growth over 2002-2007 due to solid construction output (including significant activity in the non-residential sector), high consumer confidence, and increasing purchasing power. As with many other markets, the kitchen taps and mixers market was impacted by the crisis of 2008, which was characterised by subdued construction activity and a drop in purchasing power.

Historically, the increase in sales of one-head taps and mixers (*mitigeurs*) came from a certain democratisation – which was enhanced by the growth of the DIY channel and the aggressive price positioning of international competitors. Of these international players, most were Italian manufacturers. Therefore, the product mix has been dominated in the last few decades by one-head mixers in the kitchen taps and mixers market, and these are the most popular models in both the new housing and housing RMI sectors. On the other hand, sales of two-head taps and mixers (*melangeurs*) have followed an opposite pattern and have been constantly declining since the end of the 1990s.

In France, pillar taps are mainly used for cold water applications (they are hardly ever fitted in pairs) and are not very popular in kitchens. Sales of pillar taps are mainly distributed through DIY stores, as these are mainly replacement sales. The French market for kitchen taps and mixers offers both coloured and chrome finishes. The colour of kitchen taps and mixers is often chosen according to the colour of the sink. In recent years, however, sales of coloured mixers have decreased, especially lacquered mixers, due to the fact that consumers have favoured functional features over aesthetics. Not only is the lifespan of chromed taps and mixers longer, but these products are perceived to be more attractive and seen by consumers as more traditional products.

Recently, specialist manufacturers of taps and mixers, to differentiate their offer, have gradually focused their development on innovative products – not only in terms of design and colours but also by aiming to reduce the consumption of water and energy. In fact, some manufacturers have developed new tap and mixer models in order to obtain the French certification for taps and mixers (NF *robinetterie*). Initially, there was the certification C2 for one-head mixer cartridges that helped to reduce the water flow of mechanical mixers by 50%. Then, as part of the RT 2012, the certification C3 was introduced for cartridges that, on top of being water-saving, added an energy saving of up to 5% (2 kWh/m²/year) for one-head and thermostatic models. Finally, on 1 January 2014, the classification CH3 was introduced for cartridges of thermostatic and one-head models that help to reduce the flow of water from 9-12 litres/min to 5-6 litres/min.

Recent Market Trends

French kitchen taps and mixers recorded a downward trend in 2020. The market was driven down by the sharp decrease in new dwelling completions, for both apartment buildings and family houses. The renovation market also decreased in 2020 as a result of a considerable decrease of real estate transactions, coupled with the discouraging macroeconomic factors.

With renovation activity remaining the most important segment of this market, the kitchen taps and mixers market was harshly hit by the contraction of sales in this segment. Demand from the non-housing segment also recorded losses in 2020, as new construction output decreased throughout the year. BRG believes that the wide range of offers and services available in the French kitchen taps and mixers market has played an important role and, therefore, has allowed the market to continue on an increasing curve.

The product mix continued in 2020 to be largely dominated by sales of one-head mixers in the kitchen taps and mixers market, and they remained the most popular models in all sectors. Sales of two-head mixers declined in the year, pushed down by the contraction of the new housing sector. BRG believes that sales of thermostatic, self-closing and pillar taps and mixers are almost non-existent in the kitchen market, as they are not adapted to kitchen needs. On the other hand, sales of electronic taps and mixers have decreased in the kitchen market, as they still suffer from a high retail price when compared to one-head and two-head mixers.

Prices and Market Values

The overall value of the kitchen taps and mixers market went down in 2020, due to decreasing sales volumes, while the average price, the MSP (manufacturers' selling price) marginally increased. Looking at the prices from a price segmentation standpoint, prices across all categories did increase, and this is also true when looking at the prices for the different types of kitchen taps and mixers. Amongst the others, the two-head mixer is the one that registered the highest percentage increase, even if it is the cheapest product available within this segment. Moreover, the one-head mixer is a product on which larger manufacturers focus their attention and compete on prices, as it has a high level of penetration in the French kitchen market and a lower level of innovation and design. Finally, the electronic segment continued to increase in price, and remained the most expensive product.

New Housing

Sales of kitchen taps and mixers in new housing are closely linked to new housing market activity, since at least one set of mixers is sold per new house built. Therefore, the market demand decreased in 2020, following the negative new housing trend. With regards to the product mix, one-head mixers continue to dominate the new housing market, while sales of electronic models are growing slightly within this end-use sector. Sales of one-head mixers are dominant, as

some French consumers still appreciate their functionality and aesthetics in the kitchen.

Housing RMI

As previously mentioned, the housing RMI segment comprises the bulk of sales of kitchen taps and mixers. RMI experienced a decline in sales during 2020. Within this segment, one-head mixers still accounted for the largest share of sales in 2020, although the large majority of two head mixers' sales also go into this end-use segment. Kitchen taps and mixers' demand in the RMI sector comprises a distinct contrast, with consumers at one end opting for cheap like-for-like replacements and those at the other purchasing designed and luxury taps and mixers (with two-head mixers being increasingly present in the segment). As kitchen taps and mixers are frequently changed on their own due to their short lifespans, consumers are willing to spend more on their kitchen taps and mixers, with style and fashion playing a much more important role. In fact, on average, kitchen taps and mixers in France are replaced every seven to 10 years while, in comparison, bathroom taps and mixers last for on average 15 years.

Non-Housing

Demand for taps and mixers coming from the non-housing market recorded a negative trend in 2020, when compared to 2019. Most kitchen taps and mixers sold in the non-housing sector were one-head mixers. One-head mixers are believed to be the preferred solution for hospitals, hotels, offices and restaurants in France. The installation of these products in hospitals and restaurants allows for compliance with hygiene standards, whilst also providing luxury features for offices and hotels. Two-head mixers have rebounded in the segment due to the increasing aesthetic of the products, and this places them also in the luxury segment. Non-housing is where innovative product types, such as electronic taps, are increasingly being installed.

Supply Structure

The main feature in the supply of kitchen taps and mixers in France lies in the increasing penetration and dominance of imports. Initially imports came from Italy, Spain and Germany, but more recently low-cost imports from China have entered the market. Consequently, many suppliers have relocated their production plants to Spain, Italy, Eastern Europe and North Africa, in order to stay competitive in France. The supply structure of the French kitchen taps and mixers market is fairly fragmented, but the top five players, namely GROHE, KRAMER, JACOB DELAFON, HANSGROHE, and IDEAL STANDARD continue to dominate the market. French producers are present with small volumes. These companies specialise in premium product ranges. The companies are THG and CHAVONNET (which specialises in the institutional sector, especially the health sector). Most French manufacturers are believed to be *conditionneurs* (which is specific to the French market). The term *conditionneur* means that a company imports unbranded products, often unassembled, before repackaging and rebranding them under its

own name. Among the ‘others’ category, BRG includes Chinese exporters whose products are sold directly to DIY retailers as unbranded products. From 2005 onwards, they also started to sell their products to wholesalers. Indeed, CEDEO imports Chinese products and sells them under its own brand.

Among companies exporting directly to France, a geographical split can be seen between Italian manufacturers (such as OTTONE MELODA, ZUCCHETTI, PAINI, NOBILI, CALEFFI, CISAL, and MAMOLI), Spanish manufacturers (such as ROCA, KRAMER, and RAMON SOLER), and German and Scandinavian manufacturers (such as HANSA, ORAS, KLUDI, and HANSGROHE) – all of which are selling in the middle and upper price segments.

Forecasts

With the impact of the COVID-19 crisis in 2020, the number of accumulated new housing projects increased. New housing outputs declined significantly in the year and the effects carried over into 2021. However, from 2022 a rebound in new housing completions is expected, coupled with a more dynamic renovation activity, and this should boost the sales of the overall market. In terms of product mix, trends in the kitchen taps and mixers market in 2021 are likely to be largely consistent with those witnessed in the last few years – with one-head mixers comprising the bulk of sales of kitchen taps and mixers. Sales of electronic taps should remain at a low level, due to their expensive upfront costs.

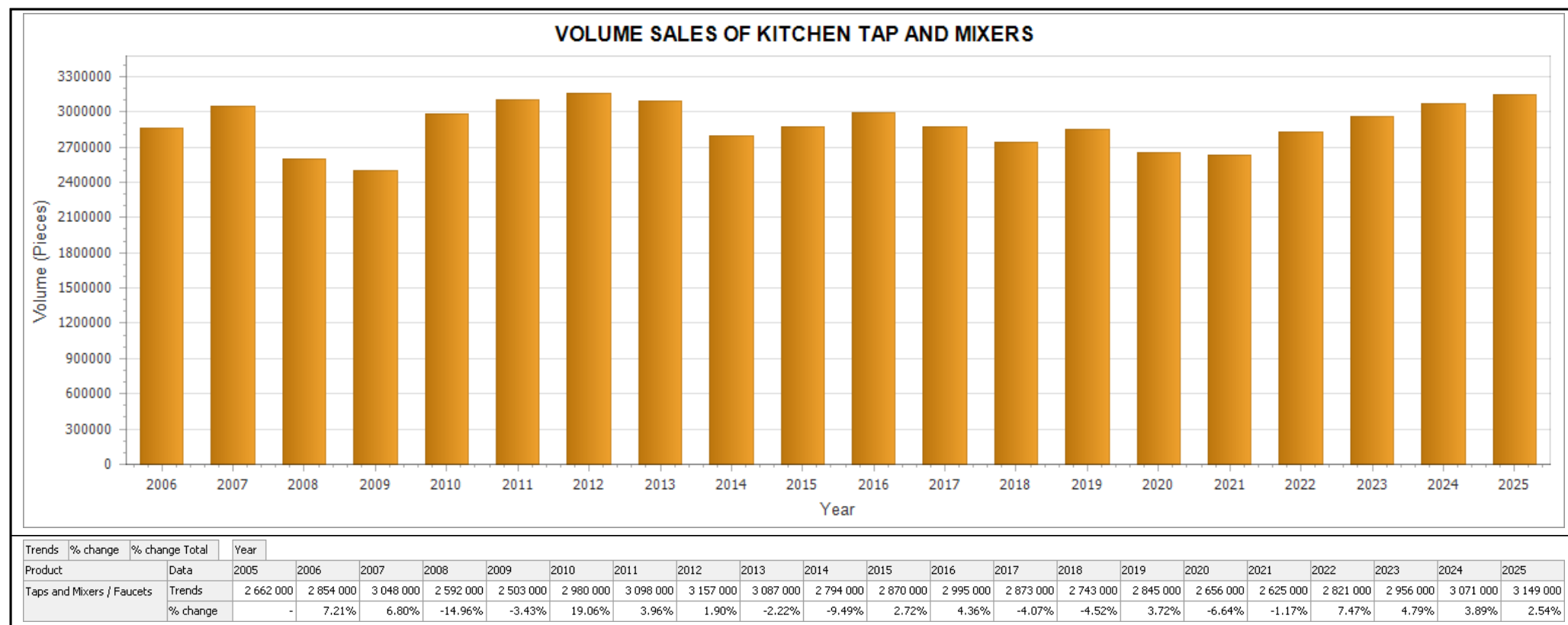
BRG believes that the increase in internet distribution is likely to enable consumers to obtain higher-quality products at lower prices, and such a trend is likely to put pressure not only on traditional distribution channels (such as independent merchants and DIY stores), but also small-sized manufacturers. From 2022 onwards, sales of kitchen taps and mixers are expected to rebound, in line with the predicted increase in the number of new completions and macroeconomic indicators in France.

Besides the question of water savings and the increased communication around WELL, a water efficiency label, the main concern is the issue of water quality and the need for avoiding lead and nickel contamination. This trend is developing in anticipation of new European directives that focus on a dramatic reduction of lead concentration levels in water, either for water distribution or taps and mixers.

The kitchen taps and mixers market is sensitive to technological developments, due to the recent influx of modern products that are slowly shifting consumer attitudes regarding the product mix. As is normal with many bathroom markets, sales of kitchen taps and mixers also rely heavily on construction output and households’ willingness to spend.

9.2 Historical Trends and Forecasts : Kitchen TM

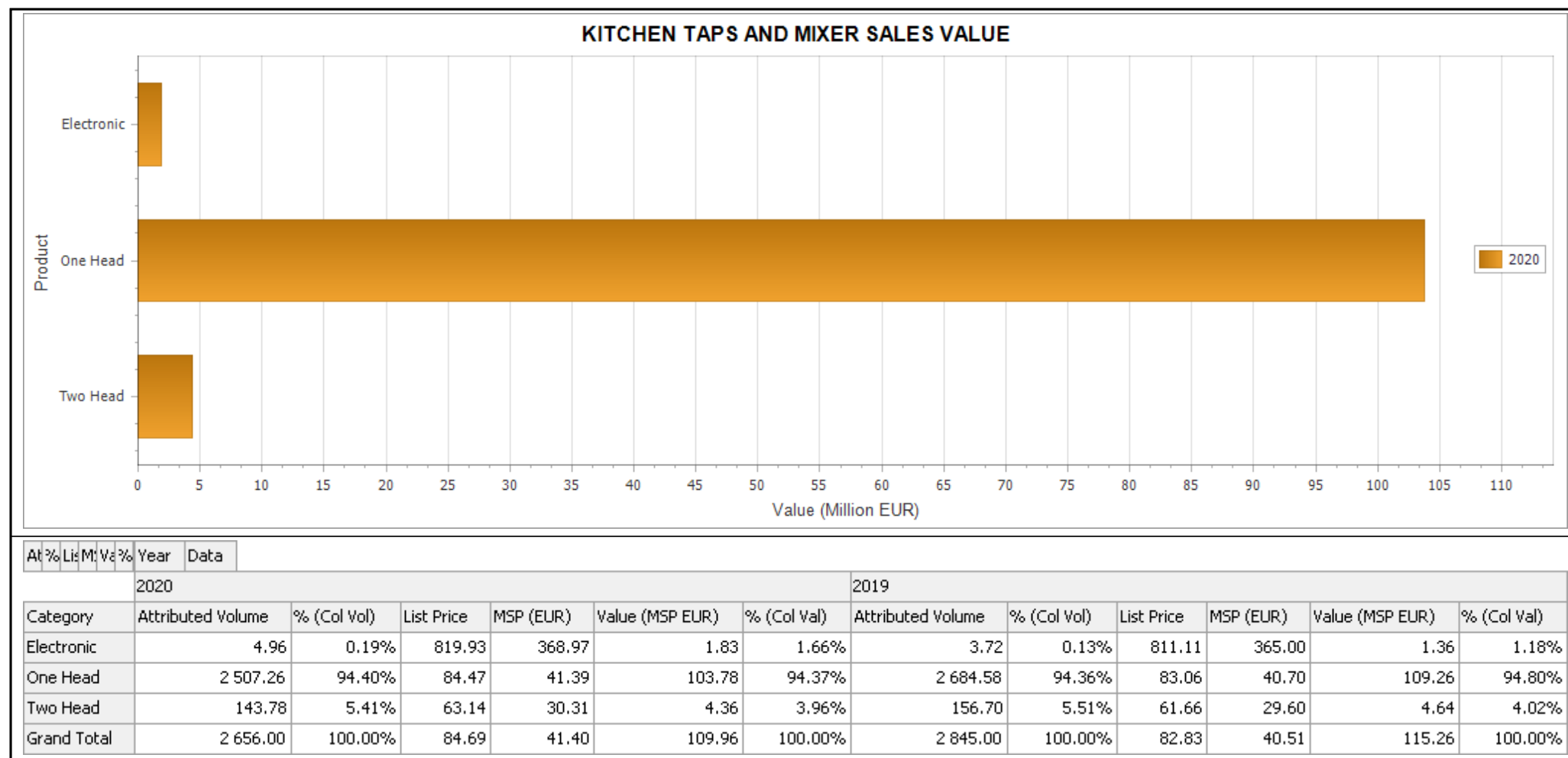
FR - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

9.3.1 Prices and Market Values : Kitchen Taps & Mixers

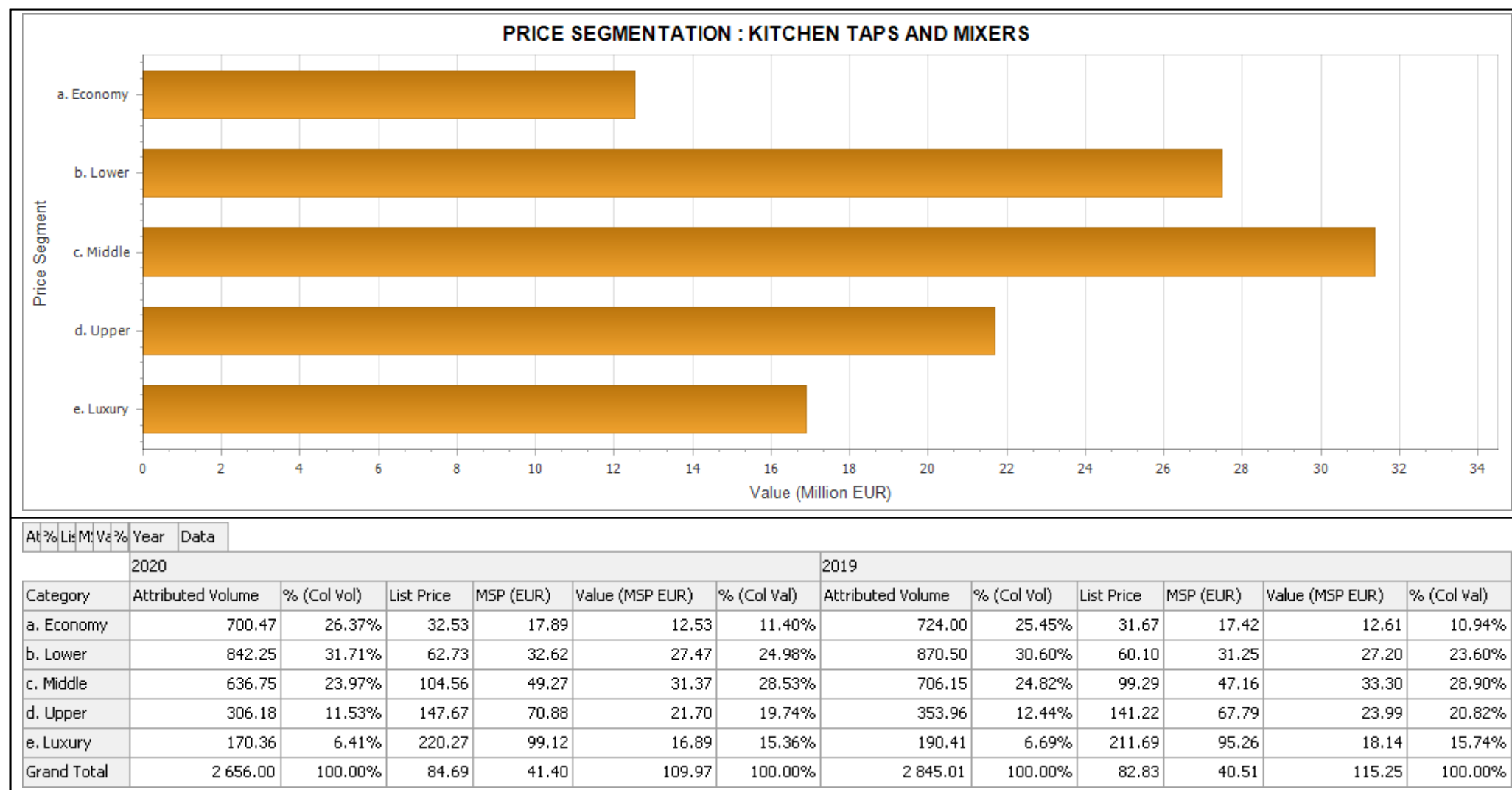
FR - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

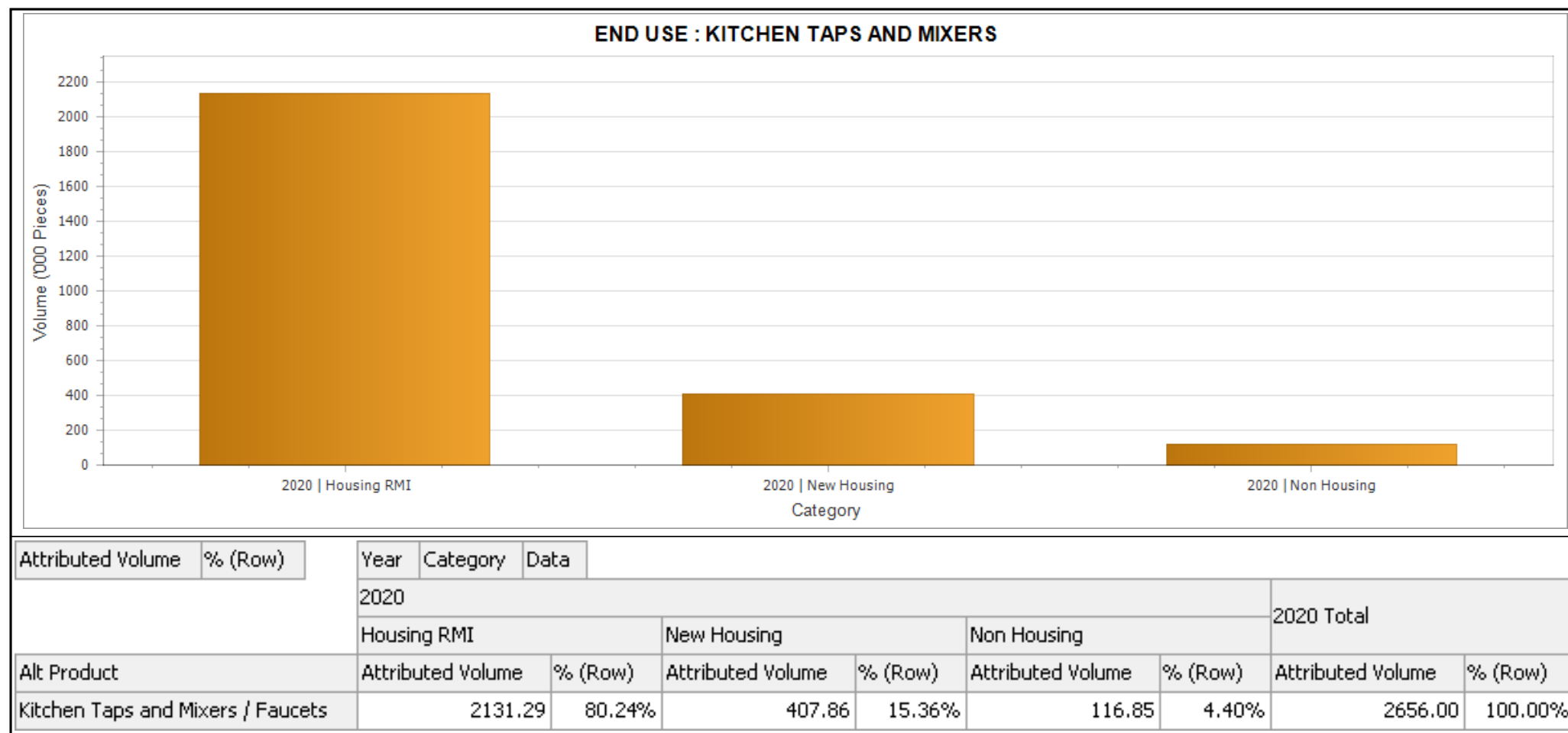
FR - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€80 and Luxury >€80

End Use : Base Year

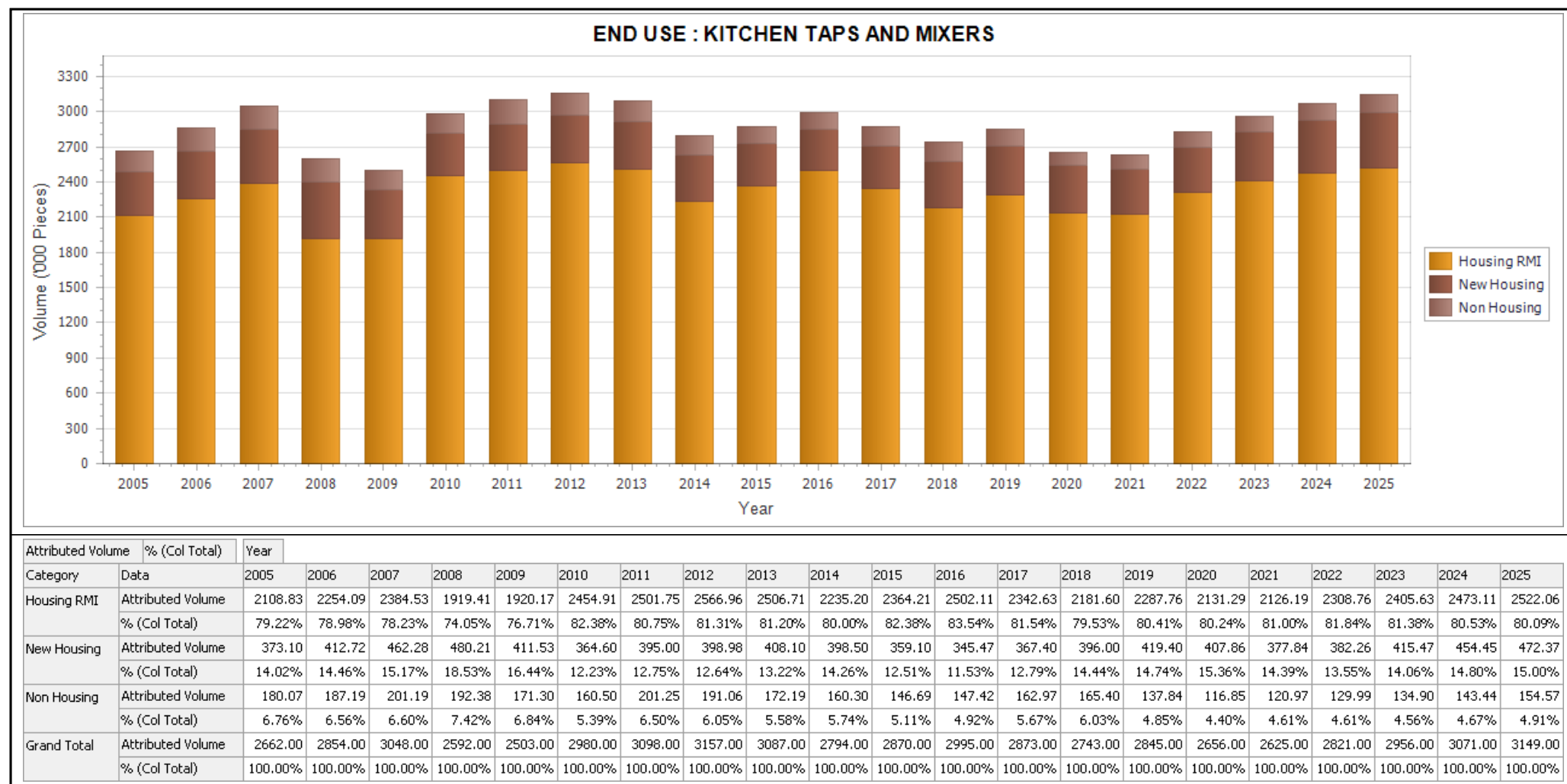
FR - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

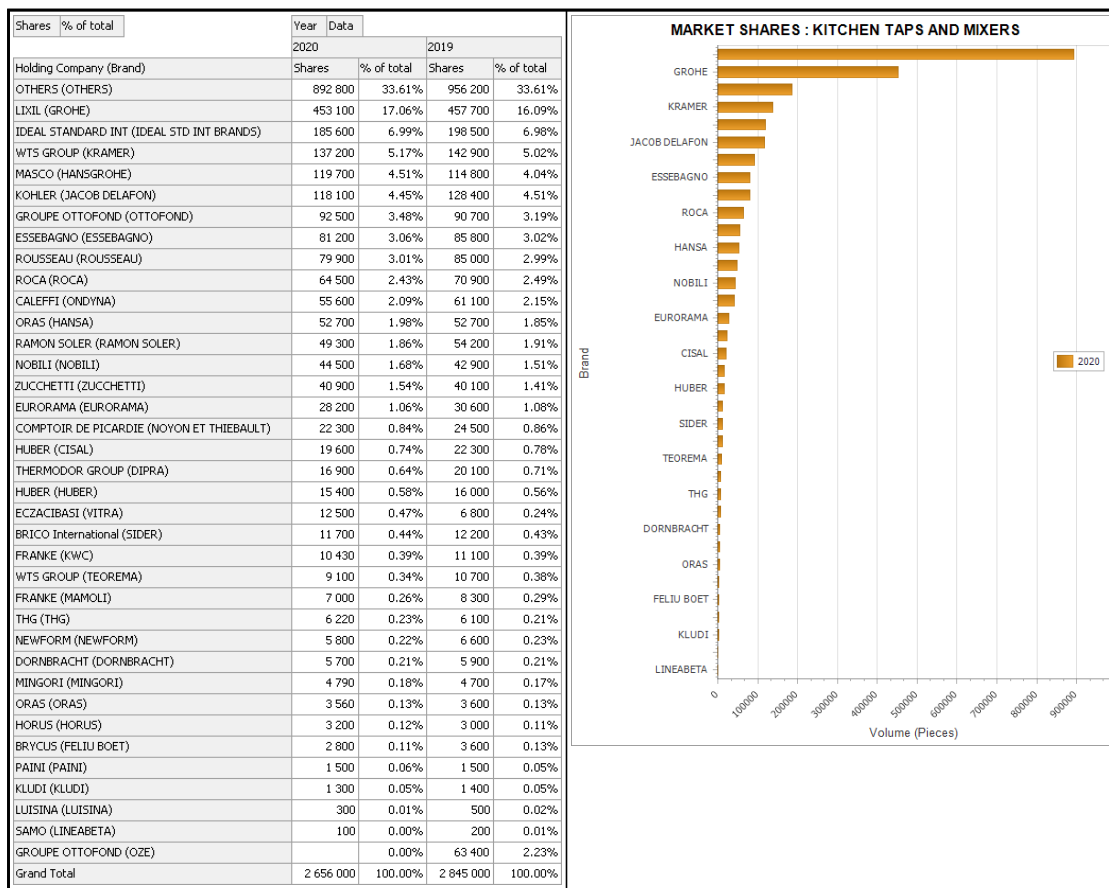
FR - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5 Market Shares : Kitchen Taps & Mixers

FR - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1

Route to Market: Kitchen Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

58.5%
Wholesalers / Merchants
58.5%

Retail Level

Manufacturer	Wholesaler
2.5%	8.5%
Internet Retailers	
11.0%	

Manufacturer	Wholesaler
31.0%	13.0%
DIY Retailers	
44.0%	

Manufacturer	Wholesaler
4.4%	11.5%
Specialist Retailers	
15.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.1%	19.6%	1.7%	9.2%	3.4%
Installers				
36.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.0%	5.6%	9.4%	34.4%	12.5%	32.8%
Residential					
95.6%					

New Build			Residential RMI		
15.4%			80.2%		
Project	Non-Project		Project	Non-Project	
8.4%	6.9%		6.3%	74.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	0.3%	0.0%	0.4%	0.0%	3.3%
Non-Residential					
4.4%					

New Build			Non-Residential RMI		
2.3%			2.1%		
Project	Non-Project		Project	Non-Project	
1.4%	0.9%		0.8%	1.3%	

9.6.2

Route to Market: Kitchen Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

59.2%
Wholesalers / Merchants
59.2%

Retail Level

Manufacturer	Wholesaler
3.1%	11.3%
Internet Retailers	
14.3%	

Manufacturer	Wholesaler
30.8%	12.7%
DIY Retailers	
43.5%	

Manufacturer	Wholesaler
4.2%	10.2%
Specialist Retailers	
14.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.1%	19.3%	2.1%	9.1%	1.9%
Installers				
33.6%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.1%	5.5%	12.2%	33.9%	12.4%	30.0%
Residential					
95.1%					

New Build			Residential RMI		
15.0%			80.1%		
Project	Non-Project		Project	Non-Project	
8.3%	6.8%		6.3%	73.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.6%	0.3%	0.0%	0.4%	0.0%	3.6%
Non-Residential					
4.9%					

New Build			Non-Residential RMI		
2.5%			2.4%		
Project	Non-Project		Project	Non-Project	
1.4%	1.1%		0.9%	1.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

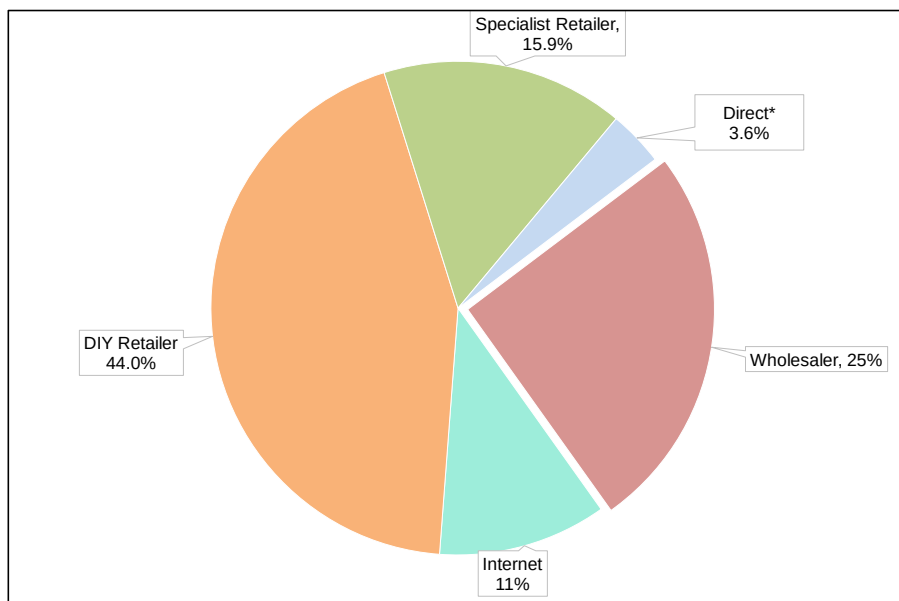
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.4%	11.0%	44.0%	15.9%	3.6%	14.7%	2.2%	80.9%	2.2%
100%					16.9%		83.1%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

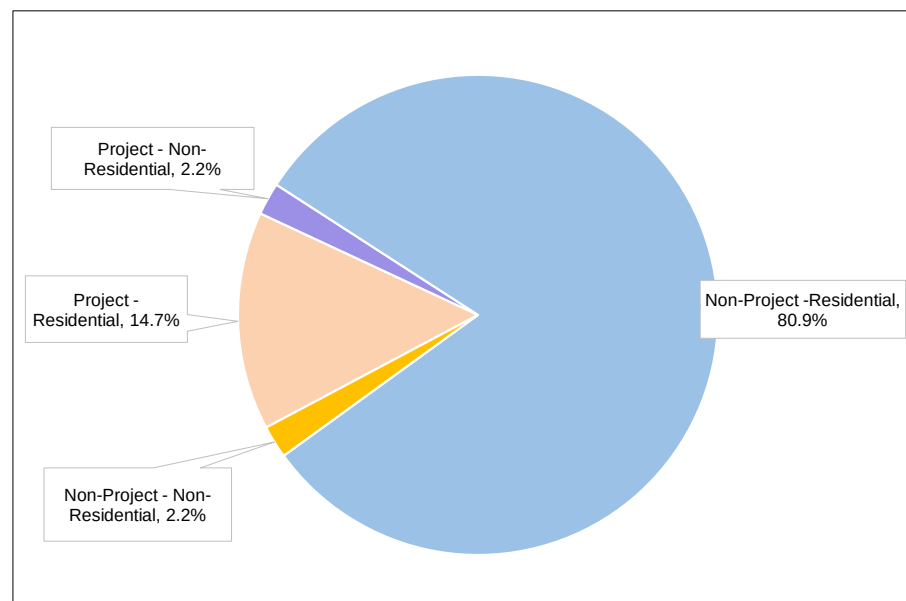
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.1%	14.3%	43.5%	14.3%	2.8%	14.5%	2.3%	80.6%	2.6%
100%					16.8%		83.2%	

FR - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



FR - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020

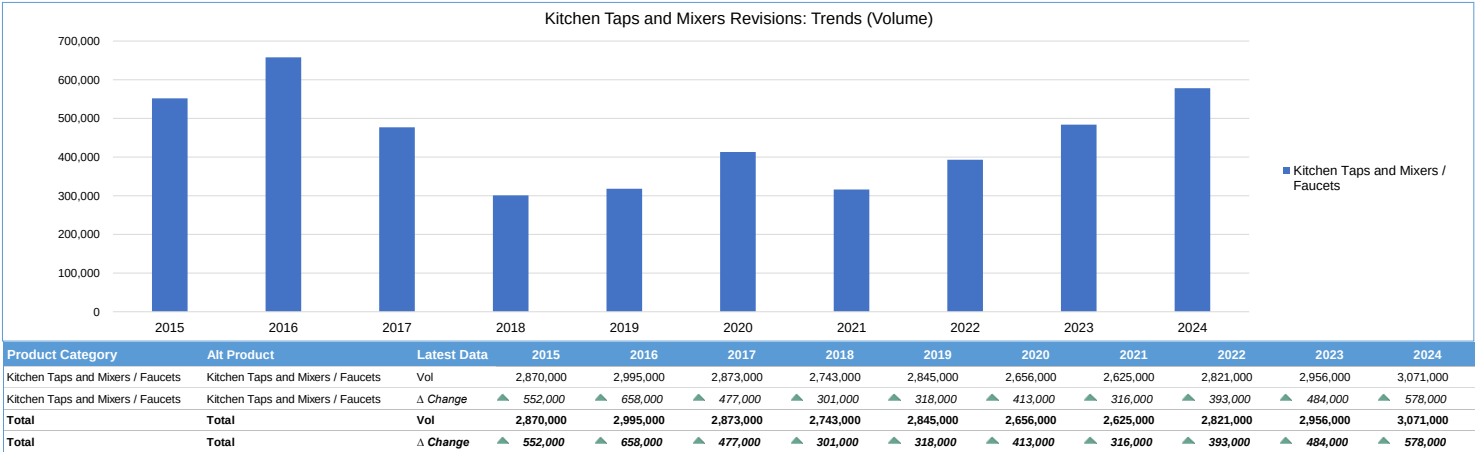


Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the French Kitchen Taps and Mixers Market (April 2021)

FR - REVISIONS IN THE FRENCH KITCHEN TAPS AND MIXERS MARKET
Data Comparison: October 2020



The market size for kitchen taps and mixers was revised up from 2005 onwards, which is partly because of the revision made to the market size for kitchen sinks, especially for stainless steel kitchen sinks, combined with an underestimation of imported taps and mixers, especially those coming from China.

Imports of kitchen, as well as bathroom, mixers has increased considerably over the last 20 years, especially imports from China. For example, in 2001 imports from China only accounted for around 5% of total imports but by 2020 these accounted for 43% of total imports, which can include private label sales of DIY stores, such as LEROY MERLIN, but also assemblers ESSEBAGNO and other typical DIY players. The share of German imports has remained fairly stable over the years, which weakened between 2005 and 2013 but gained share again from 2014 onwards, accounting for 33% of imports by 2020 (compared to 32% in 2001 but only 24% in 2010). Italian imports, on the other hand have fared very well, with its share down from 50% in 2001 to as little as 13% by 2020.

France can be considered to be a rather low-priced market for taps and mixers, despite the influence of German imports, which is due to importance of the DIY sector, characterised by relatively low priced products, thus explaining why Chinese imports are so strong on the market.

The MSP for kitchen taps and mixers was revised down for all years, which was largely due to an overestimation of the average prices per price segment. Kitchen mixers are available in many different price ranges, but the great majority remains to be sold in the lower price range. The importance of the DIY sector, in particular, affects prices on the French market.